Indraprastha Gas Ltd. (IGL)

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IGL Q3 FY23 Earnings Conference Call

■ Mr. Sanjay Kumar – MD, IGL:
■ I would like to make opening remarks and then after that my director would like to say a few words. We assume that the results are already available with you. [00:15 no audio] if you want we can put the numbers on the screen. But from our side we are four people and this guy, Sanjay Kumar, he is our CFO. I am Sanjay [00:32 no audio].
■ Mr. Harsh Dole - Moderator :
■ Vedashree , can you hear them?
■ Ms. V edashree Patil :
■ No, Harsh.
■ Mr. Harsh Dole - Moderator :
■ Sir, unfortunately there is some issue with the audio from your side.
■ Greetings everyone on behalf of IIFL Securities I welcome you all to the 3rd quarter FY 23 earnings call of IGL.
■ Firstly , we sincerely appreciate the management's initiativ e to interact with the investors through this forum. Thank you very much, sir.
■ Today to discuss the results in detail we have the entire senior management of IGL. I will make a brief introduction. Firstly , we have MD - Mr. Sanjay Kumar, CFO - Mr. Pawan Kum ar, my apologies, Director -Commercial - Mr. Pawan Kumar, CFO - again Mr. Sanjay Kumar and Mr. Man jeet Singh Gulati. I first request MD - Shri Sanjay Kumar…
■ Mr. Sanjay Kumar – MD, IGL :
■ We also have Rajeev Kumar, he is Chief Marketing Officer.
■ Mr. Harsh Dole - Moderator :
■ Welcome, sir. I first request the MD to make opening remarks, subsequent to which I would request the CFO to say a few words, and then we can open the floor for the Q&A. Over to you, sir.
■ Mr. Sanjay Kumar – MD, IGL:
■ I welcome investors to this earnings call [02:39 to 2: 57 no audio].
■ Ms. Vedashree Patil:
■ Sir, just a second, sir, we are not able to hear you.
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■ Mr. Sanjay Kumar – MD, IGL:
■ Are you able to hear us now.
■ Mr. Harsh Dole – Moderator:
■ Yeah, now it is very clear, sir.
■ Mr. Sanjay Kumar – MD=, IGL:
■ No but why are we disconnecting every minute. My IT team says that there is no problem at our end.
■ Mr. Harsh Dole – Moderator:
■ Let us continue, now it is clear.
■ Mr. Sanjay Kumar – MD, IGL:
■ So, IGL has declared the Q3 results day before yesterda y and declared a PAT of Rs. 278 crores which is 10% lower on year -on-year basis . And for the first time IGL has crossed the 5 figure mark in terms of tu rnover in FY within 9 months which stood at Rs. 11500 crores, during the 9 months. IGL Board has also ap proved payment of interim dividend of Rs. 3 per s hare to the shareholders. The sales has grown by 6% over the corresponding quarter in the last fiscal. And with the average daily sales going up from 7.66 million cubic meter per day to 8.12 million cubic me ter per day.
■ Product wise CNG record ed sales growth of 8% while PNG recorded sales volume growth of 1% in the quarter as compared to corresponding quarter last year. Q -on-Q the sales volume was almost flat - 0.4% growth . However , for the first 9 month period of this FY , significant growth of 19% was witnessed.
■ On EBITDA front the company has earned EBITDA of Rs. 428 crores as compared to Rs. 470 crores in the corresponding quarter of last year. The per S CM EBITDA stood at Rs. 5.74 during this quarter agai nst the corresponding previous year numbe r of Rs. 6.67 per S CM. The decrease is mainly on account of increase in the input cost of gas which could not be fully passed on to the customers to maintain the balance between growth potential and profitability. W e expect the same to be increased to the range of Rs. 7 to Rs. 8 per S CM in next financial year after implementation of recommendation of Kirit Parikh Committee Report.
■ In future outlook we maintain our stand that company expects healthy volume

growth and is likely to achieve 9 mill ion cubic meter of sales during FY 2024 and further 10 million cubic meter per day sales in FY2025. These are my opening remarks.

■ Mr. Pawan Kumar – Director (Comme

rcial), IGL:

■ Good evening, I am Pawan Kumar, Director (Commercial). I welcome all of the investors in this question -and-answer forum. Post Covid we are meeting first time in this format which we w ould like to continue .

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■ As regards to the future outlook we maintain our stand that the company expects healthy volume growth and is likely to achieve 9 mmscmd next year and 10 in this year. The company will try to maintain EBITDA in the range of 7 to 8 rupees per S CM. The results are already available with you. And we have started working recently in the new GA which was allott ed to us that i s Banda, Mahoba and Chitakoot in Uttar Pradesh. We have started laying pipelines. As far as the others GAs are concerned , others in Delhi and the older GAs we are expanding our network in a faster manner in Ajmer, Pali, Rajsamand, and Muzzaf arnagar, Meerut and Shamli and then Karnal and Kaithal [07:37]. W e are also expanding quite fast to cover the entire Hapur district and the outer part of Meerut. The jobs have already been tendered out. And this area being quite populous and paying capaci ty also quite high we expect that the sales volume from this area will be [08:00 to 08:10 no audio]. Now I welcome investors and we can straightaway go to the question answer session.

■ Question & Answer Session

■ Mr. Harsh Dole - Moderator:

■ So, thank you, we really appreciate the opening remarks and brief overview. I request the participants who would wish to ask questions kindly either type in , in the chat box so that we can read them and recite them for the management. Or you can raise hand, we will call out your name and unmute your line and you can go ahead with that. We will wait for a minute or so. So , the first question is from Yash Go enka. Vedashree, can you unmute, Yash's line?

■ Mr. Yash Goenka:

■ Can you hear me?

■ Mr. Sanjay Kumar – MD, IGL:

■ Yes.

■ Mr. Yash Goenka:

■ Sir, t hank you for taking my question. I wanted to know what is the O MC commission and DTC discount for CNGs in NCT region. And second question will be can you give us the break up of CNG volumes in PV, LC , 3 wheeler buses, stage carr ier for 9 mon ths FY23 .

■ Mr. Pawan Kumar – Director (Commercial), IGL:

■ Yash, O MC commission and what is the other part of the question.

■ Mr. Yash Goenka:

■ DTC discount for CNG and NCT region.

■ Mr. Pawan Kumar – Director (Commercial), IGL:

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■ As far as the commission is concer ned it is Rs. 5.94 per kg, and it is under discussion, still under discussion by the [9:57] industry. But the provisions have been made in the order book accordingly.

■ Mr. Sanjay Kumar – MD, IGL:

■ So, 5.94 we are already paying to the OMCs . And DTC discount is 6% of the retail price and that we are you know whatever is the retail price 6% of that is the DTC discount because they have given us all the facilities within their bus stand, what is it called, bus depot, for setting up CNG station.

■ Mr. Yash Goenka:

■ Okay. And, sir, break up of CNG volumes in PV, LC, 3 wheeler buses, stage carri er for 9 months.

■ Mr. Sanjay Kumar – CFO, IGL:

■ So, stage carrier and buses approximately contribute 20 -22% of the total sales , out of that around 8 to 10% is DTC and DIM TS that's the broad break up of sales in terms of buses and other vehicles.

■ Mr. Yash Goenka:

■ Okay.

■ Mr. Sanjay Kumar – MD, IGL:

■ Total CNG sale is 4.5 million kg per day, of that 20% is DTC you know and stage carri er. And what is the break up?

■ Mr. Sanjay Kumar – CFO, IGL:

■ 8% to 10% is DTC and DIM TS.
■ Mr. Sanjay Kumar – MD, IGL:
■ That is the total volume .
■ Mr. Sanjay Kumar – CFO, IGL:
■ Out of that 20, 10 is DIM TS and DTC remaining 10 is stage carri er.
■ Mr. Sanjay Kumar – MD, IGL:
■ I hope you got it, Yash.
■ Mr. Yash Goenka:
■ I have got around 30, I have got stage carr iage and DTC that is 30 -35% and?
■ Mr. Sanjay Kumar – CFO, IGL:

■ No, total buses is 20 -22%, out of that 8 to 10 is DTC and DIM TS, and remaining 10 to 12 is stage carri er.
■ Mr. Yash Goenka:
■ Okay, fair. And what has be en the volume growth for C UGL and MNG L for 9 months and what is the outlook for them on margins and volume for the next two years.
■ Mr. Sanjay Kumar – CFO, IGL:
■ As far as C UGL is concerned C UGL has not grown in terms of volumes and t heir profits have also been down. As far as MNGL is concerned they have grown by 9%, and they are maintaining their profit during the quarter as compared to last year.
■ Mr. Yash Goenka:
■ Okay, and outlook on margins.
■ Mr. Sanjay Kumar – CFO, IGL:
■ And MN GL has been around 1. 1 millio n cubic meters per day and C UGL is selling around 0.3 million, 0.33 million cubic meter per day .
■ Mr. Yash Goenka:
■ Okay.
■ Mr. Harsh Dole - Moderator:
■ Yash, can I request you to come back in the queue there are participants , thank you . Ladies and gentlemen I would request you to restrict yourself to one question per participant, there are at least 50 people in the queue and we would like to take as many questions as we can.
■ So, the next question is from Raunak Chedda. Raunak, please go ahead.
■ Mr. Raunak Chedda :
■ Hello.
■ Mr. Sanjay Kumar – MD, IGL:
■ Yes.
■ Mr. Raunak Chedda:
■ Thanks for the opportunity , sir, really appreciate it. I had a couple of questions but I will restrict to one. Sir, given the delay in litigations in Gurgaon what is the realistic opportunity for us there and what are the current volumes if you can throw some light.
■ Mr. Sanjay Kumar – MD, IGL:

■ Current volume in Gurgaon is 0.18 million that we are selling. We are also selling to the other party in Gurgaon about 0.2 5 million cubic meter per day. So , this is the volume that is going on. So directly we are selling about 0.18 million cubic meter per day and through that the other party which is you know Haryana City Gas which is operating in some part of Gurgaon we are selling 0.25 million cubic meter per day.
■ Mr. Raunak Chedda:
■ And, sir what could be our opportunity here in terms of volumes say next 2 -3 years, how far we can grow.
■ Mr. Sanjay Kumar – MD, IGL:
■ This you may be aware, Gurgaon is actually under review or evaluation whatever you call it has been referred to PNGR B by Supreme Court. So , we expect decision within few months I think when we will get the clarity about , you know, we are a central government authorized entity, the other entity claims that they are a state government nominated entity or NOC entity. So this is a highly technical and legal , these words have got different meanings and they depend on the interpretation. So Supreme Court has referred this matter to PNGRB. Assuming that there are no such obstacles, or there is a free work f ront available to IGL for whole of Gurgaon , in one or two years the sale can actually escalate, can improve from 0.5 million to 0.8 million also. That’s the kind of sale that we can achieve in next two years if there are no legal issues, that is my input t o you.
■ Mr. Raunak Chedda:

■ Thank you so much , sir, I will come back in the question queue.
■ Mr. Pawan Kumar – Director (Commercial), IGL:
■ I think this will be the final decision, the case has been lingering in the Supreme Court for years and years and now i t is in the final stages. The Supreme Court has also given directions that the gas arrangement which is presently with IGL and these private companies is valid upto September 23 only, no w it will be final whatever is done .
■ Mr. Raunak Chedda:
■ Got it, sir, t hank you so much for your time.
■ Mr. Harsh Dole – Moderator:
■ We will take a couple of questions from the chat box. First one is from Aishwarya Agarwal, and the question is what is your expectation for APM gas price and the gas volumes and why do you expect the APM prices the way you expect it to be, that's

part of the question.
■ Mr. Sanjay Kumar – MD, IGL:
■ As of now about 20 million cubic meter per day of gas is being allo cated to CG D sector. We do not foresee any increase in this volume, you know, if from o ther

sector government allocates us some gas it will be good for CGD sector . And about the pricing you may be aware about Kirit Parikh Committee Report which has all recommended that for the first year the price would be 6 .5$ per mmBtu which presently is 8 .57$ per mmBtu . So, we can easily see that there is likely to be margin enhancement to us of about Rs. 6 per S CM if this goes through, if this gets approved. We hope this gets approved very soon within next one month maybe by 15th of March this should defi nitely get approved, because the government is already working on that.
■ Mr. Raunak Chedda:
■ Thank you, and the second part of the question is with CNG prices close to liquid fuel, do you see volume growth you know adversely getting affected.
■ Mr. Pawan Kuma r – Director (Commercial), IGL:
■ Yes, as we are just talking about the Kirit Parikh Committee Report where we have allocation from A PM/non A PM around 76% currently. So once the report will be implemented there will be c ost reduction on the 76% , almost 76% part of the gas. So, I think that should lead to increase in the margins. And secondly , we are also seeing that the crude prices are coming down and the gas prices wherever they are linked to well they will also come down.
■ Mr. Sanjay Kumar – CFO, IGL:
■ Just to add to what you have said, 76% is from the point of view of the total sales , if we talk about only priority sector it is 86%.
■ Mr. Sanjay Kumar – MD, IGL:
■ 86 to 87%. So, for CNG and D PNG it is 86 -87%, for total IGL sale it is 76% we wanted to clarify th at. Regarding the other point that you made that the prices are very close as our Director (Commercial) said that Kirit Parikh Committee Report has already recommended 6.5$ per mmBtu . So, we hope that will get approved and that gives us a lot of headway, a lot of possibility of even maintaining the conversion rate of CNG vehicles. So, more and more and vehicles will be bought because we will moderate the prices if that Committee Report gets through, we will moderate it slightly.
■ Mr. Harsh Dole – Moderator :
■ Understood, sir, thank you very much. We will take one more question from the chat box and then we can come to the live Q&A. The next question is from Pinakin Parikh and he asks what is the outlook for gas costs in second half. And what gas you know , wou ld gas cost move up higher in the second half?
■ Mr. Sanjay Kumar – MD, IGL:
■ Which second half?
■ Mr. Harsh Dole – Moderator:
■ I think he means by the calendar year.

■ Mr. Sanjay Kumar – MD, IGL:
■ So, calendar year we are well placed to have lower cost of gas. Mos t analysts are telling, you see the European winter was so mild this year that some places where the temperature was -5 to -6 degrees centigrade there the temperature recorded on 1st of January was 19 degrees or 12 degrees or 16 degrees, which shows that y ou know that the heating requirement has gone down in Europe in recent weeks and that is why even the storages today are full upto 76% in Europe. So, we hope that LNG prices would soften and the domestic gas prices which are available on different trading

platforms they are actually always mirroring the LNG prices, so they will be lower than the LNG prices. If the LNG prices go down to $15 in next few weeks or $12, then domestic gas will be available at even lower prices. So, the 76% that he was referrin g to few moments ago, so remaining 24% most of our gas we will have some compensating factor in the form of better margin if we are able to source those gas and we have been doing it in last few weeks and that is why we have maintained this margin we have been able to get the profit of 278 crore.
■ Mr. Harsh

Dole – Moderator:
■ Understood Sir, really appreciate . He further asks how does the company view the recent ordering of EV buses by DTC ?
■ Mr. Pawan Kumar – Director (Commercial), IGL:
■ EVs are being ordered , but major con version so far is registration is in two wheelers only and the buses are being ordered , so we are also expanding into their other segments . Like we are expanding very fast into other GAs where our work is progressing very fast . Secondly , we are looking at the long -haul buses like we have converted a few buses i n Dehradun and which are pl ying on Dehradun -Delhi road . Similarly , we are working with the Rajasthan State Road Transport Corporation where we want that the Jaipur -Delhi buses should be converted to CNG and we also want that the Haryana Roadways and UP Roadways which operate from Delhi and passes through our GA they also start converting their fleet into CNG , so we expect that any loss if it is there due to E-vehicles will be - will ge t offset by these segments .
■ Mr. Sanjay Kumar – MD, IGL:
■ So, in summary what he has told us that we acknowledge the threat of EV . First thing is that we know because they are now , I think issuing tender of 5 ,000 buses . We understand that buses would come , EV buses would come and by acknowledging we are making strategies , which will compensate for this that business and give us alternate diversification for growth of our volume as well as new business in the form of EV sector also.
■ Mr. Pawan Kumar – Directo r (Commercial), IGL:
■ Also there are a lot of dumpers , heavy vehicles carrying sand and other things building materials on the periphery of Delhi , we have been able to convert them to CNG and we are also working with the OEM s for tractor manufacturers becau se large part of this NCR including Muzaffarnagar, Meerut, Hapur, Rewari, this forms a part of

NCR where diesel vehicles more than 10 years old cannot be used . So, our aim is that once we are able to convert the tractors , tractors can be used for 15 years and being a vast agricultural land , a large volume can be compensated from this segment .
■ Mr. Sanjay Kumar – CFO, IGL:
■ Additionally , it's not that they are buying only EV buses , they are also buying CNG buses . Both the fuels will coexist at least maybe 10 years at least . It will not be a certain drop out, I think . Next four or five years we do not see any degrowth in our bus sales .
■ Mr. Harsh Dole – Moderator:
■ Really appreciate it . Thank you . So, the next question is from Rajesh Inor . Vedashree, she can you unmute his line .
■ Mr. Sanjay Kumar – MD, IGL:
■ Yes, Rajesh . Hello ?
■ Mr. Rajesh Inor:
■ 23:52 to 24:02 Voice Breaking .
■ Mr. Sanjay Kumar – MD, IGL:
■ Yes, Rajesh , go ahead .
■ Mr. Rajesh Inor:
■ 24:04 to 24:08 Voice Breaking.
■ Mr. Harsh Dole – Moderator:
■ Rajesh ,
■ Mr. Sanjay Kumar – MD, IGL:
■ We can't hear you .
■ Mr. Harsh Dole – Moderator:
■ Rajesh , there is some issue with your line . What I'll do is perhaps you know come back in the queue again after a minute or so . Vedashree can we take the next question from Amit Rustagi .
■ Mr. Sanjay Kumar – MD, IGL:
■ Yes, Amit. Is it Amit or Amir ?

■ Mr. Pawan Kumar – Director (Commercial), IGL:
■ Amir Rustagi.
■ Mr. Sanjay Kumar – MD, IGL:
■ Yes A mir.
■ Mr. Harsh Dole – Moderator:
■ Okay, some issue with this line as well . Vedashree, can we g o with Devansh N igotia please .
■ Mr. Devansh N igotia:
■ Yeah . Sir, can you hear me now ?
■ Mr. Sanjay Kumar – MD, IGL:
■ Yes, we can .
■ Mr. Devansh N igotia:
■ Yeah . Okay. Sir, first of all I'd like to congratulate for taking this initiative of hosting the call with the investors and I hope this practice will continue in the coming quarters as well . Sir, I have two questions , one is when we look at the L NG mix like you mentioned 24% LNG , we have around 14% for the

priority sector and 10% for
the nonpriority sector . So, what is the benchmarks broadly can you tell us and what percentag e we are still procuring from spot ?
■ Mr. Sanjay Kumar – MD, IGL:
■ The average price that we are paying is about $13 -$14 per mmBtu for the remaining gas that you're talking about . You know unfortunately because of the APM , non-APM price being at 8.57 , that price is also the gas price without pipeline tariff is around $10 per mm Btu. So, what happens is that , that gas comes at $10 per mmBtu approximately and this one the remaining 24% or 25% of gas that we are using that is coming at around $13 -$14. It is here that that $10 will go down to about $7.25 with taxes I'm talking about or $7.5 and that is where the actual margins would come in .
■ Mr. Devansh N igotia:
■ Okay, okay. Sir, what are the be nchmarks we have broadly like how much is linked to Henry Hub 26:31 , how much is linked to oil , and how much is linked to spot , if you can give me a broad percentage ?
■ Mr. Sanjay Kumar – MD, IGL:
■ See, a bout 60% is linked to - 50% to 60% is linked to Henry H ub 26:42 , this is about the remaining supply that we are talking about and about 30 % to 35% is linked to
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crude oil which could be Brent as well as JCC, and the last bit of about 5 % to 10% depends on the week and fortnight and all that is actually bought by us from the current market , that is the strategy we have knowingly kept because sometimes we get gas which is cheaper even than the LNG price from the domestic sources , those who have got volume for mitigation , those who have got volume for operational reason etc. That is the best approach that an operator c an have and we are the biggest CG D operator and we would like to continue in that fashion that is the strategy that we have following .
■ Mr. Sanjay Kumar – CFO, IGL:
■ I would also like to add that this qu arter we got some domestic gas at ceiling price approximately 2% of the
■ Mr. Devansh N igotia:
■ Okay, okay, got it , got it .
■ Mr. Sanjay Kumar – CFO, IGL:
■ at $12. 46.
■ Mr. Devansh N igotia:
■ Okay and sir my second question is relating to the volume growth . So, we have already seen that this quarter volume growth was flattish over the last quarter - second quarter I'm referring to . So, what are the reasons you think that has led to a flat volume growth and is there exit volume in the month of December or the end of December was increasing , can you give us some guidance on that ?
■ Mr. Sanjay Kumar – MD, IGL:
■ So, the volume growth actually depends on the general feeling about CNG . So, other than IGL, not IGL, but other than IGL most players have increased the pri ces by ■5, ■10 etc., there are people who are selling CNG at ■89. ■90. ■95 and all that . We would like to follow the strategy of keeping our market intact and that has somewhat affected the sentiments of buyers , but there are new models now which are comi ng. So, you know we have been talking to Maruti , we have been talking to Tata Motors , and some in auto Expo we were also talking to Eicher etc. So, there are some new CV models , there are some new car models , which are coming and we

hope to come back wit h higher conversion rates later . Presently , the conversion rate is about 13,0 00-14,000 per month , which we had informed you last time we were meeting .

■ Mr. Devansh N igotia:

■ Okay, Sir. Got it. Sir, thank you for taking my questions and once again thanks f or hosting this .

■ Mr. Sanjay Kumar – MD, IGL:

■ Thank you.

■ Mr. Harsh Dole – Moderator:

■ Vedashree, will take the next question from Kirtan Mehta. Kirtan, go ahead .

■ Mr. K irtan Mehta:

■ Hello . Thank you, Sir for this opportunity . Are you able to hear me ? Am I audible , Sir?

■ Mr. Sanjay Kumar – MD, IGL:

■ Yes, yes, go ahead.

■ Mr. K irtan Mehta:

■ Thank you, Sir. In terms of - my question is about the volum

e growth that we are looking at , so over the next couple of years we are looking at adding 2 million cubic meter of growth , could you give us a break up in terms of GAs like which are the Gas where this would get added , incremental growth will come from , and how much of this would be from the new GAs? This is the first question .

■ Mr. Sanjay Kumar – MD, IGL:

■ Well , my Dir ector would answer this question .

■ Mr. Pawan Kumar – Director (Commercial), IGL:

■ As far as current position is there , Delhi contributing to around 65% of sales volume , Noida, Ghaziabad , and Greater Noida is contributing to around 21% . Kanpur , Kaithal is ju st the beginning . Rewari is around 3% . Gurgaon around 2% and Karnal 1%, Meerut, Muzaffarnagar around 1% , and Ajm er it's just the beginning . So, we have laid vast pipeline network in Ajmer area , which we are going to charge shortly and the stations , whic h are DB stations will be converted to the online stations . Around 1.5 lakh domestic connections , which have been issued in Ajmer will be gasified in 2-3 months' time . Similarly , we have also laid - we have also l aid pipeline in Muzaffarnagar, Shamli , Karnal, Kaithal , and Ha pur area . So, as we go with the or you know charging the pipeline , the stations will become online , plus the public will remain assured that availability is there , so more and more - we presume that more and more vehicles will be boug ht by the company and secondly whatever domestic connections we have done there , they will be gasified. So, we will get the sales volume from them and thirdly the Commission for air quality control , which controls the air quality in the NCR basically . So, all these G As are in NCR only including Meerut, Muzaffarnagar, and Hapur . We have been given a target to connect to all the industrial areas by March . So, I think few industrial areas are remaining which will be connected by the March , whatever industr y is there that will also bring us the commercial and industrial growth.

■ Mr. K irtan Mehta:

■ Would you be able to quantify the volumes that you are talking for the industrial convergence ? How much additional can come from the convergence that we are targeti ng over next 6 to 12 months ?

■ Mr. Pawan Kumar – Director (Commercial), IGL:

■ See we are targeting around 9 million per day by the end of next year . So, that one year will be part of - 1 million will be part of - major part will come from these areas only.

■ Mr. Sanjay Kumar – MD, IGL:

■ What he's telling is that additional sale expected in the next financial year end is 1 million cubic meter per day and in the year after that another 1 million , out of this 2 million, 50% -60% will come from CNG sale in these new GAs that he has referred to , which is Ajmer , Pali, Rajsamand , then Kaithal , Karnal , then Muzaffarnagar , Meerut , Shamli , and Kanpur , Fatehpur , Banda , Chitrakoot etc. Now , these are big areas , they have got good highways going through them and we are target ing to set up CNG station on these highways , which have got huge volume of traffic . Once these stations come up and they will be on online mode , our sales will be definitely improving by these numbers that we are talking about .

■ Mr. K irtan Mehta:

■ Right , Sir. Thanks for sort of detailed answer . Just one more follow up around the

same CNG volumes . There is also sort of the some of the BS -6 norms are kicking in March -April , do you think that , that can also translate into additional CNG volumes ?
■ Mr. Sanjay K umar – MD, IGL:
■ Your audio is not very clear , can you repeat ?
■ Mr. K irtan Mehta:
■ I was asking that there are some B S-6 norms kicking in April where the cost of conversion would go up for some of the vehicles as well , so does that translate into additional v olumes for us or additional convergence for us ?
■ Mr. Sanjay Kumar – MD, IGL:
■ See, direct CN

G vehicle anyway are costlier than the petrol -diesel vehicle , when you buy new vehicles whether it is car or a truck , they are anyway costlier by about 7 lakhs to 8 lakhs, how much is it ? 8 to 10 lakhs. Now , they are still much cheaper than the EV , so there will be some increase in these cost because of B S-6 new norms that that will kick in on 1st of April . We don't foresee much impact of that . We have not quantifie d what is the exact increase in the price of bus and car . We will do that now , now that you've given us this input .
■ Mr. K irtan Mehta:
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■ Sure, and one more just foll ow up in terms of your long haul buses where we are running the pilot , so are there any appro vals needed before we can scale this up ?
■ Mr. Sanjay Kumar – MD, IGL:
■ No, these are existing permits . They were available with Uttarakhand and there are some more cases in Uttar Pradesh th en in Chandigarh , then for Jaipur etc. So, the same permits will be used for running CNG vehicles instead of - because we are offering them lower cost on operating basis . See EV's cannot go long distance , they in no scheme of things the EV can go in next 10 years for say 500 kilometers and come back because nobody would like to wait for charging a bus for 6 -7 hours or 4 hours or even 3 hours in a roadside dhaba or in a roadside charging joint . So, that is where we saw the opportunity and that is what Director Commercial was referring to that we have cultivated this and n ow we are in serious discussion with some carriers and State Transport Corporations for taking up this kind of CNG usage .
■ Mr. K irtan Mehta:
■ Sure , Sir. Thank you for this clarification . If I can squeeze in one more last question .
■ Mr. Harsh Dole – Moderato r:
■ Kirtan, can I request you to come back in queue .
■ Mr. K irtan Mehta:
■ Sure .
■ Mr. Harsh Dole – Moderator:
■ Thank you.
■ Mr. Sanjay Kumar – MD, IGL:
■ Thank you, Kirtan.
■ Mr. Harsh Dole – Moderator:
■ Vedashree, will take the next question from Rajesh Inor. Hopefull y, now he should be able to ask the question .
■ Mr. Rajesh Inor:
■ Hello , am I audible now ?
■ Mr. Sanjay Kumar – MD, IGL:
■ Yes please .
■ Mr. Rajesh Inor:
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■ Yeah , thanks for the opportunity . Sir, my question is around you know EBIT DA per SCM, which we have recorded i n the third quarter it was around 5.7 and if I look at your initial comment , you're saying we will try to maintain in between ■7 to ■8, so one thing is what are the variables which have gone into this 5.7 number which you have reported because I guess we have accounted $8.5 as the A PM cost and not what is recommended by Kirit Parikh Committee right and how do we expect it to impr ove it back to 7 to 8 range ?
■ Mr. Sanjay Kumar – MD, IGL:
■ We cannot account anything lesser than what we have paid and the committee does not say that they will reduce the cost on retrospective basis , so whatever payment is to be made to the gas seller for APM , non-APM gas that is gone . So, that is why the EBITDA is at ■5.66 per SCM and we hope that this committee - Kirit Parikh Committee report will be implemented by 1st of March to 15th of March that's the usual time that takes for approval of any such high impact proposal and how we will get to ■7, what my reference t o ■7 was on an yearly basis and we are sure because

of softening of the prices , we will be able to maintain ■7 per SCM EBITDA for the full financial year . You're not talking about any quarter that is the
■ Mr. Sanjay Kumar – CFO, IGL:
■ I would also like t o add that we have recently taken one price hike in December , so this quarter it had an impact for only one month . In the next quarter it will have an impact for the full quarter , so that might help increase the per SCM EBITDA.
■ Mr. Rajesh Inor:
■ Sir, if we look at you know the APM gas price formula itself , now Henry hub as well as three of the indices th

ey had a large weight in that and if I look at Henry Hub price itself has actually collapsed from whatever high of $8-$8½ and to almost $3½ now . so, even i f we have to go by the normal calculation as per the formula , which was earlier before or through which we are paying right now , do you think there is a significant downside which is possible in the APM price itself because 8½ can actually come down to may be
■ Mr. Sanjay Kumar – MD, IGL:
■ See the 1st of April – Rajesh , the 1st of April price of APM , non-APM will be based on 12-month data of 4 indices , Henry Hub, Canadian Gas , Russian Gas , and NBP , and these the calculation period i s 1st of January , 2022 to 31st December , 2022 , so that period i s already over . We expect the prices if it is not moderated by Kirit Parikh Committee , it may actually go up by $0. 50 to $1 or $2 , it will not go down , if there is no implementation of Kirit Parikh Committee report . So, I would be open about it . If the Kirit Par ikh Committee report is not coming then this price may actually increase by $0.50 or $1 that is my hunch .
■ Mr. Rajesh Inor:
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■ Okay and then when will the recent fall get reflected in the APM price formula by third or fourth quarter or will it be C Y 24 itself ? Hello?
■ Mr. Sanjay Kumar – MD, IGL:
■ Rajesh ?
■ Mr. Rajesh Inor:
■ Yeah .
■ Mr. Sanjay Kumar – MD, IGL:
■ Could you get me ?
■ Mr. Rajesh Inor:
■ Yeah , yeah, I ask ed a subsequent question that when will it - when will the rec ent fall in Henry Hub and other indices get reflected in the APM price formula ?
■ Mr. Sanjay Kumar – MD, IGL:
■ So on 1st of October , 2023 when the - see I'm assuming that there are no changes in the mechanism and Kirit Parikh Committee report is not implement ed and it goes on as per the domestic gas pricing guideline of 2014 , then 1st of October , 2023 the calculation. Will be 1st of July 22 to 30th of June 23 , so then this impact will be visible in the A PM price .
■ Mr. Rajesh Inor:
■ Okay, okay. Understood . Than ks a lot , Sir. I'll get back in the queue .
■ Mr. Sanjay Kumar – MD, IGL:
■ Okay.
■ Mr. Harsh Dole – Moderator:
■ Thank you. Vedashree, c an we take the next question from M aulik Patel . Maulik, go ahead.
■ Mr. Maulik Patel:
■ Thanks for the opportunity and thanks for this initiative . We hope that you continue with this initiative in subsequent quarter . Sir, I have one question can you just highlight that
■ Mr. Sanjay Kumar – MD, IGL:
■ Can you be louder please ?
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■ Mr. Maulik Patel:
■ Yeah , sure . I will be . Sir, can you just highlight that post this almost 50% increase in CNG price over the last 7 -8 months what has been the impact on the retro fitment market , has your conversion came down significantly from the top o f whatever 15,0 00-16,000 per month ?
■ Mr. Sanjay Kumar – MD, IGL:
■ Maulik, this data is available on parivahan.gov.in . We used to see conversion in our geographical areas of around 16 ,000 -17,000 per month . Presently , it is around 13,000 -14,000 per month , so people are buying , people are converting their own

vehi cles to CNG , they are buying CNG vehicles , but it had gone down and we are very sure with the implementation of Kirit Parikh Committee report that traction would come back and people will be back again . They have 42:34 to 42:41 Audio Lost
■ Mr. Maulik Patel :
■ Sir, I lost you in the last line . Sir, you are not audible .
■ Mr. Harsh Dole – Moderator:
■ Manjeetji, there's some issue from your line , can you please check , we are unable to hear you . Yeah , yeah, now we can hear you , Sir. Could you hear the reply ?
■ Mr. Sanjay Kumar – MD, IGL:
■ Yeah , are you getting me ?
■ Mr. Maulik Patel:
■ Yes, now we are getting you , Sir.
■ Mr. Sanjay Kumar – MD, IGL:
■ That time you were not getting us .
■ Mr. Maulik Patel:
■ Only Sir, last time I couldn't get you .
■ Mr. Sanj

ay Kumar – MD, IGL:
■ See what I was telling is that 43:29 to 43:38 Voice Lost
■ Mr. Harsh Dole – Moderator:
■ Sir, again we are unable to hear you , there's some - I don't know what is the issue , but
■ Mr. Sanjay Kumar – MD, IGL:

■ report implementation which is expected in few weeks. We should get back the old numbers and what our CFO added that the conversion is actually new vehicles as well as retro fitment in the old vehicles of CNG kit.
■ Mr. Maulik Patel:
■ Okay, got it, got it. Sir, one more question in terms of the time frame whi ch you are looking to set up the network or large part of the CapEx for your new GA starting from the Muzaffarpur and subsequently, how many years we can see that the elevated CapEx level of around 1,300 to 1,400 crore of CapEx every year? How many years we will have that number? 44:30 to 44:45 Audio Lost . Sir, did you get my the second question .
■ Mr. Sanjay Kumar – CFO, IGL:
■ We actually lost you . Now, can you hear us ?
■ Mr. Maulik Patel:
■ Yeah , I can hear you .
■ Mr. Sanjay Kumar – MD, IGL:
■ So, can we go to t he next question ?
■ Mr. Maulik Patel:
■ Yeah. Sir, my second question is that this for how many years this elevated CapEx which we are doing in the new G As that will last and currently we are doing in the CapEx of around ■1,300 crore , how many years you see t hat numbers ?
■ Mr. Sanjay Kumar – MD, IGL:
■ See, we we've got some large geographical areas like Ajmer , like Banda, Chitrakoot, Kanpur, so we expect this high CapEx to continue for 3-5 years .
■ Mr. Maulik Patel:
■ Okay, got it, Sir. Thank you.
■ Mr. Harsh Dole – Moderator:
■ Thanks . Next question is from Nitin Tiwari . Nitin, go ahead .
■ Mr. Nitin Tiwari:
■ Hi, good evening , Sir. I hope I'm audible ? and thanks for taking 45:42 to 45:50 Voice Lost. Sir, am I audible ?
■ Mr. Sanjay Kumar – MD, IGL:

■ Yeah .
■ Mr. Nitin Tiwari:
■ Yeah. Sir, my question is related to the Kirit Parikh recommendation that you pointed out and also the conversion rates that you pointed out , so there is a decline in rates that we have seen as far as vehicle conversion is concerned . So, once Kirit Parikh commendations are implemented would you pursue a margin improvement or would you pursue a price reduction and hence a volume growth ? What would be your focus area ?
■ Mr. Pawan Kumar – Director (Commercial), IGL:
■ We will balance the trust as well as consum er interest . We have not increased the

CNG prices very high level , so we will offset that and we will utilize the part to gain on the margin from front and the part will pass on to the customers .

■ Mr. Nitin Tiwari:

■ Okay, Sir and secondly like LNG prices ha ve started declining , so given that you pointed out earlier in the call that the allocation of incremental APM gas allocation are difficult and incremental of domestic - incremental domestic gas allocation is also difficult , so would you be looking to get into more LNG contracts going ahead are you having those discussions with suppliers ?

■ Mr. Sanjay Kumar – MD, IGL:

■ So, we have about 2 million cubic meter per day of LNG contracts already with us and which we are getting some part of that is not coming , but we are getting a lot of RLNG volume and 47:24 to 47:32 Voice Lost

■ Mr. Harsh Dole – Moderator:

■ Hello? I think the connection is lost. Hello, Sir I lost your answer . I can hear you , Sir.

■ Mr. Sanjay Kumar – MD, IGL:

■ So, we have many LNG contracts . We will add up some more LNG - RLNG contracts , but instead we are also analyzing the domestic gas available because there is a lot of increment in domestic volume also and there are some new bi ddings which are going on and we hope to win some gas there so that we don't need to actually source R LNG. The strategy is being worked out , it will depend on how much of domestic gas is available at our end because that is the bidding

part , so you don't
know what volume you will win , how much you will win .

■ Mr. Nitin Tiwari :

■ Sure , Sir. Thanks for answering my questions . Sir, I'll get back in queue.

■ Mr. Sanjay Kumar – MD, IGL:

■ Okay. Thank you.

■ Mr. Harsh Dole – Moderator:

■ Thank s. Sir, we'll take a couple of questions from the chat box . One question is from Raunak Chedda. His question is on the capital allocation . So, the question is given the strength of the balance sheet why does the board not think of increasing the payout ratio for the company ?

■ Mr. Sanjay Kumar – MD, IGL:

■ So, we have already yesterday declared ■3 dividend and we are working in that direction . For the first time ever , we have declared an interim dividend . Normally , we used to declare only once , I think . So, we have given ■3 per share dividend which the recor d date is I think 7th of 49:23 to 49:27 Audio Lost . Harsh, I hope you got the point .

■ Mr. Harsh Dole – Moderator:

■ Yeah. Thank you very much , Sir. So, there's another question in the chat box , it comes from Vikash Jain . Sir, his question is , hi Sanjay Ji , is it fair to assume volume growth of 10 % to 12% Y oY going ahead in FY24 as well as FY25 ?

■ Mr. Sanjay Kumar – MD, IGL:

■ So, the answer is Vikasji we are definitely working on that . One million next FY , another million the year after that .

■ Mr. Harsh Dole – Moderator:

■ Sure. Thank you. So, we'll come back again in the live Q&A. The next question is from Devansh N igotia. Vedashree, can you unmute his line. Yeah , Devansh , go ahead ..

■ Mr. Devansh N igotia:

■ Yeah . Sir, thanks for the opportunity . Sir, just wa nted to understand if we look at QoQ, the AP M has increased from $6 to 8 ½, which is I think 50% of procurement , but RMC per SCM has just increased by 10% , what you understand is with $1. per mmBtu is ■3 rupees per SCM , the raw material cost per SCM

■ Mr. Sanjay Kumar – MD, IGL:

■ Devansh, can you be a little slower because we are not getting you ? Can you be louder also please ? Devansh?

■ Mr. Devansh N igotia:

■ Is this loud? Am I audible ?

■ Mr. Sanjay Kumar – MD, IGL:

■ Yeah.

■ Mr. Devansh N igotia:

■ Sir, the question was regarding the raw material cost of procurement for gas , so yeah we mentioned that 75 %-80% is APM gas procurement for us and that has

decreased Q oQ from $6 to $8½ per mm Btu and what we understand is with every $1 per mm Btu, ■3 per SCM raw material cost increases , but when we look at our branded raw material cost per SCM for this quarter and we compare it Q oQ, it has increased from 35.1 to 38.3 . So, just a little confused , if you can help us understand how much has the non -APM fallen and even within that we mentioned that there are three different sources of procurement , so if you could just ?
■ Mr. Sanjay Kumar – MD, IGL:
■ The last quarter , the cost of gas was mainly consisting of APM , non-APM price of about $6.2 I think , plus t he taxes , and the R LNG cost of $25 approximately .
■ Mr. Devansh N igotia:
■ Okay.
■ Mr. Sanjay Kumar – MD, IGL:
■ This quarter , the cost is $8.5-dollar APM, non-APM plus the taxes and R LNG cost of about $14 -$15.
■ Mr. Devansh N igotia:
■ Got it.
- Mr. Sanjay Kumar – MD, I GL:
- It depends everyday the volumes are different. Actually, it’s a nightmare for us. We run a linear programming model there. We can’t let any CNG station go dry. So even in the night we have to arrange gas and all that, but that’s team IGL; they have the expertise, they have been working in this field for the last 25 years… 24 years We are the best people actually to manage any such movement or any such supply constraint. So, that is how we have been able to manage this cost. What I hope what you meant wa s that the APM, Non -APM price has gone up by more than $2, why your cost has only gone up by few Rupees per meter cube. I hope I have answered your quest

ion.
- Mr. Devansh Nigotia
- Yes sir. Another one was relating to capex that you mentioned for the GAs tha t we have won for the next 3 -5 years, which you have guided an aggregated capex. Beyond that, let’s say if you don’t make any GA, how much would the capex drop and what would the amount be? If you could just share some datapoint over there?
- Mr. Sanjay Kuma r – MD, IGL:
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- See, there will never be any new GAs which will never be allotted by PNGRB. The new GAs allotted by PNGRB are up in the hills only, like Jammu & Kashmir, Ladakh, etc. So, there will be GAs which will be… after 5 years you may be aware, PNGRB allows them through M&A to sell the GA rights to some new player. So, that kind of addition to the GAs is possible. Normally, it is a competitive process or a discussion process which goes through there. The capex that we’re talking about for the next 3 - 5 years of 1,300 to 1,500 or 1,600 crores, is actually in our GAs which are already there with us, which is Banda, Chitrakoot, Mahoba, Kanpur, Fatehpur, Hamirpur, Ajmer, Pali and Rajsamand. We are actually talking about these only, and also Karnal and Kaithal . So, in all these places, the steel pipeline is going to get commissioned and there we will get the additional volumes that we have been talking about for the last one hour, about 1 million and 2 million cubit meters in the next 2 years.
- Mr. Devansh Nigo tia
- And out of 1,300 that you mentioned, how much percentage is towards the new GA and what is the percentage towards the maintenance capex for existing GAs? If you can just dissect between that?
- Mr. Sanjay Kumar – MD, IGL:
- That’s negligible. Most of it i s in new GAs only because laying the steel frame… by steel frame what I mean is, the rim of the pipeline, the outer ring, that is very costly. The steel pipeline costs are more than 1.5 to 2 crores per km. Whereas, MDPE pipeline costs about Rs. 20 lakh per km. So, the major cost is actually towards new GAs. Specifically in Delhi, we are laying some steel pipelines just to connect some of these stations where we are having pressure problem; just to improve the pressure, just to improve the supply security of the national capital territory.
- Mr. Devansh Nigotia
- Okay. And in case of CNG, you mentioned that from 16,000 peak we are at 13,000 conversion. But, when we look at CNG volumes, they are at flat QoQ. Can you help us understand how the volumes have actuall y shaped up and why has it not translated into QoQ growth?
- Mr. Sanjay Kumar – CFO, IGL:
- Can you repeat the question please?
- Mr. Devansh Nigotia

- For CNG you mentioned that the conversions are from 16,000 per month vehicle peak to now 13,000 vehicle per mont h currently. But, when you look at the CNG volume, December over September have actually been flat or slightly deeper. So, if you can just help us understand how conversions are getting affected in this gap?
- Mr. Sanjay Kumar – MD, IGL:
- Any conversion is ac tually addition of pool of CNG vehicle. So, it should typically have gone up. But, because some festival days followed by some holidays, school closure, etc, because of that the volumes have come like this. We will have major impact in

the volume when our steel pipeline in Ajmer and in Kanpur gets commissioned in the next 2 -3 months.
- Mr. Devansh Nigotia
- Okay sir. Thank you.
- Mr. Sanjay Kumar – CFO, IGL:
- Just to add, you might be aware that generally the winter vacations in school are for 1 week, this time it was 2 weeks. So that has also impacted the CNG volumes.
- Mr. Devansh Nigotia
- Got it. Thanks a lot.
- Mr. Harsh Dole - Moderator:
- We'll take the next question from Siddharth Chouhan.
- Mr. Siddharth Chouhan:
- I wanted to ask, what are the margins on industr ial volume v/s PNG? Can you shed some light on it?
- Mr. Sanjay Kumar – CFO, IGL:
- Industrial margin is roughly Rs. 4 -5 per SCM, and similar amount

for DPNG also.
- Mr. Sanjay Kumar – MD, IGL:
- DPNG is over Rs. 3.
- Mr. Sanjay Kumar – CFO, IGL:
- More of less, Rs. 3-4.
- Mr. Siddharth Chouhan:
- Okay.
- Mr. Sanjay Kumar – MD, IGL:
- Actually, the gas allocated to these sectors are different, so the margin is approximately Rs. 3 -5.
- Mr. Siddharth Chouhan:
- Okay, thank you so much. Also one more thing, how many new CNG statio ns have you set in 9 months' period?
- Mr. Pawan Kumar – Director (Commercial), IGL:
- This year we plan to set up 75 stations, 40 have already been commissioned. Our major thrust this year is to commission online stations only where operating cost is

optimal. And, we are trying to convert DB stations to online stations so that we can rationalise our operational costs.
- Mr. Siddharth Chouhan:
- Okay. Just to follow up, if the KPC recommendations are approved and the APM gas price comes down, how do we see the new stations coming up in FY24? How many new stations do we foresee coming up in FY24?
- Mr. Pawan Kumar – Director (Commercial), IGL:
- See, if the prices get stabilised, we plan to commission atleast 125 stations atleast every year. But, our focus is on commis sioning online stations only because the operating costs in DB stations is very high. That's why we are laying large network of steel pipes.
- Mr. Sanjay Kumar – CFO, IGL:
- DB stations are those where we have to carry the gas through the trucks. Online is where we are getting it directly through pipelines. So, the operating costs or the transportation cost is lower in case of online station. So, our focus is on that part.
- Mr. Siddharth Chouhan:
- Understood. Thank you so much sir. This was really helpful.
- Mr. Harsh Dole - Moderator:
- Can we take the next question from Sabri.
- Mr. Sanjay Kumar – MD, IGL:
- Can this be the last question please?
- Mr. Harsh Dole - Moderator:
- Sir, there are atleast 10 questions in the queue. I'd request atleast a couple more so that l ot of investors can to interact with you.

- Mr. Sanjay Kumar – MD, IGL:
- Okay, you go ahead with 10 questions, but count them now because we have some engagement.
- Mr. Harsh Dole - Moderator:
- Sure sir.
- Mr. Sanjay Kumar – MD, IGL:
- No problem Harsh, 10 questi ons. No problem.
- Mr. Harsh Dole - Moderator:
- Ladies and gentlemen, one question each only please. Thank you.
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- Mr. Sabri Hazarika:
- Good evening sir. Sabri Hazarika from Emkay Global. Thank you for this. My question is, on your pricing and margin scenario, last quarter you have taken a price hike of Rs. 3, then again this was followed by Re. 1 hike. So what basically determines this kind of increase at a time period that you are taking? And, how do you view it and how do you decide that we should be at Rs. 6 margin?
- Mr. Sanjay Kumar – CFO, IGL:
- Sabri, we are losing you. Can you be a little louder?
- Mr. Sabri Hazarika:
- I just wanted to know, how do you decide that you have to be at, say Rs. 6 during this quarter and take Re. 1 hike now, Rs. 3 hike at some oth er time? What is the guiding principle behind that?
- Mr. Pawan Kumar – Director (Commercial), IGL:
- Basically, we want to remain competitive in the alternative fuel. There are certain areas where, if we go for the actual price hike, these CNG prices will be higher than the diesel petrol price. So, we are looking at the larger perspective because the prices will get stabilised very soon. So, we are having a larger view that even in the short term if we are not earning, we have a long term view that there's a protection of huge earnings in the future if people are committed to CNG vehicles.
- Mr. Sabri Hazarika:
- That's all sir. Thank you so much.
- Mr. Harsh Dole - Moderator:
- The next question is from Ankit Saha. Ankit go ahead.
- Mr. Ankit Saha:
- My question is on s etting up of EV charging stations and battery swapping stations. We shared that we ha

d a plan of setting up 300 -500 EV charging and battery swapping stations over the next 3 years. Can you share the planned capex for this piece? And, can you share some mor e detail on this piece in terms of, whether this will be on our own network of CNG stations or will this be fresh new stations? And cost per station and revenue margins, etc?
- Mr. Sanjay Kumar – MD, IGL:
- We will come back to you with these details Ankit. W e don't have it readymade here. As of now we are working on separate outside CNG stations also in 50 pieces of land. We have just finalised that kind of transaction where we are likely to set up 50 more EV stations, but we will come back with the model to you.
- Mr. Pawan Kumar – Director (Commercial), IGL:
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- On the profitability part we'll come, but Delhi government has already allotted us around 50 sites for setting up EV charging stations and we are working on that.
- Mr. Sanjay Kumar – MD, IGL:
- … which is other than the 250 COCO station and outside Delhi also there are so many stations. So, 500 is on track.
- Mr. Sanjay Kumar – CFO, IGL:
- Just to add that, this capex as compared to our existing capex, will not be very significant.
- Mr. Sanjay Kumar – MD, IGL:
- … much lower than CNG stations.
- Mr. Sanjay Kumar – CFO, IGL:
- These chargers are much cheaper and the financial models for these kinds of business have not been stabilised yet. So, it's evolving and we'll also go along as they evolve.
- Mr. Ankit Saha:
- Sure sir. Thank you.
- Mr. Harsh Dole - Moderator:
- Sir if you don't mind, we'll take 2 -3 questions from the chatbox because lot of

questions are piled up there. The first question is, can you share some insights on your discussion with the ministry on APM gas price, volume and the timelines, particularly now that Kirit Parikh recommendation is in the public domain?
- Mr. Sanjay Kumar – MD, IGL:
- No discussion with the ministry should be shared here. Thank you. I would just like to clarify that IGL was not a part of the Kirit Parikh Committee, so we only know what is there in the report. We are not aware of any internal discussions about approval of that.
- Mr. Pawan Kumar – Director (Commercial), IGL:
- Since the government has committed to our public, we expect the final outcome will be favourable to IGL.
- Mr. Harsh Dole - Moderator:
- Okay. Any update on smart metering and the natural gas cylinder foray? That's another question is the chatbox.
- Mr. Sanjay Kumar – MD, IGL:
- Smart metering we are working on. The problem is that the smart meter cost is twice or 100 -150% more than the AMR meter, and the AMR meter is 100 -150% more than
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the normal meter. So, this is always a battle between feasibility of such high cost meters v/s the gains that we will make out of it. We are working on setting up a metering plant where we are putting all these options – the normal meter, the AMR meter (Automatic Meter Reading) and the online/prepaid meter where you can put money and only then the gas will come. The metering plant we are workin g on, we will start work on tha t most likely now in 3 -4 weeks.
- Mr. Harsh Dole - Moderator:
- Sure sir. The next question is from Vishnu Kumar.
- Mr. Vishnu Kumar:
- Than you sir. My question is on the domestic volume and gas percentage. You mentioned that we ma y target 1 million 1.06.35 of incremental volume for next 2 years and we currently are closer to about 90% of domestic gas. Do you see this number going to 60 -65 because incrementally domestic gas and cheap price may not be available. So, how should we see this scenario? One, whether we go to 50 -60 in 3 - 4 years? And, what is the EBITDA per SC M that you think will happen in this run?
- Mr. Sanjay Kumar – MD, IGL:
- For FY24 the EBITDA that we expect will be more than Rs. 7, it would even be Rs. 8. The volume tha t we expect, additional volume of 1 MMSCMD is FY24 and additional 2 MMSCMD i

n FY25 will come from market sources, by which I mean free priced gas in the domestic market as well as RLNG. We do not expect any higher allocation of APM, Non -APM gas. See, gas m arket has never remained at this kind of price for so long. It's about 1 year and 8 months that the prices have been more than $18. And if you look at the history of the gas market in the last 25 years, never has it remained at such elevated levels for so long. So, by your principle, by CFA principles and the normal market chitchat that we are hearing, if something goes up to that extent, it should go down and remain low for longer. So, we expect that there will be a golden period for us very soon when the prices will remain at around $10 -12 and we will be able to force the required 2 mi llion cubic meter gas in 2 years and manage our margins also effectively. This is our view.
- Mr. Vishnu Kumar:
- But, just a point on the same question, how are we going to rep lace that 2 MMSCMD of gas, the new one, from about…
- Mr. Sanjay Kumar – MD, IGL:
- That's what I told. We will buy that gas from the market.
- Mr. Vishnu Kumar:
- Got it sir. Thank you and all the best.
- Mr. Harsh Dole - Moderator:
- Last question is form Vardarajan.
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- Mr. Vardarajan:
- Thanks sir. Sir, my question is the first question which somebody asked, about the segment -wise demand. You had given the number for DTC and the carriagers. If you could give the same number for CVs, cabs as well private car o wners? Percentage share of demand currently.
- Mr. Sanjay Kumar – CFO, IGL:
- Around 40% is from private cars and another 40% is from taxis and other commercial vehicles, and 20% is from buses 1.09.43 . So, that is the broad break up.

- Mr. Vardarajan:
- Any brea k up available between CVs and the other part of the…
- Mr. Sanjay Kumar – CFO, IGL:
- That data we do not have separately.
- Mr. Sanjay Kumar – MD, IGL:
- We can work that out and come back to you.
- Mr. Vardarajan:
- Great! Thanks a lot.
- (overtalk)
- Mr. Pawan Kuma r – Director (Commercial), IGL:
- The vehicle population is 51% out of the 100% if I take.
- Mr. Sanjay Kumar – MD, IGL:
- We will come back to you Varda ji.
- Mr. Vardarajan:
- Sure sir, thanks sir.
- Mr. Harsh Dole - Moderator:
- That was actually the last question sir. Ladies and gentlemen, on behalf of IIFL Securities I thank you all for attending this webinar. My special thanks to the IGL management for letting us host the call; really appreciate sir. In case your question has remained unanswered, please feel free to drop a line to me, I'll forward it to the management and have it answered. Any last remarks you would like to make sir before we conclude the session?
- Mr. Pawan Kumar – Director (Commercial), IGL:
- First or all, thank you very much for sparing time and hearing us. I just wanted to assure that in Amritkaal our good time will start very soon. And, we are hopeful that

IGL will ensure that investors are rewarded suitably due to the decrease in gas prices and increase in volumes. So, we are sure that IGL will progress well and we'll take care of the investors' interests. Have full confidence in us.
- Mr. Sanjay Kumar – MD, IGL:
- And also, from our side the contact point is Manjeet Gulati. He is sitting here. So whatever be the additional queries, please send it to him. If any other investor wants to talk to us, please talk to him. I can't actually speak to you without his clearance. He is the main man.
- Mr. Harsh Dole - Moderator:
- Very helpful sir. Loud and clear! Thank you very much.

- END OF TRANSCRIPT

Call: May 2023

“IndraprasthaGasLimited
Q4FY'23EarningsConferenceCall”
May15,2023
MANAGEMENT:MR.SANJAYKUMAR–MANAGINGDIRECTOR–
INDRAPRASTHAGASLIMITED
MR.PAWANKUMAR–DIRECTOR,COMMERCIAL–
INDRAPRASTHAGASLIMITED
MR.SANJAYKUMAR–CHIEFFINANCIALOFFICER–
INDRAPRASTHAGASLIMITED
MR.MANJEETSINGH–GENERALMANAGER,
FINANCE–INDRAPRASTHAGASLIMITED
MODERATOR:MR.VARATHARAJANSIVASANKARAN–ANTIQUE
STOCKBROKINGLIMITED

Moderator: Ladiesandgentlemen,gooddayandwelcometotheIndraprasthaGasLimitedQ4Results ConferenceCallhostedbyAntiqueStockBroking.Asareminder,allparticipantlineswillbe inthelisten-onlymode.Therewillbeanopportunityforyoutoaskquestionsafterthe presentationconcludes.Shouldyouneedassistanceduringtheconference,pleasesignalan operatorbypressingstarthenzeroonyourtouchstonephone.Pleasenotethatthisconference isbeingrecorded.
InowhandtheconferenceovertoMr.VaratharajanSivasankaranfromAntiqueStockBroking.
Thankyouandovertoyou,sir.
VaratharajanS: Thankyou,Darwin.Goodafternoon,everyone.It'smypleasuretowelcomealltheparticipants tothiscallandthemanagementrepresentedbyMr.SanjayKumar,ManagingDirector,Mr. PawanKumar,DirectorCommercial,Mr.SanjayKumar,CFOandMr.ManjeetSingh,GM Finance.Iwouldrequestthemanagementtobetheirinitialremarksandwecanmovetothe Q&Aafterthat.Overtoyou,Mr.Manjeet.
SanjayKumar: Thankyou.IamSanjayKumar,ManagingDirectorofIGL.Verygoodafternoontoallofyou. IpresumeyouwouldhavegonethroughourfinancialswhichwerereportedonFriday.Inthis challengingyearofveryhighgaspricesanduncertaintyintheCGDindustry,ourcompany hasshownthegoodresultsandachievednewheights.Ifeelhappytoannouncehighestever salesvolumeofIGLat2,952millioncubicmetersforthisyear,whichis8.09millioncubic meterperday.HighestsingledayCNGsalesofINR50.62lakhsKGinCGDsector. Numberofdomesticconnectionsinstalledthisyearwas3.1lakh.81newCNGstationswere commissionedduringtheyear,298kilometerofsteelpipelineand3,400kilometerofMDP pipelinewaslaidduringtheyear.AndwealsohadthehighestrevenueofINR15,543crores achievedduringthisyearandthehighestprofitaftertaxofINR1,445croresachievedduring theyear.YoumaybeknowingthatIGLiscelebratingits25thyearthisyearandIGLhas alreadyannouncedaspecialdividendofINR10pershareduringQ4ofFY22-23.Iwouldnow liketoinvitemyDirectorCommercialPawantogivehisopeningremarks.
PawanKumar: Thankyouandgoodafternoon,everybody,IamPawanKumar,DirectorCommercial.Letme extendawarmwelcometoallourinvestors,analysts,fundhousesfortakingouttimeand participatingintoday'scallforQ4FY23resultsofIGLandfullyearresultsof23.IGLhas shownarobustgrowthof16%onyearintermsofvolumes,despitethegaspricinggoing throughtheroof.
Thisstrategytomaintaincustomerbaseandkeeponincreasingthevolume,wearefocusing onnewGAswhichwehaveacquiredandwillacceleratesteelpipelineandCNGnetworkso thatnaturalgasecosystemisdevelopedwellinthesegeographicalareastohelpuskeepingthe growthmomentuminfuturealso.
Asdiscussed,wehaveadded81newCNGstationsoutofwhichapproximately50%have beenopenedinnewgeographicalareas.Iamalsoverypleasedtoinformyouthatthereare791 CNGstationsason31stMarch‘23andmonthlyadditionconversionhasbeenintherangeof

around140,00vehiclespermonth.OnthePNGfront,Iamveryhappytoinformyouthatthe financialyear2022-23,wehaveaddedmorethan3lakhnewpipegasconnections.Wehave alsoadded700plusnewindustrialand900pluscommercialcustomers.DuringFY23,we haveseenhighgasprices.Wehavealwaysputinourmindthebalancingapproachforprice rise,takingcareofbothcustomers'interestandequities'holders'interestandhavetakena calibratedapproachinpassingtheadditionalcostburden.
Indiahasalsoannouncedthenewpricingformulafordomesticgaspriceswhichrelatesto

APMgasprices.Asperthenewformula,thefloorof$4andceilingof$6.5withamoratorium of2yearsandtherewillbeanincreaseof$0.25inthefloorpriceaswellasonthecapside also.WearequitesurethatwiththisverypositivemovefromtheGovernmentofIndiawillact asacatalysttoincreasethedemandofnaturalgas,bothforPNGandCNGsegments.Further, wearealsotryingtoenterintootherareasofdiversific

ationandespeciallyinthefieldof renewableenergy.

WehaveenteredintooneoftheMoUswithM/sACMEfordevelopmentofgreenhouse hydrogenandareconstantlylookingforthenewopportunitiesintheenergyspaceaswellas acquiringthestateinotherCGDcompanies.Wewillcomebacktoyouwhentheprojectsget materialized.Onceagain,Ithankyoualltojointhismeetingandwewillbehappytoanswer allyourquestionswhereisandnowthefloorisopenforquestion-and-answersession.Thank you.

Moderator: Thankyouverymuch.ThefirstquestioncomesfromthelineofProbalSenfromICICI Securities,pleasegoahead.

ProbalSen: Thankyouverymuchfortheopportunity.Congratulationsonthefirstsetofnumbers.Thefirst questionwasabitofahousekeepingone.Iwantedtogetasenseofwhatisyourgassourcing mixlikecurrently,thesensethathowmuchpercentageofprioritygasareyougettingforyour CNGandhouseholdandofthebalanceitisbeingmetbywhatkindofsources.Ifyoucangive usasense.Thatwouldbehelpful.

Management: DuringtheyearFY22-23,wegotabout89%ofourgas,whichwasAPMnon-APMandCBG. Andremaining2%wasHPHT.ThisisthesourcingthatwehaddoneandremainingisRLNG.

ProbalSen: Sir,whenyousayRLNG,isitmostlyonspotbasisorisitacombinationoftermplusspotand engine?

Management: Yousee,normallyRLNGprocurementsare2/3rdterm,1/3rdspot.

ProbalSen: Okay.AndarewelikelytomaintainthatforFY24aswell?Isthisthekindofsourcingthatwe shouldbeworkingwithfor24aswell?Orcantheshareofpriorityreducedfromthe89%is whatIwastryingtoask.

Management: Probal,actually,youknow,theCGDsectorispoisedforanexplosivegrowthnow.Becauseall theentitieshavebeenwaitingforthelast1.5yearstochargenewareas,tostartmanymore

stationsandmakemoredevelopment.SoifthathappensandifAPMnon-APMpoolremains whereveritistoday,say21millionorwhateverfigureisthereperday.Theneverybody'sshare ofAPMnon-APMwillgodown.Andaccordingly,everybodywillhavetoincreasetheir sourcingofRLNGaswellasHTHPgas.SoIhopeIhaveansweredyourquestion.Nobody cancrystalgazeintoit.

ProbalSen: Gotit.No,that'sveryclear.Thesecondquestionismorearoundtheguidance.Youmentioned about81CNGstationsthatweadded,percentageof50%inthenewerGA.Anyguidanceyou wouldliketogiveonthatsamefrontfor24?Whataretheplans?AndwhatkindofCNG stationsarewelookingtostart?

Management: FY24,wewillhave100CNGstations.Andagain,50%ofthemwillbenewareas.

ProbalSen: Andsir,roughlyanycapexguidancetogoalongwiththat?Overallalso...

Management: INR1,600croresisourestimatedcapex.

ProbalSen: Howmuchare1,600?

Management: Yes.

ProbalSen: Okaysir,that'sveryuseful.I'llcomebackifI'mmore.Thankyouforyouranswer.

Management: Thankyou.

Moderator: Thankyou.ThenextquestionisfromthelineofSiddharthChauhanfromBatlivalaandKarani SecuritiesIndiaPrivateLimited.Pleasegoahead.

Abhishek: Hi,thankyousomuch.ThisisAbhishekfromB&K.SoifIlookatyourEBITDAandSCM numbers,youknow,itwasagoodincreaseonaQ-o-Qbasis,butjustmarginallybelowwhat peoplewereexpecting.IsitfairtoassumethatthebenefitoflowerspotLNGdidnotreally flowthroughintothisquarter'snumbersandthatshouldcomethroughinthecomingquarters? Sothat'smyfirstquestion.

Management: Whichnumberyou'retalkingabout?

Abhishek: SoifIlookatyourEBITDAforSCMnumbers,itmovesfrom5.7to6.3.

Management: Okay,yes.EBITDAwas6.91inthefinancialyear.Andyouareright,thebenefitoflower priceofgasactuallystartedaccruingtousonlyafter9thApril.Sowehopetohavebetter EBITDAthisyearsomewherebetweenINR7.5toINR8perSCMforthefinancialyear24.

Abhishek: Fairenough.Sothat'sveryuseful.Andmysecondquestionis,sooneconcernwhichhascome in,youknow,aftertheKPCrecommendationsisthatnowtheCNGpricesandmarginshaveto beuploadedonaportaland,youknow,thegovernmentwillcloselymonitorit.Soisthere

someconcernaround,therecouldbeacapon,youknow,howmuchtheEBITDAforSCM canorhowmuchROEyoucanmake?Andisthatafairconcern?
Management: SoalmostalltheentitieshavereducedthepricewhenthisKiritParikhCommitteeReportwas implementedbythecentralgovernment.Andletmeassureyou,almostforeveryentity,the finalmarginactuallyincreasedthatdayevenafterthatreduction.Sothatis,youknow,wecan onlylookatahigher

marginnow,notthekindofmarginlikeINR6.9perSCM.Wewill definitelyexceeditby,youknow,morethan50paisatoINR1.
Abhishek: Fairenough.Andlastquestion,byFY25,whatpercentageofyourvolumeswillbecoming outsideoftheDNCR?That'smylastquestion.
Management: Sorry,canyourepeat?
Abhishek: Yes,sobyFY25,whatpercentageofyourvolumeswillbecomingfromoutsidetheDelhi NCR?
Management: 60%ofthevolumewillcomefromDelhiandsurroundingareaandremaining40%byinnext twoyearsshouldcomefromoutsideGAs.(weexpect40%ofincrementalvolumewillcome fromnewGAinnext02years)
Abhishek: Okay.Thankyousomuch.That'smylastquestion.Thankyou.
Moderator: Thankyou.WehavethenextquestionfromthelineofYogeshPatilfromDolatCapital. Pleasegoahead.
YogeshPatil: Thanksfortakingmyquestion,sir.Firstquestion,sir.AllyourcontractedLNGvolumesare restoredtothenormallevel,orthesearestilladdedtakeorplaylevels?
Management: Whatheisaskingwhetheryouaregetting100%supplyagainstyourtermLNGcontracts?Are wegettingnow?
Management: Yes,sir.Yes,sowearenowgettingforthelastfewweeks.WejuststartedMarchlastweek. Volumeshasbeenrestored.
YogeshPatil: Okay,sir.Sowillitcontinuefornextoneyear,twoyearsoristhisashort-termarrangement? Andthenagainitwillcomebacktothetakeorplaylevel.Anyideaaboutthat?
Management: Whoknows,boss?Youtellushowlongitwilllast.Itisalong-termcontract.Wehave developedacontractfor3-4years.Sowehopeitwillcontinueforfullterm.
YogeshPatil: SothequestionfromthepointofviewoftheGazpromhastemporarilystartedsupplyingthe cargostotheGAIL.Anditwasonlyarrangementfortheoneortwomonths.Andsothat'swhy Iwasaskingwhetheritwillberestored.
Management: MaybeyouwillbeapartofEarningsCallofGAIL.Wehopeitwillcontinueforfullterm.

YogeshPatil: Okay,okay.SonextquestionagaintheshortfallofAPMgasfortheprioritysegment.Soto fulfilltheprioritysegmentdemand,areyoustillblendingtheHPHTgaswhichyouwere gettingfromthegasexchange?
Management: Yes,inresponsetothefirstquestionwehadansweredthatforCNG,PNG,thetotalgas requirementisbeingmet89%.Itwasmetduringlastfinancialyear.89%ofthatbyAPMnon-APMandCBG.That'sonepool.ThenHTHPgaswas2%andRLNGwas9%.
YogeshPatil: Andwhatisthecurrentstatus,sir?AreyoustillblendingHPHTgasfortheprioritysegment?
Management: Itisstillthesame.Now,thisyearitisincreasingnow.Wearemovingtowards5%ofHTHP andslightlylowerAPMnon-APMgas.
YogeshPatil: Okay,andthelastquestionfrommysideregardingIGLgascostagain.Canyoupleaseshare howmuchgascosthasincreasedduetotheunifiedgaspipelinetariffs?
Management: ItisslightlymorethanINR1permetercube.SoitisslightlymorethanINR1.INR1.15paisa orsomethinglikethat.
YogeshPatil: Okay,thanks.Thanksalot,sir.
Moderator: Thankyou.ThenextquestionisfromthelineofRajeshAynorfromITILimited.Pleasego ahead.
RajeshAynor: Thanksfortheopportunity,sir.Myquestionisonvolumegrowthside.Whatisthekindof volumegrowthtrajectoryweareexpectingforthecomingyears?Andwhatwillbethedrivers forthesame?Whichsegmentsofsub-segment,let'ssayauto,buses,andpassengervehicles? Anylightonthat?
Management: Wearetargetingthatourgrowthwillbe1millionSEMperyear.Imean,thisyearwehad8.09 SEMperday,andwearetargeting9plusnextyear.
RajeshAynor: And,sir,whicharethesub-segments,whicharetheconsumergroupswhichwillbedriving thisgrowth?
Management: See,firstthingisthatweareexpandingtothenewGS.So,weexpectalotofdemandwill comefromtherebecausetheconversionrate,ourgeographieswillincrease.So,morevehicles willbeconvertedinthenewGSandournewGShavegoodpotential.Where,youknow,the trucksanddumpers,weexpectthatthesewillbeconverted.Secondly,sincethereisastability inthepricesfortwoyears,weexpectthattheCNGconversionandnewvehiclevariantswhich

arebeinglaunchedbyOEMswillincrease.
So,weexpectthatnumberofCNGvehicleswillincreaseintimestocome.Andthirdly,weare aggressivelydoingthedomesticconnections.Rather,wearedoingthehighestnumberof domesticconnections.So,andthisNCRbeingavery,youknow,highdensityarea,weexpect thatthegrowthwillcontinue.Thirdly,thereisaenoughscopeofincreasingourcommercial

sales.Basically,theentir

eNCRishavinghugecommercialestablishmentswhichisapotential available.Infact,whateverLPGisbeingsoldinNCR,thatisthepotentialavailableforus.So, wewillmaximizecommercialsalesregardingindustryalsoiftheindustryisquiteprice sensitive.So,ifthegaspricesremainstable,weexpectthattheindustrialsaleswillalsogoup.
RajeshAynor: Okay,sothanks.Andmysecondquestionisabout,youknow,thedailybuspopulationor otherNCRbuspopulation.Canyoupleaseshare,youknow,howmanybusesaretherewith DTCandoutside,youknow,privateandhowmanyofthemwillbereplaced?Whatisthenew EVbusexpectationandisthereanythreattoourvolumesorvolumegrowthgoingforward?
Management: So,ifyou'retalkingaboutbusesinDelhi,sothetotalnumberofCNGbusesareapproximately 7,500.AndEVs,ifyou'retalkingabout,Ithink,ifI'mnotwrong,almost350EVbusesare thereinoperationasofnow.Andthosegovernment,Delhigovernmenthasplannedof elaborateplansofintroducingmoreEVbuses.
ButIpresume,Ithink,therearesomehurdleswhicharegoingoncurrently.Andtherearenew tenders,Ithink,havenotelicitedenoughresponsewhichtheywereenvisaging.So,weseethat EVs,EVbusesarethreattoourvolumes,butitwilltakeatime,itwilltakesometimeandit's notanimmediatethreat.Butofcourse,inlongterm,itwillhaveanimpactonoursales,buses sales,whichispresentlyaround10%(ofCNGvolume)throughDTCroute.
Management: Okay,the7500are,thisisDTCandDIMMTSbuses.Andthereare25,000morebuses,private buses,schoolbuses,etc.So,thetotalbusesisapproximately32,000inNCRregion.
RajeshAynor: Andsir,justonthatthing,youknow,istheprivateandtheschoolbusvolumealsoatrisk? BecauseIguessthecapitalcostisveryhigh.So,otherthangovernment,nobodyisreally procuringEVbuses.Ismyunderstandingcorrect?
Management: Thatiscorrect.
Management: See,ourtotalbusesvolumeisapproximately20%ofourtotalCNGvolume,whichifyoutake itaround,itwillbe1.2millioncubicmeterperday.So,outofthat,around10%isDTC DIMMTS,whichwherethisEVthreatorperceivedthreatmightbethereoveraperiodofnext year.
Management: InadditiontothisLonghaulbuseseUttarakhandStateRoadTransporthasapproachedus recentlythattheyaredeploying200CNGbuses,whichwilloperateonDelhi,Dehradun,Delhi, Haridwar.And100moreisplannedinthesecondphase.So,weexpectthatthesebuseswill, willbetakingCNGfromourGAsonly,becausewehavetheleastprice.Evenvehicles,some fleetownersaretherein Haridwar.TheytaketheCNGfromMujafaNagararea,whichisquite neartoUttarakhand.So,longhaulbusesgiveagoodpotential.
RajeshAynor: Okay.Andsir,justoneclarification,this,yousaid20%oftheCNGvolumeisbusesand almosthalfofthatisDTCbuses.Isthatcorrect?

Management: Yes.
Moderator: Thankyou.ThenextquestionisfromthelineofKirtanMehtafromBOBCapitalMarket. Pleasegoahead.
KirtanMehta: Thankyou,sir,forthisopportunity.Youmentionedaboutthatthebenefitofthelowerprice hasstartedcomingthrough9thAprilonly.So,whatwerethereasonswhich,sothatwe couldn'ttakethebenefitofthisduringthelastquarter?
Management: Youknow,it'snotthatwecouldnottakethebenefit.Theactualbenefit,theappreciable benefitcamewhenthisKiritParikhCommitteereportwasimplemented.Thatiswhatwe meant.Thereisnootherreason,youknow,whatevergas,whatevershortfallwastherewas beingsourcedfromtheRLNGkittyaswellasHTHPkittyandthosepriceswereslightly higher.Youknow,therewasthisguidelinealsoabouttheHTHPgaswhichwaschangedonI think17thofJanuary.Yes.So,afterthat,thatmodalityofbiddingofHTHPgasalsochanged.
Management: AndKirtan,ifyouseeourgascosthascomedown,ifyoucompareQ3versusQ4,ithascome downbyaround2percentage,whichismainlyaroundINR1.5toINR37,INR37.5something likethat.
KirtanMehta: Right.Understood,sir.Intermsofthecurrentquarter,whateveristheshortfallintothepriority sectorcanwecompletelyfillitfromtheavailableHTHPgassubjecttoitbeingcheaperordo westillhavetorelyontheRLNGaswell?
Management: No,see,youcan’tactuallyrelyonanyonegascompletelyotherthanAPMnon-APMbecause

APMnon-APMwillbecheaper,cheapestoptioninrealforeseeablefuturebecauseof$6.5 price.So,it'snotthatit'squitepossiblethatsomebodywhohasgotalotofHTHPgasmayend uppaying$12whereasthemarketmaybeat$10.So,therehastobeabalanceandthesear

e
operationalthingswhichwearemanagingonday-to-daybasis.

KirtanMehta: Right.Intermsoftoday'soutsideDelhiandthesurroundingareas,whatisthecurrently volumethatwearegettingfromtheoutsideofDelhiandsurroundingareasoutof8.1mmcmd?

Management: Outof8plus1,Ithink7iscoming.Yes.7iscomingfromDelhiandsurroundingNCR.,you meanDelhi,Noida,GotambuddhaNagar,GhaziabadandGurgaonincluded,isit?

KirtanMehta: Yes,sir.So,wearesayingthat7mmcmdiscomingfromtheDelhiandthesurroundingareas andbalance1mmcmdcomesfromtheoutsidearea.DidIunderstanditcorrectly,sir?

Management: Yes.Sir,ifwesaythenewgeographicalareaincludingRewadiaround15%iscomingfrom outsidesurroundingarea,asofnow,butthiswillincreasebecausethesteelpipelinesarebeing commissionedthere,thatwillhelpusin,convertingthesestationsintheseareasfromDelhito onlineandthesalewillincreasethere.Itwilldefinitelyincreasebyitwilldefinitelydoubleor morethanthatinthenextfewmonths.

KirtanMehta: Right,andearlierwementionedthatoutofthesortoftheFY‘25wherewearetargeting10 mmcmdvolume,weexpect40%fromtheoutsideGAs.So,doesthecontributionof1mmcmd growto4mmcmd,isthatyouwereimplying?

Management: Yes,Iamimplyingactually,thatiswhatweareplanning.Wewishwewouldcreateconditions sothatweapproachmorethan3millionsalethere,3.5millionsalethereinoutsideGAsother thanthese4GAs.(Weexpect40%ofincrementalvolumeoftotalincremental2millionto comefromNewGAby2025.)

KirtanMehta: Right,sir.Justonemorequestiononintermsofthedumpersorthevehiclesintractors,weare planning,socouldyousortofhighlightthestepsthatwearetakingtodayandhowlongwould ittaketosortofgetamomentumon?

Management: So,weareworkingwiththetransportoperatorsanddumperoperatorpeopleandweare workingonthis.Thereisonethingisveryclearthatthispricethatwepresentlyhaveismuch cheaperthandiesel.Actually,lastoneyear,thepriceswentthroughtheroofandotherplayers, notIGL.increasethepricetosayINR95orINR92perkg,whichactuallyyouknow,has createdsomeproblemsinthosediscussions,butweareverysurebecausewearenowableto seestability.

Bystability,whatImeanisthereisa,themarketpriceofgasortheAPM,non-APMpriceof gaswillbepredictableforthenext4-5years.Andthatiswherewebelievethatsegment, whetheritisthedumperorthecarrierofthissandandthose,constructionmaterial,road constructionmaterial,therearelarge,largeconsumptiongrouppresentlyrunningondiesel.So, andtherearealreadymanydiscussionsthathappened.Wearealsotryingtoseeifwecan incentivizethemwithsomeINR2,INR3discountinthefirstyearsoastocoverupthecostof conversion.Thesearethestepsthatwearetaking,youknow,inourGAsinthisregard.

Moderator: Thankyou.WehavethenextquestionfromthelineofS.RameshfromNirmalBangEquities. Pleasegoahead.

S.Ramesh: Goodeveningandthankyouverymuch.So,whenyoutalkabouttheimprovementinmargins youexpectinaFY‘24,willthatbedrivenbythereductioninyourgascostpercubicmeter? BecauseyouhavealreadyseenyourCNGpricesbeingcutfromINR79toINR73.So,isthat theentirebenefitintermsoftheperunitmargingoingtobetherestofthecostperCM comingdownbythatINR45toINR1?

Management: Ramesh,thecostofgasofIGL,thetotalcostofgasaverageofIGLintheyear‘21to‘22was, Iremember,INR17perSCM.ThelastfinancialyearitwasaboutINR35,INR36perSCMor INR37,somethinglikethat.So,italmostdoubled,yousee.Now,we,thelawofnaturesays thatwewillprobablygobacktoINR17thisyearwhichwillnothappenbutwedefinitely expectedtobebelow,youknow,INR28orINR27,somethinglikethat.Maybeeven approachingINR25perSCMduringthisyear.

ThisiswhatgivesusthebeliefthatwewillbeabletomaintainmarginofINR8,thisEBITDA INR8perSCMorgotoINR9nextfinancialyear.Thatisthekindofthinkingthatthe managementhasinthiscompany.

S.Ramesh: So,doesthatmeanthatwewillseefurtherreductioninthepumppriceforCNG?

Management: No,no,Ineversaidthat.WhatIsaidisifthegascostgoesdown,thegascostwasINR17per SCMintheyear‘21,‘22.ItwasmorethanINR35intheyear‘22,‘23.Todayweareatabout INR30,INR28.Webelieveitcanfurthergodown,duringtheyear.

S.Ramesh: ThereasonwhyIamaskingisthatifyoulookat4Q,‘23,theaveragepricein,wasabout49 pointsin

cludingPNG,yourgascostwas37.6.So,ifyouaretalkingaboutgascostcoming downby,youknow,INR10,thenyourpricehastocomedown,right,thatisthe,becausewe shouldlookatthefourthquarternumber.AndIappreciatethatonan,inyearlybasisyouwill lookattheaverage,butintermsofthepricerevision,youwilllookatthecurrentprices,right. So,IamjusttryingtogetaperspectiveintermsofwhetherthatentireincreaseinEBITDAper semeansfromthereductioningascostorthereisacombinationof,theoverall,reductionin gascostandtheabilitytopassonsomeofthatbenefitfurther.So,thatisthebasicrationalefor myquestion.So,Igetyourpoint.So,youaresayingthatonan,onanetbasisyouwillbeable toimproveyourmargin.ThesecondthoughtisifyouarelookingatyournewGAs,current shareisabout15%ofsales.Itisabout1.2mmcmd.So,ifyouarelookingat40%,ifyouare targetingsay10millioncubicmetersinFY‘25,youaretalkingabout4millionfromthenew GAs.Isthatnumbercorrect?

Management: No,no,thatis,theplanningwehave,howmuchwecanachieve,wewillseethat.Duringthe yearwewillcometoknowas,asoursteelpipelinesarecommissioned,maybewhenwehave anearningcallaftertwomorequarters,thiswillbemoreclearbecausebythenhalfofthe plannedgrowthwouldhavecomeupalready.Onthefirstissuethatyoureferred,Iwouldlike togobackthere,becausethewhatyouaretellingthatwhetheryouwillpassontheprice increase,thereisnoneedtopassonthepriceincrease.

Youknow,thereisforincreasingEBITDA,wedonotneedtoincreasethepricebecausewe are,verymuchwithinthe,youknow,T-offrangewithT-offrangeofthepetrolanddiesel price,whichmeansthatwearenot,wedonothavethe35%marginfromthatprice,petroland dieselprice,butwearemorefocusedontheotheraspect,whichisthemotherofmargin, whichisthatthecostofgaswasINR17,hasbeenINR35,shouldgobacktoINR25,something likethat.ThisiswhatIhavebeentellingyou.

S.Ramesh: Iunderstood,youknow,Iwasnottalkingaboutpriceincrease,Iwastalkingaboutprices beingreduced,butyouwillretainsomeofthebenefits.Thatishowyoumakemoneyinthis business,right?So,youcantakeitoffline.So,thenextthoughtis,youknow,ifyouare lookingatyourcapex,thisyearitwasINR1,100crores,sonextyearyouareplanning INR1500crores.So,bytheendofFY‘24,whatisthekindofcapitalizationyouhaveachieved

inpercentagetermsinthenewGAs?Itwouldbe60%-70%andwhenwillyoufullycapitalise theproposed,youknow,infrastructureinthenewGA?

Management: Canyoupleasecomeagain?Canyourepeatthequestion,please?

S.Ramesh: Thethingis,yourcapexinthenewGAsandthecapitalisationintermsofadditiontoyour grossblock,thisyearinFY‘23youhavespentINR1100crores.Yousaidyouaregoingto increasethecapexto1500croresinFY‘24.So,justtokindofsenseintermsofwhatisthe timelinefor,youknow,gettingthefullinfrastructureinplace,howmuchofthis,youknow, additionalcapexyouwillcapitaliseinFY24andwhatisthecapexyouwouldrequiresayfor FY‘25andFY‘26.Intermsoftheinvestmentonthegroundandwhatisthekindof capitalisationinpercentagetermsinadditiontothegrossblockthroughoutthenexttwoyears?

Management: See,thecapexisanongoingactivityandcapitalisationaswellasincreaseinCWIPbothwe areconsideringtowardstheamountspentduringtheyearandaccordinglywereportalso.So, thelastyear'snumberwasaroundINR1190.Thisyearweareplanningapproximately INR1600croresofcapex,mostlybroadlyconsistingof50%ofthesamegoingtowardsthe existingNCRregionandremaining50%towardsthenewGAswhichwehave.Intermsof capitalisation,moreorlessIthinkalmost70%-75%oftheamountwecapitalisedoutofthis.

S.Ramesh: Okay.So,thegrowthinnewGAsyouaretalkingabout….

Moderator: Sorrytointerrupt.Werequestyoutopleaserejointhequeueforfurtherquestions.Thankyou. ThenextquestionisfromthelineofMayankMaheshwarifromMorganStanley.Pleasego ahead.

MayankMaheshwari:Thankyouforthecall,sir.Twoquestionsfrommyend.Firstly,intermsofyourlong-term sourcingofgas,youtalkedabouthowyouwanttogrowyourvolumes.Canyoujusttalkabout yourthoughtprocessaroundthelong-termsourcingandhowyou'retryingtokindofsecure thosegrowth?

Management: See,fromthesourcingpointofview,presentlywearegettingaround87%throughAPMand around5%lastquarter,ifwetalkabout,around5%wasthroughHTHPgasandremaining around8%,5%was

throughspotpurchasesand3%,sorry,5%wasthroughourlong-term contractsand3%wasthroughourspotpurchases.So,goingforward,ifwetalkaboutthe volumegrowth,lastyear,mostofourcontractswerenotgettingusthefullquantityanditwas restrictedatsupplyorpaylevel,whichnowhascomebacktoitsnormalcyandwearegetting thefullquantity.

GivenfurtherthatHTHPgashasalsobeengivenonpriorityallocationtoCCDindustry,so thatgivesusanotherpool.So,bothputtogether,wewillbe,weareconfidentthatwe'llbeable tosourceallthegas.Theoptionofenteringintolong-termcontractalsonowseemstobe viablebecausetheinternationalpriceshavecomedown.So,thatgivesusanotheravenueto sourcegasesgoingforwardanddependinguponhowmuchgrowthisthereandwhatvolume werequire,we'lltakeacallonthat.

MayankMaheshwari:So,rightnow,isthereathinkingprocesstokindofsay,let'susetheLNGmarkets,whatwe areseeingtodaytokindofcapitalizeandtrytogetlong-termsourcingofgasonthatfront?

Management: So,Ithinkthetimehas,Ithink,startednowthatwestartthinkingonadditionallong-term contracts.Weareevaluatingandwe'lltakesuitablecall.Wehadgoneforsomesmallquantity duringlastmonth,butthatwasjusttotestthemarketandwe'lltakeacallforthat.

MayankMaheshwari:Gotit.Thesecondquestionwasmorerelatedtoyourcommentsearlierregardingacquisitions ofcitygascompanies.Canyoujustwalkusthroughthethoughtprocessaroundthatandwhat areyoukindofthinkingwhenyouarelookingatnowthenewGAsfororganicgrowth?

Management: NewGAs,that'smoreofa,strategicandconfidentialdiscussion.Wecanonlycometoyou oncewehaveconcludedanything.Asofnow,youmaybeawarethatwemadeeffortsintwo, threecasesandwecouldnotgetthrough,becausethesearebasicallybidding.

MayankMaheshwari:Iwantedtojustunderstandthebiggerpicturearoundwhatarethekindofcriteriaweare lookingatwhenwearelookingatsomeofthesegeographies?

Management: No,wheneversomebodyistelling,theywant,kindof25%returnontheirinvestment,CAGR. Whereasthatmuchbusinesspotentialshouldbethereinthatgeographicalarea,isn'tit?So,it's basically,itcomesdowntotheextcelsheet,cost.

MayankMaheshwari:Areyoutargetingsomewherereturnsveryclosetowhatyouarekindofmakingorkindof potentialgrowthiswhatyouarelookingfor?Like,whatareyoukindofthinking?

Management: Forsomepeople,growthmaybeveryimportant.Forus,we'vegot,alotofnewareaswhere wecandoalotofjobs.WecansetupmanyCNGstations.Wecansetupmany,wecantarget manyindustrialandcommercialcustomers.Andtherebythegrowthcancome.Wehavenot yethittheplateauintermsofvolumegrowth.

Moderator: Thankyou.ThenextquestionisfromthelineofVishnuKumarfromSparkCapital.Pleasego ahead.

VishnuKumar: Yes.Thanksforyourtime,sir.First,wejustwantedtounderstand,therearetoomanymoving pathsintermsofpricing,weunderstandthatwhatwouldbeanetspreadthatinouropinion willbeanumberwhichyouwillbecomfortablewithbetweenpetrolandsay,CNG.

Management: 20%shouldbemaintained.20%isrequiredforconversiontocontinuebetweendieseland CNGprice.Sorry,petrolandCNGprice.25%.25%.

Management: No,no,no,he'saskingaboutspread.

Management: So,Ibelieveyouarepairinglitre,rupeesperlitrewithfeesperCNG.CNG,simpleCNG.

VishnuKumar: SimpleCNG.Fromacustomermind,that'swhattheylookat,right?Petrolperlitreandminus CNG.

Management: 20%to25%spreadisnecessary,webelievethat.

VishnuKumar: ThatwillequatetoaboutINR20perabsolutespread,litreminusCNG?

Management: See,whenwetalkaboutefficiency,weseebothmileageandtheprice.So,ifyouseelast quarterortillbeforethelastpricereduction,thegapwasaround25%.Andafterthereduction, andIthinkthatwiththatgapalso,wemaintainedaconversionofapproximately13,000, 14,000vehiclespermonth.Giventhatwehavereducedthepricesandthegaphasnow reachedaround25%,weforeseeasignificantjumpintheconversionnumbers.AndIthinkthis 25%whichisthereshouldbereasonableenoughforthegrowthofCNGvehicles.

Management: IfweseethetotalsavingsinCNGwithrespecttopetrolanddiesel,evenoncurrentrates, consideringthefuelcost,mileageperkilometerperunit,runningcost,distance,etc.,itis46% cheaperthanpetroland26%cheaperthandiesel.

Management: AndthisisbasedonDelhiprice

,thecheapestinthecountry.

VishnuKumar: No,Iagree,sir.Basically,thepointisweunderstandthisfuelefficiencymileage,butitall boilsdowntoanabsolutepoint.ThatcouldbebasedonwhatyouaresayingisINR96and petrolandDelhiareaboutINR74.So,aboutIRN20toINR23perspreadisgivingyouabout 40%ofsavings.Now,thequestionistheotherregions,thenewerareasthatweregettinginto UPpetrolpriceaboutINR96,whereasweareseeingthattheCNGpriceaboutINR84.So,the absolutespreadisactuallymuchlowerforaconsumertherecomparedtoDelhi,especiallyat thetimewhenweareputtingalotofadditionalinvestmentsthere.Giventhatthesavingsfora customerislowerthere,whatisitthatwearedoingorhowdoyouconvincethecustomerto

kindoftakemorevolume?BecauseitappearsabsolutespreadisonlyINR10toINR12in thoseareas.Let'ssay,forKanpurorFatehpurorlet'ssayKarnalorRevadi,thepriceis actuallymuchlowerthantheDelhispread.
Management: So,theseGA'sactually,thesaleisbasicallydone,largelybeingdonethroughthestations wherethecostoftransportinggasthroughcommercialvehiclesalsoaddsup.So,wearetrying toaddressthatandwewillbeabletomitigatethiscostfactorduringthisyeartoalargeextent.
VishnuKumar: Thiswillbeacrosssirbecauselet'ssayweareputtinginanhighwaythatitsays100 kilometersfromDelhi.Youcan'tbeputtingpipelineacrossorwewillputapipelinesothat thatcostcomesdown.Howshouldwelookatthedecisionpointbetweensendingthattostart aboosteroramainstation?
Management: Thisisanongoingexerciseactually.Inanycase,moststationslargelytheyaresetuponDBS modeinthebeginning.Andasthesteelpipelinereachesthere,itisconvertedintoonline.This iswhatwehavebeendoingforyears.So,inthesameway,wehavegotcommitmentstostart CNGstationasperPNGRBminimumprogram.TherewehavetoshowitthroughDBSand thenweconvertittoonline.Whenwestartonline,thecostofservicingcustomergoesdown byaboutINR15perkg.So,thatishowthesalewillcome,thepricingwillgodown,the

customerswillconvertandallthosethingsthatweareplanningisbasicallytheresultofthat kindofeffectwhichwilladduptothecriticalmassforthecompanyinnewGS.
VishnuKumar: Understood.So,intermsofthetotalcapex,let'ssayex-Delhi-NCR,howmuchwillwebe doingwhatwehaveinvestednowoverthenextthree-fouryears,whatwillbethetotal quantumthatwewillbeinvestingthere?Ex-Delhi-NCR?
Management: Canyourepeatthequestionplease?
VishnuKumar: Ex-Delhi-NCRmarket,whichisthesurroundingmarket,thenewarea,whatwillbethetotal quantumthatwehaveinvestedtillnowandlet'ssaythenextthree-fouryears,whatwillbethe totalquantumthatwewillbelookinginnewareas?
Management: See,approximately,ifItellyou,aroundINR2,000croresiswhatwehavespentinGSother thaninNCRregion.
VishnuKumar: Andhowmuchwillwebespendingoverthenextthree-fouryears?
Management: Howmuchwillwebespendingduring?
VishnuKumar: Nextthree-fouryears,howmuchwillwebespendingthequantum?
Management: Thequantum,Ithinkitwillbenextthree-fouryears,itshouldbeasimilaramountof approximatelyINR2,000crores.
Management: 50%ofcapexwillhappeninnewareasfromnowon.So,weareplanning,targetingcapexof INR1,600-oddcrores,aboutINR800crores,INR825crores,INR850croresshouldcomefrom newGS,shouldcomeinnewGS.
VishnuKumar: So,INR1,600croreswillcontinue,INR1,500croreswillconnect?
Management: Wehaveonly10moreminutes,so...
VishnuKumar: Thisoneis,Iwasjustasking,threeyearswithcapexwillcontinue,that'sallmyquestion. Thankyou.
Management: Yes,similarlevelofcapexwillcontinueforthree-fouryears,atleastaroundINR1,500crores-oddeveryyear.
VishnuKumar: Okaysir,thankyou.Allthebest.
Moderator: Thankyou.ThenextquestionisfromthelineofReshabSisodiyafromSameekshaCapital, pleasegoahead.
ReshabSisodiya: Yes.Hisir,thankyoufortheopportunity.Sirmyquestionshavebeenanswered,justsmall one.So,onthedividendpayout,obviously,wehavehad,after25,becausesometimes25years,

wehavehadahugedividendpayoutthisyear.Ithink,[inaudible0:48:42]stillsamewiththe 25%payoutratio?
Management: Wemissedyourquestionattheend.Youraudioisnotveryclear,please.Youweretalking aboutdividend;canyoupleaserepeatyourquestion?
ReshabSisodiya: Sir,onthedividend

payout,shouldwesee15%or20%payoutratio.
Management: Canyoupleasecomebackinthequeue,becauseyourvoiceisbreaking.
Management: See,onthisquestion,ouraveragepayoutratioisaround25%.Thisyear,wehadaspecial dividendofINR10pershare,around500%,includingonemoredividend,whichwehadgiven ofINR3.So,thisyearbeing25thyearofouroperation,wehadgivenonetimekindofspecial dividend.Andgoingforward,thedividendratio,payoutratiowouldcontinueapproximately around25%to30%.
Moderator: Thankyou.WewillmovetothenextquestionfromthelineofAshutoshParasharfrom MirabilisInvestmentTrust.Pleasegoahead.

AshutoshParashar: Yes,hi.So,sir,Ihavesomebook-keepingquestion.So,firstoneisthatintheotherfinancial liabilitiesinthebalancesheet,lastyearwehadthisINR1,700croresofamount,whichlikeis intoINR2,700crores.Ibelieve,largepartofthiswasforthesecuritydepositsrelatedtothe PNGconnection.So,lastyearthatnumberwasINR1,000crores.Canyouprovidemewiththe numberthisyearofthisINR2,700crores,howmuchcouldbethesecuritydeposits?
Management: ItisapproximatelyINR1,200crores.
AshutoshParashar: Okay.Andsir,thenonethingwhichwenoticedisthatthishasbeenthereforawhile,butthen itjustkindoftoucheduponthistopicagain,thatthePNGconnectionsinthelastsevenoreight yearshavekindof,some6lakhshavegoneto24lakhs,butthenconsequentlythethroughput hasnotrisenuptothatlevel.So,144spmperconnectiontosome90spmiswhathascome downto.So,isitbecauselargelythespeedofusinstallingtheconnectionsisfasterthan conversion,isitatonereasonorisit,istheresomethingelsewhichweshouldbelookingat?
Management: Youweretalkingaboutthedomesticconnectionorwhat?
AshutoshParashar: Yes,thedomesticconnection.Correct.
Management: See,domesticconnection,asweareincreasingthenumberofcustomers,sotheremightbe sometimeback,timegapingasifying.Likegivenhousingcomplexwhenitgetsready,a 1,000peopleapplyfortheconnectionandasandwhentheymoveinthesocietyorthehousing complex,theygetthegascharge.So,thatwayvaryfromterritory-to-territory.Ifthereisa housingsocietywhichisreadyandwearechargingit,thentheimmediateconsumptionwill come,butNCRhavingalotofnewprojectswhicharegettingreadyinNoida,GreaterNoida, Gurgaon,Ghaziabad,so,theseconnectionsarelargelycomingfromthesenewsocietieswhere movingintakesplace,likeoveraperiodofoneyear,twoyears,sopeoplemoveintothe

housingcomplexes.That'swhy,youmightbenoticingsomevariationinthegasconsumption also.
AshutoshParashar: Okay.Sir,howdoestheplanthisPNGconnection?Thisyearweadded3lakhs,lastyearwe had3.7lakhs.So,what'sourguidanceonthat?Theadditionsinthenextthree,fouryears?
Management: Additionforthenextyearorwhat?
AshutoshParashar: Forthenextthree,andthenforthenextfouryears.
Management: Almostsimilarnumbers.
AshutoshParashar: Okay.Andthensir,justonelastthingisagainonthe,inthepresentation,andthisisregarding thepresentationinFY‘22-yearend,wehaverestatedthisnumberonautoandLCV,soithas beenshiftedfrom3.5lakhsto5.5lakhs.So,wasitsomecategorychangeorlike,wastherea majorbumpupbecauseofcertainthingsinthisyear?
Management: You'retalkingaboutthethreewheelersorwhat?
AshutoshParashar: Thevehicleconversion,thevehiclenumbersthatwereportinthepresentation.
Management: Okay.Thenumberofvehicles,youaretalkingabouttheinvestorpresentationwhichwehave uploadedthere,youaretalkingaboutthat?
AshutoshParashar: Yes.
Management: So,asofnow,therearevehicles,carsandauto,intheautoLCVsegment,thenumberhad goneupfrom3.5lakhsinthelastquarter,inthelastyear,FY’22to5.5lakhs.
Management: No.So,presently,ifwetalkaboutnumberofvehicles,CNGvehiclesinthree-wheelerand LCVsandRCVsegment,thatnumberis3.74lakhs.We'llcheckaboutwhatyouarereferring to.We'llcheckthat.
AshutoshParashar: Currently,3.75lakhs.
Management: 3.75isthenumberofCNGvehicles.CNG,tempos,RCVsandLCVs,thatcategory.
AshutoshParashar: Okay,sir.Gotit.
Moderator: Thankyou.ThenextquestionisfromthelineofSabriHazarikafromEmkayGlobal.Please goahead.
SabriHazarika: Yes.Goodafternoon,sir.Afewbookkeepingquestionsfrommysidealso.So,whatarethe CNGvolumesinkgtermsforQ4aswellasforFY‘23?
Management: Youaretalking

aboutperdaysale?

SabriHazarika: Yes,Imeantotal,Imeaninmillionkgs.
Management: So,itwasaround4.5millionkgsduringlastquarter,Q4.4.4millionkgs,4.5millionkgs.4.5 millionkgs.
SabriHazarika: 4.5millionkgs.Andforthefullyear?
Management: Forthefullyearalso,itisaround4.44million.
Management: Iwillgiveyoutheexactfigure.AveragesaleinQ4lastyearwas44.51lakhsperkg.Okay. Andfortheentireyear,was44.44lakhsperkg.Perday.
Management: So,Q4was44.41.44.51,Q4.AndQ3was44.44.

SabriHazarika: 44.44wasQ3.Okay.So,thisislastkgperdayforthequarterside.Okay.So,secondly,what wouldbeyourvolumebreakupthis8.1mmscmdbetween,say,Delhi,Noida,Ghaziabadand Gurgaon,andprobablyBhiwandi.Imean,withintheNCR,howitisdivided?
Management: Delhi65%UttarPradeshis20%.Haryanaisapproximately,Ithink,5%.Andrestisnatural gas.That'sourquantitywhichweselltoHaryanaCityGasandAdani.
SabriHazarika: Okay.Andhowdoyouseethisorder,Imean,intermsofthisFaridabadandGurgaon?So, whatdoyouthinkyouhavelost?Whatdoyouthinkyouhavegained?Andwhatisthecurrent volumeversuspotential?
Management: Wearediscussingtochallengingthatorder.Andwedon'tagreewiththat.Subjudice.
Management: See,wearestillevaluatingit.Andwe'lltakeacallonthat.Wearestudyingitfurther.And we'llsee.
SabriHazarika: Butthere'sasunsetclause,right?ForSeptember,ithastobeoveroritcanstillcontinue beyondSeptemberalso?
Management: No.So,that'stheSupremeCourt'sorderorSupremeCourtmandatedquantitywhichwewere giving,whichwearestillgivingtothem.ThatwillcometoanendbySeptemberinanycase becauseoftheSupremeCourt'sorder.AndwiththerecentletterfromPNGRB,whichweare stillstudying,andwe'lltakeasuitablecallonthat.Dependinguponwhatwedecideonthat, thevolumewhichwearegivingthempresentlywilldependonthatdecision.
SabriHazarika: Okay,sir.Lastquestion.Intermsofacquisition,youwouldbeseekingmanagementcontrol, right?Itwillnotbelikea20%-25%stake,justfinancialinvestment.Itwon'tbe,right?If you'relookingforsomeacquisitionofsomeotherCGD?
Management: Sir,thisisnotaninvestment.ThisisCentralGovernmentauthorizationofthatGA.
SabriHazarika: No.I'mtalkingaboutnormalacquisitionifyou'relookingtobuysome,say,likeMGLbought oneCGD.So,ifyou'relookingtobuysomeother...

Management: Wewouldliketohavemanagementcontrolsothatwecan--wehavesomesynergybetween whatwedopresentlyandwhatwebuy.
SabriHazarika: So,youwanttobeoperators,notjustfinancialinvestors,right?
Management: Thisisourcorecompetence.So,wewouldliketobefullyin-chargeratherthanafinancial investor.
SabriHazarika: Right,sir.Thankyousomuchandallthebest.
Moderator: Thankyou.ThenextquestionisfromthelineofSaurabhHandafromCitiGroup.Pleasego ahead.
SaurabhHanda: Yes,thankyoufortheopportunity.So,myfirstquestionwasontheproposedEVpolicyofthe Delhigovernmentforaggregatorvehicles.Some,Ithink,pressreportsweresuggestingthat theyplantofinalizeitinthecomingfewweeks.Couldyoutalkusthroughwhatisthe potentialimplicationthiscouldhave?WhatpercentageofyourCNGvolumescurrentlycomes fromthissegmentofvehicles?
Management: You'retalkingaboutcarsoryou'retalkingaboutbuses?
SaurabhHanda: I'mtalkingabouttheEVpolicyforaggregatorsandthedeliveryvehicles.Yes,thedelivery vehiclesandtheaggregatorcabs.
Management: See,presentlyourtotalsalestotaxisandautos,thatcategoryis40%.Thedetailedbreakup withinthatofwhatis,howmuchisautosandhowmuchistaxisisnotavailable.It'svery difficulttoascertainthatnumber.Butgiventhatpolicy,anypolicywhichmandatespeopleto movetoEVwillhaveanimpactfirstonpetrolanddieselvehiclesandthenmaybeonCNG. So,fromthatperspective,theremightbesomeimpact.Quantificationwouldbevery prematureatthispointoftime.Andthoughweacceptthattheremightbeimpact,andhowfast itimpactsoursales,we'llhavetowaitandwatch.Andthen,beingapolicydecision,thereis verylittlewecando.Butofcourse,wearemindfulofthat.
Management: No,sowearealsoworkingnow,takingthatcue.Wearealsoworkingon;Ithink75arenow formed.75weareworkingand25moreand100more.So,intotalinnext1.5-yeartimeframe, wemayhaveabout210,200chargingstations,actually,ofIGLi

nthecity.
SaurabhHanda: So,butwhatwouldbeyourrevenuelikemodelsforthischarging?Howwouldthatwork? We’vebeeninpartnershipwithsomepowercompanies.
Management: Thegentlemanwhohandlesthat,wehavenotcalledhiminthisthing.So,SanjayKumar,CFO willtakethisupwithyousortofonone-on-onebasis.
Management: Sortof,thisisaveryfluid,butyoucantalktohim.So,it'sstillevolvingandthenwe'll,once thismodelstabilizes,thenwecanmaybecommentafewmore.Thesearestillearlydaysin thissegment.So,wewillcomebackwithmoredetailsonthis.

Management: Saurabh,ourpeopletalktoyouaboutthis,later.

SaurabhHanda: Sure,sir.Andsir,justafollow-upquestionontheGurgaon-Faridabadruling.Justtoclarify, youarelookingtoappealagainstthisorder.It'ssomethingwhichyoubelievehas,Imean, shouldhavegonefullyinyourfavoranditllasn't.Imean,canyoujustgivesomemorecolor?
Management: WearestudyingtheorderofPNGRB.Andwewilltakeappropriatedecisionshortly.
SaurabhHanda: Okay,sir.Thankyousomuch.
Management: Thankyou.
Moderator: Thankyou.ThenextquestionisfromthelineofGaganDixitfromElaraCapital.
Management: Canwehavethelastquestion?Canwetakethisasalastquestion?
Moderator: Sure,sir.Thiswillbethelastquestion,ladiesandgentlemen.Mr.Dixit,yourlinehasbeen unmuted.Youmayproceedwithyourquestion.
GaganDixit: Yes,thanks.Thanksfortakingmyquestion,sir.So,myquestionisifLNGprices,connection LNGpricesremainat,let'ssayfor12to$15forthenexttwo-threequarters.So,istherestill anyprovisionofthecutintheCNGpricesbyanother4bps,5bps?Assumingthatyoucan maintaintheINR10.5toINR8tobethefixedprice.
Management: See,LNGpricesremainbetween$12to$15.AsIheardyoucorrectly,thereisnoscopeof cuttingthepriceofCNG.
GaganDixit: Okay,sir.Andsir,whataretheGAs?Whichyouseethatstillneedstobe,thatcanwitnessthe strong,Imean,volumegrowthfromthetaxisandauto-side,whichneedstobe,Imean,ifyou canconnectbothCNGstationsthere.I'massumingthatDelhi-NCRislittlebitthemature market,butstill,whichGAsyouseewhichhasthelotsofpotential?
Management: See,particularly,WesternUP,thisMeerut,Muzaffarnagar,Hapur,Shamli,thenHaryana, Karnal,Kaithal,thesearetheareaswherehugepopulationdensityisthere,andhugepaying capacityisthere.Thisisprimarilysugarbasedwherepeoplehavedeeppockets.So,aswelay thenetworkandtheconversiontakesplace,weexpectthehugevolumefromtheseareas.
GaganDixit: Okay,sir.Andsir,whatisthestilloveralltruepotentialoftheNCRregionfortheindustrial demand?Imean,industrialCNGdemand,orisitstill,Imean,inyoursense?
Management: See,whateveristheconsumptionofthecompetitivefuels,thatisthepotentialavailable.And inNCR,thenon-pollutingfuelsareallowed.So,wetakeourcompetitionwithLPGand propane,mostlyinbiofuels.ButpropaneandLPGdemand,youcanjustseeksomedata.That isthepotentialavailable.

GaganDixit: Okay,sir.Myfinalquestionisaboutyourlong-termcontracts.Whatareyoupresentingthe long-termandmedium-termcontractsincaseyoucanindicatesomevolume,whatevervolume thatyouhaveatthetime?
Management: Wearegettingrepeatofourearliercontract.Thesearebeingdiscussed.WhateveristheRAS gasformulaorwhateveristheHenryHub-relatedformula,whichwassignedintheyear2020 and2021.Similaroptionsareemerging.Althoughwe,IGLassuchissufficientlysourced companyasofnow.Andaswe,myteamhadindicatedtoyouafewminutesago,Ithinkhalf anhourago,wearetakingappropriatecallonthatsubject.
GaganDixit: Okay,sir.Yes.That'sformyside.Thankyou,sir.
Management: Thankyousomuch.Thankyou,Varatharajanji.
Management: Thankyou.
Moderator: Thankyou.IwouldnowliketohandtheconferenceovertoMr.VaratharajanSivasankaranfor closingcomments.Overtoyou,sir.
VaratharajanS: Yes.Thankyou,Dorwin.Sir,ifIcouldsqueezeinonelastsmallquestion.Isthatokay?
Management: Okay.
VaratharajanS: Sir,thismid-termcontract,likeyouhaveHenryHub-plusoillinkcontract.Ifyouhaveasplit betweenthetwo,isitlikemorelike50-50orisitmoreHenryHub-internaloillink?
Management: Inourcase,itismoreHenryHub-link.
Management: Itsaround1millionisapproximatelylinkedtoHenryHubandaround1.1millionislinkedto Crude.
Management: So,50-50almost.50-

50.So,butIwouldliketotellmyinvestorsthatforthefirsttime,IGL hastakenacallbygoingforahedgingkindofservicefromoneoftheRNGsuppliersandwe havebeenabletofixthepriceofverylittlevolume.Ithinkabout50,000cubicmeteronlyper day.Butthat'sthebeginningwehavemade.WhereaswehavetakenthisfixedpriceofHenry Hub-linkedRNGforthefullfinancialyear,from1stofApril2023to31stofMarch2024.This isoneparticularstrategicdecisionthatwehavetaken.ThemanagementofIGLhastaken whichwebelievewillactuallyimproveourprofitabilityandthevisibilityorprofitabilitythat youmaybelookingfor,theinvestorsmaybelookingfor.Justwantedtoinformyouasthelast pointfromourside.
VaratharajanS: Perfect.IwishtothankalltheparticipantsfortakingtimeouttojointhiscallandtheIGL managementforastretchedcallandgivingoutallthedetailswhichtheinvestorshave requested.Thankseveryoneandhaveaniceday.

Management: Thankyousomuch.

Management: Thankyou.
Moderator: Thankyou.OnbehalfofAntiqueStockBroking,thatconcludesthisconference.Thankyou forjoiningus.Youmaynowdisconnectyourlines.

Call: Jul 2023

Linda:We'llnowbeginandI'mhandingovertoHemang.HiHemang,pleasegoahead.
Hemang:Thankyou,Linda.Goodeveningtoalltheparticipants.OnbehalfofNomuraitisour pleasuretowelcomeyoualltoIGL's1QFY24EarningConferenceCall.Todaywehavewithus theseniormanagementofIGLrepresentedbyMr.KamalKishoreChatiwal,theManaging Director,Mr.SanjayKumar,CFO,Mr.PawanKumar,DirectorCommercialandMr.Manjeet Singh,GeneralManagerFinance.Themanagementwillsharethepreparationofquarterly resultswithusandpostthiswe'llopenforQ&Asession.Thankyouverymuchandovertoyou, sir.
KamalKetuChatiwal:Goodafternoontoallofyou.IonbehalfofIGLwelcomeyouallforthis quarterlyearningscall.
Lastfinancialyearwehaveseenalotofvolatilityandveryhighpricesofnaturalgaspricedue togeographicalsituationandsupplyrelatedchallengesacrosstheworld.TheCGDindustry hasfacedthechallengequitesuccessfully.NowwithimplementationoftheKiritParikh Committeereportthereisvisibilityinthenaturalgaspriceasthefloorandceilingratesof$4&$6.5 perMMBTUrespectivelyhasbeendefinedfortwoyearswithincrementof$0.25perMMBTU everyyear.
DuringthefirstquarterofFY2023-2024,IGLhasperformedwellandachievednewheights.I'm veryhappytoannouncethatitisthehighestevernetprofitofPATthatisRs439croreduring thequarteragainstthePATbyIGLinthequarter.
Thecompanyhasshownavolumegrowthof4%YOYinbothCNGandPNGsegment.The volumegrowthisexpectedtopickupinthenextquartersasweareyettoseethefullimpactof reductionintheCNGpricesmadebythecompanyafterimplementationofKiratParikh committeereport.
,thefinancialhighlightsifImaysaysoareasfollows:
SalesvolumeinquarteroneofFY2022-23crossedat717.84millionagainstthatweare workingfor746.19millioninquarteroneFYby2023-24.TheturnoverinquarteroneFY2023-24was3742.32croresagainst3518.93croresinquarteroneFY2022-23whichisanincrease of6%.GasgottheinputcostofRs.2170.56croreslastyearinfirstquarters,whichhasnow increasedtoRs.2334.05croresinquarteroneFY2023-2024.EBITDAisquotedasRs.642.38 croresinquarteroneFY2023-2024asagainstRs.617.51croresinquarteroneFY2022-2023.
ProfitafterTaxisRs.438.40croresinquarteroneinFY2023-2024asagainstRs.420.86 croreswhichisanincreaseof4%.
IwillnowinviteCFOMr.SanjayKumarwhowillleaditnow.
SanjayKumar:GoodAfternoon!Everybody.WiththeimplementationofKiratParikhcommittee report,thepriceofdomesticnaturalgashascomedownquitesignificantly.ThepriceofRLNG hasalsostartedsofteningandtheoverallimpactofgaspricereductionisquitevisibleinthe IGLQ1results.ThegrossprofitperSCMhasincreasedfromRs.12.04/SCMinQ4lastyearto Rs.14.38/SCMinQ1ofcurrentyear.TheEBIDITAperSCMhasalsoshownarobustgrowthof 37%andhasincreasedtoRs.8.61perSCMfromRs.6.28perSCMinQ4.
ForCNGtheaveragemonthlyaddition/conversioninQ1isintherangeof14000vehiclesper monthandinfactaftertheKiratParikhcommitteereportrecommendationswereimplemented andwereduceourpriceswehaveseenincreaseintheconversionsandJunenumberswere quiteheathyat14800againwhichwasaround13800permonthandweexpectincoming monthsconversionswillpickupmore.
OnthePNGfront,thedomesticsaleshasincreasedby20%andcommercialSegmenthas increasedby16%.HoweverourindustrialSegmenthasdegrowthof6%.
Further,thegrowthinsalesvolumeinNewGAisstartingtopickupandweexpectthe momentumwillnowcontinue.
NowIopenthefloorforquestionsHemang.
Linda:Justaremindertotheaudienceifyouhaveanyquestionsyoucantypeintheme Q&A chatboxoryoucanusetheraisehandfunctionatthebottomrightoftheWebExpage.Wewill thenunmuteyourmicandpromptyoutospeakup.
Management:theremightbesomeissueinlogin.Iamgettingmessagesfrominvestors,thatit isaskingforuserIDandpasswordtologin.Ifyoucancheckoutplease.
Hemang:Yes,I'lljustcheckitandconfirm.
Management:HaveyoucheckedHemang?
Hemang:YesSirwehadafewpeoplewhoarereachingoutforthedirectdial-innumber,sowe havesharedthat.Therearequitefewnumberofpeoplewhohaveloggedinpostthat.Justgive usacoupleofminutes.
Management:Howmanypeoplearethererightnow?
Hemang:Wehavegotover85peoplenow.
Linda:Justaremindertotheaudience,youcansubmityourquestionsintheQ&Achatboxto thehostorpresenteroryoucanusetheraisehandfunctionfoundatthebottomrightofthe WebExpage.Wewill

thenunmuteyourmicandthenpromptyoutospeakup.
Forthosewhohavejoinedinviadial-inareyouabletousetheraisehandfunction?
//HemangsomepeopleareaskingtoopentheQ&Afromthedial-insidealso.
Hemang:Yessir,wearejustworkingonthat.
Participant:Canyouhearme?
Linda:Yeswecanhearyoupleasegoaheadwithyourquestion.
Participant:Hi,canIaskaquestion?
Linda:Pleasegoaheadwithyourquestion.
Participant:HiSir,thisisSauravfromCiti.Ifyoucancommentonthereasonforthesoftnessin theQ1volumesandQ2fromrecoveryinthenearterm.And,secondlyisthereanymajorimpact fromthefloodsituationinDelhi,andthirdintermsofyourguidancefortheyear,ifyoucan reiteratethatonthevolumeside.Thankyou.
Management:DuetocontinuousraininDelhi,wehadtoshutdownsomeofthestations.We hadtheimpact,buttheimpactwasonlyfor2-3days.Also,fromtheviewpointthatthistime therewasanextendedwinterfordelhi,thathasalsoimpactedoursales.AndinDelhipeople arenotusingAirconditionersinvehiclesandthatwastheanotherreasonforslowerCNGsales. Thatiswhyvolumegrowthisconsistent,whichisat4%atthestation.Goingforwardfromnew GAasweareexpectingthatweshouldbeabletoachievethe09millionperday.AndthatI thinkfromNewGAandwearehopefulwewouldbeabletomakeupforaCNGSale.Rewari andGurugramhasbeenperformingverywellandwehaveevenreducedthepricesinRewari makeitmorecompetitive,thatwouldbevisibleinthenextquarter.Rewarii/Gurugram/Ajmerand someextentMuzaffarnagar&KanpurthesearethefiveGAswhoshouldbringinmorevolume forus.AndfinallysecondQuarterwherewehaveanimpactoftheserecentfloods,wheres omeofourstationswereclosedandtrafficwaslessontheRoad&thisquartermightalsobe littlesubduedbutWewillbeabletoachieve9million.Ithinkthisanswersyourquestion?
//Hemangareweaudible?
Hemang:Yessiryouareaudible.
Management:Saurabhareyoustillthere?
SirMayankherefromMorganStanley.CanIgoaheadandaskaquestion?
Kamal:Yes,Please
Mayank:So,sirabitofextensionontheearlierquestionofdemand.Canyoujusttalkus throughabitintermsoftheindustrialdemandandhowyouareseeingthatkindofmoveover thenextfewquartersandthetractionsaroundpropaneversusthegaspricesyouareselling. AlsoontheCNGsidecanyoujusttalkabitabouthowtheconversionsaremovingoninDelhi andwhatarethetrendsthatyouareseeingaroundthatandIthinkthelastpointwasintermsof lastquartertalkedaboutintermsofbusesespeciallythelonghaulbuses.Haveyouseenany tractionsintermsofvolumearoundthereaswellinthelastquarter.Thankyou.
Management:FirstquestionisregardingtheindustrialdemandandthatIthinkismorefully competitiveacrossthatwehavereducedthepricesintheGA.Postthatwereducedpriceswe shouldbeabletopickavolumepickupthere.
Secondiswithrespecttoconversionthatisyeswefindthattheconversionhasincreasedand theyarecurrentlyataroundpermonth14000levelsconversionsarethereandwehavepicked upfromareturnwhichwasaround8000asthepriceswerehighbutwiththereducedpriceswe havepickedto14000permonthandinJunewehavebeenabletoclockin14,800.So,weare hopefulthatforwhichwewillcontinueandwhenwemakeourselfmorecompetitiveasinsome oftheGAwehaveplannedtoreduceitfurther.
Sanjay:forlonghaulbusesIthinkwearestillindiscussionwiththeUttarakhandgovernment andthenwearetalkingaboutthemindandwearereadytobuysome200busesandweare readytobuyfurther60-100oddbusesandsellitoncontractbasis.So,thatdiscussionisstill goingonandIthinkforbutthingsarelookinggoodandsomeof.That’sasfaraslonghaul busesareconcerned.OnecontractisalsogoingonwiththeRajasthangovernmentandisquite successfulandwehavetoseehowtotakethatforward.We’llcomebackonthatpartaswell.
Mayank:Thankyou!
Linda:Wehaveunmutedanotheronepleasegoaheadwithyourquestion.
Linda:Justaremindertotheaudienceifyouhavetosubmitquestionsyoucantypeinthe checkboxoryoucanusetheraisefunctionoratthebottomrightoftheWebExtool.Wewill thenunmuteyourmicandthenpromptyoutospeakup.
Linda:Onelinehasbeenunmuted.Youwannagoaheadwithyourquestions?
Participant:Ithinkthereissomeissueintheline.ShouldIgoaheadandaskafewmore questions?
//Yesplease
Participant:So,theonequestionwasrelatedtothegassourcingstrategiesandifyoucankind reachtheguidanceof9MMSCMD.HowareyouthinkingaboutaboutsourcingontheLNG sideandanylongte

rmsupplythatyouarebasicallytryingtonowlock-inbeyondoneortwo years.OnthesecondthingwasthatbecauseoftheAPMgasallocationthathasconstantly beenabitofchallenge.Howareyoukindofmanagingthegapsourcingstrategies.Andthe secondquestionwasmorerelatedtoCapexintermsofweareseekingsomeguidanceabout yourCapexoutlookgoingforward.Thethirdthingwasyouweretalkingaboutreducingprices. So,whatisthelevelofmarginsthatyouarecomfortablewithyouhadgivenusaguidancelast quarteristhatstillkindofsustainingoristhatsomethingyoustillkindofmaintain.Thankyou.

Management:Regardingpresentmixofgassourcingthatwehaverightisaroundlike9 MMSCMDbutstillwehave79%domesticgasandRLNGbyaround21%.Wehavelong-term tie-upisaround2.2millionandwehave6.2MMSCMDofallocationsthatwehave.Ialsohave tie-upsof2.2.Another0.6thatweareindiscussionandfromshort-termmediumtolong-termis opentoall.IntermsofPrioritysegmentwehave91%domesticgas3%HPHTandrest%is RLNGwehaveisoncontractbasis.Thatisabreak-upwehave.Andweareseekingformore contractanddependinguupontheVolumegrowth,Wehavestilltimetotakeacall.Second questionwasrelatedtocapexendedupquarterlyat200crore.Weexpectthisyearorweare littlechoosyaboutwheretospendnow.GoingforwardasguidanceforaroundforRs.1400to 1500croresgrowthofcapexIonlythinkthattheremustbesomequarterlyVariationmightbe thereanditremainsthereinnextcomingyear.

Mayank:Anythingonthemarginguidance?

Management:YeahmarginguidanceisIthinkwearemaintainingoveralongertenurewe wouldbeabletomaintainrs7.50toRs8.00perSCMEBIDITAitastheearlierquarterwas good.ThepricereductionwasinrewariGA.Overallkeepinginviewthepetrolanddieselprices wherewedonothaveclearvisibility,longtermguidanceforEBIDITAisrs.7.50to8.00perSCM.

Mayank:Ok!Andsirjustalastfollowuponthecapex.Youhadalso,earlierhighlightedthe opportunitiesintermsoforganicgrowthaswell.Isthatsomethingthatyouareseeingrightnow orthat’ssomethingyouwanttokindoflookatoncethedemandscaleisrisingabitmore.

Management:RightnowwearefocusingmoreonownGAandcapexistherewe’llfocuson minimumWorkProgram.wearefindingopportunities.Andincaseanopportunitycomesweare opentodothat.

Mayank:Gotit.ThankYou!

Linda:Justareminderaudienceifyou'dliketoaskanyquestionpleaseunmutethelineonyour own.ThankYou!

Hemang:Sir,iftheyhavequestionsthey’llask.

Linda:Wouldyouliketounmuteandgoaheadwithyourquestion?

Kamal:Ithinksomeofyouarenotabletounmute.Ifyouarenotabletounmuteoutonthe phonecallthen.Hemangcheckwhoareonmute.

Hemang:Letmechecksir

//Lindacanyourecreatehowyouhavedialed-inthequestionsthattheyhaveinastheyarenot abletoaskquestions.

Linda:Forthosewhoareonlineandwantstoaskquestionscanyouunmuteyourselfonyour line.Oryoucanusetheraisehandfunction.

//TalkingaboutthepeoplewhohavedialedinthecallnotthroughWebex.

Participant:Hello!

Linda:Yesareunmuteyoumaygoahead

Participant:Hisir,thankyoufortakingmyquestions.Ithinkthereissomeproblemwiththeline buthopethatIgetthrough.Sironequestionwasthattheindustrialvolumesduringthequarter waslowerinQtoQandYtoYjustwantedtocheckwhatwasthereason?Areyoufacingany competitionfromanycompetingfuel?Orsomethinglikethat?

HiSir,sorrybutcanyoubelittlebitlouder.

Management:Yeah!Soasfarasindustryvolumesareconcerned,soourdirectcompetitoris LPGandpropane.Atthispointoftimewearenotcompetitiveasofourcustomersaresticktto LPGandpropane.inmanycasepeoplehavedualfuelandreducetheconsumptionof expensivefuelandshifttocheaperfuelandso,generallytheyarenotasmuchascompetitive goingforward.Ihopewinterchecksinwe’dbeabletocompetemoreandcanbealittlebit more.

Tobecompetitiveandwehavereducedmarginsandratherforandwehavetakenlower marginsere.So,thatrs.fivecutwehaverevisedandthatisParnowLPG.Yeahnowcoming Quarter

:Oksir,whenwasthispricecuttakenbyyouinthepricethataretalkingabout?

:So,it’sinsecondquarter

:ProbablyinthemonthofJuly

:Julyisending.So,nowthepricesareatParandforsmallcustomersstillthereisagapof around5%.

Participant:Sir,ifyoucouldsharetheprofileofindustrialcustomersiswhatIunderstanditmay notmakeorunlessitisabigindustrialcustomeritmaynotmakealotofsenseforthe customersforactuallyinstallthepropanepackagesandnotmanycus

tomerswouldhavethis

extraspacetogetthepropanetanksinstalled.So,doyouhaveanyideaofhowmany customersthatyoucatertoindustrialcustomershasthatflexibility?

Management:Yesinfactforthelargecustomersenergycostforthepercentageoftheirtotal costishighandinoperationitaccountsfortheir20-30%inthefirstquarter.So,fromthat perspectivetheyarelittlemoreconcernedaboutthefuelprice.
Numberwisetheaverageconsumptionofourcustomersandthathascomedownfrom232 SCMperdayto188SCM.Thatkindofaveragereductionpercustomeristhereasonwehave isrightnow.Nowthatweareatparwiththealternatefuelasgenerallyhappensinmonthof September,Octoberandduringtheentirewinter.ThatwillbeaPeriodwhenwearemostlyand whenthepricesarewewouldbemorecompetitive
Soundnotclear
Participant:Understood!ThankYousir.
Participant:Hello!Ihaveacoupleofquestions.
//Yeahgoahead
Participant:So,questionwasaboutthesourcingmix,sirjustwantedtoknowwhatkindof pricingareyouseeingforourtermsinthecontractofwhichis7%andthatwehavesouthinthe combinationcontract,abletogetasense?
Management:Thisquarterwearehavingandaround7%andwearehaving6-7contracts averageofwhichwas13.
Participant:Hellosir,amIaudible?
Participant:So,siryouhaveprovidedtheEBITDAmarginguidancefor7.5to8rupeesto24.So, themoderationsinthemarginwillhappenfromthecurrentlevelis6.8asyouhavereported.So, whatcouldbethereasonsinmoderationsinEBITDAmargingoingforwardforthenext9 months?
Management:Wehavetoseehowthematerialpriceschangeandifatallitchanges.Looking atthepetrolpriceswewillhavetotakepricecutsorwewillhavetotakethedecisionatthat time.ifanychangeshappeninalternatefuel.So,wecannotbesureatthispointoftimethat priceswillgobecausepeopleareexpectingthatpriceswillcomedownbutagainasgiventhat thepricingandthemarginsofOMCatrecordhighlevel.Giventhatthecrudepricesareagain goingup,todayitisaround84$orso.Let'swait&watchhowthepriceschangeforpetroland diesel.Andthenwe'dliketomaintainahealthylevelofpricegapbetweenpetrol&CNGand anythinghappenswehavetorespondkeepingthatinmindwecanexpecttheEBIDITAin rangeof7.50to8.00inlongerterm..
RegardingconversionweareseeinguptickinnumberWewouldliketoseethemthenumberto 17000or18000permonthkindofnumber.So,againittakesapricehiketothatlevelwewill notreachthewayitmovesonandbypricingaswellasintheconversionsandmoderationsin thepricingthatwe'dbeabletoachieveit.Butthesefluctuationswillslightlybethere.
Participant:Ok!sir,secondquestionisrelatedtovolumeguidancethatyoucontinuetoguide thevolumeandinthe9MLintheendofFY24.Whatwoulddrivethese9MNandHCM.So,do youexpectthattheconversionswoulddefinitelyincreasefromthecurrent14000levelsisthat whatyousayinthemonthofMay.Itextendstothe18000permonthoristhereanyotherfactor whichyouareconsideringorwhichyouarehavingtodrawthevolumeof9MNSbytheendof FY24.
Management:SeethisvolumegrowswillbefromournewGAs.Itisexpectedtogrow.As KanpurhasseensomegrowthandMuzaffarnagar,Rewari,Ajmer,Karnalandkaithal.These arethelocationsthathasseenhikeinthegrowth.So,weareexpectingfrom0.2to0.3 MMSCMDfromthereandbalancewouldbefromNCR.Also,withapointofviewthatweare havingaround14600levelsinthemonthofJunewehave14800conversionsthismeans annuallyitisaround1,60,000,1,70,000andwhichisapproximately10%ofthetotalintheCNG salesSo,that'stheconfidencethatwe'dbeabletoachievebasedonadditionswehavethatat least10%growthandthatgivesusconfidentaboutthe9.0millionnumber.Somehickupsin lastquartertermslikelastyearwehadanextendedwinterinDelhiandJulymonththerewas floodinDelhi.So,indepthIcanwearestillhopefulthatweachieve9Mand10Masweare maintainingfromlast2-3years.
Participant:Andlastquestionsfrommysidesir.TheCNGdomesticvolumedeclinesequentially Q1Q2basis,arethereanyreasons?
Management:CNGdomestic?
Participant:YesSir
Management:No,wehavemorethan20%ofCNGdomestic.Youaretalkingaboutsequentially?
Participant:YesSir
Management:Marginaldegrowthandthepickupswehaveaddedthat2.2lakhcustomerswe haveadded.TheQ4waswinterandQ1wasSummerthismightbeanotherreason.
Participant:Ok,andhowmanydomesticcustomerswehaveaddedduringthequarteranyidea sir?
Management:Lastoneyearwehaveaddedaround2

.2lakhcustomersinthedomestic segment.Thisquarterwehaveaddedsome60,000customersandthisquarteractuallyCNG stationscouldnotfunctionanybutitisstatedslowitwillpickupandwehaveatargetofaround

100CNGstationsthisyear,whichwillpickup.
Participant:Ok!Thanksalotsir.Iamdone.
//Isthereanyquestionsfortheaudience?
//Wehavereceivedsomequestionsonthemessagedirectlyfromoneofanalyst.Thecurrent volumesthatwearedoing?ThisisperiodaffectedbythefloodsinDelhiandourother operationandpresentlywearesellling7.95orso.
//Iseeacoupleofraisehandsontheline,canyougoaheadwithyourquestions?
Participant:ThisisVikas,SirwhatIwantedtoaskwasonadailybasis,Idounderstandthat therewassomeproblem,butbythetimeweareexitingJulyandalsofromthereportsinthe vehicleaddition,hasthedailyvolumespickedupaswearehittingJuly?Iamnotreallylooking attheaverageforthemonth,butmorelookingfromthedailyperspective.
Management:8.3-8.35,inthelasttwoweeksithaspickedup.
Participant;Soyouarealreadyabout8.4orsowhichisalreadymuchhigherkindofaverageof lastquarterbasishigher,sobasicallytheimpactofthat1weekoffloodwillbeoffsetandoverall thevolumewillbeconsistenttoyourexpectationsinthethirdquarter,isthathowweshould thinkaboutit?
Management:Sowinterwaslittleextendedlastyear.Therewillbesomeimpact,butitshould bebetterthanQ1.Toaddtothat9.00MMSCMDwearesayinginlastquarterGuidanceisthis wilbeaverageinlastquarterof24.
Participant:Exitoftheyearwillbehigherthan9M,butlastquarterwillaveragearound9Morso. AndSirintermsofvehicleadditiontherewasobviouslyalittlebitofslowdownwhenprices werehigheraroundMarch,butsinceJunonwardsvehicleadditionhavepickeduptolevels, whichshouldgiveconfidencethatthenearfuturevolumegrowthshouldstayarounddouble digits,isthathowweshouldthinkaboutit?
Management:…lastmonthwehaveseen14800………………………………………….
OEMsaresaying,theydonotwantCNGvehiclenotinallsegments,butentrysegmenttheyare takingaboutandfocusingmore.ThesearetopthreeOEMs.IftheyaresayingCNGisadapted inthefuturetheIthinkIGLwilldogood.Wewillbeabletoachievewhatwearemaintaining Justtoaddtothat.Justtogiveanoverallpicture,TotalCNGvehicleconversioninthequarter was42,000,outofwhich20,500wasfromnewcars,soroughly45-46%wasnewcarsandin thisquarter,firstquarter,TATAhaslaunchedavehiclewhereinyourbootspaceissaved, commoncomplaintofcustomerandchangethecustomerwantsonceyouhaveaCNGfitting, bootspacetakethebackspace,thattheyhavetriedtoaddress.Newcaradditionswouldpick upaswellas.Wehavealreadyseenapickup,inAprilnewcarsalesitwasaround5500and Junitwas7800.
SirIhadonemorepointnowtheCNGkitconversionforEuroVicarshasbeenapprovedand thiswilresultintheincreaseinretrofitmentalsowhichwaspendingsincelast03years. Andwehopethiswillpickupinthenextofthe9months.
Participant:Justonemorequestiononmarginsthistimesir.Althoughyouhavegiventhe marginguidancewhichis7.5to8,butfromwhateverIcouldhear,whatmadeyousaythat,as that'samorelongertermtarget.Wouldwanttobuildinsomeroomsforlockdownsandchanges thatmighthappeninthemarket,mayberawmaterialpricesgoupandthatwhyyouarekeeping abufferforyourself.Butpersayyouarenotseeinganyvisiblereasonthatyoucanseeatthis pointformarginstofalloffimmediately,itisjustinthelongertermyouwanttokeepabuffer.Is thatthecorrectwaytothinkaboutit?
Management:Whenwearesaying,thatitislongtermandnotshorttermandratjerthenagiving rosypicturetoinvestorswhenwetalkweareconservativeinmarginssoyouareright.
Participant:HiSir,thisisKirtan,amIaudible?Ihaveonequestionontheindustrialcustomer, therehasbeenarelaxationhasbeengrantedforuseofnonpollutingfuelinNCTarea,earlier thedeadlinewasDec22,butseemstobeextendedtoDec23.Doyouseetherelaxationhas beengrantedwhetherthereisanyimpactonourindustrialconsumptionbecauseofthat?
Management:Itwillbeverydifficulttoquantifyhowmuchimpactithasbecausewedonothave specificmeasurementalongthoselines.Theremightbesomeimpactbutquantifyingitor sayingitwithcertaintyitwillbedifficult.
Participant:Butisthereasortofarelaxationgivenatleastfromthetimelineusageofnon pollutingfuelintheNCTregion?
Management:Notawareofanysuchrelaxationgiven,itisactuallytheotherwayround,gensets for

commercial,theyhavebeenbannedusing.
Participant:Onthelastcallyouwerealsotalkingaboutsortofconversationofsomeofthe mobiletowersforusageofbecausegensetswerebanned.Sohowmanyadditionyouhave seenduringthequarterfromthismobiletowersandwhatkindofusagetheycanaddonadaily basis?
Management:Notverysignificant.Yousee,NCRisverygoodinelectrictysupplyandpeople arenotusinggensetsandonlyusewhenfortheirmaintenanceandgenerallytheydontuse, andconversationnumberevenaswehavedone,itdoesn'thaveaverysignificantimpacton

ourvolume.
Participant:Inourlastdiscussion,wewerediscussingabouttheapprovalofatypeofcylinder fromAutomotiveResearchAssociationofIndiabeforeitswidespreaduse.Soisthereany progressonthisapprovalwhichallowsuseofdeviceofcylinder?
Management:Ithinktheyhavestartedusingit,butIthinkcostwiseitislittlehigher,so widespreadusewehavenotseen,butwewillcomebacktoyouonmoreinformationonthis.
Participant:Onelastquestion,thetargetingofthecommercialvehiclethatwewereexploring tractors,constructiondumpers,andotherheavyvehicles,anyprogressonthatfront?
Management:That'sanongoingactivity,Muzaffarnagarwehavelotsofagriculturetractors beingusedonadaytodaybasis.
OnlargeheavycommercialvehiclesmoreofanLNGratherthanCNG.SoLNGwearein discussionwiththeclientsonconversionsandprices.
Participant:Lastquestiononthegasbasket,intherecentlasttwoRILsthathastakenplace, whatisthequantitythatwehaveaddedonthemediumtermcontractbasis?
Management:Wehavecontracted0.5milliontherearndthatisa5yearcontractlinkedtoGCM. Wehavetakenasmallquantity,wedidnotwanttoexposeourselvesforalongerperiod.
Participant:Thankyou.
Linda:Isthereanyfurtherquestions?Ifyouhavequestionspleasegoahead.
I'llhandoverthelinetomanagementtomakeaclosingremark.
Management:Yeah,Iwouldliketocorrectmyself,wehavenot0.5,but0.1millioninthe contract.
Linda:Thankyousomuchandthankyoueveryone.Ithinkwiththiswecanendthecall.
Management:Ithinktherewasalotofissuesintermsofjoining.Weseeifwecancollateall otherquestionsthatwegotonmessagesandwewouldliketoaddressthatandwewillalso lookforotheropportunitytoconnectwithyouagain.Thankyousomuchforjoiningthiscall.
Linda:Thankyouall.Haveagreatevening.

Call: Nov 2023

"Indraprastha Gas Limited
Q2 FY '24 Earnings Conference Call"
November 02, 2023

MANAGEMENT : M R. K K CHATIWAL – MANAGING DIRECTOR --
INDRAPRASTHA GAS LIMITED
M R. PAWAN KUMAR – DIRECTOR COMMERCIAL --
INDRAPRASTHA GAS LIMITED
M R. SANJAY KUMAR – CHIEF FINANCIAL OFFICER --
INDRAPRASTHA GAS LIMITED
M R. MANJEET GULATI – CHIEF GENERAL MANAGER ,
FINANCE -- INDRAPRASTHA GAS LIMITED

MODERATOR : M R. NITIN TIWARI – PHILLIP CAPITAL INDIA PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Indraprastha Gas Limited Q2 FY '24 Earnings Conference Call hosted by PhillipCapita l India Private Limited. As a reminder, all participant lines will be in the li sten-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nitin Tiwa ri from PhillipCapital India Private Limited. Thank you and over to you, sir.
Nitin Tiwari: Thank you Seema. Good day ladies and gentlemen and best wishes for the festive season. On behalf of PhillipCapital, I welcome everyone to the second quarter and half year earnings call of Indraprastha Gas Ltd. From the management team, we have the pleasure of having with us today Mr. K K Chatiwal, Managing Director, Mr. Pawa n Kumar, Director Commercial, Mr. Sanjay Kumar, CFO and Mr. Manjeet Gulati, CGM Finance. I shall now hand over the floor to the management for their opening remarks which shall be followed by a Q&A session. Over to you, sir.
K K Chatiwal: A very good afternoon to all of you. First of all, I welcome you all and thank you for joining IGL's quarterly earnings call for Q2 of FY '23-24. I am Kamal Kishore Chatiwal, Managing Director, Indraprastha Gas Ltd. IGL declared quarter 2 financial results yesterday and I am happy to inform that we have clocked the highest ever record quarterly profits of INR535 crores, which is a 29% year-on-year growth.
In terms of highlights, the highlights for the quarter are sales volume stood at 8.3 MMSCMD with yearly growth of 3%, EBITDA of INR656 crores with a growth of 24% year-on-year, PBT of INR686 crores with a growth of 26% year-on-year. As you are well aware that the geopolitical situation continues to be a cause of concern and this may result in volatility in energy pricing.
We had witnessed a lot of volatility and high pri ces of natural gas in the last financial year due to geopolitical issues and supply related challenges across the world, which we feel that the CGD industry in the country has navigated quite successfully. And in terms of the recent development that you all may be aware of, the Delhi government has approved the Delhi Motor Vehicle Aggregator and Delivery Service Provider Scheme 2023 meditating phase-wise transition of

vehicles to EV for cab aggregators, delivery service providers and e-commerce entities. The policy will be effective after the approval from LG of Delhi.
As per the policy that is available for the four-w heeler segment, which is more relevant to us, the policy is for phase-wise conversion of aggregator fleet with share of EV in new purchases up to 50% in three years and 100% in five years from the date of notification. So, the aggregators would also need to switch to an all-EV fleet by 1st of April 2030. We recognize that the scheme, once implemented, coupled with th e expected shift of Delhi transp ort buses to EV, will have an impact on our CNG sales volume over a long run in Delhi.

Now, just to pinpoint the exact numbers, it will be very difficult, but the rough estimate is that around 15% of our volumes will be affected. We expect that with lesser additions of new CNG vehicles by aggregators going forward. So, the sales growth in this particular segment, the aggregator segment, which is 15% of our volumes, will remain muted for the next three to five years.
While the final details are being awaited, there is some clarity on transition provisions for existing CNG vehicles up to 2030 in Delhi. We have already started working on mitigating this risk by putting our focus in a big way on interstate bus transport an

d LNG in long haul transportation. I am hopeful that we will work more aggressively and will be able to come up with further strategies and plans to offset the CNG effect in Delhi on account of the above policy.
Now, I would like to invite our Director Commercial, Mr. Pawan Kumar to give his opening remarks.
Pawan Kumar: Thank you very much. I am Pawan Kumar, Director Commercial. I welcome you all for this Earning Call of Q2, financial year '23-'24. And thank you all for taking out time for participating in today's call. We had a board meeting yesterday and I am happy to inform you that the board has recommended an interim dividend of INR4 per share to the shareholders as IGL has been rewarding the shareholders and increasing the dividend over the years. So, this is the step taken by the company.
The gross profit per SCM has also increased from INR12.69 per SCM in Q2 last year to INR14.12 per SCM this year in Q2, which is a growth of 11% on year-on-year basis. I am happy to share that EBITDA per SCM has also shown a robust growth of 21% on year-on-year basis and has increased from INR7.09 in Q2 to INR8.60 in the current second quarter. For CNG segment, the year-on-year growth has recorded at 3% with average sales being 6.25 MMSCMD as compared to 6.09 MMSCMD during the previous year.
The average monthly vehicle additions includi ng conversions in the second quarter is approximately INR15,900 as against INR14,100 in Q1. So, there is a 13% increase on Q2 quarter-to-quarter basis. The impact of reduction in CNG pricing during Q1 has started showing results.
Last year, the natural gas cost was exorbitantly high and a major part of it was passed on to the consumers. It is now expected that with the st able and reduced level of CNG prices resulting from the consistency in domestic gas prices, th e customer sentiment for CNG will be positive.
Also, with automobile OEMs increasing focus on CNG, multiple model options are available to the consumers to choose from.
Both the above factors are expected to further boost the CNG vehicle conversions or additions in the coming months. On the PNG front, the sales volume in domestic and commercial segments have grown respectively by 15% and 12% on year-on-year basis, while there is a degrowth of 5% in industrial segments due to lower prices of alternate fuels. We are working on various fronts to make natural gas attr active for industrial segments.

Further, the growth in sales volume in new geographical areas is starting to pick up and we expect that the momentum will co ntinue. We are also increasing our footprint in terms of EV charging stations. So far, we have commissioned 30 charging stations and we plan to expand it by 50 by the end of the financial year.
During this quarter, we have commissioned 8 CNG stations and added around 70,000 domestic CNG connections. The capex during this year till September is INR476 crores – quarter 2.
Once again I thank you all for joining the call. And now the floor open is for the question-and-answer session. Thank you once again.

Moderator: Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Mr. Sundaram from O3 Securities. Please go ahead, sir.
Sundaram: Good morning, sirs, and thanks for taking my questions. Primarily, I have questions about the new proposed EV policy of the Delhi government. If I understand it correctly, this new policy makes it compulsory for all fleet owners who have more than 25 vehicles to switch to electric vehicles over a fixed time period. It is not applicable to other vehicles apart from fleet owners and that too its applicability is for only people with more than 25 vehicles. Is this understanding correct?
Pawan Kumar: I am Pawan Kumar, your understanding is perfectly correct.
Sundaram: Therefore, sir, my question is, out of IGL's total CNG sales, what proportion is sold within Delhi city?
Pawan Kumar: See, if we go segment-wise, the private car constitutes around 40% of sales and these Delhi cars are around 14% and autos are around 6%.
Sanjay Kumar: In terms of CNG sales in Delhi, it should be around 60%-65% of our total sales of CNG which we sell in Delhi.
Sundaram: Out of the total CNG sales, 60% comes from Delhi city, right? Can you hear me, sir? Am I correct in understanding that out of the total CNG sales, 60% comes from Delhi city, is that correct?
Management: Right, right.
Sundaram: Out of the 60%, what proportion will be for fleet operators?
Pawan Kumar: 14% around.
Sanjay Kumar: This is a very difficult, I mean, quantification of th is is very difficult because there is no scientific way in which this data is collected.
Sundaram: I am asking for your estimate.

Sanjay Kumar: Our estimate is that it should be around 15% or so.
Sundaram: 14%-15%. The other question, sir, is, is anything mentioned in the new policy about how the subsidy for purchase of new electric vehicles will be funded?
Sanjay Kumar: We have not seen what the policy which is under approval states. There is no clear, I mean, we have not got a copy of that. Whatever has been there in the media and whatever was there in the draft policy earlier, we have been all having that information only. Going forward, if something comes, then probably we will be able to --now, based on so me media reports…
Pawan Kumar: There is some clarity required on the policy. Like fate of existing CNG cabs which are registered in Delhi, the policy is not clear. Then operator , this policy talks about operators having more than 25 cars. Maybe that the small operator s start coming up again. Then presence of infrastructure to charge these cabs is also an issue. Then capital costs. So, these are basically the things.
Sundaram: Yes, yes, I understand that sir. My other question is, this policy, at least the press reports about this new policy says that there will be a levy on vehicles that are not electric vehicles that enter Delhi, if I understand it correctly. Now, my qu estion is, supposing a CNG or a petrol vehicle is compliant with the Bharat State 6 norms, can a levy still be imposed?
Sanjay Kumar: I earlier also told you we do not have enough information available on this. What exactly the proposal is under process, we need that information to come out and then only we can comment on that. So, as earlier also I told you, these are all based on whatever is there in the media and based on the draft policy. Once the actual policy comes into public domain, th en we'll be able to throw more lights. We ourselves have been waiting for those clarifications. Okay, okay.
Moderator: Thank you. We take the next question from the line of Maulik Patel from Equirus. Please go ahead, sir.
Maulik Patel: Thanks for the opportunity. So, few questions. Can we just break up your CNG sales, which you mentioned that 60%-65% is Delhi and the remaining is in other geography. So, within that, what has been the growth rate? I mean, for this quar ter, your CNG volume grew by almost around 3%. But what is the growth rate for th e CNG for non-Delhi and for the Delhi?
Sanjay Kumar: So, if I talk about growth rate outside Delhi an d in Delhi, Delhi, it was around 3%, which is basically the major contributor to our total volume . Other GAs, if you talk about, the growth has been around 5% is there in Gurugram. Gautam Budh, Ghaziabad, the rate that is around, I think, 11% to 12% growth is there in those GAs. The newer GAs are growing at around 60% on a smaller base and 60%-30%, those are the numbers on a lower base.
Maulik Patel: So, what can be the contribution? So, let's assume out of 6.2 MMS CMD of CNG volume, approximately 65% is Delhi. What is for the Gurugram? What is for the Ghaziabad and Gautam Budh Nagar? And for th e rest of the GAs? So sir, this can give at least a clarity that if your major

output of the volume, which is Delhi, is facing a headwind in terms of EV for the buses and also the cab? The growth rate of the other part of the geography basis, like Gurugram, Ghaziabad and the newer GAs, the growth rate is higher, it can give comfort to the investors.

Sanjay Kumar: Yes, so, if we talk about Gautam Budh Nagar, Ghaziabad, they constitute another around 23% of the total sale, the NCR region. 62% to 63% is coming from Delhi. So, that's the broad breakup and the other GAs, they are growing on a lower base that I already told you at a rate of around 50%, 60%, in some cases 30%, 40%. In some cases 100% also. So, that way you can, if you want to analyse further, you can drill down the numbers if you want to have some calculation around that.

Maulik Patel: Is this 20%, 23% including Gurugram also, right? Ghaziabad, Gautam Budh Nagar and Gurugram? Or it doesn't include the Gurugram?

Sanjay Kumar: UP is 23%.

Maulik Patel: Okay, UP is 23%, so it doesn't include the Gurugram. So, what I understand sir, other than Delhi, Gautam Budh Nagar and Ghaziabad, the total volume is approximately 15% of the CNG sales, which include the Gurugram.

Sanjay Kumar: Yes.

Maulik Patel: Okay. Sir, one question is that this quarter your industrial volume has been the same kind of dip. Is it because of the lower open prices or can you just explain what kind of growth rate one can expect in the industrial side?

Pawan Kumar: Basically, industries are very pri ce sensitive and most of the larger industries, they are having dual fuel arrangements. And in NCR, basically usage of biomass is also allowed by CAQM. So, when gas prices are high or LPG prices are lower, people tend to use either LPG or biomass. So, we are working out how we can compete in that segment. But this segment will always remain very competitive.

Maulik Patel: And sir, last question, what has been the contribution of APN Gas in the supply mix?

Moderator: Sorry to interrupt you, Mr. Patel, may I request you to join the question queue?

Maulik Patel: Sure, thank you.

Moderator: Thank you, sir. We'll take the next question from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: Yes, good afternoon, sir. So, I have two sets of questions. The first one is relating to the EV policy 2.0 and CAQM's order on interstate, intercity buses. So, how do you see that affecting the bus and the private vehicle volumes of IGL? Any comment you would like to make on that?

Pawan Kumar: As far as intera-state buses are concerned, basically BS6 and above buses will be allowed to enter in Delhi. We are already in talks with th e State Road Transport Corporation for converting

these buses into CNG buses. And Uttarakhand State Road Transport Corporation has already converted a substantial fleet and they are further ordering.

We are also in the advance talks with the Rajasthan and Haryana government, where we want that they will convert to it and they will take, b ecause CNG is the cheapest in Delhi. So, they fill in Delhi or in our GA because we have all our GA across these routes. And UP government also, we have signed an agreement that they will also convert this. We are on the job.

Sabri Hazarika: So, in the next three years, four years, there will be some kind of like demand coming from this segment, right?

Pawan Kumar: Yes, definitely. As soon as they start purchasing or they increase the fleet size, the demand has already come, but it will keep on increasing. In addition to this, we are also looking at the dumpers conversion. Like we have a new GA, Hamirpur, Banda, Mahoba in UP and then Kishangarh, which is a part of Ajmer. So, the large number of truck fleet, dumper fleet is operating. So, we are planning that th

ese dumpers get converted to CNG, which is running these dumpers on CNG very cheaply, because large number of dumpers are operating in NCR on CNG.

Sabri Hazarika: Okay. Sir, second question is relating to, I mean , you have mentioned in the last call that you had some one-offs in Q2 like floods and maybe G20 also. So, right now, what is the volume and what is your guidance for FY ‘24 and FY ‘25 now? And also, yes, that's my second question.

Sanjay Kumar: The present volumes are around 8.5 or so. And we expect that the previous guidance, which we had given of 9 million cubic meter per day, we w ill still maintain that for the current year and we'll exit at around 9 million cubic meter.

Sabri Hazarika: And next year?
Sanjay Kumar: Next year, we'll have to wait and watch how this aggregator policy is impacting us. But we expect that probably, if not 10% growth on the entire volume, but at least the passenger vehicle segment and the other than aggregator segment will still be growing at around 8%, 9%.
Sabri Hazarika: Okay, sir. Thank you so much and all the best.
Sanjay Kumar: Thank you.
Moderator: Thank you, sir. The next question is from the line of Amit Murarka from Axis Capital. Please go ahead, sir.
Amit Murarka: Good morning. So, just further on this cab aggregator policy, so like the LG approval is pending. Is there any way in which the LG approval gets delayed or what's your outlook on that, if you can share?
Pawan Kumar: This is typically a political questi on. It will be difficult for our end to reply. But let's see how it is getting approved and in what form it gets approved.

Amit Murarka: Okay. But also, given that, I think it was asked earlier as well, like if a vehicle is compliant with BS6 norms, can the Delhi government stop that vehicle from coming into Delhi, like assuming that it's not an EV vehicle?
Pawan Kumar: No, no.
Sanjay Kumar: We'll have to see. We cannot be sure what they can do or cannot do. That is something which the government has to take a call on. We should not, I think, dwell on these questions, what they can do or not. We'll have to wait and watch. But as of now, there is no such plan which has come to our notice.
Amit Murarka: Okay. Right. Also, lastly, on your growth rates, so you, I think, shared a number that Gautam Budh Nagar and all are going at somewhere mid-teen s and all. So similarly, what was the growth rate from Delhi? Otherwise, I mean, assuming on a normal rate basis?
Sanjay Kumar: Delhi, we had a growth of 3% year-on-year.
Amit Murarka: No. I'm not talking of 2Q. I'm saying generally, 2Q was impacted because of flooding and G20. But otherwise, what generally the growth rate in Delhi been like?
Sanjay Kumar: You can add additionally 1.5% to 2%, which was the impact of this. So probably 4.5% to 5% growth was there in Delhi.
Amit Murarka: Okay. Sure. Sure. Okay. Thanks. I'll come back in the queue.
Sanjay Kumar: Sure.
Moderator: Thank you, sir. The next question is from the line of Vikas Jain from CLSA. Please go ahead with your question.
Vikas Jain: Hi, sir. Thanks for taking my question. I wanted to check on these numbers, the 3% number that you're getting. I'm just not able to tie that back because your growth this particular quarter is lower than 3% on an overall basis. So how did Delhi grow 3% and others grew even faster? Can we be a bit more specific about that number, number one?
And secondly, so when you say 15%, so your estimate is about 0.9 MMS CMD. 15% of CNG volumes comes from cab aggregators, right? So that's 0.9 MMS CMD is your estimate, looking at this quarter's number of 6.25, right?
Sanjay Kumar: 0.9 of? I didn't get you. The last part of your question.
Vikas Jain: I'm saying, you said 15% of the CNG volumes comes from cab aggregator. Or did you mean 15% of the Delhi volume, which is 62%? So if it is 15% of CNG volume, CNG is 6.25%. 15% of that will

be 0.9%?
Sanjay Kumar: 15% of the total volume we are talking about.

Vikas Jain: Of the total volume, okay. So that's 1.25 MMS CMD, roughly comes from cab aggregators, right?
Sanjay Kumar: That is a guess. That's what I'm telling you. There is no…
Vikas Jain: Yes, of course, it is a guess. It is a guess. So fi rstly, if you could give that better break up. And secondly, I just, for my understanding, currently, wh at are the kind of restrictions that Delhi has put in as a state currently? I'm not talking about the new policy. That restricts vehicle movement from other NCR areas into Delhi? Are these rest rictions only on commerci al vehicles and fleet taxi kind of vehicles? And there is no such re striction on private vehicles? I mean, are there

restrictions like that, whic h I wanted to understand?
Like, I mean, if there is a vehicle registered in Gurgaon, when they were to move to Delhi. I
mean, a CNG vehicle, a non-CNG LCV cannot move, right? But similarly, if there is a taxi, a yellow, a yellow kind of a yellow plate taxi, if they have to go, then are there restrictions to them
also, in terms of getting a Delhi permit?
Pawan Kumar: Yes, basically, there is no restriction for CNG vehi cle. And as far as restriction on other vehicles
is concerned, it is on the interstate buses. That's all are being allowed.
Vikas Jain: So interstate buses are only commercial vehicles that is where the restrictions are?
Pawan Kumar: Yes.
Vikas Jain: So in that case, what happens if vehicle registration for fleet taxis move to Gurgaon or Noida? I
mean, how will Delhi contro l something like that?
Pawan Kumar: They will operate.
Vikas Jain: That is the most obvious hack to this policy, right?
Pawan Kumar: That's what is going to happen.
Sanjay Kumar: I think we should not dwell on those conjectures. I mean, that is a regulatory call which has to
be taken by government and other regulators. But of course, we do not have any such clarity on
this.
Vikas Jain: Okay. And your current volume is 8.5 going to 9, is what you said, right? I mean, I missed the
8. That's 8.5 number, right? Expectation is going to 9.
Sanjay Kumar: Yes.
Vikas Jain: And sir, if you could give those growth rates?
Sanjay Kumar: Growth rate -- so I think I was talking about the round numbers, the decimals. If you are talking
about, then I'll have to go into detail.

Vikas Jain: So Delhi is closer to 3% only, what you're saying? Yes. So Delhi is not really worse off or
something like that? I mean, say if I were to look at a quarter like 2Q last year or say 3Q or 4Q
last year, when your overall growth rates were higher, 2Q last year is a better quarter, 12%. In
that quarter, Y-o-Y, what did Delhi contribute? I mean, is this 3% more like a 3% to 4% kind of a number? Is this how it will be and most of the growth coming from other areas?
Sanjay Kumar: See, what we expect that the going forward additional volumes which will come, only mostly
around 50%, 60% will come from the new GA in next one year or two years. So that's the kind
of expectation which we have. Last year number which you talked about, we'll have to drill down
what was the…
Vikas Jain: Okay, you don't have that ready, is it?
Sanjay Kumar: Ready, it's not available ready. We 'll give it to you separately.
Vikas Jain: Okay. And so just one last…
Moderator: I'm sorry to interrupt you, Mr. Jain. May we request you to join the question queue, sir? We have
several participants waiting for their turn.
Vikas Jain: Sure, thank you.
Moderator: We take the next question from the line of Vishnu Kumar from Avendus Spark. Please go ahead,
sir.
Vishnu Kumar: Thanks for your time again, sir. Sir, I wanted to understand on the 3% growth rate again. I mean,
because 65% of the growth is you said, a 3%, 3% and all of them are much higher. So it appears
that

even if we adjust for the decimal that you're saying that Delhi growth is a bit slow. Maybe
even later during the call also we can explain that will be helpful, sir. That is one, sir.
And second, the EBITDA per CM, I mean, in terms of ranking, which areas would be higher
and lower? And especially because -- my question is because more specifically because the new
GAs, the diesel is to CNG or the petrol is to C NG prices, delta is very low. How are we able to
kind of get the volumes in these markets because significant investments are going?
How should we approach in these markets where we'll be cross-subsidizing some part of profits
here? And that would mean incrementally as we focus there and our volume continues to rise up there. Will there be a contraction in EBITDA ma rgin? If you could help us understand on this
side.
Sanjay kumar: Yes. So if you talk about EBITDA levels, so the newer GA's which we have, they are not making
money. If you want to ask that question, that is an affirmative answer to that. All the new GA's
are not making profits. We are basically buildin g the business there and we do not expect it that
up front it will be profitable.
The volumes are quite low presently and we expect that once the volumes pick up, it will turn
positive because the fixed costs are already there. And once the volume picks up, the EBITDA

levels will go up. So that is, I cannot specifically tell you about which geographical areas we are
not making. But as a general principle, during the business development phase, we are cross-
subsidizing it from the other geographical areas.
Vishnu Kumar: Okay. So, more importantly, the price difference, would it mean that we will have to operate?
Sanjay kumar: I think Delhi is around 45%, if we talk about total efficiency and price benefit both, Delhi is
around 45% cheaper than petrol in terms of running cost. In other GA's, that percentage probably
is around 25% to 30%. Different GA's have differe nt numbers. But I think that is also quite a
good saving which should drive the CNG growth. Once we have already ramped up our infrastructure and we are in a position that the average cost goes down, probably we will look at
maybe increasing that price difference further.
Vishnu Kumar: Got it, sir.
Sanjay kumar: That will be taken as we move forward.
Vishnu Kumar: Understood, sir. Just on the volumes, again, the pe rcentages since you mentio ned, sir, this cab is
15% on the total volume. Private cars also, 40% would be on the total volume, like on the 8.5.
If you just give us the split again, sir, cab is 15%, private cars is 40%, autos is 6%, how much would be buses, sir?
Sanjay kumar: Buses is around 20%. Out of that, DTC is where we are seeing some impact of EV conversion.
That has now come down to 6%- 7%. And what was the next question?
Vishnu Kumar: So all these numbers are on the total 8 and 8.5, which you are doing?
Sanjay kumar: No, this 40-40-20 number which I am talking about, that is on CNG sales. 15 I talked about, that
was on overall volume. That is an estimated number . If you talk about the impact, if I tell you,
we have total taxis in Delhi, Delhi registration ta xis, that number is around 1.5 lakhs. The total
40% volume of CNG which we talk about coming from taxis, LCVs and autos, the total number
is around 5.25 lakhs. Out of that 5.25, taxis is around 25% or so.
This 25%, the consumption might not be same for all this one. If we take that 25% on 40%, that
is around 10%. So 10%- 15% is what our estimate on this account, on aggregator. Presuming
that all the taxis are running under aggregator se rvices, which is not the case. So I will leave you
with these numbers for the crunching on your side. So our guess is around 15%.
Vishnu Kumar: Okay, and the autos is 6% sir, just to close this?
Sanjay kumar: Autos, it is part of the total 40%. So really di fficult to pinpoin

t the exact bifurcation between
that 40%. So based on the number of taxis, autos, we can make some rough estimates, which
should be around 6%- 7%.
Vishnu Kumar: Understood sir, thank you. And if you could just answer the growth rate alone sir, even later
during the call also, that will be helpful. Thank you.

Sanjay kumar: Sure.
Moderator: Thank you, sir. The next question is from the line of Mandar Pawar from Kotak Mahindra Asset
Management. Please go ahead, sir.
Mandar Pawar: Good afternoon, sir. Thank you for taking my question. You mentioned about the new GS not
being profitable. But if I am looking at the INR8.5 margin that we are making at the company level, if we have 5% within, what kind of margins that we will be doing in Delhi, can you provide
us with a number or an estimate on the same?
Sanjay kumar: So profitability from the point of view of per SCM, I was talking about, because the volumes
are very low. And opex tends to be higher when your volumes are low on per SCM basis. So
even though in absolu te terms, the loss might not be, I was talking about per SCM terms
EBITDA.
So in one or two Gas, that is negative. And because it is negative, the volume is very low, so it
does not really, loss making. So it is not eating up the profits of other GAs, but it is not making
the contribution and mayb e dragging down a little bit on EB ITDA side, so per SCM basis. So
really not very significant in terms of absolute nu mbers. But they are not profitable, that is what
I meant to say. Profitable means they are not adding to my bottom line.
Mandar Pawar: But it will dilute the marg in on a SCM basis, when you are looking at it?
Sanjay kumar: Not very significantly because the volume itself is very low.
Mandar Pawar: Okay. So when you are saying they are not making profit, it is because of the fixed cost below
EBITDA line? Or you are saying even at EBITDA they are not making profit?
Sanjay kumar: Even at EBITDA level also, two of our GAs are not positive.

Mandar Pawar: Okay, got it. And second, I just want to hear your thoughts on, if we do see a reduction in conversion to EBITDA and if at all we see some congestion coming down at the outlet or the waiting period coming down at the outlet. Do you believe that would incentivize private car conversion? I just wanted to hear your thoughts on that.
Sanjay kumar: Yes, so I think during yesterday's media interacti on, our MD had also indicated to the fact that there is lots of queuing, which is happening outside our CNG station. And we are finding difficult to get land and add new stations. But we are working on this and we are taking steps so that the queuing outside the CNG station reduces and it incentivizes people or it gives them enough comfort that they will not have to wait for CNG filling.
And that should help in increasing the conversion numbers. So that we are working on. And towards that end, the capital, the capex which we are incurring, that is going towards Delhi also in augmenting the infrastructure. So we'll continue to invest and going forward enough growth will be there in passenger segment.

Even though probably aggregator, we do not know the impact. But the other segments are expected to grow and we are continuing to spend capex on augmenting the infrastructure, even in Delhi.
Mandar Pawar: Got it. Thanks. And the final question, if you can give the conversion number, the latest one?
Sanjay kumar: The conversion number, latest one, this quarter's average was 15,900, month-on-month it was different, but 15,900, 16,000 is the average number for this quarter.
Mandar Pawar: This is for the quarter?
Sanjay kumar: Yes. Per month.
Mandar Pawar: Yes, average for this quarter per month. Okay, but let's say in the latest...
Sanjay kumar: I'll tell you the exact number. July, it was 15,361.

August, it was 17,131. We had given a different number previously in different interactions. Bu t I think this number is something which keeps changing depending upon when the registration papers have been filed and when it is actually registered. And September number is 15,100. Average is 15,900.
Mandar Pawar: Okay, got it. And October will be around the same level or?
Sanjay kumar: October, we'll have to see. We have not got the data yet.
Mandar Pawar: Sure. Okay, thank you very much.
Sanjay kumar: Thank you.
Moderator: Thank you. The next question is from the line of Varatharajan from Antique Limited. Please go ahead, sir.
Varatharajan: Yes, thanks for the opportunity. Sir, one on this volumes, you used to share some volumes with Adani and Haryana Gas. Does it continue? Does it stop at some date due to the orders?
Sanjay kumar: Yes, it is continuing as of now.
Varatharajan: Any date when it is going to stop?
Sanjay kumar: No.
Varatharajan: And secondly, to be on the safer side, when we build in volumes, should we assume that FY '25 most likely won't be there?
Sanjay kumar: We don't foresee.
Varatharajan: Second question on this vehicle additions run rate, which has been pretty good in the last three months- four months. However, what we observe is that the volume impact has not been to the same extent. So, is there any sense on, what part of the new registrations could be replacement?

I know it is not an exact science that you can come up with a number, but I am sure you are observing it for a reasonably long enough period of time to give us some kind of an idea, how to correlate this incremental vehicle registration versus the volume?
Sanjay kumar: Vehicle registrations have picked up. I think it is quite early to say how this increased numbers will reflect in our volumes. And as you rightly said, it is very difficult to pinpoint the exact impact. But we expect that this should improve further and will give some positive number. The numbers which was reflected, I also told you that in this quarter, two major events happened in Delhi. One was G20 and another was floods.
And I told you that, 1.5% of our sales was impacted because of growth was impacted because of that. So, probably I think this quarter will have some better visibility and we will be able to

see the impact of these additions. How many vehicles are going out of the system? That number is not there. So, we really don't know whether it is replacement vehicles.
Varatharajan: But under normal circumstances, we would have some idea as to what is normally the replacement cycle. So, in the case of cabs, let us say, is it eight years, 10 years? In the case of CVs, do we have a similar kind of a number? Broadly, just for our understanding, more than any kind of a one-to-one volume impact.
Sanjay kumar: If you see the life is 15 years, the license is also given for 15 years. And I think average, if you see, it is difficult to say eight years to 10 years might be the case. But depending upon people's own preferences, they might be changing it at intervals. So, average, you can say maybe around eight years to 10 years can be taken just as an estimate.
Varatharajan: Right. That was useful. Thanks a lot.
Sanjay kumar: Thank you.
Moderator: Thank you, sir. The next question is from the line of Mr. Mayank Maheshwari from Morgan Stanley. Please go ahead, sir.
Mayank Maheshwari: Thank you for the call, sir. A couple of questions on the strategic side. One was in terms of when you think about elasticity of demand, considering your margins are pretty healthy right now, do you think you will be able to see some demand el asticity if the spreads versus petrol and diesel were to go up higher? Like, how are you thinking about that? And the second thing was in terms of capex allocation, considering all the policy changes, how are you thinking about capital
a

llocation for the next five years? Thank you.
Sanjay kumar: So, your first part of the question was related to price elasticity. So, if you see last one year, the conversions had gone to around 12,500, 13,000 per month level. And we had previously seen a peak of around 17,000, 18,000 when the price gap was substantially large. So, history says that there is price elasticity. And if we are able to increase it, it should give us more conversions, which will result in higher volume growth. So, that fact remains that price elasticity is there.

People are mindful of the economic benefits. And if they are able to reap that, they will switch to CNG as a fuel, given that it's also environmental friendly. So, price elasticity, your point is valid that it is there. And if given an opportunity , we'll have to basically see for a longer period of time at what level we are in terms of EBITDA and how further growth is expected. Based on that, we'll take pricing decisions, whether to reduce or increase or take some hit on EBITDA and increase the gap. So, that is an ongoing process.
Mayank Maheshwari: But nothing right now that you are thinking that will help the demand, correct?
Sanjay Kumar: At this point of time, I think we have kind of a balanced approach or balanced situation presently. We'll see some more time. We'll see the convergence going forward next one or two quarters. Then we'll take -- because we'll have to also keep in mind that the APM allocations are going to decrease gradually. And that will ha ve to be dependent more on RLNG. And the price fluctuations in RLNG is known to everybody. So, we are in a comparatively stable period at this point of time. But going forward, we do not know what is going to happen. So, we'll have to be having some cushion to take care of those contingencies also. So, we'll take a call accordingly. The second part of your question was on?
Mayank Maheshwari: The capex allocation?
Sanjay Kumar: The capex allocation, next five years now, we used to tell that we'll be spending around INR1,400, INR1,500 crores every year. With the -- th at fact remains, that statement still remains. We'll have to maybe mode rate it, considering the impact which the aggregator policy brings. And then we'll see how it goes. So, if that -- what will be the exact response? Difficult to say at this point of time. Let the policy come out and we'll analyse the expected impact on the exact provisions. And then we'll take a call on that. Present the statements which you used to say, that remains valid, subject to the adjustments to be done for the expected changes because of this aggregator policy.
Mayank Maheshwari: And sir, you're still looking for inorganic growth or that's on something still on the cards or no?
Sanjay Kumar: We are open. I think we have been telling also that the opportunities will come because the five years change of control period gets over in maybe next one or two years, given the extension given by PNGR before Corona period. And once that is over and people evaluate their exact position in terms of MWP and all, we expect that some opportunities will come. We are open to that. And we'll take a call accordingly. At present, nothing is there which we are considering.
Mayank Maheshwari: Got it, sir. Thank you.
Moderator: Thank you. We take the next question from the line of Mr. Saurabh Handa from Citigroup. Please go ahead, sir.
Saurabh Handa: Thank you for the opportunity. Just a couple of questions. I think you did mention this in your

remarks, but just to confirm. So, currently, CNG taxis, they have valid permits for 15 years. So, what do you think happens to a CNG taxi with a valid permit in 2030? I mean, will they be

forced to convert? Is that realistically possible? I know I'm not asking you to speculate, but for a per

son who is invested in this, how do you think, I mean, will there be some sort of an exemption?
Sanjay Kumar: If you ask my take on this, because people will be able to buy the vehicles till 28, CNG vehicles. And only after two years, if you ask them to discar d that vehicle or buy a new one, that will be too much to ask for. And you cannot, even if five, six years older vehicle is there, if you ask them to scrap it, that will be a national wastage.
So, I don't think that situation will arise and they wi ll be stopping that vehicle. But that clarity is still required on that. We'll have to wait and see. I think there was some circular also when, from transport department, when it was said that the vehicles will be allowed to continue to run for the entire 15 years of their life.
Saurabh Handa: The CNG vehicles?
Sanjay Kumar: The CNG vehicles, yes. So, we do not know conflict, these are the conflicting statements and provisions. We'll have to wait for the exact provisions when they come out.
Saurabh Handa: Sure, sir. And my second question was just on the volume guidance. So, you've spoken about exiting for this financial year at 9 MMSCMD. And previously you were talking about around 1 MMSCMD growth should be possible for the next couple of years. So, can we assume that March 25, you're still broadly looking at around 10 MMSCMD?
Sanjay Kumar: Given the timing of the implementation of this policy, maybe we'll have impact on whether at all if it is implemented and at what time it is implemented. So, based on that, I think we will reserve that comment that what will happen in 25 . For the time being, we are restricting ourselves to 9 million cubic meters by this year end. And next year's guidance, once the policy, if it comes out, then we'll able to give you.
Saurabh Handa: Okay. So, and this is my last question. You had spoken about 15% is the total volume contribution. So, this is 15% of IGL's total 8.3 MMSCMD volume from Delhi cab aggregators?
Sanjay Kumar: Yes, that's what I meant to say. It's a total 15% of the total volume can be impacted once this over a period of time next four, five years. And I'm saying that the growth will be impacted. I'm not saying that my volume will go down. The growth, which we expected of 10% or so, that might not be coming in on this segment. Because new vehicles will be added till 28. There is a time gap. So, that's the...
Saurabh Handa: Just to follow up on that, right now, there is nothi ng which stops vehicles registering in the NCR like in Noida, Gurgaon and coming to Delhi. And you don't envisage any change happening. Right now, there is free movement of aggregators between Delhi and say, Noida, Gurgaon. So, if they choose to register there, it should be okay the way things stand?

Sanjay Kumar: I think that should be the case. Presently, there is no restriction. And things should continue the same way depending upon how the government wants to implement when they are coming out with the implementation provisions.
Saurabh Handa: That's clear, sir. Thank you so much.
Sanjay Kumar: Thank you.
Moderator: Thank you, sir. We take the next question from the line of Mr. Amit from UBS. Please go ahead, sir.
Amit: Yes. Thank you. Sir, can you give us some guidance relating to 1.5 MMCV in the volume addition over next 18 months? Li ke which categories will add to the volume growth? Will that be buses, cars, and outside Delhi and within Delhi?
Sanjay Kumar: Mostly, it will be NCR region which will be driving the growth because they are contributing the major volume. The segments which we expect to contribute more is the passenger vehicle segment. And LCVs, mostly there are lots of new additions in that segment also. And going forward, interstate buses are where we are focusing right now.
There are, I think, 200 buses which Uttarakhand government has ordered and they have already got around

50, 60 odd numbers. Even UPSRTC also has, I think, ordered for some 100 or 150 buses. So, these are the segm ents which we expect to c ontribute additional volumes.
Amit: So, basically, all these volumes can contribute around 1.5 MMCV because 8.5 to 10 MMCV…
Sanjay Kumar: We are including this nominal growth which was coming for aggregator taxis also. So, we will have to see how it impacts. So, maybe that porti on of that aggregator segment, that is something which we will have to watch out for how it is getting impacted. But that's what was our expectation of contributories to the additional growth, additional volumes. Okay.
Amit: And sir, do you think that we need to change our thought process on the infrastructure addition? Like we have been going bit slow on the infrastructure side right now. But the more delay we do, the opportunities on the EV side will grow mu ch faster. So, like if we have a plan to add maybe 300 stations over next four years, five years, then they should be done over next two to three years.
So, that you can maximize on the return on capital because you will have a time to earn money from that infrastructure. But if you add something in 2027 or 2029, that may have a very little life to add to your return expectat ion. So, do you think that as a company we need to slightly run faster than what we were doing in the past two, three years?
Sanjay Kumar: No. So, you are right. We have not slowed down. We are still maintaining that we will be investing in augmentation of infrastructure, including Delhi where we are saying that there might be some impact. But the queuing problem is there. So, we are not slowing down. And we will be just calibrated in terms of what impact the aggr egator policy brings in terms of Delhi. In other GAs, we have not been, we have not slowed down.

Amit: But we have added only eight stations in this quarter. And I think we have a guidance to add around 100 plus in this year. So, do you think that in the next six months we will be adding?
Sanjay Kumar: Yes. So we are still expecting that we will be ab le to meet 100 stations. Things are in pipeline. Probably, we will discuss this at the year end when we talk about, when we are in the earnings call. Things were a little slowed down also because of the floods and the G20 summit which had happened. So, permits and other NOCs were a little delayed. So, that also impacted a little bit, capex on our, specifically in Delhi. But we are hope ful that we will be able to make it up by the year end.
Amit: Great, sir. And wish you all the best. And wish you a happy Diwali to your entire team. Thank you, sir.
Sanjay Kumar: Thank you. Thank you so much. Thank you.
Moderator: Thank you. Ladies and gentlemen, that was the last question for the day. I now hand the conference over to the management for closing comments.
Sanjay Kumar: Thank you, everybody. Thank you so much for joining this call. Last time it was a little chaotic. This time, things look to be going smoothly. So, thanks to Philip Capital, Nitin and team for organizing this call. Festive seasons are starting. Diwali greetings for everybody. See you in the next earnings call. Thank you so much.
Moderator: Thank you. On behalf of Philip Capital India Private Limited, th at concludes this conference. Thank you for joining us. And you may now disconnect your line.
Sanjay Kumar: Thank you.

Call: Jan 2024

"Indraprastha Gas Limi ted Q3 FY24 Earnings
Conference Call"

January 29, 2024

MANAGEMENT : S HRI. KAMAL KISHORE CHATIWAL – MD
SHRI. PAWAN KUMAR – DIRECTOR (COMMERCIAL)
SHRI. SANJAY KUMAR – CHIEF FINANCIAL OFFICER
SHRI. MANJEET SINGH GULATI – CHIEF GENERAL
MANAGER (FINANCE & ACCOUNTS)
MODERATOR : M R. RAMESH S – NIRMAL BANG EQUITIES PRIVATE
LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the Q3 FY24 Earnings Conference Call for Indraprastha Gas Limited hosted by Nirmal Bang Equities Private Limited.
As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" and then "0" on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Ramesh fro m Nirmal Bang Equities. Over to you, sir.
Ramesh S: Good evening. It gives me great pleasure to we lcome you all on behalf of Nirmal Bang Equities for this 3Q FY24 Earnings Call with the Management of Indraprastha Gas.
The Company is represented by Shri. Kamal Kishore Chatiwal – Managing Director; Shri. Pawan Kumar – Director, Commercial; Shri. Sanjay Kumar – Chief Financial Officer; and Shri. Manjeet Singh Gulati – Chief General Manager, Finance.
May I request the management to give their "Opening Comments", and then we shall throw the floor open for questions. Over to you, sir.
Kamal Kishore Chatiwal: A very good afternoon to all of you. I welcome you all and thank you for joining IGL's Quarterly Earnings Call for Q3 FY 23-24.
I am Kamal Kishore Chatiwal – Managing Director, Indraprastha Gas Limited. I am joined by my colleagues, Shri. Pawan Kumar – Director (Commercial); Shri. Sanjay Kumar – CFO; and Shri. Manjeet Singh Gulati – CGM (F&A).
IGL has declared its Q3 Financial Results on 25t h of January. The major highlights for the Quarter are as follows:
PAT has increased from Rs. 278 crores to Rs. 392 crores year on year, with a growth of 41%.
Sales volume stood at 8.48 MMSCMD, a growth of 4% year on year; EBITDA of Rs. 564 crores, with a growth of 32% year on year; PBT of Rs. 516 crores, with a growth of 32% year on year.
There is a 2% growth in volumes in sequential terms, and there is a decline in EBITDA per SCM from 8.6 in Q2 to 7.23 in the current Quarter. The main reason is due to a decrease in the APM allocation for the priority sector in the current Quarter.
The conversion of vehicles continues to be in the range of 16,000 vehicles per month. We are already touching the 9 million MMSCMD sales mark on some days and are expecting that we will exit the year with Q4 average sales at ar ound 9 million. Approximat ely 16 new stations are expected to be commissioned during the last Quarter of 2023-24.
The Company is also focusing on LNG and CBG to improve volume and profitability. We have

already started working on mitigating the risk of impact of EV on CNG sales volume by putting

our focus in a big way on interstate bus transport and LNG for long haul transportation. We are optimistic that IGL will continue to grow in volume terms in future.

Further, we are also looking in the area of rene wables for diversification in addition to the LNG stations as stated above. We are also planning to set up a small scale LNG plant in our GA to utilize the idle capacity of CNG stations. This will be the first such pilot in the country where CNG will be used to conv ert to LNG. This will help us in ma king LNG available for the stations being set up by the Company and also far from the port cities of Dahej, Ennore, or Kochi. So, this will be in the heartland.

Now, I would like to invite our Director – Commercial, to give his opening remarks.

Pawan Kumar: My name is Pawan Kumar. I welcome you all in this Earning Call for Q3 FY24 and thank you all for taking time out of your busy schedule and attending today's call.

Regarding the major highlights for this Quarter: The gross profit per SCM has increased from Rs. 11.34 per SCM in Q3 last year to Rs. 12.95 per SCM in Q3 this year, which is a growth of 14% on a

year-on-year basis. The EBITDA per SCM has shown a robust growth of 26% year-on-year basis and is Rs. 7.23 per SCM in the last Quarter.

For the CNG segment, year-on-year growth was recorded at 2%, with the average sales being 6.3 million metric standard cubic meters per day as compared to 6.07 during the previous year.

The PNG segment has also witnessed double digit volume growth in the domestic and commercial segments in Q3; however, the industrial segment has lagged behind due to the price of alternate fuels. We are rationalizing our pricing policy to address this issue, and we expect that in future the industrial sales will also pick up. We are focusing on more areas for the increase in volume growth and planning to set up 10 LNG stations in the near future, as we see the potential in LNG to replace long haul vehicles currently running on diesel.

In addition to this, we are working on conversions of dumpers and commercial trucks in our GAs so that they can switch over from diesel to CNG to add a new segment to increase the CNG sales.

On the infrastructure front:

We have commissioned 27 CNG stations so far and we have added around 2.7 lakh domestic connections and around 1,000 industrial and co mmercial connections in 9 months during the current year. The Capex incurred during the year till December is Rs. 824 crores. This was the brief highlight about Q3.

Once again, I thank you all for taking part in this and sparing your precious time for joining this call. The floor is now open for the question & answer session.

Moderator: We will now begin the question & answer sessi on. Ladies and gentlemen, we will wait for a moment while the question queue assembles.

We have our first question from the line of Nitin Sharma from M. C. Pro Research. Please go ahead.

Nitin Sharma: Two questions. How much was the APM allocation in the Quarter and can you please provide the breakup of different sourcing of gas; HPHT, non-APM, spot, plus term. And then I have a followup.

Kamal Kishore Chatiwal: Total allocation has been around 78% domestic APM and non-APM and 4% was HPHT; that makes it around 82%. And around 17% was term contracts of RLNG and small volumes spot on IEX also.

Nitin Sharma: Secondly, can you just help us understand how do you see APM allocation coming over the medium term?

Kamal Kishore Chatiwal: Over the medium term, we expect the APM a llocation to go down further. Although in the 4th Quarter from 1st of January, there has been a slight improvement in APM allocation. We got an additional 1,20,000 more from 1st of January. Bu t over the medium term, we feel that as more and more GAs will get commissioned and domestic production is not keeping pace with that, the allocation is going to go down slightly and we will have to make up with, I think, either the spot or the HPHT volumes.

Nitin Sharma: And if I can squeeze another small question, that would be, where do you see weakened conversions rising from here? This Quarter itself, it was around 15,000. Is there any possibility for some price cut at the retail level that coul d augment the vehicle conversions, something that could happen? What's your view on that?

Kamal Kishore Chatiwal: Actually, we are focusing on our new GAs as well as the satellite towns of Delhi. In some of the

GAs, we have in fact reduced the prices. For example, Rewari, we have reduced the prices by Rs. 3. And in other GAs, say Kanpur, Muzaffarnagar, Karnal, Kaithal, Banda, Mahoba, or Ajmer GA, we have not increased the prices to make th em more competitive. In spite of a decline in APM allocation, we have not increased the prices. There, we are seeing that the conversions are picking up in those GAs. As also in Rewari, we are seeing that the conversions are picking up.
Moderator: We have our next question from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.
Ki

rtan Mehta: Recently you talked about adjusting the pricing in some of the GAs, which is helping to pick up the vehicle conversion growth. How do you see that? How could you accelerate or what are the other steps that needed to accelerate the growth in the other GAs, and what could be the potential growth that we can achieve over the next 2-3 years outside Delhi?

Kamal Kishore Chatiwal: One of the areas that they have identified is the dumpers that are used for construction for ferrying construction material, sand, marble, etc., and especially those areas where the daily transportation is within a limited area, say 50 km to 100 km, there we feel that if we can convert that this will be good additional volume because the numbers are huge. If I take an example of Banda-Mahoba-Chitrakoot, in that GA, we have around 6,000 dumpers being used daily. If we can convert a fraction of that, say 10%, 15%, or 20% in the next 1 year, then the volume growth will be huge because each dumper consumes around 80 to 100 kg per day. To make that possible, we are now converting 2-3 dumpers to demonstrate to the operators there that they will get what is the advantage of conversion to CNG. To demonstrate the proof of concept, we are converting some of the dumpers and showing it to them. That strategy we will adopt in other GAs also wherever these dumper numbers are there. In addition to that, also LNG maybe in the commercial segment or in the bus segment; that is another area that we will be looking at in addition to the long haul transportation that in any way we are focusing on LNG.
Kirtan Mehta: Would you also be considering giving some of the incentives for the conversion for thesrs? Would there be a possibility to consider them? We have seen this kind of scheme being launched in Maharashtra with some initial signs of success. So, is there a possibility of replicating in the northern area as well?
Kamal Kishore Chatiwal: Yes, that will be a possibility. But before that, we need to have the infrastructure in place. If we have the scheme and we don't have the infrastructure, that's another area that we are focusing to make big CNG stations where al l these dumpers…. because they will be needing a lot more space for filling and all. So, we are going for some big stations in these areas and it will be synchronized with the scheme. The scheme would be needed, but before that, the infrastructure would be needed.
Kirtan Mehta: You also talked about adjusting the industrial pricing scheme to incentivize their usage. What are the thoughts and the considerations?
Pawan Kumar: Basically, our pricing policy has been designed for monopoly. In the CNG and domestic market, we are a monopoly. But as far as the industries are concerned, we are not a monopoly because other alternative fuels which are competing with our gas are present. So, we are making our pricing policy flexible in line with the other companies, where we can offer a customer-specific price based on the volumes because the need of the hour is the growth. And hardly any additional charges are incurred on supplying these clusters because they are already connected and they suddenly switch it off, the supply they stop taking. So, we can reduce our S&D charges and we can reduce our margins there, but certainly we can maximize the volume. So, the policy will be customer specific so that the volume can be brought to the fold.
Kirtan Mehta: Is there a possibility to give a minimum discou nt to the alternative fuel scheme as well?
Pawan Kumar: Yes, we are looking from all the angles because the need of the hour is volume.

Kamal Kishore Chatiwal: Just to supplement the question, I think it will not be a fixed discount kind of a thing. But while pricing our products, that will be one th ing that we will be keeping in mind.
Mode

rator: We have our next question from the Line of Pr obal Sen from ICICI Securities. Please go ahead.
Probal Sen: Sorry you had to repeat this. I could not catch the first answer completely. You said that APM allocation had fallen to about 78%, about 4% came through HPHT sources, and the balance would have come from essentially spot LNG. I just wanted to get a sense, again, of what does our overall sourcing mix looks like to be. What sort of term contracts do we have in place? How much of HPHT do we have in place in terms of contracts?

Kamal Kishore Chatiwal: I will again repeat that 82% is from APM and HPHT, 17% is from RLNG from term contracts that we have; long-term and medium-term contracts. That is based on Henry Hub linked as well as Brent linked and JKM linked also. And small volumes of around 60,000 or so during the Quarter, we sourced from spot through IEX.
Probal Sen: Sir, just to understand, if I can just ask a follow -up; this Quarter if you see, the margin of course has grown on a YoY basis, but the margin decline that has happened on a QoQ basis. That is entirely attributable, therefore, to the reduction in APM allocation plus what you mentioned that you did hold the prices and changed in some of the non-Delhi areas and the reduction in prices in Diwali. That's how we should look at it? That's the reason for the margin dip on a QoQ basis?
Kamal Kishore Chatiwal: Yes, that is the major factor that APM has gone down by around 9% to be precise, from 87% to 78%. In addition to that, we had a one-off, I think, dividend income also. That's an impact in PAT that around Rs. 72 crores of dividend income was there. That is the impact on the PAT, not on EBITDA.
Probal Sen: Where did we receive that dividend from?
Kamal Kishore Chatiwal: The dividend from our associates MNGL and CUGL, Rs. 72 crores.
Probal Sen: Last question, sir. Any volume guidance you would like to hazard? I know it is very difficult given the uncertainty, but as of now for FY25, any percentage volume guidance we are giving in terms of what we expect?
Kamal Kishore Chatiwal: For FY25, we will be targeting 10 million.
Probal Sen: Average volume throughout the year you are targeting 10 MMSCMD?
Pawan Kumar: That will be closing FY25 at ten MMSCMD.
Probal Sen: So, exit rate of 10 MMSCMD is what we are targeting, right?
Pawan Kumar: Yes.

Moderator: We have our next question from the line of Maulik Patel from Equirus Capital. Please go ahead.
Maulik Patel: Sir, on the sourcing side, as one expects that APM allocation will continue to go down in the coming years, what will be the optimal kind of the breakup in sourcing you would like to see from mix of long-term LNGs, spot, and HPHT?
Kamal Kishore Chatiwal: Our effort would be that whatever volume decline we see in APM allocation, we try to make up with CBG volumes also because we have LOI fo r 20 CBG plants. Out of that, only five have been commissioned. In addition to that, we are ourselves setting up 10 CBG plants. The plants that we will be setting would be of slightly bigger capacities. In volume terms if you say, we will be targeting somewhere arou nd 2 lakh volumes from our CB G plants and maybe another 2 lakhs from the outside parties. So, 3-4 lakh volume is going to come. Out of that, only 10,000 odd has come. So, whatever decline is there in AP M, we will try to first make up with the CBG because that is the cheapest available gas presently; even 10% to 15% cheaper than APM. So, that would be our target. And in our GAs, our consumptions are such that we will be able to absorb those volumes in our network. That is one area. In addition to that, now that the spot prices have softened a bit, we expect that lu crative contracts would be available because our long-term contract is expiring in 2028. So, anyt hing comes up for renewal now that the prices of spot gas have softened, we expect

some good contracts to be available for the long term.
Maulik Patel: Sir, on the CBG side, what we understand is that it's extremely difficult and challenging to ramp up the volume in the CBG because of the unavailability of the feedstock. Basically, we do not have a consistent supply of feedstock from the market and the markets are not big enough or probably it carries, then the logistic cost s are very high. Is it the right assessment?
Kamal Kishore Chatiwal: Partially you are correct in your assessment. Bu t if you have a good technology provider and in a few days, you will hear an announcement from our side on the plants. There we are very selective in choosing the technology partners. And whatever technical hitches are there – I understand that there are quality issues that CO2 percen tages in BIS standards and methane percentages, the impurity levels are slightly hi gher as compared to CNG or PNG requirements in BIS standards. Our effort will be to make it as close to or even better the present quality of CNG and PNG. For that, this will be a preferred source for all the CGD companies. That we will be demonstrating. And in a few days, we will be announcing those 10 plants. One is already under construction and nine more we will be a nnouncing. And the sourcing of raw material for all these plants will not be constrained because there will be a variety of sources starting from pressed mud or agri waste or MSW waste. All those will be there. In a few days, there'll be an announcement regarding the same.
Maulik Patel: How many Quarters it will take to ramp up to this 0.4 MMSCMD , 3 to 4 lakh kind of volume from the CBG, and what kind of timeline are you expecting?
Kamal Kishore Chatiwal: Normally, it takes around 8 months to 1 year time to build a plant. Our plants, a few of them, will come up in June-July, but the rest others would be by the last Quarter of FY25.

Maulik Patel: Sir, I missed the initial remarks. Did you give any breakup between your Delhi volumes of the CNG or non-Delhi volumes in your opening remarks?
Kamal Kishore Chatiwal: Around 63% of volumes are from Delhi and 37% is non-Delhi.
Maulik Patel: What could have been the growth between these 2 segments, Delhi and non-Delhi, compared to the previous year?
Kamal Kishore Chatiwal: They have been growing at around 2% to 3%. It is basically absorbing the impact of DTC and DIMTS. So, we are able to just grow at 2% to 3% after absorbing that impact. The other segment is growing at 7% to 8% outside of Delhi. And the new GAs, the base is very low. If I tell you the numbers, the growth percentage, it will be very very high. It is so low that once if I tell you that they are growing at 60%, that doesn't make sense because the base is very low. But we are seeing good growth over there.
Moderator: We have our next question from the line of Vipin Goel from Mirabilis Investment. Please go ahead.
Vipin Goel: Sir, just 1 question. You stated that about 82% was the APM and then the last part was a term contact, 17%. Basically, the 17%, what would be the volumes? And then, if you could just tell us about the contracts, the total volume that has been contracted? About 2.2 is what I remember from the last conversation. You can just revise that number.
Kamal Kishore Chatiwal: Now that 2.2 number we have increased it to 2.35. After taking internal consumption and technical losses into consideration, the total sourcing is around 2.35. This includes HPHT volumes also. So, 2.35 you can say is mid term and long term. Mid term is 1.77 and 0.58 is long term.
Vipin Goel: On the pricing of these two – the mid term and the long term – average pricing?
Kamal Kishore Chatiwal: Mid term would be linked to Henry Hub. So, that's 115% of Henry Hub plus some constant of say 5.5 to 5.6; those kind of volumes. So, landed would be somewhere around $13 to $14.
Vipin Goel: With this

CBG kind of ramping up and APM going down, would we stand by with our earlier margin guidance of 7.5 to 8 or is there any change in that?
Kamal Kishore Chatiwal: That remains 7.5 to 8, would be our endeavor. And if it goes down below, then we may have to increase the prices. If it goes above, we may have to reduce the prices. But around 8, we are targeting.
Moderator: We have our next question from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: Just a question on volume. In the last call, you had mentioned the potential impact of the cab aggregator policy as about 15% to 20%, but you said that you are still evaluating it. So, the first question was, would you still stick by that guidance or has that changed?

Kamal Kishore Chatiwal: We stand by the guidance of exiting the year FY25 at around 10. Right now, the cab aggregator is basically the incremental volume s, the conversions to taxis, th at will have an impact on the new additions. But the present impact is of DTC, i. e., converting to electri c. During the 9 months, we have seen around 950 buses being converted. So, you can say around 40% DTC conversions have already taken place. And we have absorbed that impact. In fact, we have grown slightly in Delhi due to that, 2% to 3% growth, whereas the private vehicle growth has been very robust. At around 8% to 10% growth is there in the private vehicle segment.
Amit Murarka: But I am still wondering like exit FY25 versus exit FY24 is 11% growth versus the recent 3-4 Quarters have been only 3% to 4% volume growth. So, where will that additional 7% to 8% growth come by, particularly when we exp ect slowdown in the cab aggregator volume?
Kamal Kishore Chatiwal: If you know the CGD sector, for the full year if we had planned some stations, the last Quarter is where commissioning of all the stations co mes up. So, in this Qu a r t e r , w e w i l l b e commissioning close to 60 CNG stations. Some of them are in new GAs, some of them in the existing GA of Delhi and NCR area. Once those come into stream, we feel that the volume growth would be there because right now we are seeing every month when we analyze, there are days of the weeks when we are already crossing 9 million. So, it's a question of the average because on weekends, our sales go downs. Maybe we may have to think about some weekend discount or something like that to ramp up the sales on those 2 days. Otherwise, we feel that nine should be consistent and once these 60 odd stations come online, then also, we feel that we should exit around 9.
Amit Murarka: Just one last question on OpEx. Actually in the last 4 to 5 years, your OpEx has been consistently going up – I believe it's because of the new GAs. But is there any breakup of EBITDA like how we gave you a break up of volume? Is there any breakup of EBITDA also that you can share between Delhi, non-Delhi, or say for the new GAs?
Sanjay Kumar: We do not show the breakup of EBITDA as such. Internally, we evaluate each GA-wise performance. At this point of time, it will be difficult to compare other GAs which are in nascent stage and the majority of the

profit comes from Delhi NCR region basically because the volume
is lesser in the new GAs. And presently the pricing policy which we are maintaining there, that
is aimed towards the growth of business and fu ture opportunities rather than profitability.
Barring one or two GAs, all our GAs are profitable at this point of time. That's what we can
share at this point of time wi th you. Seeing EBITDA level for each GA will be a little premature
at this point of time.
Moderator: We have our next question from the line of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil: Sir, now almost 4 months are over after the implementation of Delhi EV policy for the cab
aggregators. What is your observation on the taxi s or cab addition

s for the last 3-4 months? And
have you noticed any decline in the CNG cabs or taxi addition in the last 3-4 months?

Kamal Kishore Chatiwal: As of now, we have not noticed any significant decrease in the number of cabs and taxis which
are being registered. Rather, the total number of vehicle population is around 15,000. And as the new variants are coming up
from the OEMs, we expect that the number of vehicles are going to
increase.
Yogesh Patil: Out of that 15,000 vehicles per month addition, what would be the taxis or cabs addition monthly
basis?
Sanjay Kumar: If you talk about breakup of conversion, approximately 7,000 is private cars and around 5,500
is commercial vehicles which includes taxis, goods carriers, and three-wheelers, and around
3,000 is retrofitments. That's the broad breakup : 6,000 plus 6,000 plus 3,000. And the specific
impact if you are asking about the aggregator policy on the sales of taxis and three-wheelers, I think it's only 2 months data
which is there. To meaningfully take out any trend, I think let us
wait for one more Quarter and then we will be able to answer this.
Yogesh Patil: The last question from my side. Sir, we wanted to understand, are you able to capture the net
CNG vehicle additions? More than 15 years ol d CNG vehicles getting replaced by the new CNG
vehicles is just a replacement to the old ones? This type of vehicle addition will not be a CNG
volume growth driver. So, my question is, do we have any net vehicle addition data which will
reflect the real picture of the CNG volume growth in the coming days? Are we tracking or do
we have any kind of database track?
Sanjay Kumar: If you ask this, I this there is no scientific way because there is no data which is coming from
the.
Kamal Kishore Chatiwal: Actually, the data that we track is from the RT O, the number of vehicles getting registered and
the number of CNG vehicles already registered. In case, after 15 years, a vehicle is getting
deregistered, that number will go down. The numb er of CNG vehicles will go down, and there
will be no net addition. We track the data from RTO.
Moderator: We have our next question from the line of N itin Tiwari from PhillipCapital. Please go ahead.
Nitin Tiwari: Sir, my first question is related to infrastructure spend. Can you help us in terms of what is the
mix of spend between the city of Delhi and outside Delhi for this year and as well as like as far as our forecast is concerned?
How much percentage are you trending in Delhi and what
percentage are you spending outside?
Pawan Kumar: For the 9 months, we have spent a total of Rs. 859 crores during the first 3 Quarters of the current
year, and Delhi makes up of around Rs. 400 crores. Our GAs in UP is around Rs. 300 crores and Haryana and Rajasthan are
around Rs. 150 crores. That's the broad breakup.
Nitin Tiwari: Sir, any update in terms of your conversations with the Rajasthan and UP governments for
conversion of intersta te transpor t buses?

Kamal Kishore Chatiwal: Yes, we had a discussion not only with Rajasthan and Haryana, UP also we had a discussion and
Uttarakhand also. UP has agreed to deploy 60 buses, Uttarakhand around 45, Rajasthan has agreed to start a pilot with 20
buses. They w ill be converting 20 buses from Ajmer depot and
then going up to Delhi. And then, talks with Haryana are also in progress.
Nitin Tiwari: Sir, lastly, any guidance that you can give us in terms of DTC buses? What is the number if we
look at DTC and DIMTS combined? And how can we look at this number by the end of FY25?
Are we expecting any more retirement of CNG buses and addition of EVs?
Kamal Kishore Chatiwal: DTC around 3,200 buses are there, so almost 40% of them have converted to EV. And the target
is that by FY25, all of them will be converting. DIMTS as such, there is no policy the

re that they
will have to convert. But whatev er old vehicles are getting retire d – they have already retired
500; so the total number is around 3,900 or so. Five hundred have retired. Those numbers will
go down slightly, but only the DTC numbers would be converting to EV.

Moderator: We will move on to the next question. We have our next question from the line of Vikas Jain from CLSA. Please go ahead.
Vikas Jain: I just want to understand, you said that Delhi is about how much ? 60 how much percent of this current volumes? The 3Q volume, how much is Delhi?
Kamal Kishore Chatiwal: 63%.
Vikas Jain: So, that's about 8.5 MMSCMD was the volume of that about 5.3 is what Delhi is. Now, from 8.5, you are talking of ending FY25, i.e., in 5 Quarters at about 10 MMSCMD. That's roughly about 18% increase. And this 5.3 with more DTC buses getting retired into EV, that you are saying currently is growing at 2% to 3%. That is unlikely to pick up, right? So, if you have an extra 1.5 to come from, we are basically banking on the other 3 MMSCMD or so adding to giving a 30% to 35% growth in the next 5 Quar ters. Is that how we are thinking of things?
Kamal Kishore Chatiwal: Delhi also, we are focusing more on the industrial and commercial segments. That is one segment, the industrial segment, where we see a lot of potential. And in the commercial segment, recently there has been a ban on the usage of diesel gensets. So, we have got a lot of requests for conversion of diesel gensets to gas. That is another area. Second is the domestic PNG segment where we have the connections, but the billing part is taking time because the last mile connectivity is still undergoing. We are adding 2 lakh connections every year in Delhi. These are the 3 segments that will make up. In addition to that, the CNG infrastructure, we are increasing the dispensing capacity to ease the queue situation. Once that improves, we expect that more and more vehicle conversions would be there.
Vikas Jain: Simply put, sir, you said that currently Delhi on a net basis after adjusting for the loss from DTC is growing by about 3%, right?
Kamal Kishore Chatiwal: Yes.

Vikas Jain: This, in the next 5 Quarters, do you expect that this number, 3%, could be significantly higher because there will be more loss, right? More DTC buses will get converted incrementally.
Kamal Kishore Chatiwal: No, what we are saying is that once there is a mandate of CAQ where they have said that the interstate buses entering Delhi, they need to be either CNG or EV or Euro VI compliant buses. Right now, they don't have Euro VI compliant but CNG they can easily convert to. That is one segment where whatever loss is there and those volumes will…. The depot for filling up the stations would be in Delhi. One of the filling stations would be in Delhi exclusively for them. These are the kind of strategies that we feel would make up. In addition to that, we are also looking at conversion of dumpers in other GAs. Those are the big volume vehicles. Just to give an example, previously also I gave the example of Banda-Mahoba-Chitrakoot where we are targeting 6,000 dumpers. Even if we are able to convert 50% of them, that will make up for the loss of our DTC volumes. To make that possible, we are demonstrating by converting a few dumpers. We are putting up a big CNG station to make the filling experience more joyful, plus the economic advantage would be passed on to them.
Vikas Jain: And sir, this 8.5 number in 3Q, is this somethin g which is now looking much better or it's in that vicinity only, as we have got into January and all of that?
Kamal Kishore Chatiwal: 8.5, we expect that the last Quarter we will be ending at around 9.
Vikas Jain: So, the average for 4Q could be 9, almost?
Kamal Kishore Chatiwal: Almost 9.
Vikas Jain: Just one final thing. The allocation that you gave for domestic gas of 78%,

4%, HPHT, etc., that is for all of your volume or that is for domestic PNG and CNG only?
Kamal Kishore Chatiwal: The allocation is only for CNG and domestic PNG.
Moderator: We have our next question from the line of Devang Patel from Sameeksha Capital. Please go ahead.
Devang Patel: Sir, we had taken some pricing increases in Q3. Are we on track to come back our EBITDA over 8 per SCM?
Kamal Kishore Chatiwal: We will be nearing around 8 because we are also focusing on increasing the volumes. So, we don't want to increase the prices. We will keep the prices to a moderate level so that conversions don't get affected. But at the same time, the margin we are targeting is around 7.5 to 8.
Devang Patel: Sir, just to clarify, how many DTC buses are remaining for conversion now, in the absolute number?
Kamal Kishore Chatiwal: Close to around 1,800 or so.

Devang Patel: As you are saying, all the 1,800 you expect to convert by the end of FY25?
Kamal Kishore Chatiwal: FY25 or FY26, I think 1-1/2 to 2 years, that is the time they have given us.

Devang Patel: Sir, the CapEx that we are doing now is lower than what we had guided to in earlier Quarters. So, for next year, what kind of ramp up in CapEx are we looking at?
Kamal Kishore Chatiwal: Next year also, we will be doing around Rs. 1,400 crores to Rs. 1,500 crores. And there are 2 segments that we will be focusing on; one is the CBG segment and another would be the LNG segment – so setting up of LNG stations and putting up CBG plants. But overall CapEx would remain in these 2 areas. In case of any opportun ity where there is an acq uisition opportunity, that amount is separate. It's not included in this.
Devang Patel: CBG and LNG itself would be how much of this Rs. 1,400 crores to Rs. 1,500 crores?
Kamal Kishore Chatiwal: Overall total may be around 20% of that.
Devang Patel: Sir, just to clarify on what you said earlier on the discounts for C&I customers, do we not give any incentives or discounts for large volume buyers?
Sanjay Kumar: As we have confirmed that, not for commercial but for industrial customers, we are making this policy because the volume is large and we will be offering the customer-specific prices so that they can switch over from alternative fuel to gas.
Devang Patel: In the near term, do you expect that volume from industrial customers to go up because alternative fuel prices have also gone up?
Kamal Kishore Chatiwal: Yes, we are expecting the volumes of industrial; rather, we are targeting those volumes. We see that as an opportunity. Industrial and commercial are the 2 segments that we are focusing aggressively on because we feel we can increase volumes there.
Moderator: We have our next question from the line of Mr. Ramesh from Nirmal Bang. Please go ahead.
Ramesh S: Before I express my vote of thanks and pass it to the management for closing comments, I just wanted your thoughts on 2 aspects. One is, in the industrial segment, how have the margins moved compared to the blended margins in 3Q? Because, you would have got some benefit from the higher alternative fuel prices. And do you see the margins being sustained at these levels?
Since you are discussing some price adjustments, is there any risk of the margins in industrial declining? And what is the kind of volume growth that is required to make that up?
Kamal Kishore Chatiwal: Margin may decline a little, but the overall prof itability will be maintain ed by the volume. We might earn a little less per SCM, but the volume wi ll be multifold. So, the overall profitability will be maintained.

Ramesh S: If you look beyond FY25, say '26 and '27, based on all the additional infrastructure you are setting up, the additional availability of biogas, the initiativ es in CBG and LN G, and the full-scale operation of all the new

CNG stations both in Delhi and outside Delhi, can we talk about the volume growth going up from the current 4% to 6% or 7%. Is it possible after '25?
Kamal Kishore Chatiwal: In fact, we are targeting 1 million additions ever y year, and we have huge plans for that because we have very vast GAs where we are putting a lot of money in infrastructure. And our experience is that once the infrastructure is there, then the conversions take place and the people convert to CNG due to the price advantage. Also, we have seen that all the arterial roads which are going out of Delhi to the neighboring states, most of the roads are covered by our GAs. As soon as we put our own stations there, the sales increases multifold; like in Hapur where we selling around 10,000 kg to 14,000 kg per day through OMC outlets, after putting our stations, the sales is around 54,000 kg per day within 2 months. And we have planned a huge infrastructure investment. We are already laying pipelines up to the boundary of our GAs so that the people who are going outside our GAs, they can fill their tank from our station because our prices are the most competitive prices.
Ramesh S: Let me thank the management for being kind enough to do this earnings call. And I also thank all the participants for joining the call and asking some very inte resting questions . Let me hand over the call to the management for closing comments. And then we can close the call. Over to you.
Kamal Kishore Chatiwal: I once again thank all the particip ants for participating in this earnings call. And especially I also thank Mr. Nirmal Bang and Ramesh and I hope to see you in the next Earnings Call.
Moderator: On behalf of Nirmal Bang Equities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

"Indraprastha Gas Limited Q4 FY24 Earnings
Conference Call"

May 08, 2024

MANAGEMENT : MR. KAMAL KISHORE CHATIWAL – MANAGING DIRECTOR, INDRAPRASTHA GAS LIMITED
MR. MOHIT BHATIA – DIRECTOR COMMERCIAL , INDRAPRASTHA GAS LIMITED
MR. SANJAY KUMAR - CFO, INDRAPRASTHA GAS LIMITED
MR. MANJEET SINGH – VP FINANCE, INDRAPRASTHA GAS LIMITED
MODERATOR : MR. VARATHARAJAN – ANTIQUE STOCK BROKING

Moderator: Ladies and gentlemen, good day and welcome to Indraprastha Gas Limited Q4 FY24 Earnings Conference Call hosted by Antique Stock Broking.

As a reminder, all participant lines will be in the listen only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Varatharajan from Antique Stock Broking. Thank you and over to you, sir.

Varatharajan: Thank you. A very good evening to everyone on the call. I would like to extend a very warm welcome to all the participants and the management of IGL to this Call.

The Management is represented by Mr. Kamal Kishore Chatiwal – Managing Director; Mr. Mohit Bhatia – Director (Commercial); Mr. Sanjay Kumar – CFO and Mr. Manjeet Singh – VP (Finance).

Once again, welcome everyone. I would like to hand over the floor to the Management for the Initial Remarks. Over to you, sir.

Kamal Kishore Chatiwal: Thank you. A very good afternoon to all of you. I am Kamal Kishore Chatiwal – Managing Director, Indraprastha Gas Limited and I welcome you all and thank you for joining IGL's Earning Call for FY23-24.

I am happy to announce that IGL has achieved the highest-ever annual sales volume of 8.43 MMSCMD and also the highest single day CNG sale of 52,00,000 kg in FY23-24. The company has shown remarkable growth and achieved the highest ever EBITDA of Rs. 2,367 crores and profit after tax of Rs. 1,748 crores during the year.

The company has celebrated its Silver Jubilee this year and has been on path of continuous growth. We are targeting the growth in sales volume and are setting a sales target of 9.5 MMSCMD for FY24-25 with special focus on an increase in CNG sales in the new GA along with an increase in sales in the industrial segment. The company is focusing on LNG and CBG to improve volume and profitability.

Further, we are also evaluating the opportunity to diversify in the area of renewable energy. This will also help in bringing reduction in the power cost to captive consumption of the solar power.

As discussed earlier, we are in the process to set up small scale LNG plant in our GAs. We utilized the idle capacity of CNG stations. This will boost LNG availability at those stations being set up by the company.

I now request our CFO – Sanjay Kumar to make his Opening Remarks.

Sanjay Kumar: Good evening everybody. I am Sanjay Kumar – CFO, IGL. Just to inform that our Director Commercial, Mr. Mohit Bhatia could not attend the call, so he is not available. As far as IGL results are concerned, the major highlights for the Financial Year 23-24 are as follows. The PAT has increased 21% to Rs. 1,748 crores. Sales volume grew by 4% to 8.43 per million cubic meter per day, which was 8.09 million cubic meter per day. Our EBITDA had shown a growth of 17% and EBITDA per SCM has increased from Rs. 6.86 to Rs. 7.67 per SCM as compared to the previous year. Profit before tax at Rs. 2,307 is the highest one till date and the company has seen a sale in conversion of vehicles and on an average, the Financial Year 23-24 monthly vehicle addition to CNG pool was around 15,500 vehicles per month which was around 14,000 during 22-23. It is a growth of almost 11%, which is healthy growth.
And automobile manufacturers are now coming with new variance of company fitted CNG models and which is adding to our sales volume as the CNG vehicles numbers are increasing day by day. I would also like to inform you that in our GAs the penetration of CNG vehicles has reached around 27%-28%. The company's strategy is to maintain a balance between volume growth and profits, and we will keep focusing on new GAs f

or volume growth. We are also
looking for diversification, as our MD told renewables is one area where we are focusing. And as far as the CAPEX was concerned last year we added 90 new CNG stations and 3.3 lakh new domestic connections. Along with that, in terms of physical infrastructure, we added 187 kilometers of steel pipeline and almost 3000 kilometers of MDP pipeline.
So, with this, I welcome everybody to this annual earning call of IGL and the floor is open and we can start the Q&A session.
Moderator: Thank you, sir. We will now begin the question-and-answer session. We have our first question from the line of Probal Sen from ICICI Securities. Please go ahead.
Probal Sen: Couple of questions. Number one, with respect to the sales target of 9.5 MMSCMD, now if I look at the average volumes that we have done in FY24 that translates to a fairly ambitious 14% growth that we are targeting in FY25. Sir did mention that it could be done through focusing on industrial segment as well as in new GAs. Is it possible to still give a little bit more granular details in terms of how much growth you are expecting from IGL, which GAs we are referring to specifically, how much from industrial and how much from our core area? Any broad range would still be very appreciated?
Sanjay Kumar: When we say new GAs, we are talking about GAs outside of Delhi NCR that is Delhi, Gautam Budh Nagar and Ghaziabad. So, that is 90% of our business presently comes from these three GAs. And 10% comes from the other 8 GAs. So, that is the new GAs we are targeting about which we got in 16-17 onwards. That is the segment we are focusing on. Second is that industrial volumes were flat last year due to the pricing pressure of the alternate fuels. So, this year we feel because of 4th Quarter we could see uptick in that industrial sales, we grew by 10% both sequentially as well as quarter-on-quarter compared to last year. So, we feel that we still have scope for improving that further in that direction as well as the CNG sales in the new GAs.

Probal Sen: So, sir, this 9.5 is the average volume that you are targeting and that is the exit rate that you are looking to do for FY25?
Sanjay Kumar: So, that is the average we are targeting.
Probal Sen: The second question, sir, was with respect to this LCB and MCB segment. Are we seeing any traction in the commercial vehicle segment with respect to our CNG segment? And if so, what kind of volumes do we expect? I mean, is it material enough or will it turn material in the next few years in your opinion?
Sanjay Kumar: CNG commercial segment definitely is growing healthy. Last year, the conversion was say around 15,500 average per month as compared to 14,000 in the earlier years and most of them were in the commercial segment. So, 10%-11% growth we are seeing. Only the bus segment, especially the DTC segment, there is a degrowth there, but that is being made up through the passenger vehicle as well as the commercial segment.
Kamal Kishore Chatiwal: Additionally, for the commercial vehicle, if you see the monthly addition to the CNG pool is around 2400 approximately in the recent months which used to be around 1800-1900 kind of number. So, we see an uptrend in the commercial vehicles which are being added through CNG.
Probal Sen: Sir, the second question was with respect to margins. Now we have seen some moderation obviously in terms of spot LNG prices, but at the same time, the priority sector allocation continues to go down. So, just two parts, one was what was the allocation of APM or domestic

gas to prioritize again this quarter and what is the guidance you have for next year and what sort of spot LNG, how much of spot LNG is our overall sourcing as of now?
Sanjay Kumar: The current mix would be around, say, 72% domestic allocation including HPHT, and 28% is RLNG. So, that is the mix. And with the softening

of prices, the gap between the domestic as well as the RLNG has reduced. Now 10%-12% gap is there, like 27 we are able to, the landed cost of domestic gas is around 27-28 and we are able to get some contracts at 31-32, the landed cost in terms of RLNG, but RNLG spot is slightly volatile as of now, so you sometimes get favorable. We have lined up medium and long-term contracts to reduce the volatility. So, going forward also, we feel that the domestic allocation with the increase in domestic production should not go down much. However, we also feel that increase is also a challenge given the fact that new GAs will come on stream. So, domestic allocation going up would definitely be a challenge and in case that does so that will be a pleasant surprise to us and we will be happy to pass on the benefit to the consumers.
Probal Sen: One last question, in that backdrop, sir, I believe you had given a margin guidance of somewhere around Rs. 7 to Rs. 7.5 in terms of EBITDA, should we still maintain that for ‘25 and ‘26? Is that sort of a reasonable level to assume?
Sanjay Kumar: Yes, 7 to 8-8.5 is the range that we feel would be a reasonable EBITDA of our same range.
Probal Sen: That is quite a range. So, 7 to 8.5 is the range that we should be working in.

Sanjay Kumar: No present, last year we did 7.67.
Moderator: Thank you. We have our next question from the line of Maulik Patel from Equirus Securities. Please go ahead.
Maulik Patel: Sir, few questions. You mentioned that the areas outside Delhi and out of Delhi which are approximately 7% of your CNG volume, am I right?
Sanjay Kumar: No, 90% comes from Delhi, Gautam Budh Nagar and Ghaziabad. And 10% is from the outside GAs presently.
Maulik Patel: So, at what rate they grew in this particular quarter?
Sanjay Kumar: I think the Delhi was flat, but other than that Gautam Buddha Nagar, Ghaziabad, they grew at around 10%. And outside GAs, the base is very low, so the number if I tell you, say for example, it grew at 149%, but that doesn't make any sense because the volume, the base is very low. So, any increase there will not be appropriate to capture the growth. Similar is with Kanpur that grew at 123%. Meerut, Muzaffarnagar, Shamli grew at 60%. So, overall, you can say that 15% growth is there in the new GAs that is the reasonable estimate because once the good numbers come and then you grow at this level. So, that will make sense. Right now, the base in couple of years is not capturing. I mean it will be, it is normal to say that they are growing at 150%-160% but the base is very low.
Maulik Patel: Sir, in terms of the CAPEX, what we have done around Rs. 1,200 crores this year, is that a large part of the CAPEX is going towards the new GAs which are the areas like Ajmer, Karnal, Kanpur and Muzaffarnagar?
Sanjay Kumar: Around 40% is going through Delhi and Noida, Gates Noida area and that 60% is going to the new GAs.
Maulik Patel: Sir, can I just suggest something? Just the suggestion from our side. Sir, in terms of volume now if going on forward, if you start giving us in Delhi volume CNG separately that probably considers zone 1, zone 2 might be your Gautam Budh Nagar, Ghaziabad and Gurgaon, zone 3 can be new GA. If we start giving these three numbers separately, it will be easier for us to track the volume growth on each of the three geographies. I understand that all the GAs in the new will have very different growth rate, but one number across its new GA category will be very helpful from under forecasting perspective, sir.
Kamal Kishore Chatiwal: Okay.
Moderator: Thank you, sir. We have our next question from the line of Somaiah V from Avendus Spark. Please go ahead.
Somaiah V: Sir, first question is on the growth. So, if I look from an exit of this quarter, Q4, which is next year, it looks like a 1 MMSCMD kind of a growth. So, this 1 MMSCMD entirely or say 8

0%-

90% you are expecting from your GAs or is there something that you are building in Delhi NCR also?
Kamal Kishore Chatiwal: You see the industrial, commercial and the PNG segment, if I say the domestic industrial and

commercial so that will continue to grow at around 15%. Our belief is that since the reasonable base is there in Delhi NCR, Delhi, we have around 0.65 million domestic so that we will continue to add around 3,00,000 connection. This year also we are targeting, so that is around 15%-16% of the total connections. So, that growth will continue like that. CNG whatever impact is there on VTC, we will see how we can absorb that and continue to grow in Delhi. NCR, Gautam Budh Nagar, Ghaziabad, Rewari and other regions, Gurgaon, so they will continue the CNG as PNG, they will continue to grow at 10% to 15%. That is our expectation that they should continue to grow.

Somaiah V: So, I mean, Delhi, NCR, you are looking at it 10% plus kind of a growth in CNG, is this the right understanding?

Kamal Kishore Chatiwal: But Deli, 10% would be a challenge because the base is also very big 70% PNG sales is from Delhi out of 50,00,000 KG per day we do around 35 from Delhi so that growing at 10% would be a challenge. I mean would be say 4% to 5% growth there, but outside of Delhi, including Noida, Ghaziabad, Gurugram, everything will grow at 10% to 15%.

Somaiah V: Second question is on the newer GAs. So, what we have won in the last few rounds, so what is the total CAPEX on a per GA basis? What we need to spend to CAPEX fully ramped up and in how many years do we expect this CAPEX to be largely complete?

Kamal Kishore Chatiwal: No, we are ahead of our minimum work program schedule. So, whatever the minimum requirement is there that we are fulfilling because other if we don't do that, then there will be a challenge to retain that GA. So, that obligation we are doing, but any expense that we are doing GA wise, we are doing it judiciously so that the asset utilization is there. We don't want that we invest money, and that the asset is not utilized, it is not giving returns. So, for that, the conscious call is there that wherever we can charge the areas, wherever gas is available, we can charge it, so there we are spending. Fortunately, in most of our GAs other than say the new ones like Banda, Mahoba, Chitrakoot and Ajmer, some areas. Other than that, charging gas to those areas is not an issue. We have the trunk pipelines as well as the connecting lines ready. So, we are a little bit judicious in spending in our new GAs. So, that nothing is idle. So, in that sense, Ajmer, we have spent and now we are a little cautious in expanding aggressively in those GAs.

Somaiah V: So, the current CAPEX run rate that we have, so just to keep up with the minimum work program. So, what next couple of years, we will continue to spend in a similar way. So, what is the CAPEX outlook for the next couple of years very broadly?

Kamal Kishore Chatiwal: This year we are targeting Rs. 1,700 to Rs. 1,800 crores. We did last year 1,270. Now this Rs. 1,700-Rs. 1,800 crores is mostly in our core areas as well as some amount in the LNG and CBG. So, other than that, most of the CAPEX would be in the core area. And in case any opportunity

of say inorganic growth or some new renewal opportunity is there, so that is not included in that Rs. 1,700-Rs. 1,800.

Somaiah V: So, basically around Rs. 1,200-Rs. 1,300 crores is what is going in our core area as of now and for this year, we are expecting that we will be able to, towards diversification in LNG and CBG sourcing. We will spend around Rs. 400 crores or something like that. And this amount is something which is spent not specifically on MWP. It is much more than, a little more than MWP because we have to basically build basic infrastructure in all the n

ew GAs. And as the amount in different GAs are concerned, different geographies has different challenges and the size of the GAs are different. So, from that perspective, comparison among the different GAs would be difficult, but from our side we are basically focusing on whatever infrastructure we have already built to consolidate it and then try to cater to the needs of the customers.

Moderator: Thank you. We have our next question from the line of Nitin Tiwari from Phillip Capital. Please go ahead.

Nitin Tiwari: Sir, it would be helpful if you could provide some more color on the vehicle addition part. So, you give the vehicle addition number for the full financial year, so what is the number for the 4th Quarter? One is that and also breakup in terms of different vehicles and how has the trend been in terms of monthly progression. I mean if we look through January, February and March, so how has the vehicle addition proceeded? So, that would be my first question?

Kamal Kishore Chatiwal: So, if I tell you about the conversion numbers, each bill number, the latest one which is available is 15,500. I am talking about total including retro fitment. March, the number was 15,700; February, it was 15,800; January was may be because of the the new models were available, it was 19,000; before that December and prior period it was 13,000-15,000 kind of numbers. If you talk about specifically I think you are referring to the impact of EV, so if I talk about specifically the taxi segment, that number is basically moving up and it has reached 2100 in April, March also it was around 2000, February it was around 1950. And before that January, it was 2300; December it was 1700. So, it is kind of moving like that.

Nitin Tiwari: So, basically segment is not looking impacted to you in terms of like because of EV policy or

any situation, right at least for now?
Sanjay Kumar: Yes, at this moment, we don't see any negative impact of the EV policy on taxis being added to.
Nitin Tiwari: And sir, my second question is related to the other CNG volume opportunities you were exploring with respect to interstate buses and dumpers, so would be helpful if you can provide some update in terms of, if there is any progress in terms of conversion of dumpers or interstate buses? So, that would be my second question? And also like in terms of BTC buses how many more are remaining for conversion to EV as of March?
Kamal Kishore Chatiwal: Regarding this conversion of dumpers, so we have sanctioned a pilot study in one of our GAs Banda and Amirpur area and that is the mining and sand area. So, there we will be demonstrating

2-3 dumpers conversion and then demonstrating the benefits of conversion to the transporters there. So, that should be on stream in another one month or so. In addition to that, regarding BTC, so we have around 1200 buses, they have gone off road and over 13 stations they have been decommissioned. The balance is I think another 1700-1800 buses including some spare that they have. This is including the spare capacity that they have 1700-1800 more or less, so that we feel they will go away in next two years' time and what was another question?
Nitin Tiwari: So, it was on the dumpers and interstate buses, so you were?
Sanjay Kumar: We are in discussion with the Uttar Pradesh, Uttarakhand and Rajasthan, so they have agreed to do some pilots with 200 odd buses, Uttar Pradesh has agreed and Rajasthan with 20 buses and Uttarakhand also with 200. In addition to that, Uttarakhand has also, I think, lowered the tax on the CNG buses. So, there was some news item regarding that. So, as you are aware that CAQ mandate is there that within Delhi NCR, only that Euro-VI compliant and CNG buses are allowed. So, that is helping us when we discussed with the state roadways, so they are positive about converting to CNG and we have told them that enroute w

e can provide them that refilling facility. So, with this 200-300 odd buses from UP and Uttarakhand and Rajasthan also 20 buses, so we will be able to demonstrate it to them and hopefully in future more conversions will take place.
Nitin Tiwari: So, any sense on like, what are the per day consumption of these buses could be, the interstate buses and second sir, in terms of dumpers also, so what is the feedback from the dumper operators when you are interacting with them because this would be a significant cost for them to convert their dumpers. So, are they basically early signs of any interest from the dumper operator?
Sanjay Kumar: I think if they if they have one to 1.5 years payback time for the 10-12 lakhs that they have to spend, so they are positive about that that they are willing to experiment with that. And once we show them what is the average and what is the filling time, everything and right now our infrastructure also is that in nascent stage there. So, we have to set up some big CNG stations for refueling those dumpers and all. So, that work is in progress, but for demonstration we can demonstrate in our two stations that we have commissioned, so that we can do and as also the Interstate buses.
Kamal Kishore Chatiwal: 160 interstate buses Uttarakhand government has already got and around 150 or 200 is in the pipeline.
Nitin Tiwari: Sorry, how many buses they have already required?
Kamal Kishore Chatiwal: 160 is that they have already bought.
Nitin Tiwari: And 200 are in construction and their per day consumption or any broad understanding on the consumption that they have?

Kamal Kishore Chatiwal: Normally, if you say 3 to 4 average and 8200 kg consumption is there on per day basis. There are around 300-400 kilometers. So, 80 to 100 kg per day.
Moderator: Thank you, sir. We have our next question from the line of Raj Kiran Gandhi from SBI Mutual Fund. Please go ahead.
Raj Kiran Gandhi: Sir, this DTC CNG buses which are going off the pool, can they be redeployed on by any other these guys, this Interstate buses who have to be replaced and all this, old diesel and all so they can be immediately put to use elsewhere and that will kind of reduce the time to add bus also?
Sanjay Kumar: So, actually their life has, I mean, whatever 10-15 years life is there, so that life is over, so they cannot be redeployed. So, in case DTC wants to deploy CNG, they have to purchase new CNG buses.
Raj Kiran Gandhi: So, I was just wondering if these buses could be put to use for this interstate routes and all where they are using older diesel?
Sanjay Kumar: We are not purchasing any new CNG buses, whatever CNG buses they purchase, their life is

getting over and now they are purchasing the electric buses.
Raj Kiran Gandhi: And sir, just some feedback we got was that this LPG and all, initially it was a restricted to Morbi, but now increasingly even in the entire Northern belt, in the industrial LPG and all the value chain is kind of making the distribution and all of that. So, what kind of competition you are seeing in that sense?
Sanjay Kumar: Yes, the pricing advantage is still there as far as the commercial segment is concerned with respect to LPG and natural gas. There are some advantages, but in bulk industrial consumers, they offer some bulk discount. So, that will be at par. So, we have to bring out some strategies to counter that. We also offer some bulk discount to make it more favorable. We are working on some policy tweaks in that direction. One more input is there that recently there is some favorable because of the crew movement, so there is some 5% to 7% advantage. May be we don't know because it is a volatile commodity, but the present advantage is there.
Kamal Kishore Chatiwal: Recent quarter, I think our volume growth of industrial has gone up probably this is also reflective of the CNG and the price

cheaper. Some price advantage is there now and if it continues then we will see growth in the industrial segment.
Moderator: Thank you. We have our next question from the line of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil: Sir, my question is related to CNG volume growth in the last one year from Quarter 4 FY23 to Quarter 4 FY24. So, CNG volume addition is only 0.26 MMSCMD. But based on the CNG vehicle additions of 15.5 thousand per month vehicle additions with the daily consumption of 3.5 SCM and if we try to calculate it, it gives us a number 0.65 MCMCMD CNG volume, but actually CNG volume growth is only 0.26 MMSCMD in last one year. Is it because of DTC?

Kamal Kishore Chatiwal: Degrowth in the DTC segment.
Yogesh Patil: Is it because of DTC conversions to EV impact or this vehicle addition is gross in number and the net vehicle additions would be little bit lower which is hitting a lower CNG volume growth addition?
Sanjay Kumar: No DTC has definitely gone down last year from 3.5 lakh KG per day that you are selling to say 1.9, 1.85 to 9, right now what we are doing, so that is one impact. Second is that new additions, the sales impact maybe in the next quarter. Whatever additions are there, they may get full benefit of those numbers will come in the next quarter.
Kamal Kishore Chatiwal: LNG, you may be right, because the numbers which we are telling is a gross number. The vehicles which are going out of the system once in their life is over. That number, that data is nowhere available. So, we cannot really comment how many vehicles have gone out of the system. Some impact might be there as well because CNG industry in Delhi is almost 20 years old. So, some vehicles might be going out of the system.
Yogesh Patil: My second question is related to if you could share the non-APM gas sourcing breakup. I mean how much volume you are sourcing from the reliance CGDC and LNG tie-up?
Sanjay Kumar: The 28% breakup 60% is Henry hub linked and 40% is brand JKM linked. So, that is the broad vehicle I can give you and 2.5 is the quantity that we are sourcing.
Yogesh Patil: 2.5 MMSCMD, right?
Sanjay Kumar: Yes.
Yogesh Patil: And the last one, sir as per our understanding, the royalty or the trade margins on a sale of CNG at a retail outlets of OMC issues have been settled. So, can you give us an idea now total royalty you need to pay them per unit basis? How much it has increased?
Sanjay Kumar: The issue is not settled as far as we are concerned. So, we are disputing especially the Delhi, Delhi and Mumbai, there is some dispute left. Other than that, it has been settled.
Yogesh Patil: And currently, how much royalty we are now paying CNG?
Sanjay Kumar: Delhi, it is around more than Rs. 5-Rs. 5.5 and a little later than that in other geographical areas. So, exact number would be difficult to share, so that kind of number is there. And the question you were asking about HPHT gas, so during the quarter 0.38 million was the number for HPHT.
Yogesh Patil: Is it a tied up gas or sir, are we getting it based upon the demand required?
Sanjay Kumar: It is tied up.

Moderator: Thank you, sir. We have our next question from the line of Amit Murarka from Axis Capital. Please go ahead.
Amit Murarka: I just wanted to check like for DTC buses, how many have already been retired and converted and how many are left to be done and is there a timeline to complete that process?
Sanjay Kumar: So, around 1,200-1,300 have gone off road and similar numbers 1,300-1,400 are balance in the

next two years or so, they will go out.
Amit Murarka: Sorry, 1,200-1,300 have been shifted to EV or they have just been retired?
Sanjay Kumar: They have been retired and they have been replaced with EV.
Amit Murarka: And are there also like buses that have been retired but not r

eplaced yet?
Sanjay Kumar: No, because they need to run, the commuting has to be there, so whatever they are taking off, they are replacing with EV. In case EV is taking time, some of their tenders may take time. So, they are continuing with the CNG buses.
Amit Murarka: And what is the timeline for the balance conversion?
Sanjay Kumar: They have given us a timeline of 25-26, so by 25-26, 100% will be converted, DTC buses. DIMs may take a slightly longer time.
Amit Murarka: So, basically like that much the volume that you mentioned, which is 1.9 like KG will essentially go down to 0 by end of 26?
Sanjay Kumar: Yes.
Moderator: Thank you, sir. We have our next question from the line of Sabri Hazarika from Emkay Global. Please go ahead.
Sabri Hazarika: Sir, two questions. So, firstly, one bookkeeping question. In terms of your OPEX was higher as you mentioned, I think in the media that it was because of certain CSR related expenses, right, so CSR in itself has gone up Y-o-Y because every Q4 CSR is generally there, but was it like much higher this Q4?
Kamal Kishore Chatiwal: Actually, this year prior years we were accounting every quarter, but last year we did all the accounting in the last quarter. That was the reason. It is a one-time expense you can say.
Sabri Hazarika: So, the annualized trend will be largely in line with that?
Kamal Kishore Chatiwal: Yes. From this year onwards it will be annualized only.

Sanjay Kumar: That was one, another reason was last year we had taken some offsets for the expenses which we had already incurred on higher side during FY21-22. If you see the full year CSR expenditure 22-23, we booked Rs. 14 crores and in 23-24 we booked around Rs. 34 crores.
Sabri Hazarika: No other item beyond this in the other expense, which everything else is normal, right? Is there anything else which is?
Kamal Kishore Chatiwal: Apart from that, normal increase in.
Sanjay Kumar: One more increase was there that employee increase onetime because of this Silver Jubilee. So, we rewarded the employees for their consistent performance. So, that is a onetime increase due to the silver jubilee celebration.
Sabri Hazarika: That is part of the employee cost?
Sanjay Kumar: That would be part of employee benefit expense, not other expenses. So, apart from that normal increase in R&M and few other heads, legal and professional is one where our case is going on for Gurugram and Faridabad, normal increase in those two heads otherwise, it is all normal.
Sabri Hazarika: And what was the CNG station total number of stations at the end of the year?
Kamal Kishore Chatiwal: 882. Actually, we added the 126, out of this 90 were new stations and 30 were upgrade, upgrade in the sense that we put up to three dispensers on the existing stations. We upgraded the compression capacity. So, you can say that 90 new stations and 36 upgradation of the existing stations. So, the total number would be 126.
Sabri Hazarika: And 882 is the grand total?
Kamal Kishore Chatiwal: Cumulative presently we have 882.
Sabri Hazarika: And in kg terms, what would be the CNG volumes?
Kamal Kishore Chatiwal: KG, the compression capacity is 110 lakh kg per day, and we are doing around 50-52.
Sanjay Kumar: Those are on individual days, on weekends, the average is 4.5 million, 45,00,000 per day.
Sabri Hazarika: Sir, just on your volume front, so you have given a guidance of 9.5 MMSCMD. So, this is roughly like 13%-14% sort of like Y-o-Y growth, now you have mentioned that in Delhi, you would be growing at 5% in NCR, rest of NCR probably 10% and other GAs as a whole 15%-16%. So, Delhi being 60%-70% of the mix, I think somehow the numbers don't add up. So, do you see anything on top of that like DTC is also like going down? Is there anything else beyond these things that is making you confident of like clocking 9.5 MMSCMD?
Sanjay Kumar: Act

ually, one is the industrial segment and Delhi also Delhi NCR the complete region, the industrial segment we are confident that we can increase the volumes there. I think 15% growth

there. In addition to that we have started the LNG operations also. So, if you see there is a

mention of LNG sales also that will commission in the last quarter. So, those sales will come up and we are in discussion with a few operators. So, in case that volume ties up, so that will increase the numbers.
Moderator: Thank you, sir. We have our next question from the line of Nitin Sharma from M. C. Pro Research. Please go ahead.
Nitin Sharma: So, what is the plan for the LNG segment from FY25 and FY26 perspective and some quantity data would be helpful?
Sanjay Kumar: I think we are planning one station we have already commissioned and five to six stations in are in advanced stage of planning and construction. So, those should come on stream in this year. And we also have a MoU with the conqueror for their captive consumption. So, we will be setting up one station in their depot, one in Noida region and another in Bangalore.
Nitin Sharma: And how much would be the volume?
Sanjay Kumar: So, presently they have a fleet of around 100 buses. That is the number that we got there, but they are open to increasing those numbers based on their experience of this initial LNG trucks that they have. So, they will increase the number as they get more and more experience of those running of those LNG trucks.
Nitin Sharma: So, just help me understand in general what would be the consumption for one bus, just to understand the content?
Sanjay Kumar: One LNG, again depending on the run. So, that will consume 70 to 80. Same number as bus or any other 70 to 80 KG per day.
Moderator: Thank you, sir. We have our next question from the line of Chirag Maru from Key Note. Please go ahead.
Chirag Maru: Sir, from the perspective of backward integration, I wanted to understand what kind of effects are we going to do for CBG plants?
Kamal Kishore Chatiwal: For this year, we are expecting that around 10 numbers of CBG plants will be added. And the CAPEX should be around anywhere between Rs. 200 and Rs. 300 crores.
Chirag Maru: And what kind of benefit can we expect from these within 10% to 15%?
Sanjay Kumar: These will be around, I think, 20 metric ton per day plant and based on that around if you are adding around 2,00,000 CMD will be added to our source and the benefit here is that this will be available in our GA. And the transportation cost, which is there from maybe Western coast to our GA that is the savings which we will have from the sourcing point of view. This will be

the cheapest gas, even as compared to APM gas. And in addition to that, Gujarat VAT is what additionally we will save which is presently levied on the gas which is coming from Gujarat.
Chirag Maru: And sir, I just wanted to understand one thing, a couple of private CBG companies are focusing on creating a hydrogen plant on an EPC basis for their clients. Is it something that I just wanted to know if IGL is also pursuing something into a hydrogen phase or not?
Sanjay Kumar: Yes. I think we are doing a pilot with the IIT Jodhpur and IIT Delhi. Jointly, we are doing a pilot on hydrogen and see what their impact on the network on the transportation segment is. So, those study and that will come up in Jodhpur area. That pilot we are doing and based on the study further action will be taken.
Chirag Maru: Sir, when can we expect an update on the same in the next one year timeframe?
Sanjay Kumar: I think it should, FY24-25, we should see some results of that study.
Moderator: Thank you, sir. We have our next question from the line of Kirtan Mehta from BOB Capital Markets, please go ahead.
Kirtan Mehta: One question on the cost side. W

hen we look at our gas purchase cost, sequential decrease is around Rs. 0.6 to Rs. 0.7 per SCM. This has been lower than some of the other CGDs which have reported around Rs. 2 per SCM cost decrease. The same has also happened during the last quarter as well, where again our decrease in the gas purchase cost was lower than the other CGD. So, are there any particular contracts which are restricting the decrease in the cost for us? Same was the question, related also with the OPEX where the run rate has gone up from 5.7 per SCM in the last quarter and Rs. 6.5 per SCM. That is the second part of the question. So, is there any one-offs in the OPEX that has increased this time? Will it revert to normal level again?
Sanjay Kumar: So, I think the cost of gas for us has gone down by Rs. 3.5 from 35.3 to 31.8. That is in SCM terms, so that is the number that, please check the number, I think it has gone down by Rs. 3.5 during the year as compared to the previous year.
Kirtan Mehta: I was actually talking to Q4 versus Q3 numbers and Q4 versus Q2 numbers?
Sanjay Kumar: So, that could be, I think from 37 to 32.63 to 50 paisa decrease on a sequential basis. Is that the number you are talking about 50 paisa decrease in the Q3 to Q4?
Kirtan Mehta: Yes, when we compare this number with the other CGD's which we reported, the results, this includes turning out lower like the other CGDs have reported at least Rs. 2 reduction sequentially?

Sanjay Kumar: Reduction, maybe the base is higher. They are doing lower than 32. So, the final number is important because maybe our Q3 was anyway lower.

Kirtan Mehta: I will take this query offline. In terms of the OPEX, the sequential run rate has grown to Rs. 6.5 per SCM, so is this the new base or were there any one offs during Q4?
Sanjay Kumar: So, this is what I spoke about a little earlier and MD also talked about, the CSR expenditure getting booked in the last quarter. That is one reason and Q4 we had some expenditure which we incurred on employee incentive being 25th year of IGL so Silver Jubilee year we celebrated in on December 21st. So, those are the expenditures which have been probably added to the additional per SCM cost which you see. Some adjustment would be with respect to Ind AS adjustment also where we had some long lease agreements which this year turned out to be shorter term and from right of few asset we moved to direct charge to the expenditure heads, so it would have adjusted against depreciation. So, some amount of that is also resulting in this additional amount which is visible to you per SCM.
Moderator: Thank you, sir. We have our next question from the line of S Ramesh from Nirmal Bang Equities. Please go ahead.
S Ramesh: So, if you are looking at the LNG business, can you explain the commercials in terms of at what price you are selling LNG per liter or per KG and how do you compare that with the diesel price in terms of percentage savings?
Sanjay Kumar: LNG is priced at say Rs. 10-Rs. 12 lower than the diesel price, whatever it is there in the GA. So, that say for example, if I take Ajmer example, so there the diesel is at say Rs. 96-Rs. 97, so it will be priced at Rs. 82-Rs. 83. Whatever is the CNG price we try to keep it similar to that so that there is some advantage to him to recover the initial CAPEX, whatever CAPEX he has incurred, and then the benefit is there for him, so Rs. 10-Rs. 12 gap with the diesel and try to keep it, in case the CNG price is there because that will create some arbitrage opportunity otherwise and whatever we are bringing the LNG from the ports. Right now, we are doing only at Ajmer. LNG dispensing is only at Ajmer. So, there we are seeing that we are able to maintain this margin, maintain this difference and as well as keep our margin whatever is the required margin.
S Ramesh: One is Rs. 82-Rs. 83 will be rupees per kg.
Sanjay Kumar:

Yes, Rs. 10 to Rs. 12 per kg, because that is in liter terms, and this is in kg terms. So, we can take it as equivalent so Rs. 10 to Rs. 12 cheaper.
S Ramesh: So, in terms of your EBITDA per KG, would it be comparable to your current EBITDA per KG on CNG, higher, lower? How do we work out the numbers if you add say 10 CNG stations for the next two years?
Kamal Kishore Chatiwal: At this point of time, it is almost similar to what we are having the margin on CNG.
S Ramesh: So, just on the new GA incrementally, is there any addition to new GAs of a material nature say 0.5 to one of them we can expect in the next 1-2 years say by 27, what is the kind of volume run rate you see from new GAs in MMSCMD?

Kamal Kishore Chatiwal: So, if you talk about significant contribution, Rewari is the one which is presently adding around 0.35 million and apart from that, Muzaffarnagar is where we are achieving around 0.11 million CMD. So, these are the two newer GAs where we have achieved significant volume. And going forward, this volume we expect to grow to maybe around 15% annually. In the newer GA, Ajmer, is where the last year we had started and we are seeing for the last 3-4 quarters, we are seeing a growth of around 50%-60%, 100% on each quarter basis. But it has not achieved that critical mass, which we can say that it is a significant volume. It is presently around 0.08 kind of number. So, here we expect that a few of these stations which we are not online earlier, we are in this year, we have made them online and now we are focusing on marketing activities so that consumers are shifting to CNG. So, here in Ajmer GA we expect that by maybe next two years we should have some significant contribution. And apart from that, Banda, Chitrakoot, Mohoba is where we started this. Last year we added around 4 stations and going forward those are all presently running on daughter booster basis and our steel trunk pipeline is in the process of getting constructed, so once those get online, then we can see some significant contribution there. Parallelly, we are working on marketing activities also like conversion of dumpers to CNG. So, those activities we are taking parallelly and the next I think probably 2 years will take in building the basic infrastructure and after that it should take off.
S Ramesh: On the CAPEX, you are spending around Rs. 3,000 crores on the new GAs, assuming the Rs. 5,000 crores, the CAPEX for three years, when do you see the earnings before interest and tax

compensate for the increase in depreciation and give you the normalized ROCE? Would that be by 27 or would it be more by 28?

Kamal Kishore Chatiwal: So, if I tell you about EBITDA being positive, so except Ajmer and Kanpur, Banda, of course we have just started. All other GAs are already EBITDA positive. And Ajmer and Kanpur also, once we get a little more traction in terms of volume, the operating cost per SCM basis will turn positive, will be lower and then that will also become EBITDA positive. In terms of gross margin, we are presently having sufficient margin available in those GAs as well. So, once we achieve a little more volume in these GAs EBITDA positive, I think by early next year or next year, we should be able to be EBITDA positive on per SCM basis for all our GAs.

Moderator: Thank you, sir. Due to time constraint, that was the last question for today. I would now like to hand the conference over to Mr. Varatharajan for closing comments. Over to you, sir.

Varatharajan: Thank you. My apologies to the repeat along the question queue. Please take it up with the management or send us the questions or dial those to be addressed. I wish to thank all the participants as well as the management of IGL for taking out time to participate in this conference call. Over to the management, if they have any closing comments.

Kamal Kishore Chatiwal: Thank you everybod

y for joining IGL Annual Earnings Call and see you next time in the month of probably July and special thanks to the Varatharajan and team from Antique Broking. Thank you so much for organizing this call. Thank you so much.

Moderator: Thank you. On behalf of Antique Stock Broking, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2024

"Indraprastha Gas Limited
Q1 FY'25 Earnings Conference Call"
July 26, 2024

MANAGEMENT : M R. KAMAL KISHORE CHATIWAL – MANAGING DIRECTOR – INDRAPRASTHA GAS LIMITED
M R. MOHIT BHATIA – DIRECTOR COMMERCIAL – MR. MANJEET SINGH – VICE PRESIDENT , FINANCE – INDRAPRASTHA GAS LIMITED INDRAPRASTHA GAS LIMITED
M R. MANJEET SINGH – VICE PRESIDENT , FINANCE – INDRAPRASTHA GAS LIMITED

MODERATOR : M R. HARSH DOLE – IIFL SECURITIES LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to Indraprastha Gas Limited Q1 FY '25 Conference Call, hosted by IIFL Securities. As a reminder, all participant lines will be in the listen-only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during th e conference call, please si gnal an operator by pressing star then zero on your touchtone pho ne. Please note that this conference is being recorded.
I now hand the conference over to Mr. Harsh Dole from IIFL Securities Limited. Thank you, and over to you.
Harsh Dole: Thanks, moderator. Greetings, everyone. On behalf of IIFL Securities, I welcome you all for the first quarter FY '25 Earnings Call of Indraprastha Gas. To discuss the performance of the quarter and share the operational outlook, we have the senior management team of the company. I'm pleased to introduce MD IGL, Mr. Kamal Kishor e Chatiwal; Director Commercial; Mr. Mohit Bhatia; and VP Finance, Mr. Manjeet Singh. I'd request the management to make the opening remarks. Subsequent to which, the call will be open for Q&A. Over to you, Manjeetji.
Kamal Kishore Chatiwal: Thank you. Welcome ladies and gentlemen. I'm Kamal Kishore Chatiwal, Managing Director of IGL. A very warm welcome to all of you in the quarter 1 FY '25 earnings call of IGL. To start with, thank you all for taking out time and attending the call. To give you a brief background of IGL for some of you, who may be new joining to this call, IGL is one of the leading CGD company in India. The company is currently oper ating in 11 geographical areas spread across 4 states.
We have a good mix of mature and emerging GAs, which has provided us both challenges and opportunities. In terms of infras tructure development, we have developed steel pipeline network of more than 2,100 kilometers and DP network of approximately 24,500 kilometers, which provides natural gas to more than 27 lakh households, close to 5,000 industrial customers, 6,100 commercial customers. IGL operates more than 882 CNG stations serving approximately 20 lakh vehicles.
Now speaking about the sales volumes, CNG sales volume has increased year-on-year by 5%. This is after absorbing the decrease in CNG sales to DTC buses. The sales in Delhi is flat, which --and we have seen a double-digit growth in the outside Delhi GAs.
For P&G sales volume, our P&G sales has increased 7% year-on-year. Further breaking it down, we have seen a 16% increase in domestic segment sales. While our Industrial and Commercial segment sales have risen by 6%, demonstrating the increased adoption of P&G gas as a reliable and efficient energy source. Approximately an addition of about 16,000 new and retrofitted --

vehicles per month is being witnessed during current quarter, as against an average of about 13,500 during the corresponding quarter of previous year.

We are taking initiatives in industrial and commercial sectors to increase the sales in the sector and will focus on this segment to contribute in volume growth. When we divide this into state-wide sales year-on-year increase in overall sales is like this. Increase of sales in Delhi is 1%. In UP, it's 14%, Haryana, 12%; and Rajasthan, it is exceeding 100%. And 1 of the factors is that base is small there.
There is a 1% decrease in sale s in sequential quarters as the quarter 1 is generally a subdued quarter, where sales volume are generally low as schools remain closed, due to summer vacation and school buses bans are not flying. Further, there is a decrease in P&G demand due to movement of household for vacatio ns outside Delhi and also heat requirement is lesser in Q1 as compared to Q4.
This was my opening remarks. And now I request our Director, Commercial, to give his opening remarks.
Mohit

Bhatia: Thank you, Mr. Chatiwal. So good afternoon, everyone. I am Mohit Bhatia, Director Commercial of Indraprastha Gas Limited, and welcome all our investors, fund houses and analysts to participate in today's call. I presume that you would have gone through our financials, which were reported on 24th of this month. So let me share the highlights of our financial performance for Q1, and we are pleased to report that our sales volume for Q1 was 786 million standard meter cube, which was up by 5% year-o ver-year on the first quarter, which accounts to 8.64 million of sales per day vis-a-vis if we compar e with last quarter, it was 8.2. So the growth of around 0.44 million per day.
Secondly, the revenue was INR3,877 crores, which is almost 4% higher than the previous year. Coming to the EBITDA, it was INR582 crores. It was down by 9% over last year, mainly on account of the reduction in the CNG sales prices during the month of March. However, there is an increase of 11% on a sequential basis. So the profit after the tax that is the PAT was INR401 crores during the Q1 as compared to the last year of INR438 crores.
Despite decline in DTC CNG sales, there is an overall -- in the CNG sales volume by 5% on the year-on-year basis, which suggests a growing preference for CNG vehicles among the consumers. The trend reinforced our optimism a bout the long-term potent ial of the CNG market and positions our continued growth. In addition to that, I want to highlight specifically that we are seeing a promising development in the 2-wheel er market. Particularly, we all know that Bajaj Motors has recently introduced CNG Power 2 vehicle bikes.
And TVS has also shown keen interest in the similar offerings, it is coming up. So with this, we expect that this trend is going to have a significant increase in the CNG sales in future, particularly. And we, as IGL is geared for the -- putting up the infrastructure for the 2-wheeler segment, and we are confident to benefit from this shift as a leading player in this market. So with this, I once again welcome all of you for the open session for the Q&A.
Moderator: The first question is from the line of Probal Sen from ICICI Securities.

Probal Sen: Yes. I had a couple of questions. Firstly, it has been mentioned by MD sir earlier as well that you're targeting about 9.5 MMSCMD of volume by the end of this year. Just wanted to clarify that the 9.5% is essentially the exit rate that is being targeted by the end of the year? Or is that the average volume you expect to reach by the fourth quarter? Just to get some clarity on that.
Kamal Kishore Chatiwal: Actually, last year, we closed it at around 8.73. And the first quarter is 8.64. And if you look at the previous year, it was at 8.2. From 8.2, we are at 8.64. Normally, the fourth quarter is the highest because of the winter and also the number of stations we have planned that's commissioned by that time. So we are targeting 9.5 -- exiting the fourth quarter at 9.5.
Probal Sen: Understood, sir, perfectl y. Just a follow-up to that. In terms of achieving that, how much of a role will be moderation in LNG prices play in the sense that if there is once again a spike in LNG, given the constantly decreasing allocation of priority gas, is that sort of -- any sort of downside risk to our expectations? You -- this guidance is building in that uncertainty over the next year…
Kamal Kishore Chatiwal: That uncertainty we have already built in, in the sense that if you look at our EBITDA for SCM guidance that is INR7 to INR8-8.5 levels and we are at INR6 -- INR7.6. Just before the end of

the quarter, we were able to pass on INR1 increase to the customers. So I believe that will be --
next quarter will be more than INR8. So we are in the comfortable range.
So any adverse impact as far as LNG is concerned, so I think we have some cushion to absorb
that. So that

is fostering in that any increase un less there is a war like Ukraine/Russia there was
a sudden spike up to $40, $50 per MMSCMD. Ba rring that, the price minor fluctuation, 10%,
15%, is factored in.
Probal Sen: Understood. Sir, last 2 questions from my side. If we can quantify -- and I apologize if you've
already said this, but the absolu te volume today out of the 8.6 that we did this quarter, UP,
Haryana and Rajasthan would be what percentage of this volume roughly?
Kamal Kishore Chatiwal: You see, Delhi is now at 70%. Earlier, it was at 73%. Delhi is 70% and other than Delhi is 30%.
So they are increasing their share. And if you lo ok at state-wise, so Haryana -- UP is 2.14, Delhi
is 5.26, Haryana is 0.66 and Rajasthan is 0.1.
Probal Sen: Got it, sir. And sir, last question from my side. For FY '26, therefore, given the exit rate of 9.5,
what kind of growth rate can we sort of expect given that the full impact of at least the EV
conversion would already be in the system, whatever buses and all our remaining would
probably have gone to you. So starting -- I mean, for FY '26, then what sort of run rate should we be building in from a volume
perspective?
Kamal Kishore Chatiwal: Actually, our target is 10% to 12% growth. And now our LNG business has also started
contributing. Last year, one of our stations got commissioned and it is currently doing 4,000,
5,000 kg per day. So -- and this -- we have planned 5 to 6 more stations, including 1 exclusive
station for Concur. So we expect those volumes to also come in. In addition to that, our strategy
is -- the Board is recently approv ed in that the LNG station number is even higher in the next 5,
6 years, that's around 100.

So that coupled with any green logistics requirement in the country. We are of the opinion that,
that sector is currently at the nasal stage. And by '26 -- by FY '26, so that should contribute
significantly. And whatever threat is there from EV would be, I think, more than negative, and
so we see 10% to 12% growth in the next 5 to 6 years.
Management: So just to supplement what Mr. Chatiwal just mentioned. See, as I said in the opening listing
also that Bajaj Motors has already launched 2-wheeler and this segment is going to come up well. Around 30,000 bikes will
be on the roads from maybe -- it has already started and it will
be further strengthened. So if this type of the 2-wheeler segment picks up, we also look forward
for a substantial increase in the sales volume.
Moderator: The next question is from the line of Soumaya V from Avendus Stock.
Soumaya V: Sir, you did mention volume breakup GA wise. Would it be possible to share volume breakup
based on vehicles, cabs, autos, buses?
Kamal Kishore Chatiwal: You see, I can give you the rough numbers that 40% is passenger vehicle segment, then 40% is
commercial segment and 20% is buses.
Soumaya V: So it would be possible to bring pr ivate cabs and autos also within this?
Kamal Kishore Chatiwal: 40%, what I said was the private vehicles.
Soumaya V: Cabs and auto specifically?
Kamal Kishore Chatiwal: Now, I will give you the breakup. Buses at 18%, private cars 42% and taxes at 13%, autos at
10% and light goods vehicle is at 18% and other mandatory vehicles at 40%.
Soumaya V: So this is at a consolidat ed level, all GAs put together, our total CNG breakout?
Kamal Kishore Chatiwal: Yes, all GAs.
Soumaya V: Understood, sir. Sir, also, if you could quantify the impact of DTC buses in this quarter? And is
it by and large, over what should we expect for the rest of the year? And also, I think there was
thousand-odd buses -- CNG buses that were supposed to get an extension in, I think, June. So
any update on that front?
Kamal Kishore Chatiwal: You see, last year in '23, it was at 3.1 lakhs. The DTC volumes was at 3.1, which last year was
2.54 and it has been reduced to 1.5.
Soumaya V: So what do we expect for re

st of the year, si r. This 1.5 would be ma intained or it will...
Kamal Kishore Chatiwal: No, no. By '26, we have made it clear earlier also in next 2 to 3 years We expect the volumes
from DTC to go over because that is the stated policy of Delhi government.
Soumaya V: Got it. Sir, 1 last question. What would be the APM mix current quarter?
Kamal Kishore Chatiwal: See, APM is at 62% and 38% is RLNG.

Soumaya V: So this is for Q1 '25?
Kamal Kishore Chatiwal: Q1.
Moderator: The next question is from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: Congratulations for the good set of numbers. Sir, we wanted to understand, despite INR2.5 per kg cut in the CNG prices in the second week of March, your CNG net realization per unit has been largely at the same level. So is it because of the geography-wise CNG mix, which is at changing in favor of higher CNG price realization?
Kamal Kishore Chatiwal: So actually, if you look at this net of tax INR2.5 amounts to around INR1.77 per kg. But we affected this from first week of March. So you can say that the fourth quarter, around 2/3 impact was there in fourth quarter -- or rather 1/3 was th ere in the fourth quarter and the full impact was there in the first quarter. So net-net, if you see INR1.77 net of tax if you see, it will be even lesser than that if we reduced 14% also from that. And -- terms, it is sligh tly lower -- even lower.
So -- but in kg terms, that is the impact.
If you look at the impact, last year, we did EBIT DA per SCM level, if you look at that, we did 6.58 per SCM in quarter 4, and that has improved to 7.4. Right, now this improvement has been because of 2 reasons. One is that there is some bit of operational efficiency that we have brought in, including reduction in gas lots. Second is gas sourcing -- there has been some improvement in gas sourcing. So our cost of gas has also gone down.
Yogesh Patil: Okay. Sir, if you could share the capital expenditures for the first quarter and the guidance for FY '25?
Kamal Kishore Chatiwal: See, we have a capex of INR1,700 crores to INR1,800 for the entire quarter -- for the entire year. And for the first quarter, it is at INR297 crores as against INR202 crores in the previous year.
Yogesh Patil: Okay. And last from my side. As you mentioned, the LNG business has started, what would be the margins on the LNG business in terms of rupees per SCM. Are it better than...
Kamal Kishore Chatiwal: They are better than CNG because there is -- the excise duty component is not there in LNG and the selling price being the same -- almost the same . So there is a better margins in LNG business, especially in GAs, which are closer to the shore.
I mean, the transportation cost is lesser if you are closer to shore.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global.
Sabri Hazarika: Sir, just to clarify, you mentioned that DTC was 3.1 MMSCMD earlier, which fell to 2.5 in Q1 of FY '24, and that is 1.5 MMSCMD in this quarter. Is that right?
Kamal Kishore Chatiwal: Yes, yes. So actually, that is in KG terms, 3.1.
Sabri Hazarika: That's million kgs?

Kamal Kishore Chatiwal: It's per data. 3.1 lakh per day kg.
Sabri Hazarika: Okay. Lakh kg per day? Okay sir. So this is the kind of fall, which has ha ppened in the last 2, 3 years. And -- Okay. And secondly...
Kamal Kishore Chatiwal: I would say that 3% to 4% is balanced. So that will slowly go away in the next maybe 2 to 3 years. And the reason why that is not suddenly is because some of their electric tenders, what we believe is that they have brought out the bus tender. So that has, I think, failed. They do not get the bidders. So that was the reason.
Sabri Hazarika: Okay, sir. And is there any impact of this w hole DTC share going down on the realization? Because from what I could understand,

you gave some sort of like discount to DTC. So the price there is lesser. So there has been also a contributing factor behind margin expansion for the company?
Kamal Kishore Chatiwal: That is also 1 of the factors that in the sense that the discount is closer to INR5 per. And it is in lieu of the stations that -- I mean, they gave us the land to set up stations. And we give them a bulk -- and also the bulk discount there, becau se they are a bulk customer as also the state undertaking. So that was the reason. So that going away, that is a positive impact on the realization front.
Sabri Hazarika: Right, sir. Second question is on your gas costs. So despite the sourcing efficiency and also, we had seen some of the benchmarks basically going up and your location also going down. But is there anything specific behind gas cost actually remaining pretty stable or even down Q-on-Q?
Kamal Kishore Chatiwal: One of the reason is that you've got throughout the year, some opportunity where the spot comes down. So we utilized 1 such opportunity to source a 5.5 million -- point -- close to flat gas in that duration. So that was 1 of the factors because all other rest of the contracts, we have long-

term contracts, and we have linked 50% to 60% and balance Brent and JCC linked, JKM linked.
So those are the mix of our contracts. Most of them are long term -- long and medium term. So that was the 578% window so we could utilize that.
Sabri Hazarika: 500,000 standard cubic meter per day?
Kamal Kishore Chatiwal: SCMD.
Sabri Hazarika: And sir, last question, what was your CNG volume in KG terms?
Kamal Kishore Chatiwal: CNG volume in KG terms? So almost at a daily level, if we say that it was around 47 lakhs, you can say, in the last quarter.
Moderator: The next question is from the line of Kirtan Mehta from BOB Capital Markets.
Kirtan Mehta: Thank you for this opportunity. In terms of the gas purchase, you shared that we have a 38% RLNG mix. Would we be able to split that mix in to be domestically what we buy is HPST and what is basically contracted and is possible?

Kamal Kishore Chatiwal: There was actually 0.4 of HPHT into that, that we got when we got some of the sport through -- other these things, and however, balances to our short-term and med-term contract that we have.
Kirtan Mehta: Right. And would it be also poss ible to quantify what is our average gas transportation cost for us?
Kamal Kishore Chatiwal: Actually, we are into Zone 2 tariff. Most of this is in Zone 2 tariffs. So prudently, that is -- the APM is at 79% plus 12% GST, AP M, non-APM is at 79 and ceiling price is -- comes into zone 3 so that is 114.52 plus 12%. And rest other long-term spot, everything is at zone 2 type that is 79 per MMBTU.
Kirtan Mehta: Understood, sir. You also mentioned about the latest plan for the LNG station. Currently, it's doing 4,000 to 5,000 kg, what would be the potential for each LNG station, how much they can do, depending on the numbers...
Kamal Kishore Chatiwal: We believe they can go up to 20,000, if they are on the -- I mean they have the vehicle population is also there, and they are strategically located. So 20,000, they should do easily.
Kirtan Mehta: And in terms of the Concur LNG station that we spoke about, what could be the potential for the same?
Kamal Kishore Chatiwal: They have around 100 vehicles initially. So I would assume that every second day they fill, so that filling is 400. So even 50 fill or 1/4 of th ose vehicles get filled every day, so that will be 10,000. So that is under construction and we are hopeful that by March -- I mean, by the end of the year, that should be operational.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.
S. Ramesh: So when you talk about these vehicle conversion numbers going up from 13,500 to 16,000, that's not showing up in the kind of growth that yo

u've reported for CNG and this has been a challenge in the last 2, 3 years. You have been reporting numbers, but there doesn't seem to be any direct linkage in terms of the growth percentage in CNG consumption compared to the vehicle addition. So when do you see th at actual CNG vehicles -- CNG sales growth fully synchronizing with the vehicle additions?
Kamal Kishore Chatiwal: So I think some of the impact could not be visible due to the DTC volumes going down. And I'm hopeful that in next quarter, in quarter 2, you will see a significant increase in CNG volumes.
S. Ramesh: When you say significant, what will be the percentage growth Y-o-Y?
Kamal Kishore Chatiwal: I mean it should be around 8% to 10%.
S. Ramesh: 8% to 10%. And secondly, if you look at the LNG vehicle strategy, the LNG fuel sales strategy.
So in terms of the return on capital employed, how would it compare with the current return on capital cloud on the CNG business so because if you were to get about 5% additional growth from LNG. You need about 100 stations according to my rough calculations. So would your

Concur stations actually be priority in terms of the visible addition to LNG stations and is that going to be incrementally growing faster than CNG sales? And in terms of ROCE based on the per station and expenditure, would it be comparable or higher than the ROCE you got on the current CNG?
Kamal Kishore Chatiwal: You see It has a potential of higher ROCE just because the volume -- I mean, per station would definitely be higher. And regarding Concur, this is more of a captive kind of thing. It is between the bilateral arrangement, you can say, where ther e 60 stations all over India, we have an MOU

to convert those to LNG, but they are also -- as and when they pick up pace, we will set up stations.
Currently, we are focusing on 2 stations, 1 in Gr eater Noida and other is in Bengaluru. So that is there. But in case there is an uptick in, say, the heavy and medium commercial vehicle segment across India, if there are vehicles, so we get feeler s that yes, there is a demand for green logistics especially from a cement and FMCG players and MNC players that too because back home, there is pressure there.
So we see a great future for the LNG business and ROCE definitely would be better because current taxation is favorable to set up an LNG station. And the cost, more or less, a big CNG station and LNG station, 10% to 20% cost is hi gher, but the net realization is higher in LNG.
S. Ramesh: So if you look at the next 2 years, the growth will be still driven by the existing CNG and P&G sales. So should we look at LNG adding to a growth from '27?
Kamal Kishore Chatiwal: So we will be setting up 6 stations -- 5 to 6 statio ns this year. And one station that's set up because it is in a location Ajmer. And that too, it's not on golden quadrilateral, but on the other highway.
So there 4,000 to 5,000, it is doing. So that's a good number for that station. And in case 5 to 6 more come up, so they will be equivalent to the other big CNG stations that we have. So 20,000 one station selling would be a good volume.
Right now, our strategy is to put up in our GA. So there, it will be a mix of both LNG and CNG also. So easily, we can target 20,000.
Moderator: The next question is from the line of Devang Patel from Sumika Capital.
Devang Patel: Yes, sir, I wanted to understand there will be detects beyond the current year given that CBG plants -- bank pending, plus you maintained 2- wheeler infra, some initiations and LNG stations.
So all put together, what could our capex be?
Kamal Kishore Chatiwal: Yes. So that's fine. I think we have already a plan for 10 CBG plant for this year, and we are looking for the JV mode also. And one of the CBG plant at Narela, it is already in construction with the 100 metric ton MSW feedstock, which we'll be generating around 4 to 5 t

ons per day. And 9 another in the pipeline, and we are looking forward with some land challenges, but it is coming up. So this, we are looking into it.

And regarding the capex thing, so 1 CBG plant capex around INR30 crores to INR35 crores. So for 10, it will be around INR300 crores, INR350-odd crores. So this type of some strategy planning we already have lined up.
Devang Patel: And this indication of blending or more of CBG, will there be...
Kamal Kishore Chatiwal: Your voice is not audible, if it can be a little bit louder.
Moderator: Devang, can you repeat your question again?
Devang Patel: On continuing basis, what kind of blending targets would we like to reach for CBG?
Kamal Kishore Chatiwal: The government has some plans for -- in the coming years, around 5% of the blending. But as on that, because it all depends upon the production and the quality, in terms of purity of CBG.
So still, a lot of things are going on. So the blendi ng -- the plants is there. But today, as on date, it is not that high -- the volumes are not that high.
Management: So I would just add to that, that the 5% lending mandate is there, so that is by 2030, progressively going from 1% to 5%. So we plan to reach that 5% by 1 or 2 years in advance of whatever is the mandate. So that is our plan. The 5% of whatever volumes we are doing would be CBG.
That is our target in the next 3 years. Ra ther than 5 years, it will be in 3 years.
Devang Patel: Okay. And for 2-wheelers, you indicated that you will need to set up separate filling stations or infra or that will be subsumed in the current infrastructure?
Kamal Kishore Chatiwal: No, no. So what we meant was separate dispensing -- dispenser for that. I mean you have a car dispenser and then you have a separate dispenser within the same station for 2 wheelers.
Devang Patel: Okay. Sir, last, if you' re putting 100 LNG stations and on your current base of 800, 900 stations, could LNG volumes contribute 10% of your total volumes once you have all these in place in 5 years from now?
Kamal Kishore Chatiwal: Actually, we were targeting, say, around 20% to 25% coming from those 100 stations because the per station volume would be higher. Say, current our CNG per station volume is around 6,000, so LNG would be doing, say, 10,000 average. So with that, we target around, say, 18% to 20%, even more than that should come from LNG.
Devang Patel: And all these 100 will be within our existing areas or you can use -- current years?
Kamal Kishore Chatiwal: No, no. 8 to 10, we have planned in our existing year as of now, but those hundreds are not limited to our -- they are pan India. Because as you know, LNG for setting up LNG station, you don't require any license. I mean you can go to other GAs and set up there.
Devang Patel: Okay. Sir, on the industrial side, are we taking any -- in volume growth. We had a better growth in Q4 that's come off in Q1. So are we looking at discounts or any other -- growth.

Kamal Kishore Chatiwal: I think now this Q1, we have touched around 0.8 8 million of industrial sales per day, whereas there is a growth of around 6% to 7% with the last quarter. And we are also looking on a special pricing also because it is a little bit competitive with the alternate fuels. So some formula-based linked to the our sourcing. We are looking into that, and we have also identified some of the industrial pockets, particularly in -- area, Gu rugram area and Greater Noida and Ghaziabad. And we're trying to target those areas for picking up the industrial volumes.
Moderator: The next question is from the line of Pratush Kamal from Ingrid Capital.
Pratush Kamal: I have 2 basic questions that I want to put forward regarding this result. First would be, I wanted to know that what is the bifurcation of the sourcing cost when you talk about APM H

TPT and RLNG -- average RLNG. So per SCM, what is the cost you are getting sourced from ATM HTPT and RLNG.
And second would be, again, about long-term renegotiation of the contract. So I think that the current contract, which you'll be -- you might be having with the Brent would be, let's say, 14% of this group. And so Henry Hub, it might be 5.5 plus 1.15 into Henry Hub prices, right? So is there any possibility of the renego tiation when is the contract endi ng and if were what could the probable formula be for these renegotiations in the long-term contract.
Kamal Kishore Chatiwal: There is the possibility -- I mean, I will just an swer the last question and Director Commercial will answer the balance one. I would say the is the possibility of renegotiat ion in the sense that we can do a time swap of that. That the Qatar cont ract is the costliest contract as of now because of the 15% VAT. And in the future deal that has been done, the Gujarat VAT is not there because the deal is happening in Qatar.
Okay. The transfer of the asset is happening -- molecule is happening in Qatar. So that 15% is not there. So we are looking at the option of do ing a time swap that whatever volumes we have here, we swap it to the -- that contract -- the new contract. And then this quantity that we have swapped, with other available contracts. That is the option that we are adopting.
And regarding the other landed costs now, that is commercial. Management: So like the APM and non-APM thing, which we are getting at around 38% or so. So it is the -- landed cost is around INR27 crores to INR28 per HTM, whereas on the RLNG contract, like we had some advantages, and that is why the results are also like that. On the medium-term contracts, particularly the Henry Hub and all, we are getting around INR34 to INR35 per SCM and the long-term initial contract is around INR50 per SCM.
Pratush Kamal: Just a quick question regarding the same that. What is the formula for that SCM. So I know that the brand is 12%, 15%. Henry Hub 1.5 and 2 -- 5.5 something. And what is the formula for the JKM in that case for your long-term contracts? And how -- what is the composition of the JKM in the total RLNG?
Management: So it is around 30% is the LNG and around 62%, 63%, we are getting APM as on date.

Pratush Kamal: In the 38%, what is the composition of this JKM contract?
Kamal Kishore Chatiwal: JKM would be 5% to 7%.
Pratush Kamal: And what is the formula which you have in this JKM contract?
Kamal Kishore Chatiwal: I think we will get back to you. It is around 13% of the -- 12.75 plus some constant so approximately 13% of the slope.
Moderator: The next question is from the line of Chirag from Keynote Capital.
Chirag: Sir, my first question is related to the operational efficiency that we were talking about compared to Q4 FY '24. I just want to know what was the onetime -- apart from onetime and other incentive expenses, what was the actual leverage that we have come to play off based on SCM?
Kamal Kishore Chatiwal: One is that the other things that we can do. Now what we have done is the reduction in, say, gas loss percentages is 1 factor, then service contracts -- the optimization of service contracts and the power costs. That is also 1 of the factors. And going forward, we are looking at replacing the power with the green power that is al so sitting in our net 0 strategy also.
So we will be replacing our existing power with the green power that not only gives us the net 0 credit, but also it will reduce the power and fuel cost drastically. So this operational efficiency measures will continue in the next quarter also . And we may see a good improvement in quarter 2 also.
Chirag: Okay. So with this operating leverage and increase in sales in CNG, can I expect that in the next

quarter itself, you can see the EBITDA per SCM going about from 7.4 to like 7.8 or 8?

Kamal Kishore Chatiwal: We are targeting much more closer to 8 or rather in excess of 8.
Chirag: Okay. What is the capacity expansion plan for the FY '25?
Kamal Kishore Chatiwal: See, we are setting up 90 CNG stations. So our current compression capacity is, say, around 120 kg. So it will add another, say, 10% to 15% of compression capacity. So 10, 12 lakh kg additional would be there, in terms of compression capacity.
Number of stations would be 90, and I would simply say that 50% of that would be slightly bigger stations. In the sense that there is a wide range, what you call a station. So starting from 1 or 2 dispensers, it can go to 10 expenses. So our target is to set up -- station. So that per station, the volume and efficiency is higher.
And in terms of numbers, I've told that 90 CNG stations and 327,000 domestic connections, 2,000-odd industrial commercial connections and 3,000 kilometers of MDP pipeline.
Chirag: So roughly, can I say about INR1,000 crores to INR1,200 crores?

Management: So just to add what Mr. Chatiwal said. See, we have the capex plan of INR1,700 crores to INR1,800 crores for this year. And out of which, in Q1, we have already spent INR297 crores, roughly INR300 crores.
Chirag: Okay. So in this INR1,700, INR1,800 includes that INR300, INR350 crores of CBG plant rate?
Kamal Kishore Chatiwal: No. INR350 crores is the total cost, but the equity portion would be slightly less than that. And most of the plant will not be 100% IGL loan. We will be the off-taker of that. The 100% uptake will be IGL, but the plant owner would be 50-50 JV mode kind of a thing. And that too in debt equity. So you can safely assume that if we lo ok at 60-40, so 20% of that cost would be ideal cost.
Moderator: The next question is from the line of Varatharajan from -- Sivasankaran from Antique Capital.
Varatharajan: On this 90 stations, can you give a breakup in terms of delivers others?
Management: See, Delhi, we have plan of around 10 to 12. And balance outside Delhi in our GAs.
Varatharajan: Fair enough. And have any of the DTC outlets have been close to the...
Kamal Kishore Chatiwal: No. With regard to DTC outlets, what Director Co mmercial just said, that is in 90, but some of the outlets, I'm happy to share that we have got confirmation from DTC at 6 of their closed stations, where the dispensing has closed for DTC buses, they will be now giving us additional space over there to set up a hybrid station where private vehicles can also fill. So it will be on the outer side of those stations, and we have done the feasibility and everything.
And then we approach them with a request because our infrastructure is already there. The only thing is we need some space to develop the private vehicle differ encing facility. So that 6 sites we have got.
Varatharajan: So in this line, I have to unde rstand correctly, will be kind of relocating those dispensing units and compressors to the outside of the area so that you can serve other customers. Is that how it works or...
Kamal Kishore Chatiwal: Compressor area may not be relocated -- compressor part may not be relocated, but the dispensing -- because it was earlier design ed for DTC bus dispensing. So that slight remodification and then some approach for the general public over there. And then they can distance and come out of that.
Varatharajan: Any write-offs on foresee on account of this?
Management: Can you repeat the question, please?
Varatharajan: Any write-offs we expect on account of the some of the assets you might have intend?
Kamal Kishore Chatiwal: Very, very minor, very minor. Not very significant.

Varatharajan: And finally, on this EV policy implementation, how do you monitor the progress and if you have any update?
Management: You're talking about EVs?
Varatharajan: EV policy, yes. How do you s

ee the progress? And how we can look at the...
Kamal Kishore Chatiwal: Currently, the new vehicle, when we speak to Ola, Uber because they are -- they say that they are not falling into that category of -- it is more applicable to ag gregators who have vehicle more than 25. So they are more of a, I mean, platform, they say. That is the understanding. But our understanding is that it is appli cable only to new vehicle addition, even if it is understood that

way, coming from new vehicles after, say, 3 to 4 years down the line. So that would be on --
new vehicles would be on electric.
And by that time, the growth or the performance of EVs will also be available to everybody to
assess the situation. So we are hopeful that in case we are able to keep our prices at the current levels so EVs would find it difficult to complete. Because MGL has done a study for Pune
Municipal corporation, where they could find that the CNG buses are more economical than
electric by, say, 15% to 20% over a life cycle. So they, in fact, canceled a tender of electric and
then switch to CNG buses.
Moderator: The next question is from the line of Vishnu Kumar from Avendus Spark.
Vishnu Kumar: So just wanted to understand the incremental cost for the -- of delivery for new GA, let's say,
the incremental compression from other area or the transportation cost, generally, what is the extra delivery cost? And is there any increase or decrease over the last 1, 2 years in this?
Kamal Kishore Chatiwal: You see typically, the cost -- additional cost of -- in case it is not an online station is INR10 to INR12 per kg. In case we are bidding that through a cascade so that is the typical cost. So in case
we do it online, immediately, we save INR10 to INR12.
Vishnu Kumar: Got it. So here, within this, how much would be, let's say, the compression bit and what you be
position, sir?
Kamal Kishore Chatiwal: The majority of that is in transportation because compression, you get only INR2 to INR3 is the compression and balance is the transportation. That includes the vehicle and everything.
Vishnu Kumar: Got it. But do we compress for other CGB net because we also understand for the -- at the net -
- at the delta there are some locations where we probably take some others and some locations,
others can probably take from us . And there is an ad ditional spread that we possibly may gain
or lose depending on the net quantum. So trying to understand on that.
Kamal Kishore Chatiwal: Yes, we are doing it for -- as and when request is made, for example, we are doing for AGL for the GA that we are doing and then for, I think, CNG also we are doing. So it starts somewhere
around INR11.7 per kg.

Vishnu Kumar: Okay. I mean -- so at the net, we will be gainin g, sir, because we'll also be using the -- I'm
guessing you don't use any compression from others?
Kamal Kishore Chatiwal: No, no, no. That is with our co mpression facility. So the INR1 1.7 is entirely the compression cost that we charge for delivering them a compressed gas.
Vishnu Kumar: Understood, sir. What will be this particular revenue or revenue that we probably would have
got sir?
Kamal Kishore Chatiwal: Not very significant. I mean we don't count that as a revenue source, is not very significant.
Management: Stock management by the company -- till the time, they have their own competition capacity.
So it's a limited volume out there.
Vishnu Kumar: Got it, sir. Sir, trying to understand the margin delta here because as we move away as our
incremental volumes come from the newer geographies, which have a higher costing for us. And
at the same time, we obviously need to get to scale only then we'l l probably put a pipeline that I
understand. So how will our margin journey be here because we also understand that LNG share
is going to go. CBG also, my guess, is that the co st is higher. So incrementally, our costing s

ide,
we have more line items that is going to go up and the volume side also -- the incrementally, the volumes are going to come at marginally lower volume -- sorry, lower margin.
So how does the net play out for us, which means that probably in the medium term, maybe 7%
to 8% also we should be probably looking at a lower end? Or what is the driver that is possibly
going to help us counter this issue?
Kamal Kishore Chatiwal: You see typically, in a CGB entity, they start th e seeding activity first. when start seeding
through the daughter booster more through the cascade so you have an additional cost of INR10 crores to INR12. Now that is th e strategy for IGL also that we started the seeding activity first.
And parallelly we started laying the steel structur e to make it online. And slowly now, we are in
the process of converting those daughter booster to online stations.
So rather in our -- the cost will come down, not increase because as we make them more online,
as we lay the infrastructure connects the pipeline s and the cost will come down, in fact. So we
are expecting that going forward in the next 2 to 3 years, our -- this daughter booster would
reduce drastically. And the cost to us would go down to that extent.
Management: Currently 7.4% includes the contribution from GAs also, which their volume is going to increase
substantially. So we expect that going forward, the per unit margin will keep on increasing with
increase in sales volume. There were a lot of capex already been done in the new GAs, and we
hope that we'll get realization very soon on that.
Vishnu Kumar: Got it. Sir, any LCNG you are planning so that, that also reduces because I'm guessing pipeline

is not going to solve problems across all the markets because volumes might be thin. So any LCNG route that you're adopting to reduce this cost?

Management: So fine. I think we have alr eady lined up for 2 LCNG stations in terms of small-scale LNG stations for this year, one in Delhi and one in -- somewhere in UP, Noida side.
Kamal Kishore Chatiwal: The pipeline is not feasible. Say, for example, in one of GAs -- Udaipur area, so that's a slightly rocky area where laying the pipeline is costing. I mean, the route would become a lengthy route and the cost of laying pipeline goes up. So in those GAs, our strategy is to feed it to LNG mode.
And there, we would be setting up LNG stations to cater to domestic as well as the CNG requirement also.
Vishnu Kumar: Got it, sir. And sir mentioned in 1 of the earlier questions that you will be directly changing the source from India to Qatar, whether whereby yo u'll be saying 15% of VAT. Could you just explain that a little bit more?
Kamal Kishore Chatiwal: No, no. Actually, we will not be -- the new Qatar contract, which PLL has signed, the existing one, the delivery is at Dahej, therefore, it attracts it to 15% VAT -- Gujarat VAT. Okay. Now the new contract, they will be taking delivery in Qatar. So that PLL will be changing hands in Qatar. So that 15% could not be applicable because the sale has happened somewhere, and they will be bringing in the Dahej. So that -- all this is being done by GAIL and PLL. We have our contract with GAIL.
So that we are looking at doing a time swap so that whatever volume we have in the existing contracts, we switch it to the next contract and then make up that volume through other contracts.
Vishnu Kumar: But when you take delivery at the end of the day, you still take delivery , I'd say, Delhi, where probably -- I mean, GAIL will not require to doing branch transfer, let's say, at Gujarat and then do it at Delhi to you, this 15% will no t be applicable for you under the VAT?
Kamal Kishore Chatiwal: No, in that case -- if we are able to do a time s quare, then it will not be applicable because we will be then switching to some other contracts wh ere central GST is -- 2% central

GST there. So those contracts will be switching.
Vishnu Kumar: Got it, sir. And finally, on CBG, what will be our cost thing that when we mix it and you've just mentioned that in 3 years, we'll get to 5%. What will be the cost to us for CBG?
Kamal Kishore Chatiwal: CBG would be the cheapest gas available in the country in the sense that there is no transportation involved. There is less GST, only 5%. Tax-wise, no transportation. So we are expecting the landed cost to be somewhere around even 10% to 12% cheaper than the APM. So INR25 crores to INR26 per SCM.
Moderator: The next question is from the line of an Nitin Tiwari from PhillipCapital.
Nitin Tiwari: My question is related to the me dia news, which was there in do ing around about reduction in excise duty. So what in European are the possibilities? Do you think there is a case for reduction or removal of excise duty in CNG that is the first question, sir.

Management: So I think we also had the inputs that some in the budget, it will be taken. But then we believe that there is some homework left and the regulator as well as the ministry is working on that, and it may come up in future also.
Nitin Tiwari: But we feel that there is a case with a fit for removal of excise, but because excise was implemented as the gas is getting compressed. So that's the processing of that. So what is now that has changed, that is leading the government to review their -- the same of imposing excise on CNG?
Management: So some inputs have gone into it because still they are working as a Ministry as well as a regulatory because we understand still it is into the manufacturing process, the CNG and excise should be there or not. So still debatable but we have also given some in puts and let's see how it comes out because the government has to take the decision on that.
Nitin Tiwari: Sure, sir. sir, continuing on the previous question where you were explaining about the time swap. So that is still not clear to me. When you say time, so basically, you are switching your current volumes for more uptake in future. That's what you're doing?
Kamal Kishore Chatiwal: No, no, time swap means what -- suppose I have contracted, say, 100 units in this contract -- X contract, time switch it to Y contract, which is starting from '28 to 10 years down the line, so '28 to '38. So this volume to '28, right?
Nitin Tiwari: But what to the volume that...
Kamal Kishore Chatiwal: This 100 that I have switched, there is a vacuum here of 100, that I make up, let's say, I have 5,

6 other contracts. So I can make up with other contracts.
Nitin Tiwari: No, sir, that's what I get that if you don't offtak e this volume, you will probably make it up with other contracts that you have, right? But you are in a contractual agreement with departing this 100 units now, given that you don't offtake this now, so would you be off taking more of it later or you would be paying take-or-pay? I mean, how does it work?
Kamal Kishore Chatiwal: No, no. We will not be paying take-or-pay. We will be just wrapping this volume to that because it is again the Qatar contract, last year's contract only.
Nitin Tiwari: So you'll be off taking more in the renewed contract is what you are seeing?
Kamal Kishore Chatiwal: Additional volumes there, the same volume with a new contract, and this will be a handy of contracts, for example. So I'm taking the volume from GAIL but contract -- and it is possible, then we will be able to, I think, ma ke some saving in cost of gas.
Nitin Tiwari: Understood sir. And secondly, sir, on this topic only on the VAT that you're paying in Gujarat. So why is that, that -- when there is a regiment for paying the central rate of 2% in taking the sales out of state. So why are we not following that policy for saving on the cost?
Kamal Kishore Chatiwal: No, no, because we have already contracted that so we are bound

by the contract. That is the reason.

Nitin Tiwari: And so, the value chain right now is that the type transfer happens to PLNG and then from PLNG to GAIL and from GAIL to IGL at Gujarat only that's where it happens? Or the sale for...
Kamal Kishore Chatiwal: Yes, IGL to GAIL is happening at Gujarat. So they'll have 15% and GAIL passes on to the other customers.
Nitin Tiwari: So the sales from GAIL to IGL also happens wi thin Gujarat only and -- or it happens in Delhi?
Kamal Kishore Chatiwal: It happens in Delhi, but once it is -- the tax component is there, the same is passed on.
Management: Entirely other states also. So they make here, as per their policy, they make the sales from the local -- of the states. So when I buy something in Delhi, GAIL offers in Delhi, and they send it from Delhi only. They don't allow from selling from Gujarat to IGL Delhi.
Nitin Tiwari: Right. I mean if I understood this right, the sale has happened between PLNG and GAIL in Gujarat. So that's a 15% VAT component, when GA IL is transferring to you in Delhi, right? Under the new contract, the sale between PLL and GAIL won't happen in Gu jarat. That is what you're saying?
Kamal Kishore Chatiwal: Yes, yes.
Nitin Tiwari: And sir, lastly, on the cost of LNG stations. So I'd like to explain that there is a cost of about INR10 to INR12 in case of daughter booster station in case of CNG. So what is the similar cost structure for an LNG station? And if you can provide that in terms of, say, compression, cooling and transportation.
Kamal Kishore Chatiwal: No, LNG, the cost of gas is even lesser than what the CNG cost is -- final CNG cost after compression. If I compare the final CNG cost after compression, and an LNG costs, LNG cost is lower -- at INR10 crores to INR12 lower. So the net realization is even better.
Nitin Tiwari: But sir, there would be some costs associated with the cooling of gas and -- I mean keeping the gas cooled and compressed, right?
Kamal Kishore Chatiwal: I think there is some disconnect because we are not cooling the gas. We are getting liquid gas -- liquefied LNG at port and transporting in liquid form only under cryogenic conditions, storing under cryogenic conditions and dispensing that under cryogenic conditions. So everywhere, it is a cryogenic operation. So that is why the equipment are slightly costlier.
But at no point, there is a change of sale.
Nitin Tiwari: That's understood, sir. I mean that's what I'm saying that like in the case of our daughter station, because you are transporting the gas, so there's a cost of transportation of INR7 to INR8 per kg is what you mentioned, right? So similarly, b ecause LNG cannot be supplied by pipeline, you're carrying it by trucks. So what is an equivalent cost in case of LNG is what I'm asking? And plus like when you are maintaining...
Kamal Kishore Chatiwal: INR1 per 100 kilometer.

Nitin Tiwari: And one tanker is what quantity, sir?
Kamal Kishore Chatiwal: 18 tons -- 17 to 18 tons. 17,000 to 18,000 -- suppose I'm bringing from the Dahej, that is 700 kilometers so INR7, you can say.

Nitin Tiwari: All right. So one tanker of 17 to 18 tons, about INR700 is what you are paying for carrying that gas. And...
Kamal Kishore Chatiwal: Not INR700. It will be INR7 per kg. So the tanker is 17,000 to 18,000 kg into 7.
Nitin Tiwari: Sorry, sir. So this is you said INR1 per kilometer per Kg...
Moderator: Sorry to interrupt you, Mr. Nitin, due to time constraints, we wi ll take that as last question.
Nitin Tiwari: I was just seeking a clarifi cation. I mean that's all I'm doing is continue what...
Kamal Kishore Chatiwal: Your understanding is correct, INR1 per kg, per 100 kilometers.
Moderator: Thank you very much. Ladies and gentlemen, that was the last question for today. I now hand the conference over to Mr. Harsh Dole

for the closing comments.
Harsh Dole: On behalf of IIFL Securities, I'd like to thank the management for giving us an opportunity. Also, I realize there are a couple of questions, which are unanswered. I'd request them to send an e-mail to the Investor Relations at IGL, and they'll be more than happy to take it off-line. Thank you very much for your time and attending this call. Really appreciate. Any last remarks, sir?
Management: Thank you, Harsha, for organizing this call for us. It was a wonderful experience, and we have got a lot of portions, which gives a different pers pective of looking into this. And we'll keep on interacting with our investors as and when possible. We are doing it on a quarterly basis, but we're also planning to have something in between as required to share some news that we have with you. So thank you very much.
Harsh Dole: Really appreciate sir, thank you. Moderator?
Moderator: On behalf of IIFL Securities, that concludes th is conference for today. Thank you for joining us, and you may now disconnect your lines.

Call: Oct 2024

"Indraprastha Gas Limited
Q2 FY'2 5 Earnings Conference Call "
October 29, 202 4

MANAGEMENT : MR. KAMAL KISHORE CHATIWAL – MANAGING DIRECTOR – INDRAPRASTHA GAS LIMITED
MR. MOHIT BHATIA – DIRECTOR COMMERCIAL – INDRAPRASTHA GAS LIMITED
MR. SANJAY KUMAR – CHIEF FINANCIAL OFFICER -- INDRAPRASTHA GAS LIMITED
MR. MANJEET SINGH – VICE PRESIDENT , FINANCE – INDRAPRASTHA GAS LIMITED

MODERATOR : MR. NITIN TIWARI – PHILLIP CAPITAL INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Indraprastha Gas Limited Q2 FY '25 Earnings Conference Call hosted by PhillipCapital India Private Limited. As a reminder, all participant line will be in listen -only mode and there will be an opportunity for you to ask question after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touchstone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Nitin Tiwari from PhillipCapital India Private Limited. Thank you, and over to you, sir.
Nitin Tiwari: Thanks, Nikita. Good day, ladies and gentlemen. Best wishes in advance for Deepavali to everyone. On behalf of PhillipCapital India Limited, I welcome everyone to Indraprastha Gas Limited Second Quarter FY '25 Earnings Call. Today, we have the pleasure of having with us from the management team of IGL, Director Commercial, Mr. Mohit Bhatia; CFO, Mr. Sanjay Kumar; and VP Finance, Manjeet Gulati.
I will now hand over the floor to the management for their opening remarks, which shall followed by a question -and-answer session. Over to you, sir.
Mohit Bhatia: Good afternoon. So first of all, in advance best wishes and happy Diwali and happy prosperous new year to all of you, ladies and gentlemen. So I am Mohit Bhatia, Director Commercial of Indraprastha Gas, and I welcome you on behalf of IGL management for tak ing out time and attending the Q2 earnings call for FY '25. Our Managing Director is not in the office as some preoccupation also. So mostly, he may join later on.
As you know, IGL is one of the leading CGD companies in India and is present in 4 states and 11 geographical areas. We have a good mix of now matured and emerging CGD geographical areas, which has been providing us both with challenges and as well as the o pportunities. In the terms of infrastructure development, I'm pleased to inform that our now steel network is almost 2,200 -plus kilometres and the MDP network is almost touching 26,000 kilometres , which provides natural gas to more than 28 lakh households as well as around 5,000 industrial customers and around 6,300 commercial customers.
So now IGL is operating for more than 884 CNG stations and serving to 2 million vehicles per day. In fact, this time, first time, we have crossed the landmark of 2 million vehicles per day also.
Secondly, during this festive season, once again before I proceed, I wish you all a very happy and process Diwali. Now I'd like to appraise you about some of the major business and financial

updates for the quarter 2. We have recently yesterday only declar ed our financial results for quarter 2 yesterday on 28 of October.
So first and foremost, I would like to inform that IGL has -- in first time, they have crossed a landmark of 9 million sales per day, and in the last quarter, we have averaged out around 9.03 million of standard cubic meters of sales per day. The CNG volum es have grown year -on-year basis by 9% from 6.25 million per day to 6.78 million. And the total sales during Q2 was 623

million metric cubic meters of the sales. There has been an average addition of around 15,740 new and retrofitted CNG vehicles on a month -over-month basis on an average over around 14,350, resulting in an increase of almost 10% in the CNG vehicular populat ion.
As far as PNG volumes are concerned, PNG gas volumes other than the natural gas sales to some of the entities, we have also delivered a PNG growth of 12% year-on-year basis. And breaking it down, if we see, so 12% is on the domestic front; whereas 13% increase in the commercial front; and a very healthy 11% growth, particularly in the industrial segment also, demonstrating the increase in adoption of PN

G ac ross all these segments, whether now it is PNG or CNG.
We are also focusing on volume growth in sales volume and are planning to achieve our sales target of 9.5 million per day for this year and already clocked 9.03 million during the current financial year. The company is putting a lot of effort in new GAs fo r increasing the sales. And now the volumes have started coming up good in other GAs also.
Regarding the financial highlights for the Q2 year -on-year are summarized as: There has been an increase in 7% in the turnover. And now during this quarter 2, we have achieved all -time highest the turnover crossing INR4,000 crores landmark. It is now INR4,070 crores. The EBITDA is INR536 crores, and profit before tax was INR564 crores.
There has been a reduction in EBITDA and PAT mainly due to increase in the input cost of the gas as compared to the same quarter of the last year. Recently, during the month of October, there has been almost a reduction of almost 20% in the allocation of t he APM gas by the authorities, and this will have an impact on the profitability during the year and has already been informed to all the investors through a filing in the Stock Ex change.
But we are looking at very positively through various options, particularly for gas sourcing, and have made some arrangements by tying up for some of the near -- gas in the near future. So company is exploring all the gas sourcing options and are in discus sions with various gas suppliers to meet our short -term as well as medium -term and the long -term demand.
In addition to that, company is also focusing on LNG and CBG to improve the volumes as well as the profitability. The company will keep on exploring strategic inorganic opportunities across India in CGD industry to accelerate our expansion, focusing on our core business as well as we have some other areas for investments under its -- our diversification initiative. So this will not only enable us in strengthening our market position while delivering sustainable returns for our shareholders.
Now I would like and request invite our -- Sanjay Kumar, Mr. Sanjay Kumar, our CFO IGL, to give his opening remarks.
Sanjay Kumar: Yes. Good afternoon, everybody. I'm Sanjay Kumar, CFO IGL. A warm welcome to all of you. We are happy to hold this earnings call on a very auspicious day of Dhanteras. So hopefully, the next year augurs well for everybody. Director Commercial has already elaborated on the various parameters. I would like to briefly tell you about the performance during the quarter as c ompared to Q1.

So we had a growth of 6% quarter -on-quarter. Our sale during the current quarter stood at 9.03 million cubic meter per day, which was 8.64 million cubic meter per day during the Q1 of the current financial year. Gross turnover saw an increase of -- growth of 5%, and EBITDA was down mainly because of the increased gas cost by 9%, approximately 9%. It was INR582 crores in Q1. This quarter, we closed at INR536 crores. And in terms of PAT, INR431 crores is the number for the current quarter. Last quarter, it w as INR401 crores, so a slight increase on quarter -on-quarter basis.
I would like -- also like to highlight that the company has achieved highest ever sales per day during the quarter that's gone by, 52,9 crores lakh kg per day. And in the month of October also,

we are seeing this increasing trend continuing. And happy to i nform you that 1 -- a single day sale of 55 lakh kg has also been achieved during this month. So going forward, we hope that the sales volume continue to grow.

Further, I'd like to highlight that the overall sales over -- last year, there was an increase of 9%, mainly contributed by 7% growth in Delhi NCR and 29% growth in newer geographical areas.

As far as our associates are concerned, they -- particularly MNGL is doing pretty well. Their volume

growth is around 16%, 17% year -on-year. And now they are selling 1.68 million cubic meters of gas per day. Our other associate, CUGL, Central U.P. Gas Limited is having a flat volume. And during the quarter, we have acc ounted for income -- from income of approximately INR80 crores from MNGL and around INR8 crores from CUGL. So that is as far as the associates are concerned.

So now we would also like to advise that we have declared a dividend of INR5.5 per share, which is based on half year payout of approximately 45%.

So with this, we'll close the opening remark and open the floor to a Q&A session.

Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: A very happy Diwali and a prosperous new year in advance to all of you. I had a couple of questions. One, you mentioned in the initial briefing that 9.5 MMSCMD is the target for this year. When we say that, do we mean that we hope to reach an exit rate of 9.5 MMSCMD for FY '25? And if so, what can we build in as an average volume target for FY '26 on this run rate? That's my first question.

Mohit Bhatia: Okay. So question by question we go, is it okay?

Probal Sen: Yes, sir. Absolutely.

Mohit Bhatia: Yes. So absolutely right, We have a target of 9.5 million per day. And if we see the Q2 average, we have returned around 9.03. So we are hopeful of touching in the balance period of the half year of around 9.5 million. There are certain reasons for that. T he way our -- in particularly CNG sales is growing. And not only in Delhi, Delhi is barring DTC, it is growing at 8%. Whereas the

best part is the Noida, Ghaziabad as well as the outside GAs, they are growing at around 17% to 18%. So we are very confident that things will go in our favour .

And secondly, on the industrial front also, you'll appreciate that now we are clocking almost 1.1 million of industrial and commercial sales per day. So growing at an average of 10% to 11%.

And PNG domestic is also because we have almost done around 1 lakh plus connections in last 6 months, and we have a goal of around 2 lakhs in the balance part of the year. So we are very positive to touch and maybe average of also 9.5 million.

Probal Sen: Sir, if I may expand a bit on the question. What do you -- I mean, given the reality of this APM allocation reduction, is it fair to assume that there will be some price correction upwards needed? And if so, will it dent our volume momentum to any extent? So how are we looking to basically balance this over the next 12 to 18 months?

Mohit Bhatia: Okay. So we were anticipating this. This would have been -- this would have come up. See, first of all, we are into very, very serious thoughts about the price hike. We had some discussions also. And based on the -- during the festive season, Diwali time a nd all just on the viewing of the sentiment of the customers and all, so at this juncture, we have not increased. But sooner, I think there will be some hike in the prices as we anticipate.

But nevertheless, I think there is a growing demand and the trend on the natural gas. And if we compare particularly with diesel or petrol, we have a good elbow room still to enhance and keep the motivation level of the existing and the prospective custome rs to continue with the CNG volumes.

Probal Sen: Okay. And sir, the second question was with respect to capex plans for the next year or so. If we can get a sense, broken down into what we are looking to spend on Delhi -NCR and what we are looking to spend in the other areas, whatever breakup you can give us.

Mohit Bhatia: Yes, yes. So we have a target of around INR1,700 crores of capex for this financial year. And almost, during the first half, we have incurred around INR500 crores already incurred. Fir

st half is a little bit slow because of finalization of some CNG stations and all -- and the other things get a little bit lag over during the first Q, Q1. So now we are really geared up and taking it.

So we have planned for INR1,700 crores to capex for this year. It will happen. Primarily, it will be like maybe around 45% to 55% in Delhi NCR and around 45% in the other GAs.

Probal Sen: Understood. Sir, last question, if I may. Any changes you want to make? You had earlier

informally, I think, given a rough EBITDA guidance that you would want to stay in the INR7 to INR7.5 per SCM kind of a range. In view of the changing cost mix and everything else? Are we still confident that we can maintain in this range going forward?
Mohit Bhatia: So that's the call, but we are definitely -- our aspiration is to maintain between INR6 to INR7. And for H1, it is already in that line, almost INR6.7. But there is a stress definitely on the EBITDA because of the APM cuts and the price revisions and all. But we are really looking into

very, very positively on identifying some better gas sourcing measures and look forward to maintain in this range, particularly around INR6 to INR7 per SCM.
Moderator: The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil: What one can assume the total volume for the next year FY '26 period? Any guidance from your side?
Mohit Bhatia: See, if we tell about this year, particularly '24 -'25, so we have a target of 3,400 MMSCMD for the entire year, and we had some plans for coming years. So I think at an average of around 8% to 10% will be growing year -on-year basis in terms of absolute vol umes of all these segments.
Yogesh Patil: So basically, our guidance is mostly on the 9.5 MMSCMD exit for FY '25. So can we build the 8% to 10% growth for the FY '26 exit?
Mohit Bhatia: So we look forward for that. We look forward for that.
Yogesh Patil: Okay. So sir, second question, what is the share of new well gas in the overall gas mix now? And if possible, if you could share the gas sourcing mix mostly on the non -APM side, it would be helpful.
Mohit Bhatia: So first, I'll respond to your second query. The thing is like now the non -APM share is like we have some long -term contracts. So almost 2.5 million. We have the RLNG; in particularly around 1.4 to 1.5 is Henry Hub based; and the balance around -- 0.85 to 1 is on the Brent -linked. So as such, as on date, APM and RLNG market driven is around 50% -50%.
So now coming to the newer things, so as and when the ONGC and from the GAIL, it is coming up the opportunity. So we are also participating and let's see how we get it. So you want to refer...
Sanjay Kumar: So in addition to what Director Commercial just informed, we have a total contracted quantity of 3.12 million, out of which 2.5 million is RLNG and around 5.6% is HPHT gas. So that is the overall contracted quantity. And with the reduction in APM, which is around 1 million cubic meter per day for us, that is the additional quantity which we are trying to source from different alternatives and best possible way we are trying to manage.
So in the month of November, we have arranged. And for a longer tenure basis, we'll have to work out the other modalities and whether we want to go for term LNG or not. That cause, we are in the process of evaluating and taking decision on that. so that wi ll also we'll have -- that factor will also have to be taken into the pricing decision, which we will have to make. So that is it as far as the sourcing is concerned.
Given that all the CGD companies, there is a cut. So the demand, of course, is going to be higher in the market. But we are trying our level best to achieve the best -- or the least possible cost for sourcing the remaining wantages.
Yogesh Patil: Sir, last question related to recent ch

anges in the APM allocation and related policy. So as per our understanding, the Ministry of Petroleum and Natural Gas has recognized ONGC's 4

MMSCMD gas as new well gas. Is there any application from the side of Oil India Limited to DGH or MoPNG which is seeking to recognize existing APM gas as a new well gas? Basically, we are just taking the possibility of any big size incremental cuts in the APM allocation. The same happened with ONGC. Any replica can happen with the Oil India Limited also?
Sanjay Kumar: New well gas is something where -- for the present situation, I'll say that there is a very miniscule quantity which has come into the -- for probably bidding or for allocation. We would also be representing that new well gas should be allocated in the sam e ratio as APM because it is the same domestically produced gas. As far as the conversion of existing wells to new well is concerned, it's difficult to say what is transpiring between the producers.
But I think next 2, 3 months, we'll have to wait and watch how much quantity towards that. At this moment, as you are already aware, 4 million quantity is something which is -- which has moved from APM to new well gas. So presently, I think it is already a booth, right?

Mohit Bhatia: So just wanted to add this HPHT gas is also likely to come maybe in a couple of months, by February. We believe that from February onwards, it will be available additional.
Moderator: The next question is from the line of Sabri Hazarika from Emkay Global Financial Service. Please go ahead.
Sabri Hazarika: Good afternoon and c ongratulations on good volume numbers. So firstly, a clarification. You mentioned 54.92 lakh kg. So that was the highest sale recorded during that -- during this Q2, right? Or was it some sort of average?
Mohit Bhatia: 52.94 lakh kg was the highest 1 -day sale, which we achieved during Q2. 55 lakh kg is what we achieved during October. So I was giving -- I was just giving a sense of how the sales volumes are moving.
Sabri Hazarika: Okay. And in terms of average sales for Q2, how much was it? During -- in Q2?
Mohit Bhatia: 9.03 million cubic meters per day. CMD, we were basically highlighting that we have achieved that highest sales. So CMD average was 48.12 lakhs per day.
Sabri Hazarika: 48.12 lakhs, right? So that was the average for Q2.
Mohit Bhatia: That was for the Q2.
Sabri Hazarika: Right. Secondly, regarding your LNG business. So what is the outlook? I mean currently, you have one station, right? So this volume is from that just one station alone. Is that right?
Mohit Bhatia: Yes, yes, absolutely. So we have one station at Ajmer. So currently, we are selling around 10,000 kgs from that per day. And we are going ahead with three LNG stations. We plan to commission it by the end of this financial year. maybe one at Dadri and Noid a and one at Rewari. So the construction is also going on, and we are hopefully to commission it by end of this financial year. So at the Dadri that one is at the CONCOR .

Sabri Hazarika: Right. And this is like in the EBITDA per SCM is same only, right, versus CNG business?
Sanjay Kumar: Yes. So considering the cost, the transportation cost and the taxes which the different structure excise duty is not there on LNG, so considering all these factors, profitability remains same.
Sabri Hazarika: Okay. And what is the final price for the LNG in that area?
Mohit Bhatia: As of now, we are selling both at the same price.
Sabri Hazarika: Okay. But there is no excise. So definitely the margin structure...
Mohit Bhatia: It's 82.94.
Sanjay Kumar: So excise is not there. You are absolutely correct. So that we have certain enhanced margins on that.
Sabri Hazarika: INR82.94 per kg, that's the rate, right?
Sanjay Kumar: Yes, correct.
S

abri Hazarika: Okay, sir. And...
Sanjay Kumar: Duty probably is offset by the transportation cost which we have to incur for transporting it through tankers.
Sabri Hazarika: Right, sir. And regarding our 3 -, 4-year plan on this LNG business, what is your outlook? I mean 3, you said by the end of this fiscal. But say, in the next 3 years, how much you are planning to aim? Because I think in some media reports, I think it was qu oted that you've got a very aggressive plan for LNG.
Mohit Bhatia: We have aggressive plans. So we -- as far for around 50 LNG stations in next 3 to 5 years. And we -- and you must be aware that the government has also given a boost they are planning to allocate around 0.5 million of gas on LNG from the APM listing. So go vernment is also looking from that angle, and we also, as far, to take it forward in next 3 to 5 years.
Sanjay Kumar: Just to add, the pace of the investment in LNG will be -- as and when we are increasing the station, we'll see the ecosystem how it is developing. And based on that, we'll pace our number of stations.
Sabri Hazarika: And this is like INR8 crores to INR10 crores per station, assuming that 10,000 to 20,000 kg you are able to sell?
Mohit Bhatia: Yes. Approximately INR10 crores per station.
Moderator: The next question is from the line of Kirtan Mehta from BOB Capital Markets. Please go ahead.

Kirtan Mehta: Congratulations on very strong growth numbers. You mentioned that we have a good differential to diesel and petrol. Would you highlight current differentials in Delhi as well as the current

differential to diesel in the new GAs?
Sanjay Kumar: Yes. So currently, diesel is at INR86, I'm talking about Delhi. And we are selling at INR75 per kg. So there is a difference of approximately INR11. And if we compare it with petrol, it is INR95, INR96 per lit re. And if we talk about operational efficiency, put together operational efficiency and pricing, it gives a benefit -- economic benefit of operating a CNG vehicle at around 40%, 45%.
Kirtan Mehta: And how does this change outside Delhi?
Sanjay Kumar: Outside Delhi, for our GA, it still remains around 35% to 40%.
Kirtan Mehta: 35% to 40% is in case of petrol, correct? What would be in case of diesel?
Sanjay Kumar: Diesel is something -- I think it's not more or less same. But diesel, generally, our vehicles are -- in Delhi, basically commercial vehicles are not allowed to be registered in diesel. At this one, unless it is a BS6 and the upfront cost is more. So from that perspective, for outside GAs, if we see the penetration also vis -a-vis diesel, it is CNG, which is taking the lead.
Mohit Bhatia: If you want, I can share you the prices of UP as well as Haryana just for your comfort. So Petrol is UP 94.65. And diesel is 87.82, and whereas CNG is 79.70. So barring that, this mileage advantage is also there. So it turns out to be around 40% in terms o f petrol and around 20%, 22% in terms of diesel.
Kirtan Mehta: Second question was, last time you had shared the growth numbers across different states, how the CNG volume growth is doing? Would you be able to share the similar numbers this quarter as well?
Mohit Bhatia: Sure. See, as I mentioned in my opening remarks also, see, UP, if we bifurcate particularly into NCR, Gautam Buddha Nagar, we are growing at around 11%. Ghaziabad, Hapur side, we are growing at around 20%. Whereas other parts of the UP, it is almost around 40% also and the volumes are also that way. So at an average, it is around 40%. Haryana, in particular, Rewari, we are growing at around 21%. And Gurugram around 12%. And Kaithal and Karnal also had a range of 29% to 30%; and Ajmer because o f the less volumes and all, it's growing at around 95%.
Kirtan Mehta: And in terms of the INR6 to INR7 for maintaining that sort of price range probably will have to take pr

ice hike of at least INR2 to INR3 per kg. So would that then impact the growth?
Mohit Bhatia: So I think somebody asked earlier also. So we don't anticipate that there will be a much deceleration in terms of growth because still there is a lot of elbow room as well as compared to diesel petrol vis -a-vis CNG. So around INR2 to INR3 hike will not put any deceleration on the growth of the CNG in particular.

Sanjay Kumar: Just to add more, if you're talking about the reduction, how much price increase it warrants, that is around INR5 in Delhi and around INR5.5 to INR6 in other states. So that's the kind of impact it warrants to maintain the same level of EBITDA, that increase is required. So we are evaluating, and we'll take a call based on the decisions which we take on a longer -term basis for sourcing.
Kirtan Mehta: When we calculate this price impact, this is by assuming that it will be replaced with HPHT, right? Or are we assuming the replacement with the RLNG?
Sanjay Kumar: For the time being, we have basically -- sourced for November, that is through our RLNG -- short -term RLNG tendering, which we had done, we have -- we are in the process of finalizing and some quantity we have bought through IGX. For longer tender, we are still evaluating all the options, and we'll take a call on that. HPHT, as and when it comes, will, of course, be taking that. But I think at this point of time, in short term, there is nothing which is going to come. Probably next January or February, some thing is about to come. along with new well gas also. So we'll evaluate at that point of time, and we'll take a suitable call.
Kirtan Mehta: Is there any possibility of reduction in excise duty rates to offset some of the impact? Would the government be open to consider that?
Mohit Bhatia: So government, we had, in fact, given some suggestions and had some meetings also, government has called. So they are looking at into all possibilities for the reduction in the excise duty as well as putting into the GST regime also. So things are going on . Because government is also very keen from putting the energy basket natural gas to 6% to 15%. So hopefully, things will be positive. It will happen. Something should happen.
Sanjay Kumar: Our wish is that it is removed or reduced. And hopefully, I think immediately, even if nothing comes immediately, I think the budget is also only 2, 3 months away. So probably something might come during that. That's our hope.
Moderator: The next question is from the line of E.A. Sundaram from Buglerock Capital.
E.A. Sundaram: I have two questions. First is actually a request as a long -term shareholder. You definitely would have observed that there's recently been another round of apprehension around IGL stock price,

and this is regarding the reduced APM gas allocation. And the real fear is that the rising gas prices would adversely affect the company's profitability prospects.
Now I know that it's difficult for you to give projections about the future how the margins would move and all that. But my suggestion is we can talk of the past and how such situations have been handled by IGL. This is not the first time gas prices are sh arply going up. It has been done many times in the past, and I'm sure it will happen in the future also.
For example, I remember in 2010, the APM gas costs went up from $1.79 per MMBtu to $4.2 per MMBtu, sharp, more than doubling of price. So at that time also, IGL was able to pass on the price increase and the volumes did not suffer as much. So my suggestion , gentlemen, is that you please put in a presentation in your own website giving past data. You don't have to give

any future projections. You just give past data of how the gas prices have moved in the past, how you supported -- how you protecte

d your spreads and how the volumes did not fall.
If such a presentation is put on your website, it will ease the apprehension of the investment community. That is my first question.
Mohit Bhatia: So I appreciate your concern, and your suggestion is well taken and noted. I think it's a wonderful suggestion to give a comfort to the investors. So very rightly, you said that in the past also similar situations have occurred during 2010 also. And then this geopolitical issues, the war issues and all, and current also, it is like that. So good thing is that IGL has a very, very diversified and a large basket of gas sourcing portfolio. So our dependency is not there on one particular contract or so. So we have a diversified this thing and we are quite mindful of this.
And I agree and appreciate that these type of situations do occur. So for that, we have certain plans, and we are aggressively looking after in some long -term sourcing fresh ones also.
Secondly, on the price hike, I have already mentioned that due to some sentiment, festive and all, we are into strong discussions at appropriate levels for increase the price and passing on to the customers. But that is not going to impact our expansions o r the volumetric growth because still, vis -a-vis alternate fuels, we have a good elbow room. And the conversions are happening very aggressively, whether it is on the CNG front, whether it is on the domestic front or whether it is on the industrial and co mmercial front also. So I think we'll be able to navigate through well.
E.A. Sundaram: Yes. I'm sure you will. I'm just requesting that in order to make our position clear. One additional slide in your presentation giving the history of gas cost per SCM and your selling price per SCM. If you can give that, that will ease some of the apprehen sions that the investment community has.
Mohit Bhatia: Sure. So we will look into it and your suggestion, well taken and noted.
E.A. Sundaram: Good. My second question, sir, is I would like to know what steps the company is taking to develop the geographical area of Gurugram, which has been partially allocated to IGL already.
Now I know that the other parts of Gurugram are disputed and therefore, sub judice, and you may not wish to comment on that. But my question is, what development steps are you taking to develop the CNG and PNG infrastructure in the areas of Gurugram already allocated to IGL and not under dispute?
Mohit Bhatia: So very well, I think you have already mentioned in your answer -- in your question also that it is sub judice and under dispute and all. So difficult to comment at this stage. We are looking at -- on some of the options, how to proceed on that.
E.A. Sundaram: No, no, no. So I'm not talking about the ones that are under dispute. I'm talking of the 1/3 area which is not under dispute. So I want to know what the company is doing to develop that particular area.

Mohit Bhatia: So that, we are already into it, and we're developing that. That is not an issue. And maybe some here and there, but it is very much in the radar and taking it forward.
Sanjay Kumar: I would also like to add that if you see our volume numbers, sales volumes, Gurugram has shown a growth of 20% year -on-year. So that basically tells you about our expansion plans which are already taking place in that geographical area. Whatever best is po ssible, that we are already doing.
E.A. Sundaram: Yes. And I hope the steps are being taken from both parties sides to solve this dispute as early as possible because it is too important for the company.

Mohit Bhatia: Yes, yes, sure. Noted. So I just pause at this juncture. CEO, our Managing Director, have also joined. So welcome -- on behalf of IGL management, welcome, Mr. Chatiwal. So he has also joined just now.
E.A. Sundaram: Good afternoon.
Kamal Kishore Chatiwal: Good

afternoon to everybody.
Moderator: The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: So first, I wanted to understand about the mandatory that EV norm for cab fleet. So I believe the registration has been made mandatory and the policy has been rolled out. So I just wanted to get a sense about what is your feeler that you're getting. Like I think it's been 4 or 5 months since the registration has started. Could you just speak on that a bit?
Sanjay Kumar: You were asking about registration of EVs?
Amit Murarka: Yes, the mandatory registration of all cab fleet operators.
Sanjay Kumar: Yes. Okay. So this policy is already there for almost a year, and we have not seen any significant fall in our penetration. Rather it has gone up. Last year, I think the penetration for CNG vehicles across 4 -wheelers and 3 -wheelers was approximately 24% -- 24%, 25%. Now it is around 27%, 28%. So there is no meaningful impact of that policy, which we can -- which is visible at this point of time. The timeline is '25 -- that 5% vehicle -- 5% of the fleet has to be converted and gradually, it goes up to 100%. But at this point of time, we are not seeing any adverse impact on CNG assets. So we'll have to wait and watch to...
Amit Murarka: Could you -- so this is the overall rate, I believe. Could you speak more specifically about the cab fleet operators' segment? I mean, how are you seeing that segment behave in response to the policy? Because I believe that the registration has been mandatory and even fines are being levied for those who have not registered under the policy.
Kamal Kishore Chatiwal: Yes. You're right that registration is not mandatory. But this policy is for new vehicle addition, already the vehicles which are flying on the roads. They have still some years to go before their expiry. So they will continue. And in case of new additions ; so that will be like that. So that's why we are not seeing too much of conversion to electric at this moment other than the Delhi

Transport Corporation. The private vehicles additions are definitely there. but the existing numbers continue to be with us.
Amit Murarka: Sure. And any hiccup in the implementation or any issues that you're seeing on this policy front?
Kamal Kishore Chatiwal: So we are not seeing, but there is not much enthusiasm about this policy among the cab aggregators and others.
Amit Murarka: Do they have an alternative way out? Because when you say that there's no enthusiasm, I mean, do they option to kind of not be part of this policy? I mean, maybe the fourth year, which is why I think is like that, but is there any option out of the policy?
Kamal Kishore Chatiwal: Because charging infra is not there. So that is one constraint that they are seeing. And of course, the upfront cost is also there. If you see the number of petrol, diesel, CNG, EV vehicle additions in the January to August, the 6, 7 months of the calendar year, the CNG vehicles have shown a growth of around 4%, Whereas EV is around 7%. So that's the all India picture. So we are seeing good numbers of vehicle additions in CNG also. Yes, there will definitely be addition of EV 6% to 7%, 10% vehicles, new vehicles would come in EV. But the other segments continue to grow.
Sanjay Kumar: In addition if you see, there are 2, 3 factors which will impact the growth of EV vehicles. One is that this policy is specifically brought by the government of Delhi. And the NCR region has a much wider vehicle population, which contributes to the aggrega tor fleet overall. So that is one, which might have their -- which might have its own impact on the conversion numbers.
Another is if you see the model of -- or the operating model of these cab aggregators, Ola and Uber mainly, it is -- these vehicles are owned by the drivers. And if you ask a driver to buy a vehic

le, which costs INR12 lakh or INR11 lakh versus a CNG vehicle which he buy for maybe INR6 lakh or INR7 lakhs, that's too much an ask for a driver to take it on -- take that burden on himself. So unless they change the model, it will be -- from a financial perspective or from an economic perspective, it will be difficult for...
Kamal Kishore Chatiwal: Anyways, from the company's perspective, we are not seeing a huge impact. We are not able to see any impact of that policy on our existing sales. Maybe the future growth that was there, 10%, 11%, that may be slightly impacted.
Amit Murarka: Okay. sure. And also just on the Henry Hub contract, you mentioned that you have a Henry Hub linked contract. Beyond -- what is really the formula of that contract, like; Henry Hub plus, what is the constant?

Kamal Kishore Chatiwal: Actually, that is the commercial agreement within two mutually agreed. So we'll not be able to share that.
Moderator: The next question is from the line of Nirmal Gore from Aditya Birla Life AMC.
Nirmal Gore: First of all, wishing you all a very happy Diwali, I have two questions. First is on the line of our APM gas reallocation and second one is on line of price hike. So you mentioned about interactions going on with the Ministry of Petroleum and Natural Gas. So just wanted to

understand what's the government's rationale behind this sudden decline -- sudden decline of 20% towards CGDs. That's my first question. And the second one is, so historically, after the price hike. how have...
Moderator: I may request that you return to the question queue for follow -up question as there are several participants waiting for their turn. You can ask only one question.
Sanjay Kumar: Just to clarify, we never said that we are in discussion with MoPNG.
Kamal Kishore Chatiwal: Actually I would clarify on the issue. The domestic fields, they are depleting every year at the rate of 6% to 7%. For the past couple of years, the ministry has not passed on that decrease to the CGD entities being the first priority sector. Now there has been a thinking that whatever the accumulation of the past has been there. So slight allocation can be passed on to other players also in addition to CGD. So that's why this cut was there, that from 3 million to 4 million cut was t here.
So that is -- basically, you can say it happened all of a sudden because it was an accumulation of the past a few percentages here and there. So those got accumulated and the result was this. Going forward, we don't see such drastic cuts. And gradually, we are preparing ourselves for maybe going forward, the allocation going down further, but at a slower pace. But structurally within the sector, there is -- structurally, there is no issue in the sense that growth continues to be very, very strong. And yes, sourcing at this point is an issue. But in another 2 to 3 months, we see it easing out.
And as soon as we get some favourable contracts, the softening of global contracts, so all of us can tie up the long -term contracts. And then -- and we are hopeful that, that will be near to the whatever is the APM price at that time. So structurally, we don't see any problem in the sector.
Nirmal Gore: Okay. Okay. Understood. And just -- so you mentioned about historically, such prices have been hiked and the volumes have been absorbed. I just wanted to get a sense of how the industrial customers and nonindustrial customers have reacted to such price hik es historically. If you can give us a sense of that.
Kamal Kishore Chatiwal: Industrial and Commercial segment, in any case, is 100% RLNG -dependent. It is not -- there is no APM allocation for those two sectors. So they were anyway linked to the market. And there, the pricing there is very, very competitive as compared to the alter nate fuels. As far as domestic PNG is concerned, we contin

ue to get 105% of our allocation. So that -- there is no change in that. Only change has been in the CNG segment, where this reduction has been there.
So going forward, we see that all the states as well as the center is also rationalizing. There's a discussion about excise duty rationalization. Sales are acting on the bad part. So all the state governments are very active on that front. So we see that g oing forward, taxation would also be favourable . Any impact of reduction of these APM allocation would be offset by rationalization of taxes.
Moderator: The next question is from the line of Vishnu Kumar A.S. from Avendus Spark.

Vishnu Kumar A.S. Directionally, we seem to have multiple concerns that, I mean, as you've been highlighting in the call that either gas -- from the gas side, we are seeing structural problems. And EV also seems to be some sort of a threat. So for the survivability or the l ong-term prospects of the industry, what is it that we are currently in dialogue with the government in terms of, let's say, the gas supply or, I mean, taxation or in terms of the investments, just to this aspect, if you could help us und erstand what can government realistically help us over the next 1 year, 1.5 years, where we can -- it will be a support for the industry? We've heard about GST coming, but it's not really played out. What can realistically something that we can expect from the government?
Kamal Kishore Chatiwal: You see, we are in discussion with government for rationalization of taxes only. The GST is a difficult thing that we understand if it is happening, that is very good for the sector. But in case,

that is little distant away, then we see rationalization of excise duty which we feel is slightly on the higher side, then VAT of certain states are very, very high. So we see rationalization in those states.
Third is GST on the LNG fleet vehicles or CNG vehicles or the equipments used for CNG and LNG, PNG, all this attract -- presently attract around 28% GST. So that rationalization of that, maybe EV is at 5%, so maybe in between some values, say, 12%, 14%, so mething like that. So these are the issues which we are in discussion with government. As far as the sourcing of gas is concerned, that is -- individual company is doing that. And that is there because of our portfolio, we are able to source some of the g ood quality gas at a reasonable price.
Second is with respect to product pricing, there again, the competition is with the alternate fuel. So we have to remain competitive to increase conversion. So that is also not dependent on the government. So with the government only, there are a few issue s of taxation we are in discussion as well as -- because the allocation in any case is a given thing that if the fields are going down, if the APM fields are going down, so that is going to go down. But the consumption in the country is going up. So we ha d to find new ways of sourcing gas, maybe some Henry Hub -linked or Brent -linked or other indexes linked gases. So that is for the company to decide.
As far as the threat of EV is concerned, yes, we agree that EV numbers will go up. But there is no existential threat in the sense that CNG is growing at a much faster pace as compared to all other fuels. In fact, we see degrowth in petrol and diesel segme nt and a good amount of growth in CNG. EV is also growing, no doubt. But the growth in this sector is there. And if we see the growth of the country or the segment or the transportation segment, particularly the private vehicle segment, there is huge grow th we see going forward in 4 -wheeler segments, especially. And now with 2 -wheeler also, there is a CNG variant. One OEM has already -- Bajaj has already come out, and others are also coming up shortly in 2 -wheeler segment.
So rather there is a threat of CNG in 2 -wheeler also now. So w

e don't see the -- it has a existential
threat. Yes, they will also continue to grow, and we will also continue to grow.
Vishnu Kumar A.S. Sir, one connected question only on the same. Until the government cuts any taxation for us, will we settle for a lower margin per unit? Because if you raise prices and at least in newer areas, the spread -- absolute spread has come down for us. Rather, it is only INR10, which is not really

the normal of INR20 plus. So will we settle for a lower margin until you get something from the government? Or you will aspire margin over volume?
Kamal Kishore Chatiwal: So you see we are on the lookout for some long -term contracts. In case we are able to source gas at a cheaper price or closer to the APM, then the margins again will go back to those levels. In addition to that, the price breaks are also always on the card s. So depending on the sentiment, we will take a call on that.
Moderator: Ladies and gentlemen, due to time constraints, that was the last question. I now hand the conference over to Mr. Nitin Tiwari for closing comments. Please go ahead, sir.
Nitin Tiwari: Thanks, Nikita, and thank you, everyone, for being on this call. Due to paucity of time, that was the last question. So if you couldn't ask the questions, we are really sorry for that. Please send across your questions to us or put them to the management d irectly, and they'll be answering the same. And wish you all a very happy Diwali once again.
Kamal Kishore Chatiwal: Thank you, and wish all of you a happy Dhanteras and happy Diwali and coming festive season. Thank you all.
Sanjay Kumar: Thank you so much. Thank you, Nitin. Thank you PhillipCapital. Thank you.
Mohit Bhatia: Thank you.
Moderator: On behalf of PhillipCapital India Private Limited, that concludes the conference call. Thank you for joining us, and you may now disconnect your lines.

Call: Jan 2025

"Indraprastha Gas Limited
Q3 FY '25 Earnings Conference Call"
January 28, 2025

MANAGEMENT : M R. KAMAL KISHORE CHATIWAL – MANAGING DIRECTOR – INDRAPRASTHA GAS LIMITED
M R. MOHIT BHATIA – DIRECTOR , COMMERCIAL – INDRAPRASTHA GAS LIMITED
M R. MANJEET SINGH – VICE PRESIDENT , FINANCE – INDRAPRASTHA GAS LIMITED

MODERATOR : M R. YASH NANDWANI – IIFL CAPITAL

Moderator: Ladies and gentlemen, good day, and welcome to Indraprastha Gas Limited Q3 FY '25 Earnings Conference Call, hosted by IIFL Capital. As a reminder, all participant lines will be in listen-only mode, and there will be an op portunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touc htone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Yash Nandwani from IIFL Capital. Thank you, and over to you, sir.
Yash Nandwani: Thanks, Sejal. Good day, ladies and gentlemen. On behalf of IIFL Capital, I welcome you all to Indraprastha Gas Limited Third Quarter FY '25 Earnings Conference Call. Today, we are pleased to have with us the senior management team of IGL, led by Mr. Kamal Kishore Chatiwal, Managing Director; Mr. Mohit Bha tia, Director, Commercial; and Mr. Manjeet Singh, VP, Finance.
I will now hand over the floor to the manageme nt for their opening remarks, which shall be followed by a question-and-answer session. Thank you, and over to you, sir.
Kamal Kishore Chatiwal: Good afternoon, ladies and gentlemen. I'm Kamal Kishore Chatiwal, Managing Director of Indraprastha Gas Limited. On behalf of the entire IGL management, I extend a very warm welcome to all of you, and thank you for joining us for this conference call. Your continued support and confidence in our company drive us to achieve greater milestones.
This quarter has been particularly challenging in terms of gas sourcing front. On October 16, there was a significant reduction in APM gas supply by approximately 1.08 MMSCMD, followed by another cut of around 0.8 MMSCMD in November. As a result, our total available APM gas reduced from 5.11 MMSCMD to 3.23 MMSCMD, posing a challenge for future gas procurement. However, IGL has been proactively addressing this issue.
We have successfully secured additional gas vo lumes at competitive price from our existing suppliers and the details are as follows. First is the additional volume of 1 MMSCMD of gas linked to Henry Hub Index for a period of 5 years. Second, company has added another 0.65 MMSCMD of gas, initially linked to Henry Hub and later shifting to Brent crude with the volume increasing to 1 MMSCMD over time.
Both these agreements are competitive in the current market with gas price of these additional volumes remaining within INR38 to INR40 per SCM. Recently, with effect from 16th of January 2025, our domestic gas allocation has also been partially restored, bringing back approximately 1 MMSCMD out of 1.88 MMSCMD reduction that was made earlier in Q3.
Further an additional 0.5 MMSCMD from new well gas has also been allocated to IGL, and that would be from 1st of February, strengthening our total gas portfolio for the future. With these measures in place, IGL now has more than 9 MMSCMD of gas available, making us future-ready.

The major performance highlights for the quarter are as follows. On the sales front, we achieved an average sales volume of 9.11 MMSCMD this quarter, reflecting a 7% Y-o-Y growth. And if we see the bifurcation in the segment-wi se, CNG segment has grown by 6% and PNG segment has achieved double-digit growth of 12%.
And within PNG, the industrial segment has seen an impressive 16% growth, while domestic PNG has grown by 17%. The commercial segment grew by 10%. Notably, we recently crossed 1 million mark in industrial sales, a significant milestone for our company. Looking ahead, we expect to exit this financial year at 9.5 MMSCMD and anticipate that we'll be reaching in 1 year's time 10.5 MMSCMD.
In our new geographical areas, we have witnessed strong double-digit Y-o-Y growth. While Delhi NCR has showed a growth of more than 5%, the outside GAs have

shown an overall
growth of more than 30% in both CNG and PNG segment. With this st rong growth trajectory, IGL remains committed to expansio n, sustainability and delivering long-term value to its stakeholders.
Now I would like to invite our Director, Commercia l, Shri Mohit Bhatiaji, to share his insights on our financial performance.
Mohit Bhatia: Thank you, Mr. Chatiwal. Good afternoon, ladies and gentlemen. I am Mohit Bhatia, Director, Commercial at Indraprastha Gas Limited. Thank you all for taking the time to join us today. I hope you had the opportunity to review our Q3 financial results, which were released yesterday on 27th of January '25.
I take this opportunity to highlight our key financial and operational achievements for this quarter. As you are aware, the sales volume gr ew from 780 million standard cubic meter to 830 million standard cubic meter, registering a marking of around 7% Q-on-Q increase in growth. The CNG sales rose by 6% from 6.33 million per day to 6.7 million. And the total CNG sales in Q3 stood at 616 million standard cubic meter. As we registered good growth in Delhi NCR, our GAs also registered almost 30% plus growth in CNG.
We have also witnessed an increase of CNG vehicle population with an average addition of 17,100 new and retrofitted compar ed to around 14,700 vehicles in the previous quarter, reflecting a 16% growth. On the PNG front, our domestic PNG sales increased by 7% year-on-year basis -- 17%, I repeat. Commercial PNG growth was around 10% year-on-year basis and industrial PNG growth is 16%.
In fact, in the month of December, particularly, we crossed an average of 1 million of industrial sales, all-time highest in industrial segment for IGL. With this continued focus on our volume growth, we are very confident of achi eving 9.5 million of exit sales target for this current financial year '24-'25. And the company is also investing heavily in new GAs to enhance the sales volumes.
Financial performance and infrastructure development. I would like to just share out here that the gross turnover was INR4,130 crores, a 6% growth quarter-over-quarter. The EBITDA was INR363 crores. It was down by 36% year-on-year, primarily due to higher gas input costs, but

a lot of mitigation has been already done. The profit after tax, PAT was INR285 crores for this quarter as compared to INR392 crores for the quarter 3 of the last year.
On infrastructure front, IGL has already developed a 2,280 kilometers of steel pipeline network and 26,000-plus kilometers of MDP network, and we are now providing our natural gas to almost 2.9 -- touching almost 3 million lakh customers, 5,000-plus industrial customers and 6,600 commercial customers.
So IGL is now operating at 899 CNG stations, serving almost over 2 million of vehicles daily.
On our future outlook and diversification, apart from our organic growth, IGL is actively exploring diversification opportunities and inorganic acquisitions for future expansion. With
secured gas supply now, we remain confident of achieving 9.5 million of gas this year as exit and maintaining an EBITDA in fu ture in the range of around IN R7 to INR8 per SCM annually.
So with this, I conclude and the fl oor is open for the Q&A session.
Moderator: The first question is from the line of Probal Sen from ICICI Securities.
Probal Sen: Just on the last bit, in fact, what Commercial Head sir said about the EBITDA guidance of INR7 to INR8. If I look at the cost of the new gas sources that was mentioned, just wanted your sense of how much of price increase will be re quired at this point of time to go from this INR4.3 to, let's say, INR7 of EBITDA? And what kind of timeline are we looking at to sort of gradually restore margins to these levels?
Kamal Kishore Chatiwal: I think, if you see, the 50% of our domestic gas has been restored. So whatever impact was there, so that has got re

duced by almost 50%. If we have INR2 increase per kg, then I think -- INR2 per SCM rather, then I think that should take care of us reaching back to around INR7 to
INR8 range.

Probal Sen: Right. Sir, forgive me, but that would be probably for this year. The way that gas output is going, do we actually believe that the gas allocation would now remain on this absolute figure? So therefore, whatever volume increases that we see will have to be met through alternate sources. And therefore, the cost of gas on a blended basis will keep on increasing as we go along?
Kamal Kishore Chatiwal: Our belief is that the domestic gas production per se will not go down. So that will remain -- rather increase. Only thing is that the nomenclature that new well gas, whatever APM cut would be there would be replaced by new well gas, which is around 20% costlier than the APM. So...
Probal Sen: So on an average, blended gas cost -- sorry, sir, go ahead.
Kamal Kishore Chatiwal: Yes, yes. So what I would say is that the total, we'd say APM and new well gas, if we take it as, say, today, we have 4.26. So that, I think, would continue to remain in this range only.

Probal Sen: Right. So is it fair to, therefore, assume, sir, that around a 5% blended increase in gas costs can easily be passed on an annualized basis, because the cost of everything keeps going up. Is that how we are looking to sort of keep improving?
Kamal Kishore Chatiwal: So the weightage of that is only, you can say, 20% or so. So 70% to 80% would again be APM. And we believe that given that now ONGC has also appointed a technical service provider, I think the production, especially keepin g the fact that CGD is the priority sector. So that we believe that this value would remain.
Probal Sen: Got it, sir. The second question, if I may, sir, was on the 17,100 plus number mentioned of new vehicles and retrofit. I just wanted to understand, sir, the demand from commercial vehicles, if it is there in and around the NCR, is that reported under the commercial segment? Or does that -- I mean, that would still form part of the CNG segmen t? Is it possible to, therefore, put a number on what percentage it is of total sales today?
Kamal Kishore Chatiwal: Actually, there was a huge increase from the private commercial -- private vehicle space in the CNG segment in Delhi NCR that we saw, especially in the month of Diwali. There was a huge increase. So we had around 24,000 conversion in the month of October and majorly contributed by the PV segment, passenger vehicle segment. And the commercial, again, continues because of the GRAP-IV that you -- GR AP operation in the Delhi NCR region. It's not only in Delhi, but it's the entire NCR that is covered. So that has also accelerated the conversion, I would say.
Mohit Bhatia:: In fact, just to add, regarding this April to November, if I recall, there was a substantial growth in addition of CNG vehicles, particularly by 46%.
Kamal Kishore Chatiwal: We see the continued growth in commercial space also due to GRAP and environmental concern basically.
Moderator: The next question is from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: Congratulations for the good set of numbers. Sir, as you mentioned in the initial remarks that you are confident to achieve 9.5 MMSCMD exit sales volume in FY '25. So could you please share what is the current sales volume? Because as per our calculations, it suggests you require closer to 7% kind of sequential volume growth, then only you can achieve the 9.5 MMSCMD from the current level of 9.11 MMSCMD. Could you please throw some light what will lead to the 9.5 MMSCMD exit sales volume in FY '25?
Kamal Kishore Chatiwal: Actually, we were growing very st rong in the third quarter. The in itial 15 days were very, very strong before this cut. Now what happened af ter the cut was that we had to source this 2 mil

lion gas immediately from the market. And unfortunately, during that period, the spot prices were very, very high, around $14, $15 per MMBTU. So whatever sourcing we were doing was at a very high level. I mean, which was not, I think, sustainable for us to pass on immediately. So we had to reduce deliberately th e growth in some of the GAs just to cater to our existing customers.

So seeing that kind of volumes, because 55 lakh kg was the number that we touched during that October month. And subsequently, we brought it up below 50. So we are confident that 7%, 8% growth in these 3 months is very much possible and the 15, 20 days when we have restored our original supplies, so again, we are back to those levels, which we were achieving before the supply cut.
Yogesh Patil: So the current sales volumes are much, much closer to the 9.5 MMSCMD. Is that a correct understanding, sir?

Kamal Kishore Chatiwal: Yes, yes. That is correct.
Yogesh Patil: Okay. And sir, if you could provide some volume growth guidance for FY '26 and '27, if possible?
Kamal Kishore Chatiwal: You see '26, because the visibility is there in th e existing -- in case we are able to acquire 1 or 2 GAs more, so then that will change. But the current scenario, I think 1 million, 10% to 11% growth, we are clearly seeing, especially given that our new GAs are also now adding to that.
So I think 1 million we will be adding in th e next 2 years, every year, 1 million each.
Yogesh Patil: And lastly, on...
Mohit Bhatia: Yes, sorry, just to add, see, if we dissect it on segment-wise also, see, currently, our GAs are also growing around 30% on a handsome double digit and contributing to almost 1/3 of the share, plus Delhi NCR also is growing. In fact, NCR is growing very good, around 12% to 13%. So this is on the CNG segment.
But particularly, if you see PNG, we are adding almost 3 lakh customers year-on-year basis, which almost is contributing to a growth of 15%, 16% in domestic PNG. And apart from that, industrial and commercial, we are also adding around 1,200 customers year-on-year basis. So that is also amounting to around 10% to 12%. So I find it very confident that we can easily grow on the numbers.
Yogesh Patil: And lastly, sir, if you could share the gas sourcing details for only CNG right now, and how it will change considering your new gas sourcing contracts in medium term? If you could throw some light on this?
Kamal Kishore Chatiwal: Actually, right now, we are ge tting -- roughly 51% is APM al location, which is the firm allocation. In addition to that, some new well gas plus HPHT would be another 15% to 20%, we feel that given that 0.5% has been allocated. So 7%, 8% kind of value would come from there. And rest 40% would be sourced from RLNG , for which we have -- the existing contracts are -- we feel that we will be able to sell at thos e levels. And I think it is very attractive that we can sell with the existing products.
Moderator: The next question is from the line of Pratyush Kamal from InCred Equities.
Pratyush Kamal: So sir, one question which I have is regarding your current tax structure, because there has been a lot of noise about bringing natural gas in to the GST regime. So how does the current tax

structure looks like currently in natural gas? So you get the gas from GAIL. So does it attract additional VAT? And do you get any input credit for that? Because since I think it would be interest rate transfer, you might not be getting that. So what's your comment on this aspect?
Kamal Kishore Chatiwal: I think the major challenge for the entire sector is the 15% Gujarat VAT that is liability on any gas that lands in Gujarat. So this includes the imported RLNG as well as the domestic APM gas, because it lands at Hazira where the purifi cation, etcetera, is being done. So the 15% is, I t

hink, a big number. So that is the major cause of concern. Once the gas is in GST, so that will be a big relief for the sector.
Additionally, every state has a different kind of VAT structure. And the main challenge is in states like UP, where the input is 10%, and you don't get input credit on the output, and output is at 12.5% VAT. In addition to that, the excise of 14% remains. So these are the major tax structures. Plus in case we are sourcing, I mean, in high seas, then the 2% GST is applicable.
Pratyush Kamal: Understood, sir. And just to clarify this, so the 15% is being paid by the GAIL when we gets the gas from Petronet. And when the GAIL gives you the gas, then you'll have to pay additional 2% VAT because of this interstate transfer. Am I correct? Or is there something different?
Kamal Kishore Chatiwal: Yes, that is correct. That is correct.
Pratyush Kamal: Okay. Okay. So now sir, post IGL, when it goes to customer, what are the different VAT which are put on CNG and PNG for Delhi specifical ly? And what's the addi tional cost which is involved in the compression? And is it included in GST, because then you might be getting the input credit for that GST which you would have put in into the compression, right? So like what's your take on that?
Kamal Kishore Chatiwal: I think I will ask Manjeet to clarify this.
Manjeet Singh: In Delhi, there is no VAT as on date on sales of CNG. Even there's no VAT on purchase of natural gas used for CNG. Regarding your second question on GST, right now, the compression charges what we are paying, we are paying GST on the services that we are using, for which we are not getting any input credit, because CNG is still not under the GST regime. So once the GST comes into picture on natu ral gas, we'll get the benefit of all the GST we are paying on our input for compression and other activities.
Pratyush Kamal: And PNG...
Manjeet Singh: PNG, that is taxed at 5% right now. The input VAT is also 5%, but that is convertible. So net impact is a 5% tax on output side that we pay.

Pratyush Kamal: Understood. And sir, what's the formula of the Henry Hub and Brent-linked contracts which you have made?

Kamal Kishore Chatiwal: The formula, I think it is a commercial arrangement between mutual parties. So that would be difficult to share. But it is very, very attractive as compared to the industry. That is all we can say.
Moderator: The next question is from the line of Amit Murarka from Axis Capital.
Amit Murarka: So just wanted to check like has the drag from DTC buses now stopped? Or is that still impacting your numbers in Delhi?
Kamal Kishore Chatiwal: No, it is still under progress. So what we can say is 9 months, this has impacted the sales. Otherwise, we would have grown -- Delhi was almost flat, maybe 3% growth. But otherwise, if you leave aside the DTC, it has grown by 6%. So impact is still being felt. I think 40% buses are still there.
Amit Murarka: Right. And also, I missed the comment on price hike. I think you mentioned the INR2 per SCM is needed to maybe go back to the INR7 to INR8 range. But lik e what is the thought process now on kind of making these price adjustments? Like is it basically the election factor? Or is there anything else? If you could just throw some light on that?
Kamal Kishore Chatiwal: Actually, we balance both the growth as well as the margin. So what I would say is that because the sourcing was so sudden, so we had to source and then adjustment, because we don't want to shock the customer into believing that this fuel is not very reliable fuel. So that's the dilemma for us and Delhi being the largest market. And so any response from our side has to be very calculated. So we'll take a call. And we have taken some price hikes other than Delhi to the extent of IN R4 in some of the GAs.
Amit Murarka: Right. No, I understand for December, but now I th ink the so

urcing is more or less now clear and maybe stabilized. So I believe you'll have a good sense of your cost structure now. So just wanted to understand like when do you think you can go back to that INR7 plus margin range now?
Kamal Kishore Chatiwal: I think in this quarter, we are h opeful that we'll be in that range.
Amit Murarka: In Q4, you mean?
Kamal Kishore Chatiwal: Q4.
Amit Murarka: Okay. Sure. And also on the cap ex for next year, will it be in the INR13,000 crores range?
Kamal Kishore Chatiwal: Yes, it will be in the INR13,000 crores to IN R15,000 crores, because we are looking at some of the diversification initiatives also. So if they materialize in this quar ter, then I think it may even exceed INR13,000 crores to INR15,000 crores that we have projected.
Amit Murarka: Okay. And out of the total CNG stations , how many are in Delhi right now?
Kamal Kishore Chatiwal: Delhi is around 500. We have around 400 petr ol/diesel dispensing stations and 500 is CNG.

Amit Murarka: No, no. What I meant was, in Delhi, how many st ations are there out of the total about 900 that you have?
Kamal Kishore Chatiwal: In Delhi, there are 400 stations which are petrol/diesel stations, and 500 is the number for CNG. Out of our 900, 500 is in Delhi.
Manjeet Singh: So we have more stations than the petrol pumps.
Kamal Kishore Chatiwal: What I'm saying is Delhi has more CNG stations than petrol and diesel.
Moderator: The next question is from the line of Nitin Tiwari from PhillipCapital.
Nitin Tiwari: So sir, actually, you've touched on the gas sourcing in bits and pieces in your introductory remarks. But just to put things in perspective, can you help us in terms of like putting a like-for-like comparison between third quarter and now in terms of what are the sources of gas that we have and what we had in third quarter and the volume that we are getting from those sources? And also additionally, if you can give us a breakup of LNG contracts you have? Because I suppose you already had a couple of LNG contracts which were long term in nature in the third quarter as well. I mean, have you contracted anything on top of that? And like whether that's Henry or Brent linked? So just a couple of deta ils on that. That would be my first question.
Kamal Kishore Chatiwal: See, if we look at company-wide, rather than breaking into -- you are aware that CNG is 51% and PNG is 105%. But if you look at the company-wide, out of 9.11%, approximately 47% of that is APM new well gas -- APM as well as non-APM new well gas. So you can say 47%, that is 4.26 MMSCMD. That is available. And balance RLNG, that makes up around 9.1%.
Nitin Tiwari: This is for the third quarter?
Kamal Kishore Chatiwal: Yes. This is for the current portfolio as of now.

Nitin Tiwari: All right. 47% and 53% is the breakup. All right. And this has now -- this allocation has
increased. The 47% has now increased. That's what has happened?
Kamal Kishore Chatiwal: This is after the increase, because before the increase, we were getting 3.23. Now that has increased to 4.23. 1 million has increased. So 10% has increased. And from 37%, 38%, the CNG has gone to 51%. So company-wide, if you see, you can say 47%, 48% is APM, non-
APM, as well as the new well gas. New well gas is the same, but the pricing is different, slightly higher. And HPHT is -- now if we incl ude HPHT also, so you can say that roughly 50-
50 is our mix, that 50% is domestic gas, because HPHT anyway is domestic gas. So 50% is imported.
Nitin Tiwari: So 47% APM and non-APM, 3% HPHT. Now when we come to LNG, so what is the breakup
of LNG in terms of volume and, I mean, like contracts in terms of index linking. So how much
of the volume is Henry Hub, how much is...

Kamal Kishore Chatiwal: Presently, 2/3 is Henry Hub linked and 1/3 is comb ined JCC, Brent -- or rather

Brent is slightly
more. Brent, JCC, JKM, all those. So 2/3 is linked to Henry Hub gas-linked and then 1/3 is oil-
linked.
Nitin Tiwari: And you mentioned that like there is a contract that you have changed from Henry Hub to
Brent. Why would that be?
Kamal Kishore Chatiwal: No, no, it is not changed. It is basically 5-year contract. So initial 2 years would be on Henry Hub. And going -- from '27 onwards, that will switch to Brent. So it was a mixed kind of a
thing.
Nitin Tiwari: Understood. So 1 MMSCMD actually that you mentioned at the beginning, that is a new
contract that we have signed over and above what we had in third quarter?
Kamal Kishore Chatiwal: Yes. And the second contract also is a new cont ract. So since we already have a portfolio of Henry Hub-linked gas and our Brent-linked contract, long-term RasGas contract is expiring in
'27. So that is why we are switching to some of the Brent. So yes, the mix is -- of the 50%
RLNG, the mix is 50-50.
Nitin Tiwari: Understood, sir. Great. And sir, s econdly, on basically gas sales, if you can just help us with
the breakup of sales in percentage terms between NCT, then NCR, and other GAs, and what was their respective growth numbers? And I would just like -- a question, like an additional
number to that, I mean, just for clarification. So the bulk sales that we are doing, for which you are supplying APM gas to Haryana gas, all of that APM supply is still coming as APM, or
there also like there has been a shift in terms of APM plus NWG or something like that? That would be all for me.
Kamal Kishore Chatiwal: So there has been no shift in that gas, because it is basically court monitored -- or rather court mandated. So there has been no change in that, number one. Second is that 67%, 68% is our Delhi and around -- only the Delhi figure is that. Around 15-odd percent is -- or rather close to
20% -- if I include Gurgaon also, close to 20% would be the NCR regions and balance 12% would be outside NCR.
Nitin Tiwari: Right. And Delhi grew at 3% and NCR at 7%, you mean to say?
Kamal Kishore Chatiwal: NCR growing at around 15% and outside Delhi NCR is around 30%.
Nitin Tiwari: 30%.
Mohit Bhatia: So Delhi, inclusive of, if we say -- if we take DTC thing also, Delhi is growing at around 2%.
But if we offset DTC volume, then it is growing at around 6% to 7%.
Moderator: The next question is from the line of Varatharajan Sivasankaran from Antique Stock Broking.
Varatharajan S.: Sir, on the APM allocation part, have you been given any kind of an assurance of no future
cuts? Or do we expect some more round of cuts as and when the next review happens, which I
believe is for [inaudible 0:34:10].

Kamal Kishore Chatiwal: Actually, we have received just the communication that this is our new allocation. Now I don't know whether anybody can give an assurance kind of a thing. So it will be very difficult for
anybody, because it is dependent on the domestic production from those fields. We all know
that the production over time tends to go down, unless we have some intervention. We don't have any such communication that it will not go down.
Varatharajan S.: On the new well gas, how much are we getting today? And is it being allocated on a
proportionate basis? Or is it a different basis?
Kamal Kishore Chatiwal: It is now on the proportionate basis, because in between what they have done was they have invited expression of interest. But now that has been done away with, and they will be
allocating based on proportion of their consumption.
Mohit Bhatia: We are likely to get 25%.

Kamal Kishore Chatiwal: And 25% -- any gas, because of our consumption of CNG -- and this is basically going to priority sector, CNG transport. And since our share is around 25%, so we expect to get around 25% of NWG.
Varatharajan S.: So as of now, are you getting the 25% or is it lower?
Kamal Kishore Chatiwal: Yes, the

new communication that has come from the 16th, that would be applicable. We will be getting that.
Varatharajan S.: In which case, the new contracts you entered, wo uld they become sort of surplus volume or redundant?
Kamal Kishore Chatiwal: No, no. They will not become re dundant, but because they are very compet itive, so they are basically lower than some of the existing contracts. So what we can think of doing is, I mean, trading those excess volumes on the exchange.
Varatharajan S.: And my last question, sir, like the non-Delhi GAs you are saying are growing currently at what rate, sir?
Kamal Kishore Chatiwal: 30%.
Varatharajan S.: 30%. Okay.
Kamal Kishore Chatiwal: Outside Delhi NCR, they are growing at 30%.
Moderator: The next question is from the line of S. Ramesh from Nirmal Bang Equities.
S. Ramesh: So just to understand some of the operating details of the APM gas and the new well gas. So whatever you mentioned in terms of the increase in APM gas allocation from 3.23 to 4.23, that is still at the APM gas ceiling price, right?
Kamal Kishore Chatiwal: Yes, that is at ceiling price.

S. Ramesh: Yes. And secondly, when you talk about the new well ga s price, ONGC is eligible for 20% premium on that 10% slope based formula. So do you have to pay that slope-based formula plus that 20% premium?
Kamal Kishore Chatiwal: Yes, the price of APM gas other than the ceiling is intimated by PPAC on a monthly basis. So currently, that is at 7.3%.
S. Ramesh: Yes, that's a 10% slope, but ONGC is entitled to get 20% premium on that. So in terms of the pricing of the gas sold by ONGC, the question is whether it's just at that 10% slope or there is a markup of 20% you have to pay as gas cost for the new well gas?
Kamal Kishore Chatiwal: 20% markup is applicable.
S. Ramesh: Okay. Second thing is, can you give us the volume in MMSCMD from the new GAs as of third quarter and what you are doing now in fourth quarter? Is that possible?
Mohit Bhatia: See, our new GAs, and particularly, if we just aggregate Delhi NCR thing, around CNG, the volume is around 0.6 million to 0.7 million per day. And domestic front, it is around 2 lakhs. And industrial and commercial, it's picking up . So that needs to be further enhanced.
S. Ramesh: And can you give us the CNG number for third quarter? What was the run rate in new GAs?
Mohit Bhatia: CNG numbers for?
Kamal Kishore Chatiwal: Third quarter.
S. Ramesh: For the new GAs in 3Q?
Mohit Bhatia: So it is around 0.6 to 0.7 only.
S. Ramesh: Okay. Now in terms of the capex in ne w GAs and the recovery of interest...
Mohit Bhatia: So this was for the third quarter only, which is growing by around 30%.
S. Ramesh: On a quarter-on-quarter basis?
Mohit Bhatia: On quarter-over-quarter, last year.
Kamal Kishore Chatiwal: Yearly basis.
Mohit Bhatia: Yearly basis, year-on-year basis.
S. Ramesh: Okay. Okay. So if you're looking at the capex what we have already done in the new GAs and whatever is pending, in terms of the recovery of interest and depreciation, when do you see that happen at PBT level, at what volume, and wh at is the timeline for that to be positive at PBT level for the new GAs?
Kamal Kishore Chatiwal: Most of the GAs have come positive other than 1 or 2 with this price hike. I think, except for the very new GA of Banda, Mahoba, Chitrakoot, the other GAs are more or less at breakeven

level. Only the depreciation is slightly higher even considering that they are now coming into positive.
S. Ramesh: So can you give us some sense of what will be the increase in interest and depreciations over

the next 2 years from what you have reported as of now for year-to-date?

Kamal Kishore Chatiwal: See, interest in any case is almost 0. Depreciation is one that is there.

Manjeet Singh: So, INR120 crores depreciation we have reported in this q

uarter. So this is growing almost
year-on-year basis 10%, so INR135 crores, INR140 crores we can expect next year same time.

S. Ramesh: For third quarter, okay. And last part, so in terms of the LNG retailing and compressed biogas
initiatives and the gas meter initiative, can you give us some sense of where these initiatives
are going? When do you expect to make some investments and see some commercial results
from these projects?

Kamal Kishore Chatiwal: You see the gas meter is under almost now the installation is nearing. So by April end, so the production will be starting there. I mean it is in advanced stage, I can say. LNG, one of the
stations is under commissioning -- or has been commissioned, and the sales are very encouraging there. Every day, they are selling around 10,000 [ina udible 0:40:57] per SCM. So
that is the kind of sale. And 3 more stations, LNG stations, 2 in NCR, in Rewari, they are in advanced stage of construction. And one is excl usively for CONCOR, and that will be used for
their internal vehicle movement.

CBG is also picking up that -- our own plant, we have 10 plants. I mean, 5, 6, we have
acquired the land, and the job is under progress there. So we expect that in another 5, 6 months, one of the units would get commissioned. And subsequently, every 2, 3 months, we'll
see commissioning of the others. So 10 plants for which we have planned, they are in an
advanced stage in the sense that we have now got land in those 10 locations. In addition to that, the third-party or the LOI holders of our CB G units, so that is also progressing very well.

And in our Muzaffarnagar and Noida, Greater Noida, Hapur, these GAs, we are getting the
supplies from CBG.

S. Ramesh: So if I may squeeze in a last question on the CBG business. What is the final capex to do and
what is the kind of volume of CBG can source and what price?

Kamal Kishore Chatiwal: In the capex sense, it is on a JV mode, and that too debt/equity, so company level capex will
not be very, very high. Because right now only INR50 crores kind of numbers is there. But the
benefit is that this is the cheapest gas that is available. I mean, 10% cheaper than the APM also, blended cost, I would say. But the challenge remains the land availability.

Technology is not an issue, only the land availability and the feedstock. So those are the key
challenges which are making the growth slightly more challenging. But we expect to ramp it
up now that we have got land in some of the cases. So the capex totally would not be in excess
of INR200 crores, INR300 crores.

Moderator: The next question is from the line of Apurva Sharma from Helios Capital.

Apurva Sharma: Yes. I just wanted to understand what are the steps that have been taken by the company to
resolve issues regarding in the remaining parts of Gurgaon. We understand the pricing was the
main issue between IGM and other parties. So I just wanted your thoughts given the
importance.

Kamal Kishore Chatiwal: Actually, pricing is not the main issue. There was no talk of pricing. Since it is a sub judice
matter, so I think it will not be fair on our pa rt to comment on anything. And as you are aware,
the case is in appeal and the technical member there is yet to be appointed due to which there
is some delay.

Mohit Bhatia: Yes, that's better. I think matter is already su b judice, and it will be di fficult for us to comment
right now.

Apurva Sharma: Okay. Another thing is, around 1/3 area of total GA of Gurgaon, right, IGL has. So what has
been the expansion in both CNG and PNG that has been done at the company in this territory, which is not...?

Kamal Kishore Chatiwal: Growth there is very, very encouraging in the sense that we are now selling close to around 2.5 lakh in CNG. And whatever target was given to us in terms of minimum work program, so that
we have already completed for the domestic connection. So whate

ver -- the area was a little challenging also, but the CNG sales -- for CNG, that is the advantage that wherever you set up, the cars can come there. But for industrial and domestic, that is the challenge that it has to be
in your area. So Gurgaon GA, we are seeing a very good growth.

Apurva Sharma: Okay. So what has been committed has already been done?

Kamal Kishore Chatiwal: Yes.

Moderator: The next question is from the line of Madhur Rathi from Counter Cyclical Investments.

Madhur Rathi: Just a clarification, sir. So when we sell CNG on our station, sir, what is the tax that we incur?

Kamal Kishore Chatiwal: What is the question? Can you repeat that?

Madhur Rathi: Sir, I wanted to understand when we sell CNG at our stations, what is the tax that we need to
pay to the government or what is the tax that we need to add to our pricing to sell it to the end

consumer?
Kamal Kishore Chatiwal: So actually, we sell it at maximum or rather the retail price. Now what the retail price includes is a component of excise duty of 14%. And after that, there is a component state-wise of VAT, value added tax. So that ranges from 0% in Delhi to 12.5% in UP.
Madhur Rathi: Okay. So 14% plus whatever ad dition related to a particular state. Is that understanding correct?
Kamal Kishore Chatiwal: Yes, yes, correct.

Madhur Rathi: Okay. And sir, just a final question from my side. Sir, what we see is the number of private vehicles as well as electric bus -- sir, the vehicl es that use more gas are going out of -- are getting less frequent there. So EV adoption is getting faster as well as -- so CNG adoption is getting -- the vehicle addition is happening, but it's happening more on the pe rsonal vehicle side. So the vehicles that are consuming less are getting added, but the vehicles that are consuming more ar e not getting added. So I wanted to understand your views on that.
Kamal Kishore Chatiwal: That is the correct understanding. What I would say is that there is a pickup of 17,000 conversion, okay? But if we compare with, say, EV or CNG or petrol and diesel, so these are the 4 category of fuel, then I would say that C NG, as Director of Commercial has said, is growing at around 46%, which is the fastest among the fuel categories.
Mohit Bhatia: And EV, the data show that EV has been growing by around 4% to 5%, and that too only in the premium segment, whereas in the passenger commercial vehicle, the normal category and all, I think CNG is growin g fastly and around 46%.
Moderator: The next question is from the line of Gaurav from KCM Corporation.
Gaurav: So I have 2 questions. First is, you have mentioned the total CNG stations, right, 892. In that, there is a bifurcation of IGL, DTC, OMC, and DODO. So what exactly it is, can you just tell that?
Manjeet Singh: What is the question?
Kamal Kishore Chatiwal: 40% -- you can say that 41% is IGL stations; 5% is DTC, DIMTS, Railways; and 54% is OMC and DODO.
Gaurav: So what exactly is DODO?
Kamal Kishore Chatiwal: Dealer-owned-dealer-operated. I mean, our own dealers.
Gaurav: Okay. Okay. Got it. And the other point I want to ask is, as Indraprastha has started with the pipe long route CNG buses with the type 4 cylinders as a pilot project. So any update on that pilot project? Are we going to use type 4 CNG cylinders in the buses or even we are including in the cascade transportations and all?
Kamal Kishore Chatiwal: So actually, the type 4 cylinders in cascade are already being deployed. Now this was more of a demonstration project, and this has been successfully demonstrated. So Uttarakhand, Delhi to Dehradun, they were plying and filling from Delhi and coming back to Delhi with one fill. So that has been successfully tested. Now the only challenge is that the state government -- I mean, since it was a demonstration, so IGL has demonstrated that. But going forward, the expectation is that the

IGL should fund those. So that becomes a challenge that instead of the state governments funding that, so that is the challenge in that.
Gaurav: Okay. And what about the cascades when we are transporting to the CNG stations?
Kamal Kishore Chatiwal: Cascades, we are deploying, and this is very helpful for long routes, because the volume is more in one fill. Instead of the conventional 450 kg, we take around 900 kg, 950 kg in one fill.

So if it is a long route kind of a thing, so in stead of transportation, you transport a larger volume. So they are being deployed for long routes. But for smaller routes, they are -- I mean, the economics doesn't work out for smaller routes. So we are also deploying for longer routes.
Gaurav: Okay. So is there any determined range that above 100 kilometers if we are transporting, then we should use type 4?
Kamal Kishore Chatiwal: Yes, 100 is a good enough number. And moreover, this is only a short-term arrangement. I mean, 2 to 3 years, when the GA is just starting. So our effort is -- because the transportation through this mode is the costliest, because INR4 to INR5 additional cost is incurred on that. So effort is that after 2 to 3 years, we should tr y to cut it down and make the stations online.
Gaurav: Right. So the pipeline stations will be more as compared to the daughter booster station and the daughter station?
Kamal Kishore Chatiwal: Yes. And it is a short-term arrangement only.
Moderator: Mr. Gaurav, does that answer your question?

Gaurav: Yes. But then also, I think on the mother station, one storag e -- stationary cascade will be required, right? So in that, then we will be using that to cut down the cost or the economics will remain the same if we use any type of cylinder or type 4 is recommended there?
Kamal Kishore Chatiwal: For stationary cascades, we do not see any advantage of type 4. Okay? It is only advantageous in case of mobile application, being lighter, carrying capacity increases, and all those things. But if it is a stationary thing, then I think the economics are better for any cylinder, especially the type 1.
Moderator: The next follow-up question is from the line of Pratyush Kamal from InCred Equities.
Pratyush Kamal: Sir, I have just 2 questions. First is that sin ce you talked about the sourcing 50% comes from the RLNG part. And in that 50%, 2/3 are linked to Henry Hub and 1/3 is linked to the mixture of Brent, JKM, JCC, which essentially is 33% coming from Henry Hub and about 17-odd percent is coming from the other 3 mixture. I just wanted to know the effective cost for us for these 2 separate parts. So what is the average cost per SCM which you incur when you get the gas which are linked to Henry Hub versus when you get the gas from the other 3 contracts?
Kamal Kishore Chatiwal: Actually, the prices are dynamic. So Henry Hub 2 months back was at INR2.5. Now it is at INR4. Similarly, the Brent was INR84, INR85, now it is INR71, INR72. So they keep on changing. So it will not be very fair that if I give you a number of to day, tomorrow it will not change.
Mohit Bhatia: The objective was keeping this in the -- both as we need to have a diversified sort of portfolio, so that we can balance out on the various exchanges, whether it is or Henry HUB or Brent-linked and all, right?
Pratyush Kamal: Totally understandable, sir. But if the cost of Henry Hub would be, let's say, 1 year -- 1 month ago was INR2.5, then what would be the effective cost for us when you're getting the contracts

which are linked to Henry Hub, versus when the cost of Brent was, let's say, INR84, what was the effective cost which we were incurring when we are getting the contracts which are linked to those things?
Kamal Kishore Chatiwal: Actually, at today's price, both of them are at similar values, INR35, INR36 per SCM kind of

range.
Pratyush Kamal: Okay. The final cost, the landing cost for us, right?
Kamal Kishore Chatiwal: You can say that it is less than INR40 for both of them.
Pratyush Kamal: Understood, sir. And sir, what is the compression cost which we incur per kg?
Kamal Kishore Chatiwal: No, we don't incur any compression cost, rather -- because we have our own compressors and everything. So that is part of the opex. You can say that INR7 to INR8 is our total cost, including the compression.
Pratyush Kamal: Understood. And you don't see any GST, etcetera, for that, right, for the compression part, because that's your in-house compression system which you are using.
Kamal Kishore Chatiwal: Actually, that has been explained earlier. I think Manjeet, you can repeat that.
Manjeet Singh: See, when we go for compression, we generally go for compressors which are working, but we are taking certain services like AMC services, repairs, etcetera. For those services, we are paying GST, which is not allowed to us as a credit right now because our output is not under GST regime. So for machine as such, when we are buying as a capex, there's onetime GST, which is not allowed to us. And services that we are taking on a regular basis, we are still paying GST to the service providers, which as on date is not allowed to us.
Moderator: The next question is from the line of Devang Patel from Sameeksha Capital.
Manjeet Singh: I think we should now start clos ing this meeting, and this might be the last question we can take right now. So after this, we'd like to close the session.
Devang Patel: So wanted to check our thought process on our 2 associates, MNGL and CUGL. If the partner wants the company to go for an IPO, do we have an option to take over a stake in those companies? Or what does our shareholder agreement with the other partner entail?
Mohit Bhatia: See, we already have 50%, you can say, stakes in both MNGL as well as CUGL. There has been some news in the past from one of our prom oter side also. In principle, approval has been given by one of the promoters for making MNGL pa rticularly in listing. So things are going on in a favorable thing and it will move ahead. On CUGL, I think the status is same and nothing much development is there.
Kamal Kishore Chatiwal: If I may just add, 50% is with IGL and balance 50%, in case of CUGL, 25% each is with the promoters. So they don't intend to dilute. So this is not available for sale. In case of MNGL, 45% is with GAIL and BPCL, 5% is with state government. So I don't see any of the entity

diluting it further. So the status will remain. In case an IPO is there, so then maybe that is a different issue altogether.

Moderator: Ladies and gentlemen, we will take this as the last question. I would now like to hand the conference over to the management for closing comments.

Manjeet Singh: Thank you very much for joining us. This was a great pleasure talking directly to you, getting insights into various different aspects of business also. So I hope that the discussion that we had with you has given some clarifications in terms of the IGL way of business and the future outlook. And we'll see you very soon next time on the same session. Thank you very much for joining.

Moderator: Thank you. On behalf of IIFL Capital, that co ncludes this conference . Thank you for joining us, and you may now disconnect your lines.

Call: Apr 2025

"Indraprastha Gas Limited Q4 FY'25 Earnings
Conference Call"

April 28, 202 5

MANAGEMENT : MR. KAMAL KISHORE CHATIWAL - MANAGING DIRECTOR , INDRAPRASTHA GAS LIMITED
MR. MOHIT BHATIA – DIRECTOR , COMMERCIAL , INDRAPRASTHA GAS LIMITED
MR. SANJAY KUMAR – CFO , INDRAPRASTHA GAS LIMITED
MODERATOR : MR. NITIN TIWARI – PHILLIP CAPITAL (INDIA) PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the Indrap rastha Gas Limited Q4 FY'25 earnings conference call hosted by PhillipCapital (India) Private Limited .

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Tiwari from PhillipCapital (India) Private Limited . Thank you and over to you , sir.

Nitin Tiwari: Thanks. On behalf of Phillip Capital India Limited, I welcome everyone to Indraprastha Gas Limited's 4th quarter FY '25 Earnings Call .

Today from the Management Team of IG L, we have the pl easure of having with us the Managing Director – Mr. K. K. Chatiwal; our Director (Commercial) – Mr. Mohit Bhatia and CFO – Mr. Sanjay Kumar.

I shall now hand over the floor to the management for their opening remarks , which shall be follow ed by a question -and-answer session . Over to you, sir.

K. K. Chatiwal: A very good afternoon to all of you. I am Kamal Kishore Chatiwal – Managing Director , Indraprastha Gas Limited. And I welcome you all and thank you for taking the time to join us today for IGL's Earnin g Call and for your continued trust and partnership with us. IGL has declared the results for Quarter 4 and Financial Year '2 4-'25 yesterday evening .

The company has performed quite well in this year despite this being a challenging year in terms of gas sourcing for the entire CGD industry. We have seen a lot of volatility in the allocation of domestic gas to the CGD sector, especially in the second half of financial year. Considering the future requirement of gas and the reduction in APM, IGL has taken s everal measures in terms of gas sourcing and has entered into term gas agreements with various gas suppliers for sourcing of RLNG of approximately 1.65 million standard (Blank Audio) (3.14 -03:40). We are quite sure that the gas mix available with us or current portfolio is one of the best in the CGD sector.

Let me highlight the key highlights of the annual resul t for FY' 24-'25 in comparison to FY' 23-'24. In terms of volume, we have registered a total average daily volume of 8.99 MMSCMD as against 8.43 MMSCMD last year. There has been an overall volume growth of 6% on year -on-year basis. The growth in overall CNG sales is 6% and if we exclude DTC sales, the growth in CNG is almost 8%. PNG sales growth story is intact and has shown robust double digit growt h of 11%. Domestic sale has taken lead and has increased by 12%. Industrial sales have increased by 10% and commercial sales by 8 % on YoY basis.

Another important analysis I would like to share is that if we categorize IGL into 3 parts, Delhi, NCR, and oth er GAs, sales in terms of volume in Delhi GA after excluding DTC has grown by 5%. NCR comprising of Gautam Bud h Nagar , Gurugram GA has shown a 13% and other GA s have grown by 32%. We are quite hopeful that with the gas sourcing arrangement in place and the volume growth seen in new GA s, we can plan to achieve sales volume increase of 10% in the year 2025 -'26.

Coming to the financial highlight of the year :

The gross turnover has increased by 6% to Rs. 16,400 crores. Gas cost has increased by 13% in current year as compared to last year, impacting the profitability in this year. Despite an increase in gas sourcing cost by 13% leading to some pressure on margins, we maintained a healthy operational profit ability with EBITDA of Rs. 1,978 crores and PAT of Rs. 1,468 crores.

On the diversification front, the company has taken a major step for its diversification proj

ect.

IGL board has approved setting up a 500 megawatt solar plant i n the state of Rajasthan wi th RVU NL. Now I would like to invite Shri Mohit Bhatia, Director Commercial, IGL, to give his opening remarks .

Mohit Bhatia: Thank you all. Thank you once again and good afternoon everyone.

I am Mohit Bhatia, Director (Commercial) at Indraprastha Gas and I welcome all the investors and analysts to participate in today's Earnings Call . The Results have been uploaded yesterday evening and I hope you must have gone through the same . As Managing Director also highlighted some of the points relating to annual pe rformance of the company from the results for the Financial Year 2 024-25, let me add the prospective from th e quarterly comparison.

The PAT was of Rs. 349 crores and has been achieved as against Rs. 286 crores in the 3rd quarter of FY '25. There has been a significant growth of 22 % on Qo Q basis. The sales volume in Q4 stood at 9.18 MMSCMD , our highest, from 9.11 million MMSCMD reported in Q4 '24. The gross turnover has increased from Rs. 4,130 crores in Q3 '25 to Rs. 4,323 crores in Q4 '25, showing a growth of 5%. The EBITDA of the current year quarter was Rs. 497 crores as against Rs. 364 crores in Q3 '25 showing a robust growth of 37%. The EBITDA per SCM has increased to 6.03 in the current quarter from 4.34 reported in the 3rd quarter.

Further taking from the quantitative aspect for the financial year, the company has seen a surge in conversion of CNG vehicles with an average of 18,000 plus vehicles were added every month during the Financial Year ‘2 4-'25 as against 15,500 showing a healthy growth rate of 1 1%.

During the current financial year, IGL has provided domestic connections of 3.7 lakh consumers. 72 new CNG stations were commissioned. 293 km of steel line pipeline was commissioned and

3834 km of MDP E pipeline was laid. In all, CAPEX of around Rs. 1100 plus crore was spent last year.

At the end, I am happy to inform that the company has announced a final dividend of Rs . 1.5 per share on the increased share capital base as the company has issued bonus share during the year in the ratio of 1 :1. This is in addition to the interim dividend of Rs. 5.5 declared earlier.

With this, I welcome you all once again and open the session for question and answer.

Moderator: Thank you very much . We will now begin the question and answer session . Anyone who wishes to ask a question may press ‘*’ and ‘1’ on the touchtone phone. If you wish to remove yourself from the question queue, you may press ‘*’ and ‘2’. Participants are requested to use handsets while asking a question. Ladies and gentlemen, in order to ensure t hat the management is able to address questions from all participants in the conference, please limit your questions to 2 per participant. We will wait for a moment while the question queue assembles. The first question is from the line of EA Sundaram from BugleRock Capital. Please go ahead.

EA Sundaram: Good afternoon and thanks for the opportunity. Sir, instead of 2 questions, I have just one suggestion. So this is given by me as a long -term investor in IGL and is done keeping in mind the interests of the company. So please allow me a couple of minutes to make these points .

Periodically, we have seen that IGL has been affected by a negative perception that arises in the minds of some people in the investment community. Sometimes it is about reduced allocat ion of APM gas. Sometimes it is about the proposed EV policy and its assumed side effects. In each case, sir, the response of IGL has been one of silence. I think, it is the duty of the company's management to set the record straight when such misperceptio ns are doing the rounds. I am not suggesting that IGL responds every day. But when there is a serious misperception about the company, I think the company s

hould set the record straight. The solution is to put out the facts.

In October 2024, during a confe rence call, I did suggest that the company put out a presentation

on its website giving details about how the previous sharp rises in APM costs have been handled
by the company and how in the long term the company's profitability was not affected by sharp
rises in gas costs. I am disappointed that IGL has chosen to remain silent. It is high time that
IGL appointed a full -time and reputed public relations agency through whom the correct
information more than what is statutorily required is periodically trans mitted to the investment
community so that such misperceptions are erased to the extent possible. I am not seeking any
future guidance from the company, sir, but I am only suggesting that IGL does its best in erasing
the opinion that the company is more vu lnerable than what it actually is . I really do think that it
is part of the management's duty to be proactive about dispelling wrong opinions and
misperceptions about the company without being excessively optimistic. Thank you very much.
K. K. Chatiwal: Yes, we have noted that is a very good suggestion and we will try to address that by putting out
more information on our website.

EA Sundaram: Yes, it is essential, sir, because if the understanding about the company is wrong, then that leads
to wrong decisi ons in the investment community. I think it is important that IGL strengths are
well understood by everybody.
K. K. Chatiwal: Yes, that is very clear, but our focus has been on mitigating the issues because many a times it
is the government that we are dealing with. So we do not want to spell out something in the
public domain, which.. .
K. K. Chatiwal: Sir, I know it is sensitive. I do not want you to talk about the future, but how you handled it in
the past can certainly be discussed. You know, for example, this APM gas allocation, we have
seen sharp rises in gas costs in the past also, but that has not been affecting the company in the
long term. Maybe for 1 or 2 quarters it will affect. It will cert ainly help if these things are put
out in public domain by the company itself, with or without the help of a PR agency. I think it
will help dispel the wrong notions about the company. I think that is also a very important asp ect.
K. K. Chatiwal: Yes, very true, very true and we will take note of that and address this issue. Thank you.
Moderator: Thank you. The next question is from the line of Probal Sen from ICI CI Securities. Please go
ahead.
Probal Sen: Thank you for the opportunity, sir. Just a couple o f questions. Just a couple of clarifications
rather. If we can, you spoke about the additional term gas arrangements to the extent of 1.65
MMSCMD . Can we just get a breakup today of 8.99 MMSCMD that we did in Q4? Can we just
break it down into how much exactly was APM, how much was new well pricing gas, how much
is long term LNG, and how much are other sources? I mean, if we can just break down source -
wise, it will be really helpful, sir. That was my first question .
K. K. Chatiwal: 3.51 is APM allocation as of now and 1.38 is new well gas so total you can say that 58% or so
in the CNG and transport and domestic segment is through this segment and 42% is through
RLNG. And if you look at the overall company -wise, you can say that around 50 -50 is there. 51
is through APM, new well g as, and 49 is through other sources.
Probal Sen: And just to clarify, as you mentioned, almost the entirety of RLNG is through term contracts.
There is no spot LNG in this basket, is it?
K. K. Chatiwal: No. We are now completely our future, some amount of future requirement also. We have term
contracts in place and we are managing through take -or-pay. There is some headway th ere. So
we manage through that.
Probal Sen: Okay . The second qu

estion was again on the sales volumes. As you mentioned that we need to
now look at the business frankly in three buckets. One is Delhi, one is the rest of NCR and then
the third is the other or newer areas. Now, you helpfully have been mentioning the growth rates

of the respective areas, but is it possible to get even a rough split of the volumes today from, let
us say, Delhi, rest of NCR and other areas?
K. K. Chatiwal: Yes. Delhi is at 5.38 , NCR is 2.28 and othe r GAs is 0.819 , 0.82 you can say . So that's around
8.5 and 0.5 is NG sale .
Probal Sen: Right. Great sir. One last question if I may, just to understand in terms of diversification, just
the strategic thought process behind going the solar way, you know, as opposed to maybe
expanding the CBG or LNG retail or any of the other direct related segments, just the thought
process behind it and what kind of returns are we looking at and what kind of investments are
we looking at in this diversification?
K. K. Chati wal: In our diversification initiative, all 3 are there. CBG is there, LNG is there and solar is there.
Now solar has come first. It is not that it is any priority. I mean, we have a priority of one over
the other. It is just that the state government, sin ce state government is involved, so their approval

was given to us. Now the cabinet approval is pending, although the entity approval has been given. So that's how it has come up and solar serves us two purposes. One is that it gives us a n equity return in excess of 14 %-15%. Second is that we have a right for 50% as captive consumption. So if we can bring that to our operations, bring that captive solar produced to our operations, so that brings down our cost of operations as well as greening of our operations. Those are the 3 major factors. We are also looking at biogas as an opportunity and LNG retail also as an opportunity and allocating CAPEX for those also.

Probal Sen: Understood sir, fantastic. Thank you so much for the detailed answers. I will come back in the queue.

Mohit Bhatia: Just to add, we are already tied up with CONCOR and one LNG station is expected to come up by June and July at Noida and there are 2 more LNG stations also coming up, one in Dadri and one in Rewar i. So this is the deve lopment on the LNG thing. And CBG also , we are looking forward for some joint ventures and all. So it is in the process and biogas thing will also get metallized fast.

Probal Sen: Great sir. Thank you so much sir and all the best. Thank you.

Moderator: Thank you. The next question is from the line of Nirmal Gore from Aditya Birla Sun Life AMC. Please go ahead.

Nirmal Gore: Sir, you mentioned about guidance for FY '26 volume was at 10%. Would it really helpful if you could break it up between segments? Thank you.

K. K. Chatiwal: 7% to 8% would be in the CNG segment and 13 % to 14 % would be in the PNG segment. So that is the kind of rough break up that we can give. And LNG would be some small portion of LNG also.

Nirmal Gore: Okay, thank you.

Moderator: Thank you. The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.

Yogesh Patil: Thanks for taking my question sir. Sir, need some clarification on the APM allocation. The current 16th April APM cuts are for the full year an d we will not see any further cuts in the coming quarters or every quarter or every 6 months APM allocation will change. Any clarity on this?

K. K. Chatiwal: What we understand is that now we will be knowing about any change two quarters in advance. So you can assume that for the next 2 quarters, this is going to remain like this. And any change in the next quarter, if we get any communication, so that will be effective after 2 quarters. So that is our understanding of the issue . A

nd whatever shortfall is t here, that is being made up with new well gas. So these are the two clarifications or our understanding of the issue.

Yogesh Patil: And sir as you mentioned that the CNG vehicle additions towards 18,000 per month in FY'25 and which has improved from the level of 15,000 per month in FY'24, but sir if we look into the CNG volume growth, it is still only 6% on a YoY basis. What would be the major issue sir in the CNG volume growth despite a healthy or better CNG vehicle addition?

K. K. Chatiwal: Actually the re is some negative, you know, some of the DTC buses are going off. So that is one of the major contributor in the sense that 70 ,000 to 80 ,000 kg. That has been a reduction on that front. So from 1.8, 1.9 levels, they are now at 1.1. So you can say that th at is the reduction and whatever increase we could do, still we have managed to increase our CNG by 6 % to 7%.

Yogesh Patil: And lastly want your broader thoughts on the Delhi EV Policy 2.0. We wanted to understand how many CNG 3 yields are flying on the De lhi road and its broader impact on our CNG volume ?

K. K. Chatiwal: See, total, if you look at two -wheeler and three -wheeler space on the Vahan data, we have around 97-98 lakhs two -wheelers. Out of that , CNG is hardly 3,000 odd, 3,300. And three -wheelers, the license number is around one lakh. So that is on road . Because they are controlled, so the number is almost fixed at one lakh. You can say that almost 2 % to 3% is three wheelers and 95 % to 96% is two wheelers.

Yogesh Patil: Okay, thanks a lot sir. This was really helpful.

Moderator: Thank you. The next question is from the line of Varatharajan Sivasankaran from Antique Limited. Please go ahead.

V. Sivasankaran: Thanks for the opportunity. Just write back in terms of the provision if you can explain to us what are the provisions made and why we are writing back now ? And there is no requirement in terms of provisionally any kind of negotiation. The only thing is to increase this and you would not require any further provisions in the future?

K. K. Chatiwal: So this provision was made for the period of April 19 to November 21 . There was a dispute. The trade margin was expected to be revised . The demand from OMC was that the trade margin is revised from 2019 itself . What we had done was we had already started paying from December 21 and the previous, this period was under dispute. So during the year that dispute is settled and whatever provision we had made in our books, so that has been reversed, that is around Rs. 114 crores . And going forward, I think there is no need of any further provision. Revised rates are already being paid .
V. Sivasankaran: Can you provide us some idea as to what are we paying for the other new GA? Because I think the metro rates are different and the small town rates are different, if you can give us some idea ?
K. K. Chatiwal: The rate ranges from Rs. 3.5 to Rs. 4.5 . In Delhi , it is more than Rs. 5.5 , around Rs. 6. So GA - wise it varies. It depends upon which market we are catering to, what is the cost of serving the customers, what are the land rentals. So keeping those in mind, the trade margins have been very finalized.
V. Sivasankaran: Is there any kind of escalation clause on that sir?
K. K. Chatiwal: Which clause? 5% escalatio n is there on the trade margin.
V. Sivasankaran: Every y ear? Is it every year, sir? I s it a 5% escalation every year?
K. K. Chatiwal: The first escalation was supposed to happen from 2000, from 1st April '25 or '26 and subsequently it will be further revie wed and the call will be taken.
Mohit Bhatia: It will be reviewed after 3 years.
V. Sivasankaran: Okay, 5% every 3 years, is it?
K. K. Chatiwal: Every three years it is not finalized yet. But one revision of 5% was what was agreed.
Moderator: Thank

you. The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika: Sir first of all in the opening remarks, you mentioned the growth rate, I g uess, of Delhi, NCR and other GA s. So Delhi, that was for FY '25, right? Delhi was 5% , NCR was 13 and other GAs were 32 ?
K. K. Chatiwal : Yes, the answer is for FY '25. Delhi is excluding the DTC if you exclude that that is 5% , otherwise it is around 2 % .
Sabri Hazarika: Okay and you have mentioned this 1.1 MMSCMD DTC bus volume , is it 1.1 MMSCMD that you have mentioned in one of the questions answered?
K. K. Chatiwal: 1,10,000 .
Mohit Bhatia: The current number, March number is 1,10,000 kg per day. That is the DTC sale which is there at presen t.
Sabri Hazarika: Okay, got it. And how much will be auto rickshaw in terms of volumes?
K. K. Chatiwal: See auto rickshaws are almost you can say 7 % to 8% of the volume you can say. That includes all auto rickshaws. So half of that would be in Delhi.
Sabri Hazarika: Total volumes or CNG volumes ?
K. K. Chatiwal: CNG volumes.
Sabri Hazarika: Okay, i t's fine. And second part is basically, I saw some interview on the TV where you have mentioned the near term EBITDA guidance is EBITDA margin guidance is 6 to 7. But if we look into your FY'24 number adjusted for the provision, of course, and given the fact that you have taken a price hike on first of April, but again, there has been further cut in APM allocation. So are we confident that Q1 FY' 26 also we would be at Rs. 6 plus EBITDA per SCM?
K. K. Chatiwal: Yes, one or two quarter would be im pacted in the sense that our long term range is 7 to 8. So we are trying to get to first 6 to 7 range and then 7 to 8. So we are confident that first quarter will be in this range. Okay, first quart er should be in 6 to 7 range.
Sabri Hazarika: Okay , fair e nough. And last just small question, Q4 FY '25, I mean the breakup you gave between new well gas and APM is how much currently?
K. K. Chatiwal: New well is around 1.38 and the nor mal domestic APM is around 3.3.
Sabri Hazarika: 3.3 and this includes DPNG also right? For which 100% allocation is there.
K. K. Chatiwal: Hello, Sabri?

Sabri Hazarika: Yes, domestic P NG is also included here ?
K. K. Chatiwal: So the domestic allocation is 3.3 million and 1.38 is the new well.
Sabri Hazarika: But this is total priority sector, not just CNG alone ? It is total priority sector , right?
K. K. Chatiwal: We get 100% is domestic and PNG transport is the other segment.
Mohit Bhatia: Yes, this is 100% . This includes domestic as well.
Sabri Hazarika: Got it, sir. Thank you so much. Thanks a lot and all the best.

Moderator: Thank you. The next question is from the line of S Ramesh, an indivi dual investor. Please go ahead.
S. Ramesh: Hello. Good evening and thank you very much. I am from Nirmal Bang Equities. So when you talk about the Rs. 6 to Rs. 7 per se EBITDA margin in first quarter, can you take us to how you will achieve it because if you have achieved only 4.42 in 4Q, you have possibly taken an increase of Rs. 1 per kg and then that's offset by the increase in gas cost. So is there an element of higher margins on PN G? How do you think you will ach ieve this in the first quarter?
K. K. Chatiwal: No, actually that is not entirely correct that there has been an increase in gas cost because what has happened is our RLN G costs have come down in this first quarter as well as the rupee appreciation has also helped. In addition to that, whatever cut in APM was there that has been made up with new well gas. So we have received additional new well gas 125% of whatever was cut. APM cut whatever was there, 0.8 was cut and we have received around 1 million of that so 25% extra . So we factor

in all this . We feel that the gas cost may not increase much , but Rs. 1 we have increased and if required we may take future increase also. So with that , we anticipate that we will be in the 6 to 7 range for 1 or 2 quarters and then target for 7 to 8.
Mohit Bhatia: Secondly just to add like if we see the RLNG mix also , the Brent is also now we can say at a lower level around $67 per barrel and se ems to continue in this trend and the Henry Hub another index is also going down now , it is around $3.3 per MMBTU . So we are hopeful of maintaining in this range 6 to 7.
S. Ramesh: Okay, so now going to your JV share particularly MNGL, can you give us some numbers in terms of how MNGL has done in terms of volume for 4Q and F Y'25, similarly Central UP Gas and the timeline for the MNGL IPO what's happening here?
Mohit Bhatia: So in terms of volume, MNGL's volume has grown approximately 19% year -on-year. For CUGL, the volumes are flat if we compare with the previous year. So around 0.3% growth was there. So that is as far as volume is concerned. In terms of profitability, MNGL has grown by

around 7% growth is there and CUGL is more or less flat, little reductio n is there in terms of EBITDA.
S. Ramesh: MNGL , you said profit after tax of 10% ?
Mohit Bhatia: 7% growth is there for MNGL .
S. Ramesh: Can you give us similar numbers for MNGL and CUGL for 4Q?
Mohit Bhatia: Q4, MNGL number, we will give you separately. For MNGL, the qua rterly number has grown by 30%.
S. Ramesh: The volume growth, okay.
Mohit Bhatia: The growth is 57%.
S. Ramesh: Okay. So any progress on the MNGL IPO timeline? What exactly is happening there, can you give us some sense of that?
K. K. Chat iwal: So I think we have not got any formal communication from MNGL, but what we understand from the filings that some promoter consent has been given to MNGL for IPO. So I think they are in the process of that. Any formal communication we have not receive d from MNGL.
S. Ramesh: Okay, so in terms of the new GA s, can you give us some sense in terms of how they are performing on the P&L and what is the kind of addition to the EBITDA and the profits you can expect in the next 1, 2 years?
K. K. Chatiwal : You see, new GA s, we were able to increase the prices because the gas cost has gone up there also and some volume growth was there. So, growth wise they are growing at around 28 % to 30% combined all together , some growing at 70 %-80% on low base , some at 20 %-25%. Now except 1 or 2 GAs, all other are EBITDA positive except for the Kanpur and Ajmer .
S. Ramesh: And when do you think Kanpur and Ajmer will achieve EBITDA positive?
K. K. Chatiwal : I think with the current increase that we have done in this quarter, th e price increase that we have done plus some volume growth is also there. So we expect that in this quarter it should be positive.
S. Ramesh: Okay , thank you very much sir and wish you all the best. I will join the queue.
Moderator: Thank you. The next question is from the line of Kunal Ochiramani from Alpha Alternatives. Please go ahead.

Kunal Ochiramani: I have a question on your sourcing front. You said you made new RLNG contracts. Just wanted to understand the nature of sourcing. Are this more crude linked or Henry Hub linked , if we can understand this ?
K. K. Chatiwal : This is 65% of our RLNG portfolio is Henry Hub linked. Okay, and still the bias is more towards

Henry Hub because in our opinion , there is less volatility as far as Henry Hub contracts are concerned because majority of the portion is constant and some portion is linked to the index. So that is the reason and plus the absolute numbers also on the lower side as far as Henry Hub is concerned. Unless Henry Hub goes way beyond our target, it should re

main competitive with respect to crude. So that is the mix, 65%. And 8% is, I think, HPHT. Balance, 27%, 28% is crude linked.

Kunal Ochiramani: Understood. Thank you so much.

Moderator: Thank you. The next question is from the line of Lokesh Manik from Vallum Capital Advisors. Please go ahead.

Lokesh Manik: Good afternoon to the team. So my first question is on growth guidance that you have given 10% volume growth. Now, my assessment from the breakup that you have given on the growth rates from the three AVRs that is Delhi, NCR, and other GAs is coming to addition of about 0.5 or 0.6 MMSCMD , given th eir historical growth rates. GA s are at 32%, NCR is at 12 %-13%. So it comes up to 0.5, 0.6. You also have DTC going out of the system from, they've already come down from 1.8 MMSCMD to 1, and now going down further. So given these two developments, where are you seeing additional growth coming in to match 0.9 MMSCMD by FY '26?

Mohit Bhatia : So if we break up segment wise, as we mentioned earlier also, if we exclude DTC part, then also Delhi CNG is growing by around 5 %-6% already . And the trend is also like that with the addition in the vehicles and all , so point number one . Then the NCR part parti cularly Noida, Ghaziabad and Greater Noida. So that is growing at around 13 % to 14% in CNG. And that will definitely grow like that and it may further add also. And the good thing is the GA is outside, GA is growing 30% plus. So we expect phenomenal growth in this sector also. And then coming to the other segment that is the domes tic PNG. So almost we are adding around 3 lakh plus customers year - on-year and that is also contributing to the growth factor. And DPNG is growing around 12 % to 13%. So this is one thing. And the good thing is the industrial commercial segment is also having a double digit growth. And in fact, in the last quarter, in the industrial front itself, we have crossed one million of the sales in a little bit of period. So that is also expected to grow around 13%-14%. So if we consolidate all these segments and acr oss the Delhi, NCR and this thing, so 10% should come.

Lokesh Manik: Understood . So just one clarification, DPNG is now EBITDA positive for us because what we have understood historically is this is not , on the EBITDA level it is not significantly positive versus CNG but CNG covers up for the DPNG. This is what I understan d.

K. K. Chatiwal : Actually to begin with once the infrastructure is not there , then in the initial years, I mean the profitability is not there. But since our infrastructure is quite old, plus we have entire Delhi is now practically covered. So the cost of any new connection is low, leading to our... So that segment is profitable for us. Once that is any DPNG, the beauty is that if it becomes posit ive, it remains positive for your entire life.

Lokesh Manik: Correct.

K. K. Chatiwal : So for us, I mean because of the numbers, sheer numbers and you get 105% allocation of APM gas. So this is positive for us.

Lokesh Manik: Fair enough. Sir, my second ques tion was on the EV policy, the first one of Delhi has expired on 31st March . They extended the timeline for introduction of new one. It has not come out yet . Any update on that one and second, any update on the new buses in the DTC segment that are getting tendered, are they still being on EV tendering or they are looking at CNG again? Any update because you are in that city, you know the development.

K. K. Chatiwal : You see, I will answer the second question first. So the Delhi Transport Department has decided that their future buses will all be EVs. So whatever the residual number will remain, 1000, 2000, so that will remain. Other than that, 8,000 10,000 buses will be electric. So all new tenders will be based on electric only. So that is number one. S econd is, as f

ar as the EV policy is concerned, I mean, some news items also came because the draft policy was never uploaded for comments. It is yet to be approved. From the media reports, we got to know that there is some thought about banning two -wheele r and three -wheeler petrol, diesel, CNG , petrol and CNG basically. So we have given our submission to the Delhi government that gas was brought in Delhi on the directions of Honorable Supreme Court and the Centre was asked that CNG to replace the polluting fuels. So this is an entirely different category and it should be categorized as a bridge fuel, a transition fuel and either it should be clubbed with EV or it should be a separate segment and not to be clubbed with the other petrol and diesel fuels. So t hat has been our submission. Even some of the central government schemes like sustainable alternative towards affordable transportation, SATAT scheme or synchronization scheme. So they are positioned to take care of this bio CNG, bio methane and bio LNG al so and so, we feel that this infra becomes a future ready infrastructure for use of bio CNG, bio methane, as well as hydrogen in a blended form . I think we feel that so it needs to be categorized in a different segment altogether, if not with the se.

Lokesh Manik: So sir you were saying that for these introduction of new fuels, especially the bio CNG and the hydrogen that you mentioned, incremental infrastructure will not be required. You can use your

existing infrastructure and leverage that to supply these fields. Am I understanding correct on that?

K. K. Chatiwal : Exactly, exactly. Your understanding is correct. There's the same infrastructure, up to certain percentage of blend of hydrogen and 100% blend of biomethane, biogas that can be used.

Lokesh Manik: Understood, understood. So because the EV policy was very harsh when it came out the draft, I mean completely banning everything and only EV.

K. K. Chatiwal : No, I think, let us wait for the final draft s o it may be changed actually.

Lokesh Manik: Right, right. Thank you so much for the clarification.

Moderator: Thank you. The next question is from the line of Ruchita Ghadge from iWealth . Please go ahead .

Ruchita Ghadge: Hello, sir. Good evening . So most of my questions have been answered. Thank you so much.

Moderator: Thank you. The next question is from the line of Akash Mehta from Canada HSBC Life. Please go ahead .

Akash Mehta: Hi sir. So I think you all mentioned that the conversions throughout the year have been averaging about 18,000 versus 15,000 in the previous year. So if you could just help with the last couple of months of conversion, at least, I mean, March, April, how the conversions have kind of looked like in terms of vehicle. That will be helpful.

K. K. Chatiwal : Yes, I think the number s if we see , March it was around 17,500 , February also 17,200 but January it was all time hike , it was around 27,000 and December around 15,000. So this is the trend of last 4, 5 months.

Akash Mehta: Okay, that is from my side. Thank you.

Moderator: Thank you. The next question is from the line of Devang Patel from Same eksha Capital. Please go ahead.

Devang Patel: Can you help us with the CAPEX guidance for next year and the breakup of this between what is the minimum works program CAPEX , what is the CAPEX for CBG, what is the CAPEX for solar , etc. ?

K. K. Chatiwal : See, this year, last, in fact, last financial year we have spent around Rs. 1100 plus crores on the CAPEX and primarily it was on the core business that is on the domestic PNG front as well as the steel and on the CNG stations but for the coming year , it waves around Rs. 2000 plus crore

is the CAPEX plan with around 1300, 1400 coming in the core segment and on the solar around 400 to 5

00 and balance on maybe LNG, CBG and some other business develop ment part.

Devang Patel: On the solar CAPEX , once it's commissioned, we will see a reduction in our power cost. That would be around Rs. 500 crore of annual cost that we bear ?

K. K. Chatiwal : I mean, that is one of our plans that if we can bring it to our operating stations as a captive consumption, so that should bring down ou r cost of power.

Devang Patel: What kind of savings could we expect?

K. K. Chatiwal : I think right now for Delhi it will be difficult in the sense that it is on state grid. So I think Rs. 5 to Rs. 6 saving we can expect from that. But if it was a central grid, then almost Rs. 8 .

Devang Patel: Sir, in domestic PNG , our growth was constantly in double digits, it come down to 5%. Is this the new growth? Is it because of the base has gone up for us or can we expect PNG to con tinue growing in double digits?

K. K. Chatiwal : Sir, domestic PNG has grown by 10%. 12% rather .

Devang Patel: Yes, for the full year yes, for Q4 the growth looks slower YoY .

K. K. Chatiwal : I think quarter -on-quart er, it is difficult because the billing is done in 2 months. The billing cycle is 2 months, so sometimes the overlap may be there. So if we look at the full year, that will give us the correct picture. But we are seeing good number of additions. We are targeting to end up to 3 lakh additions every year . And all over GA s, the number of connections are going up. And it is in direct proportion to the number of connections. 0.4 is per household connection. And as and when we add new houses, that is the quant ity that goes up. So we are seeing 10 % to 12% growth. There is no reduction in that.

Devang Patel: Thank you so much.

Moderator: Thank you. The next question is from the line of Somaiah V from Avendus Park Institutional Equities Private Limited. Please go ahead.

Somaiah V: Yes, thanks for the opportunity, sir. A few clarifications. So first thing is on the CAPEX number, the 1300 that you said for the core part of the business. So if you just break it up into Delhi, NCR, and for the newer GA s, that would be helpful?
K. K. Chatiwal : Delhi will be almost you can say around 40 % or 35 % to 40 % and maybe 20 % in NCR Noida Ghaziabad and around maybe 25 % to 30% or so will be the other G As.

Somaiah V: So this is the CAPEX break up that I am referring to sir. Of the Rs. 1300 crores ?
K. K. Chatiwal : Yes, so that was only I was mentioning. So it will be around 45, maybe 40 % to 45% on Delhi. It will be spent in Delhi and 20 % to 25% will be on Ghaziabad or Noida that is the NCR part. And the balance may be around 30 % to 40% will be on the other G As.
Somaiah V: Understood. What are the CNG station additions that we would be doing when we are talking about this?
K. K. Chatiwal : We have taken a target of around 90 to 100. So in th is range, we will be targeting.
Somaiah V: And ma jority would be in the newer GA s?
K. K. Chatiwal : Yes, it will be proportionate.
Somaiah V: Okay. So, this Rs. 1300 crores of CAPEX run rate, is it something that we will continue to see for the next 2, 3 years or how do we look at it? Will it k ind of come down this run rate?
K. K. Chatiwal : No, this will continue for next 3, 4 years that we can see that 1300 and in case we get more GA s, then that number may continue for even longer.
Somaiah V: Understood, sir. And also the solar related CAPEX that you said, so that is 300, 400 for this year, right? I mean, so what would be the total CAPEX?
K. K. Chatiwal : I think that is in a joint venture mode so the equity investment would be there of this range. Rest other would be funded by that. That would be taken by that joint venture.
Somaiah V: Apart from the Rs. 300- Rs. 400 crores, further equity infusion is required next year, sir or not?
K. K. Chatiwal : No. Rs. 372 is t

he final CAPEX as of now. Final equity contribution of IGL in that joint venture, 74% shar e. So that is the number. I think in the next 1-1.5….I think the commissioning will be in 18 months or so. So in the next 2 years, this will be used and we don't foresee any further requirement.
Somaiah V: Okay . The other question of the new GA is you hav e given volume of around 0.8 MMSCMD . Is it possible to get a breakup of this between the GA s in new area?
Mohit Bhatia : Rewari is approximately 0.35. Muzaffarnagar is around 0.12. Then, we have Karnal and Kaithal is around 0.15 and Kanpur is 0.5, Ajmer is another 0.8. So this is the broad breakup.
Somaiah V: So sir this newer EAs because probably of operating leverage today not being to the fullest. Maybe on the profitability side is on the lower and compared to th e established ones. So when

do we see an inflection point on what heads, mean maybe transportation today is on the cascade mode . So where do we see this kind of headwinds in the next couple of years?
K. K. Chatiwal : So I think both the GAs Kanpur, Kaithal and Ajmer, so they are nearing that EBITDA positive level. So slight increase in volume and they will cross the line . So it is not that they are at a big gap. So they are already near to the EBITDA positive level.
Somaiah V: One last clarification .
Moderator: May we request to return to the question queue for followup question as there are several participants waiting for the turn . Thank you. The next question comes from the line of Nirmal Gore from Aditya Birla Sun L ife AMC. Please go ahead.
Nirmal Gore: Thank you for the opportunity sir. I wanted to know if we have any plans to undertake price hikes in Delhi GA in the near future. And also if you could share us the reason why we were able to underperform towards our guidance of 9.5, we were able to achieve 9.11 MMSCMD . Thank you so much.
K. K. Chatiwal : Your second question first. 9.5 , there was a slight miss. We achieved 9.2 and part of the reason is the increase or the reduction in APM volumes in the third quarter and since the cut was sudden, so w e had to source the additional volumes. So there was some deliberate attempt to cap the growth till the time we source the gas. Now that we have sourced the gas, so now we are looking at growth. So there was some deliberate attempt there to reduce the grow th. Second is price hike that is a very dynamic thing that we keep on evaluating every fortnight , every month based on the allocation , the RLNG prices , the exchange rate and other factors . So we will take a decision on increase in Delhi and other areas based on these factors . So as of now I can't say that when we will be increasing since it is a dynamic , but we have a lot of headroom to increase the prices that much I can say.
Nirmal Gore: Okay sir. Thank you so much.

Moderator: Thank you. The next quest ion is from the line of Kirtan Mehta from Baroda BNP Paribas Mutual Funds. Please go ahead.
Kirtan Mehta: Thank you sir for the opportunity . We have indicated around 18,000 vehicle addition every month in FY '25. Is it possible to break this down across a c ategory of vehicles?
K. K. Chatiwal : 80% is new vehicle addition and 20% is you can say the retrofitment market and segment wise breakup .
Mohit Bhatia: Segment wise also , if we see , if we see the new one addition, so almost 50% comes from the passenger car s and balance is a mix of goods carrier and taxis and the three wheelers .

Kirtan Mehta: And is it also possible to indicate this breakup across Delhi , NCR and other GAs?
K. K. Chatiwal: We have actually taken this from the Vahan data , so GA wise we will share separately.
Kirtan Mehta: Sure. One more question related to in terms of the CNG's competitiveness versus diesel

. How
does it pan in Delhi, NCR and other GA s looking at the d ifferent price levels across this?
K. K. Chatiwal: So ri ght now our focus is not petrol, diesel because we are competitive with respect to that . With respect to petrol , it is Rs. 19, with respect to diesel , it is around Rs. 13. But our main concern is how to remain competitive with respect to EV. So that is wha t we are competing against.
Kirtan Mehta: Thank you sir.
Moderator: Thank you. The next question is from the line of S abri Hazarika from Emkay Global.
Sabri Hazarika: Now how many CNG stations we had at the end of the year?
K. K. Chatiwal: We have 954 stat ions now.
Sabri Hazarika: 954 and industrial and commercial growth for FY '25 was 11% and 10% YoY . Is that right?
K. K. Chatiwal: Yes. Commercial was slightly 7 % to 8%.
Mohit Bhatia: 8% for commercial, 10 % for industrial.
Sabri Hazarika: And for Q4 how much it would be?
K. K. Chatiwal: 6% for industrial and 2% for commercial for the quarter year-on-year.
Sabri Hazarika: For the Quarter 4 , right? Okay, thank you so much.
Moderator: Ladies and gentlemen, that was the last question for the day . I now hand the c onference over to the management for closing comments .
K. K. Chatiwal: Thanks, Nitin. Thanks for hosting this call. I also thank all the participants for participating in our call. Any questions if you have further to what we deliberated today, you can pro bably mail it to us or mail it to Nitin and we can get back to you. Thank you so much. And thanks Nitin and Phillip Capital. Thank you.
Moderator: On behalf of PhillipCapital (India) Private Limited that concludes this conference. Thank you for joining us a nd you may now disconnect your lines.

Call: Jul 2025

"Indraprastha Gas Limited Q1 FY '26 Earnings
Conference Call "

July 31, 2025

MANAGEMENT : MR. K. K. CHATIWAL – MANAGING DIRECTOR ,
INDRAPRASTHA GAS LIMITED
MR. MOHIT BHATIA – DIRECTOR (COMMERCIAL),
INDRAPRASTHA GAS LIMITED
MR. SANJAY KUMAR – CHIEF FINANCIAL OFFICER ,
INDRAPRASTHA GAS LIMITED
MR. MANJEET GULATI – VICE PRESIDENT (FINANCE),
INDRAPRASTHA GAS LIMITED

MODERATOR : MR. NITIN TIWARI – PHILLIP CAPITAL (INDIA)
PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day, and welcome to Indraprastha Gas Limited Q1 FY '26 Earnings Conference Call.

As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Nitin Tiwari . Thank you. And over to you, sir.

Nitin Tiwari : Thank you, Huda. Good day, ladies, and gentlemen. On behalf of PhillipCapital (India) Limited, I welcome everyone to Indraprastha Gas Limited 's 1st Quarter FY '26 Earnings Call.

Today, from the management team of IGL, we have the pleasure of having with us Mr. K. K. Chatiwal – Managing Director of IGL; Mr. Mohit Bhatia – Director (Commercial); Mr. Sanjay Kumar – CFO; and Mr. Manjeet Gulati – VP (Finance).

I shall now hand over the floor to the management for their opening remarks, which shall be followed by a question -and-answer session. Over to you, sir.

K. K. Chatiwal : Good evening, ladies, and gentlemen. I am Kamal Kishore Chatiwal , Managing Director of Indraprastha Gas Limited. It is a pleasure to welcome you all to our Q1 FY '25 - '26 earnings call. Thank you for taking the time to join us today.

For the benefit of new participants, I would like to begin with a brief overview of IGL :

Indraprastha Gas Limited is one of India 's leading city gas distribution companies with a strong presence in 12 geographical areas across four states. Our mission is rooted in delivering safe, reliable, sustainable energy solutions across industrial, commercial, domestic sector, as well as the urban mobility segment. We operate through a balanced portfolio that spans both mature and emerging geographical areas, providing us with both stable returns and exciting growth opportunities.

On the infrastructure front :

IGL continues to strengthen its network. We now operate a steel pipeline network exceeding 2,400 kilometers , complemented by an MDPE pipeline network of approximately 28,000 kilometers . This infrastructure enables us to supply natural gas to over 3.1 million households, 5,300 industrial units, 7,000 commercial establishments. In addition, we operate more than 955 CNG stations across our area of operations.

Operational and financial highlights for quarter one are as follows :

In Q1 of FY ‘26 , we recorded a healthy 6% year -on-year increase in overall volumes, driven by 6% growth in CNG segment and 10% growth in PNG segment. It is worth noting that CNG volume growth of 6% was achieved despite a reduction in sales in DTC and DIMTS buses, which a re gradually transitioning their fleet to EV. If we exclude DTC volumes, our CNG growth stands at around 9% year -on-year, which is highly encouraging considering the high base. While volumes in Delhi remain stable, we experienced robust double -digit growth in our operations outside Delhi, reaffirming the strength of our expanding geographical footprint. One of the key growth drivers was the rise in CNG vehicle adoption. On a 12 month rolling basis, we saw a 17% increase in new and retrofitted CNG vehicles, with an average addition of 18,500 vehicles per month during the quarter, up from 15,900 a year ago.
On the PNG front :
The total sales volume rose to 2.34 million standard cubic meters per day, up from 2.18 million standard cubic meter per day, with growth evident across all business segments. Domestic PNG sales grew 11%, supported by the addition of 1.81 lakh new connections. For households, the consumption remained steady. Industrial PNG volume rose 8%, backed by 419 new industrial connections, and a 9% increase in the

build industrial base. Commercial PNG sales increased by 14%, aided by 909 new commercial connections.
Expansion of our customer base continues to be fundamental lever driving PNG volume growth.
I would also like to highlight a significant regulatory development that you may be aware of. The PNGRB has recently notified that the transmission tariff for CNG and domestic PNG segments will now fall under a single zone tariff network. While pricing details are awaited, this structural reform is expected to benefit the CGD sector immensely, especially in the hinterland. We believe this change will positively impa ct our core structure and margins in the near term.
With this, I now invite Mr. Mohit Bhatia – our Director (Commercial), to share additional remarks.
Mohit Bhatia : Thank you, Mr. K. K. Chatiwa l, and good evening to all our investors, fund houses and analysts. I am Mohit Bhatia – Director (Commercial) at Indraprastha Gas Limited, and it is a pleasure to speak with all of you today.
So, let me take you through some of the key financial highlights for the quarter :
The total sales volume for quarter one stood at 831 million standard cubic meters , registering a growth of 6% year -over-year. This is translating into an average daily volume of 9.13 million standard cubic meter, which is up from 8.64 million standard cubic meter of last year. The revenue for the quarter reached to Rs. 4,317 crores , with an increase of 11% year -on-year. The

EBITDA stood at Rs. 512 crores, reflecting an 11% decline over last year, primarily due to the reason in the per SCM gas purchase cost. This was largely the result of reduced allocation of APM gas.
The profit after tax (PAT) for the quarter was Rs. 356 crores as compared to Rs. 400 crores of Q1 of the previous year. However, our sequential analysis provides a clear picture. In Q4 of ‘25, there was a one -time impact of Rs. 114 crores related to settlement with oil marketing companies. Adjusting for that EBITDA per SCM has increased by 33% and currently it stands on Q1 closer that is Rs. 6.16 per SCM.
In terms of sales volume, while our Managing Director mentioned that Delhi was flat, but the NCR region particularly Gautam Buddha Nagar, that is Noida, Greater Noida, and Ghaziabad geographical areas registered 11% growth whereas the other GAs outside Delhi and NCR registered a 23% growth. Our associate Company Central UP Gas Limited has continued its steady growth. During the quarter, CUGL sales volume stood at 0.34 million standard cubic meter per day as compared to 0.3 million standard cubic meter in t he corresponding last year with an increase of 13%, reflecting healthy operational performance.
The Company also improved financial outcomes with a profit registering PAT of Rs. 17.6 crores, up from Rs. 15.6 crores in the same quarter of the previous year. Our other associate, Mahanagar Natural Gas Limited, has continued to maintain robust operational performance. During the quarter, MNGL recorded a sales volume of 1.85 million standard cubic meter per day as compared to 1.56 million standard cubic meter during the corresponding quarter of the previous year with an increase of almost 18%, reflecting consistent demand and network expansion.
The profit after tax stood at Rs. 131 crores as compared to Rs. 145 crores in the same period last year. Largely impacted by pricing dynamics, despite this, the Company remains well positioned for sustainable long -term growth. As our Managing Director mentioned, we expect further upside in EBITDA margins for IGL once the tariff rationalization takes full effect.

With this, I would like to conclude the opening commentary and would now request to open the floor for further questions. Thank you.
Moderator : Thank you very much. We will now begin with the question -and-answer session. The first question is from the l

ine of Probal Sen from ICICI Securities. Please go ahead.
Probal Sen : Thank you for the opportunity. Good afternoon, sir. Two questions from my side. Firstly, in terms of the gas sourcing mix, if you can let us know what was the exact APM gas percentage for this quarter, excluding new well gas for the CNG segment, and also t he volumes that we got from Brent linked long -term contracts as well as Henry Hub linked contracts for the quarter?

K. K. Chatiwal : See, APM as of the second fortnight is around 3.08 MMSCMD, so out of the total 6.79 MMSCMD. So, that is close to around 42%.
Probal Sen : Okay. And what about the other sources?
K. K. Chatiwal : Others is that we have got new well gas, then HPHT, even IGL, we have the HPHT priority. So, you can say , two-third we are getting the domestic gas that includes your APM, new well, HPHT, CBM. So, these domestic sources constitute around two -third , one-third is RLNG.
Probal Sen : And the RLNG is primarily on contractual basis, sir? Or do we have any spot as well in our portfolio?
K. K. Chatiwal : We have more than 100% contracts. So, I would say medium -term and long -term is there. There is no spot volume requirement.
Probal Sen : Right. The second question was with respect to the tariff rationalization that you mentioned. Is it possible to get a sense of how much of our volumes today in the domestic and CNG are actually on Zone -2 versus maybe or Zone -3 as the case may be? And what kind of a per SCM --
K. K. Chatiwal : Yes. Total we have around 83% of our volumes are in that zone. So, 83% goes to CNG, transport and domestic. That is the number and around 85% to 87% is in Zone -2, rest 13% - 14% is in Zone -3.
Probal Sen : Got it. So, 87% of our domestic and CNG volumes are in Zone -2, right?
K. K. Chatiwal : Yes.
Probal Sen : And sir, is it possible if you share your estimate of what kind of cost savings will occur if these volumes were to move to Zone -1 tariff?
K. K. Chatiwal : I think actually final numbers are not there. But whatever is available from various sources, we feel that Rs. 1 per SCM plus minus Rs. 0.30.
Probal Sen : Rs. 0.70 to Rs. 1 roughly range is what we expect.
K. K. Chatiwal : Rs. 0.70 to Rs. 1.30 should be the range.
Probal Sen : One last question if I may squeeze in, sir. Any change in guidance? I believe earlier also you had mentioned that you would try to volume growth would be at around 7% to 8% or 6% to 8%. And EBITDA would be in the range of Rs. 6.5 to Rs. 7. Is that a fair guidance to assume?

K. K. Chatiwal : No. Basically the EBITDA margin should improve, and the long -term guidance has always been Rs. 7 to Rs. 8. So, we should be in that range. I think even some of the tax rationalization discussions are going on with some states. So, we are hopeful that we should be in the upper range of that going forward and we should end the year at around 10 million.
Probal Sen : So, volume growth, sir, any long -term guidance for the next two years to three years on an annualized level?
K. K. Chatiwal : I think 10% to 11% is the guidance for next two years to three years.
Probal Sen : Okay.
K. K. Chatiwal : That includes the GAs that we will be acquiring. And based on that, we are saying that.
Probal Sen : Okay. That is very helpful, sir. Thank you so much. And all the best.
Moderator : Thank you. The next question is from the line of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil : Thanks for taking my question, sir. Sir, again, can you give us a detailed breakout in terms of MMSCMD of our gas sourcing volumes like APM, you have already mentioned 3.08 MMSCMD, but could you please give us a NWG, HPHT, Henry Hub, Crude linked and the s pot, if you have that handy.
K. K. Chatiwal : NWG, right now is at 0.9 kind of numbers, 0.9. And HPHT, you can

say, I mean some of the
volumes are on a very short -term basis. On a monthly basis, we are getting on the exchange. But long-term if you say it is 0.43 long -term one -year contract, but every month they come out with some volumes. So, as you know, the CNG transport segment is on priority list. So, we get the

first priority and whatever we bid, so 15% to 20% of that we definitely get. So, 0.3 to 0.4 from there. And CBM volume is 0.12.

Yogesh Patil : Henry Hub, any idea sir?

K. K. Chatiwal : So, Henry Hub, we have contracted around I mean 67% of our 4.22 million portfolio, two -third of that is Henry Hub linked.

Yogesh Patil : Okay. Sir, second question again related to volume growth, you have been guiding a volume growth of 8% to 10%, 10% in FY ‘26 , while reported volume growth is in the range of 6% on year-on-year side. What would be the key drivers which will drive our volume growth to the 10% in the remaining nine months, can you just throw some lights on that side?

K. K. Chatiwal : Actually some of our new GAs even in the existing GAs we see a strong growth in the OEM car space, passenger vehicle space which is growing at around 37% as we speak. The last month ’s numbers were out and petrol has come down below 50% first time and 37% is CNG. So, that is a very healthy growth. And we are also augmenting our stations not only outside of Delhi . But even in Delhi, we are augmenting stations very aggressively and wherever we find space even in the existing stations, we are in creasing that. So, with that what we plan to do is increase the customer experience which should aid us in our conversion.

Yogesh Patil : Sir, how many CNG DTC buses are right now flying inside Delhi? And how much is their consumption --

K. K. Chatiwal : And second is, maybe some of the GAs, I mean, we may do some acquisition and all. So, those volumes will also come in.

Yogesh Patil : Okay. So, sir, next question is related to number of CNG DTC buses inside Delhi as of now. And how much is the CNG sales volume nowadays?

K. K. Chatiwal : See, DTC is around 87,000 is remaining. So, you can say, 1.7% of the total volume. So, that is that, not a significant number. And our sales are exceeding, currently we are exceeding 51 lakhs to 52 lakhs kg per day.

Yogesh Patil : Okay. This is 85,000 kgs per day. Is that a correct understanding, sir?

K. K. Chatiwal : Yes. This is all on kgs because we sell it in kg and then we convert it into SCM.

Yogesh Patil : Okay. And how much time it will take to completely phase out of all the CNG DTC buses?

K. K. Chatiwal : It is dependent on the Delhi Transport Corporation how quickly they can deploy the electric buses. So, in next two years, we are expecting those buses to go out. Whatever is remaining, very less buses are there.

Yogesh Patil : Thanks a lot, sir. This was really helpful.

Moderator : Thank you. The next question is from the line of Sabri Hazarika from Emkay Global. Please go ahead.

Sabri Hazarika : Yes. Good afternoon. So, two questions. Firstly, what was the CAPEX for Q1 FY ‘26 and how many CNG stations did you add?

Mohit Bhatia : So, see, we have taken like on the core business for the annual, the financial year around Rs. 1,400 crores to Rs. 1,500 crores for this year. So, we had incurred around Rs. 290 crores during the Q1 on the CAPEX --

Sabri Hazarika : Rs. 290 crores?

Mohit Bhatia : Yes. Rs. 290 crores. So, on the CAPEX incurred was Rs. 290 crores. So, as you know, that like in the 1st Quarter , normally we plan to put up the CNG stations and all. So, we have a plan for commissioning of 102 stations during the entire year. So, 1st Quarter , it is all in the execution stage. So, number, not much numbers get commissioned during the 1st Quarter . But for the entire year we have a plan of 102 target for commissi

oning.

Sabri Hazarika : Okay. Second question is what is the industrial and commercial PNG realizations for Q1 and also the average for FY ‘25 last year?

Mohit Bhatia : Yes. So, for Q1, we had the double -digit growth basically in industrial and commercial sector also. So, industrial sector grew by around 8% to 10%, roughly 8% you can take. And the commercial grew by 14%. It is slightly better than the last year average. Now we are clogging a daily average volume of around the 0.86 million per day in case of industries. And in terms of commercial sale, we are clogging around 0.24 million SCM per day. So, almost around 170 commercial customers and around 100 industrial custo mers during this quarter we have added also.

Sabri Hazarika : So, yes, thanks for that. But I also wanted to know the realizations . The pricing, pricing, sir?

Mohit Bhatia : Pricing?

Sabri Hazarika : Yes. Industrial and commercial price for Q1 as well as FY ‘25.

Management : So, for Q1, our average price if you see is around Rs. 49 to Rs. 50 in case of industrial and around Rs. 60 for commercial.
Sabri Hazarika : And last year also, it was like this only?
K. K. Chatiwal : No, we have increased the prices slightly Rs. 1 in domestic and Rs. 1 or Rs. 2 in industrial and commercial. Industrial is a very dynamic thing based on the alternate fuel. So, we have to somehow, sometimes compete with that. So , that is a very dynamic space, but commercial is stable at Rs. 60 and domestic at Rs. 50. So , we had increased prices there.
Sabri Hazarika : Got it, sir. Thank you so much. And all the best.
Moderator : Thank you. The next question is from the line of Lokesh Manik from Vallum Capital. Please go ahead.

Lokesh Manik : Sir, my query was we have seen significant increase in O&M expenses specifically in power and fuel in the last couple of years and we have not seen a throughput in sales to that extent. So, any color on what is the nature of this power and fuel expense? And what is driving this in crease?
K. K. Chatiwal : I think we will be happy to share with you that your concern is right and we have been working on this. So, this quarter we have in fact reduced the power and fuel cost per SCM. So, there has been as compared to say quarter -on-quarter also or sequential also, from one point there is a Rs. 0.05 to Rs. 0.06 improvement in power and fuel cost and we continue to work on that to reduce it further. Second area is the repair and maintenance cost also. There also we have improved by Rs. 0.08 per SCM from Rs. 1.5 per SCM to Rs. 1.42.
Lokesh Manik : Sir, but why is this cost going up? We are laying the pipelines , is it the duration , yes.
K. K. Chatiwal : It is going down. Cost is not going .
Lokesh Manik : I am asking why did it go up because the GAs were developing so you had to transport through road. Is that the reason this cost was going up or there was some other reasons?
K. K. Chatiwal : No. Actually, power and fuel, those GAs, that is a separate head. What happens is when you commission a station, so initially the capacity utilization is slightly less than what you would normally want. So, it takes time to the full capacity utilization to take effect. So, there is some bit of operational inefficiency to begin with. But then if you rationalize, once you are scheduling and all those things, there are a few strategies we have deployed to reduce that. Even the sourcing of power is one issue th at we are aggressively working on to source a renewable power because in some places the cost of power is also very high. In addition to that, the fuel cost also, the gas, because now RLNG is the major component of the fuel. So, sourcing that also is impor tant.
Management : Just to add one more clarification here, this power and fuel cost is mainly for the operation of compressors which we have to utilize for dispensing the gas, CNG t

o the vehicle. So, this is power and fuel is mainly on that account.
Lokesh Manik : Understood, sir. Sir, second question was a clarification. You mentioned realization in industrial is Rs. 49 to Rs. 50 and commercial is Rs. 60. This is per SCM or per kg?
K. K. Chatiwal : No, all these are per SCM except for CNG. All other sales are on per SCM basis.
Lokesh Manik : Great. That is it from my side. Sir, thank you so much.
Moderator : Thank you. The next question is from the line of S. Ramesh from IGL. Please go ahead.
S. Ramesh : Hello. Good evening, and thank you very much. So, when you are talking about this exit rate of 10 MMSCMD from the current 9 MMSCMD. Can you share what is the actual volume in

MMSCMD from the new GAs and how you see that by the end of the year? And what is the volume you expect from the existing areas for this 10 million cubic meter setting ?
Mohit Bhatia : So, thanks, I think it is a great question. But I would like to give you a comfort in a different direction. See, if we see the incremental volumes in terms of MMSCMD per day for this quarter which ended in the Q1, so there has been an incremental volume of 0.5 MMSCMD, right? So, if we break up that, so almost around now 15% of the incremental volume is coming from Delhi, whereas around 42% - 43% is coming from Noida part and Ghaziabad, whereas around 40% incremental volume is coming from the newer GAs.
S. Ramesh : So, this 0.5 MMSCMD is based on the March quarter or the last year 1st Quarter ?
Mohit Bhatia : Yes, yes, q uarter -over-quarter.
K. K. Chatiwal : Last year.
Mohit Bhatia : Yes, last year. This Q1 versus last year Q1.
S. Ramesh : Okay. The second thing is when you talk about growth in CNG, this quarter you have done 5%, we keep talking about very healthy vehicle additions. We also see 37% from our CNG passenger vehicles. But we do not see that getting translated into volume growth for your Company . And we all know that you have done a wonderful job in the last two years. So, what exactly is

happening and how do you see that volume growth go to that 8% - 9% because that Delhi thing is more or less in the numbers. So, on a sustainable basis, on a base, how do we see that translate into that 8% to 9% growth?

Mohit Bhatia : Yes. Absolutely. I think fantastic. See if you just recall our Managing Director also in his opening remarks said, if we exclude the DTC sales of the DTC buses, CNG segment is almost growing at 8% to 9%. So, you can say that now we are almost in the last l eg of the DTC volumes, it has been almost phased out. And in coming time , I think , the base is going to be almost zero, and then the natural growth as well as the whatever the newer GAs additional volumes is coming. So, we are quite confident and hopeful that around 8% to 10% CNG traction will happen.

S. Ramesh : If I may squeeze in just one last question on this shift towards Zone -1 tariff, how much of that would you have to pass on and how much of that can you retain in terms of market improvement?

K. K. Chatiwal : I think we have been postponing our price rise in anticipation of this tariff, because public consultation was done in March. So, we are expecting that by this 1st Quarter it will be notified, but I think the calculation is taking some time. So , we will see that once we are in the range of 7% to 8%, we will then review the situation.

S. Ramesh : Thank you very much, and wish you all the best. I will rejoin the queue.

Moderator : Thank you. The next question is from the line of Somaiah V from Avendus Spark. Please go ahead.

Somaiah V : Yes. Thanks for the opportunity, sir. Sir, two questions. Sir, one, you mentioned about discussions regarding state taxation, so if you could just elaborate currently what is the level of taxations? And what do we expect there an

d what could be the potenti al savings that we can get from there?

K. K. Chatiwal : See, there are two states that are, I mean, first was Rajasthan where 14% VAT was there, that has come down to 7.5%, and further there are some representations for rationalizing it to 5% in line with the other neighboring states. The second is the UP, where you have 10% input, 12.5% on the output, so total 23% - 24% impact is there. So , there 5% - 5%, so maybe 10% - 11% we are thinking from 23.5% to 10%. So, some of them, we would like to pass on to the customer. Because, I mean, the state government has done so much. So, we would like to increase our conversions in those areas by reducing the prices.

Somaiah V : Sir, would it be possible to, I mean, what level of cost savings at the consolidated level it can bring for us in case the number goes on the way that you say or if you can help us with the volumetric in these regions?

K. K. Chatiwal : I think 10% would translate to around Rs. 8 per kg. So, per SCM would be around, you can say, Rs. 5.50 to Rs. 6 per SCM.

Somaiah V : But this is in those regions, I am more looking into at the consolidated level.

K. K. Chatiwal : You can say 20% of our volumes are from UP. So, to that extent, I mean, the overall impact would be in the range of Rs. 1 - Rs. 1.50 per SCM.

Somaiah V : Got it, sir. Sir, second question from me, I mean you referred to acquisition opportunities, I mean in case we identify one or choose one, what would be the criteria for us. And second, are we seeing more opportunities currently, in the next one year or two years you expect some kind of consolidation here, if you could just help us on this?

K. K. Chatiwal : See our criteria is very simple that if we come in, if we acquire something, is there a potential to maybe increase by the sale, in how many years can we double the sale. So, that would be our criteria. And what is balance for growth, as well as in case the sourcing inefficiency is there, because right now, unlike earlier cases where it was fully dependent on the APM, now we have to source gas. So, what is the sourcing efficiency we can bring in, what is the infrastructure efficiency that we can bring in and what is the CAPEX efficiency.

So, all these factors combined will evaluate the GA. And second is not many GAs are online, simply because all of them have a minimum of program and lot of penalties are there. So, while

evaluating, I think, that is a major bottleneck that the penalty levels of each GA would add on to the valuation.

Somaiah V : Got it, sir. Sir, one last question on the margins. So, our medium -term as you said Rs. 7 to Rs. 8 is something that we look out for. So, in general, how do we approach this for instance, I mean there is a risk of APM deallocation, so we think in case , if there is some cut, we are in a quite comfortable position to take a price hike. And then we can get to that Rs. 7 to Rs. 8, so that is how we will approach it. Because currently, we are at Rs. 6 and as you mentioned probably the tariff thing is something that you are waiting for. So, are we quite comfortable taking price hikes

at where spreads are today, in case if there is any cost led impact for us?
K. K. Chatiwal : So, once everything is in place then we will be able to know what is our EBITDA level, because right now we do not know the numbers. We are at Rs. 6.16 in the 1st Quarter , average is Rs. 6.16. And may be if we take the full effect of whatever increase we have taken in the 1st Quarter , it may increase to Rs. 6.2 - Rs. 6.3 levels. So, any increase in this or reduction in transmission tariff as well as the state taxes, as well as some other taxes also are rationalized . The total effect we will evaluate and then see that how do we mitigate the risk of APM going down Rs. 7 to Rs. 8 annually.
So, all those factors we will see, but we will

try to keep the long -term in the range of Rs. 7 to Rs. 8. In case, if it is in the upper end, then we may try to think of, I mean, giving some benefit to the consumer. And in case of lower end, we may try to take some price hike because we have the headroom to take a price hike.
Somaiah V : Got it, sir. Sir, just one clarification, this excise duty on CNG, do we see or is there any representation from our side asking for a reduction or any thoughts on that, would that be a kind of a lever for the industry in terms of addressing in case if the re is any APM price cut?
K. K. Chatiwal : No, that the industry has already represented that one is the sector under GST, second is the rationalization of excise duty . Then third one would be your Gujarat VAT, is there a way that we can reduce that. So, these are the three factors that we have represented.
Somaiah V : Is there any timeline that we are looking at, sir, or it is still open?
K. K. Chatiwal : No, I think, I mean, three months to four months something should happen.
Somaiah V : Got it, sir. Thank you. Thanks a lot.
Moderator : Thank you. The next question is from the line of S. Ramesh from IGL. Please go ahead.
S. Ramesh : Yes. Thank you. I am from Nirmal Bang, just a correction there. So, thank you very much for the follow -up. So, if you talk about the Henry Hub sourcing, it is about two -thirds. So, is not

there a risk because Henry Hub prices have gone up by about $1. So, how do you manage that risk in your overall gas cost?
K. K. Chatiwal : No, I do not know which index you are tracking right now because Henry Hub has come down, I would say. Currently, it is at $3 , earlier, it was at $3.94. Currently, it is at $3.
S. Ramesh : No, no. The reason why I asked that is --
K. K. Chatiwal : You are right. If you look at it, our overall portfolio, only one -third is linked to Henry Hub, rest two-thirds is linked to Brent , because APM, new well, HPHT, all are linked to, they have a major share of Crude Brent linked and Henry Hub is one -third. But still, we will try to balance our portfolio and try to source some more crude linked, so that the RLNG that we source is balanced to 50 - 50, both the Brent , Henry Hub, and Crude.
S. Ramesh : Okay. Fair enough. So, if I may just squeeze in a thought on your adjacencies like the JV with ACME , solar and your gas power meter. Do we see any material progress in terms of the capitalization and addition to your top line and bottom line in the next two to three years or will it take four years to five years?
K. K. Chatiwal : The meter manufacturing IGTL, that is started the commercial production. I mean it is in trial phase right now, but it has been commissioned. And we are awaiting all the approvals. Various approvals are needed. So, we are awaiting approvals. So, by August end , the Company should be selling the meters in the open market. And they have got some orders also, so that is in operation. The JV with ACME, I think it was not with ACME, it was with RVUNL, Rajasthan Vidyut Utpadan Nigam , the state DISC OM and that was an M oU right now and with an intent to form a JV . So, things are progressing on that front.
S. Ramesh : So, you do not have a JV with ACME Solar, that is what I remember seeing some filings, that is why I asked.
Management : It is not there. I think some misunderstanding is there.
K. K. Chatiwal : I think we were looking at acquisition of some of the assets of ACME earlier, so we had done a due diligence also.
S. Ramesh : And then LNG retailing, any thoughts?
K. K. Chatiwal : Yes. On that front also, we are commissioning three stations, hopefully in this quarter they should be commissioned. One is by August end, it will be commissioned in Delhi, NCR. And two more, one in Rewari , and one in Greater Noida . So, they will be commissioned in next three, four months. So, with this

we will be having four stations operational and we are planning for five stations - six more stations strategically along the highways and we see a potential there.

S. Ramesh : Thank you very much. And wish you all the best.
Moderator : Thank you. The next question is from the line of Siddhesh Ramachandra Jain from Axis Capital. Please go ahead.
Siddhesh R. Jain: Sir, my main question is regarding the strategic diversification against solar plant which you mentioned in last call, can you give some light on that?
Mohit Bhatia : So, we already had a Memorandum of Understanding with Rajasthan Vidyut Utpadan Nigam Limited , that is the DISCOM of Rajasthan. And the discussions are going on for further acquisition of the land and other formation of the JV, as a JV. So, that is under progress and hopefully , something will be catching up.
Siddhesh R. Jain: Also, last time there was an EV policy, some draft was there with Delhi Government EV policy. Is there any progress on that front?
Mohit Bhatia : So, I think it was spelled out somewhere in media and all, nothing concrete development of the draft policy happened with Delhi Government. And after that I think subsequent some developments happened and this commission of air quality management has also come out with two notifications - three notifications, wherein they have included CNG in particularly as a clean energy fuel along with EV and other biofuels. So, this is the thing. But nothing as such in concrete it has come out regarding the EV policy of Delhi Government.
K. K. Chatiwal : Just to add to that, Delhi Government has extended the present policy up to March ‘26 to enable more consultation with all the stakeholders.
Siddhesh R. Jain: Okay. Thank you.
Moderator : Thank you. The next question is from the line of Nilesh Ghuge from HDFC Securities. Please go ahead.
Nilesh Ghuge : Yes. Hi. Good afternoon, sir. Sir, do we get any kind of concession on transmission tariff on domestic PNG and CNG from GAIL?
K. K. Chatiwal : No. Actually, right now, there are three tariff zones as far as transmission is concerned Zone -1, Zone -2, Zone -3. Now with the new tariff order, what PNGRB has done is that for this priority sector only one zone will be applicable. So, to that extent --
Nilesh Ghuge : But currently, we are not getting --
K. K. Chatiwal : We are not getting currently any benefit.

Nilesh Ghuge : Currently, we are not. So, currently, we are paying as you mentioned that around 85% - 87% we paid Zone -2 tariff, and remaining Zone -3 tariff on the remaining world right?
K. K. Chatiwal : Yes.
Nilesh Ghuge : Okay. Thanks. Thanks a lot.
Moderator : Thank you. Due to time constraints, we will take this as the last question for today. I now hand over the conference to management for closing remarks.
Management : Hi. So, thank you everybody for joining this earnings call for IGL for quarter one. And I also thank Mr. Nitin from PhillipCapital for arranging this call and hope to see you all next time.
Thank you.
Moderator : On behalf of PhillipCapital , that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Nov 2025

"Indraprastha Gas Limited Q2 FY '26 Earnings Conference Call"

November 14, 2025

MANAGEMENT : MR. K. K. CHATIWAL – MANAGING DIRECTOR, INDRAPRASTHA GAS LIMITED
MR. MOHIT BHATIA – DIRECTOR (COMMERCIAL), INDRAPRASTHA GAS LIMITED
MR. SANJAY KUMAR – CHIEF FINANCIAL OFFICER, INDRAPRASTHA GAS LIMITED
MR. MANJEET GULATI – VICE PRESIDENT (FINANCIAL), INDRAPRASTHA GAS LIMITED
MODERATOR : MR. KISHAN GOPAL MUNDHRA – DAM CAPITAL

Moderator: Ladies and gentlemen, good day and welcome to the Indraprastha Gas Limited Q2 FY '26 Earnings Conference Call hosted by DAM Capital.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*, then '0' on your touch-tone phone.

I now hand the conference over to Mr. Kishan Mundhra from DAM Capital. Thank you and over to you, sir.

Kishan Mundhra: Thank you. Good day, ladies and gentlemen. On behalf of DAM Capital, I welcome all of you to Indraprastha Gas Limited's Q2 FY '26 Earnings Call.

Today, from the Management Team of IGL, we have the pleasure of having with us Mr. K. K. Chatiwal - the Managing Director of IGL; Mr. Mohit Bhatia - the Director Commercial; Mr. Sanjay Kumar - the CFO and Mr. Manjeet Gulati - the VP Finance.

With this, I shall now hand over the floor to the Management for their opening remarks, which shall then be followed by the question-and-answer session. Over to you, sir.

K. K. Chatiwal: Good afternoon, ladies and gentlemen. I am Kamal Kishore Chatiwal – Managing Director of IGL, and it is my pleasure to welcome all of you to the Q2 FY '26 Earnings Call. Thank you for taking the time to join us today.

For those who are new to this forum, let me begin with a brief overview of our organization: Indraprastha Gas Limited, IGL, is one of India's leading CGD companies operating across 12 geographical areas in 4 states. Our mission continues to focus on providing safe, reliable, sustainable energy solutions to our customers. We have built a well-diversified portfolio of mature and emerging geographical areas that offers both stability and significant growth potential.

On the infrastructure front, our network continues to expand steadily. Today, IGL operates a steel pipeline network of over 2,500 kilometers and an MDPE network of approximately 29,000 kilometers. So, through this robust infrastructure, we supply natural gas to more than 31.75 lakh households, nearly 5,300 industrial units and around 7,200 commercial establishments. Additionally, we operate 955 CNG stations across 4 states.

Turning now to the financial and operational performance for Q2 FY '26:

I will just give a broad overview. The details will be shared by our Director Commercial. So, the overall sales grew by around 3% year-on-year. The CNG segment registered a 3% growth, while PNG volumes grew by 6%. Although the sales to DTC and DIMTS declined due to their ongoing transition from CNG to electric mobility, the underlying CNG demand remained strong. Excluding DTC, the CNG volumes grew around 10%, reflecting continued traction across private and commercial vehicle segments. A key growth driver for the quarter has been the continued increase in CNG vehicle adoption.

On a 12-month rolling basis, we witnessed an average monthly addition of around 19,000 CNG vehicles, a 21% increase over Q2 of last year. The central government's GST rationalization, reducing GST on CNG vehicles from 28% to 18%, has further improved CNG's competitiveness, not only relative to other fuels, but also relative to EVs especially. As a result, October alone saw 31,000 new CNG vehicle additions, supported by festive demand and GST benefits.

With effect from 1st October, the reduction of VAT on domestic gas sourced from Gujarat from 15% to 2% has also lowered the input gas cost by approximately Re. 1 per SCM, and this is expected to positively contribute to EBITDA margins in the upcoming months. And in addition to that, the notification by PNGRB regarding Zone 1 classification for CNG transport and domestic PNG is also there. The implementation of that is yet to start, so we are expecting that to be no

tified shortly and once that is implemented, there will be benefits. And when the exact number comes, then we will be able to give the quantum of the benefit.

That concludes my opening remarks, and I will now invite our Director Commercial, Mohit Bhatiaji, to share his comments.

Mohit Bhatia: Thank you, Managing Director Mr. K. K. Chatiwal, and good afternoon to everyone. I am Mohit Bhatia, Director Commercial at IGL. I join today's session in welcoming, along with Managing Director, all our investors, fund managers, and analysts to today's session.

Let me take you to the key financial and operational highlights of Quarter 2 for the Financial Year ’25-26:

Our total sales volume for the quarter stood at 857 million standard cubic meter, as compared to 830 million standard cubic meter during the same period of last year, reflecting a 3% year-on-year growth. This translates to an average daily volume of 9.31 million standard cubic meter, as compared to 9.03 million standard cubic meter during the same period of last year. While daily growth remains flat overall, however, the NCR, that is the National Capital Region, grew by 7%, whereas the other GAs, including the new GAs, have shown a healthy growth of 16% during Quarter 2, over the last quarter of last year.

In terms of quarterly average CNG sales:

IGL crossed 50 lakh kgs per day, with volumes reaching almost 7 million SCMD, making a growth of 3%. If we exclude the DTC sales, CNG grew by around 10% year-on-year basis. With DTC shares declining in the coming quarters, we expect CNG growth to remain healthy. In the PNG segment, excluding the NG part, overall sales increased by 6%, reaching 1.84 million standard cubic meter per day, compared to 1.74 million standard cubic meter in the Q2 last year.

The total revenue for this quarter stood at Rs. 4,432 crores, with a growth of 9% year-on-year.

Our profitability EBITDA for the quarter stood at Rs. 443 crores, compared to Rs. 512 crores in the previous quarter and Rs. 532 crores in Q2 last year. The decline is primarily due to the reason in the average gas procurement costs. Consequently, the PAT for the quarter stood at Rs. 373 crores versus Rs. 431 crores during Q2 of last year.

As highlighted by our Managing Director, EBITDA margins are expected to improve going forward, driven by the growth in the volumes. Reduction in Gujarat's VAT on domestic gas procurement effective October 25. Further, as he mentioned, the upcoming single-zone tariff framework announced by PNGRB, which aims to rationalize tariffs and bring CNG and domestic PNG under a unified structure will also have a positive impact on the margin. Once implemented, this framework is expected to significantly benefit the entire CGD sector, particularly company like IGL operating far from the gas sources and should positively improve IGL margins in the near future.

That concludes my remarks and we are now opening the floor for the Q&A session. Thank you.

Moderator: Thank you very much. We will now begin with the question-and-answer session. The first question is from the line of Probal Sen from ICICI Securities. Please go ahead.

Probal Sen: Sir, just first question was on the Delhi number which you mentioned was flat on a Y-o-Y basis for this quarter, is it possible to get a comparable number for Q1? What was the Delhi volume growth like in the Q1 of this year?

K. K. Chatiwal: Delhi volumes in the Q1 was also, I think 1%-1.5% positive if we include the DTC numbers. And if we exclude the DTC numbers, it was around 7%-8%. But with the diminishing DTC

because the DTC average sales in the month of September, it was hardly left around 30,000 per month only. So, that is why this is a trend and in coming years, we look forward for a healthy growth in terms of CNG because the historical sales of DTC will be absolutely almost 0.
Probal Sen: Sir, given this kind of run

rate, is it possible to look at what, will you like to still maintain the
6%-7% overall volume growth guidance for FY '26, I believe that was shared earlier?
K. K. Chatiwal: Yes, we look forward for the same around, may be 8%-10%. If we exclude the DTC volumes, the historical volumes as well as the current and then we overall see, so I think it is in the range

of 6%-7% and with the newer GAs performing well closer to a double digit growth, we expect to have in the range of maybe 8%-10%.
Probal Sen: Understood. And the second question was, the obvious question we had about the Saudi JV, just wanted to understand the strategic rationale for looking at the Middle East suddenly as an option and if you can also throw some color on what kind of investment, if any, has been thought of and how will the financing, the modalities of this whole move that you have put?
K. K. Chatiwal: Actually that we feel is a very big opportunity because we have sent a team there to assess their existing industrial cities. Just to give a brief, Saudi has divided the whole kingdom in 36 industrial cities. Out of that, they have awarded 7 industrial cities. Presently, they are on liquid fuels, LPG, propane and all those things, even the heavier fuels also and they want to transition to gas. So, after these 7, now the next in the line is 5 and there the development is little bland in the sense that they open up those industrial cities where the trunk lines are available. Very near to these industrial cities, gas is available and that gas trunk line is operated by Aramco and each industrial city has a potential of 1-1.5 million of gas. The laying cost for the network is also not much since the gas is nearby. So, we feel each zone should have roughly, the investment would be realistic like in India. If we look at India, some of the areas, the pipeline is far away and the gas is not available. So, individual entities have to lay 80-90 kilometers of pipeline to bring the gas. So, that is not the case here. So, the amount of investment to that extent would be less, but the volume potential is huge in each industrial city. So, the IGL will provide the technical, operational, safety assistance or assist in developing both aspects and the financial and overall stakeholder management at Saudi would be with our partners. And the interest rate as you know there is extremely low. So, to that extent, we feel this is a good opportunity and since this is the first venture, so many more opportunities may come in the gas value chain.
Probal Sen: So, our returns therefore will be in the form of basically a consulting fee in terms of this?
K. K. Chatiwal: No. We are investing. The company, they will be having the stake around 40% equity. The partner would have 60. So, that is the kind. It is not a consulting assignment. It is pure investment also. And that will be a JV, joint venture in the form of a JV where 40% stake will be IGF. And we will put in money, we will put in expertise also, we will send people there who will implement all those on ground.
Probal Sen: Sir, if I may ask one follow-up, what is the regulatory and sort of the margin environment for these licenses? Is it similar to India?
K. K. Chatiwal: I think it will meet our threshold. I would only say that it is above our threshold, whatever we have within the company, it is meeting those requirements. And we are not looking at all these 5 cities. So, our next target would be to target those 36 industrials. This is in the Phase-I. Next, we want to expand there. So, 24 cities will again come up for bidding. There also the tendering

is there and 2 stage tendering is there. In the first step, the pre-qualification is there based on some predefined criteria and we have to score minimum 60%. But according to us, I think we will be able to get mo

re than 90% there.
Probal Sen: Sir, any numbers you can share?
K. K. Chatiwal: Right now, we don't have the tender document as such. That will be available once we are qualified and the results will be announced in January 9. The last date of bid is 29th of November. So, we will be submitting our bid for pre-qualification. And then, there are some procedural requirements there that you need to have a NISA license and all those things. So, we are in the process of doing all those. And we are taking the help of international consultants based in Saudi, Grant Thornton. So, that is our consultant for the assignment. And so that is whatever prerequisites are there for submitting that bid, we are in the process of doing that once that is done. Then maybe after January, we will know based on the tender document what are the pricing and all those things.

Probal Sen: Understood. So, one last question. This was more around this quarter's margin reduction and the gas cost increase. Just wanted to understand, whether there was a reduction in new well gas and APM allocation for this quarter and any spot LNG procurement if at all was done in this quarter because of which costs have gone up?
K. K. Chatiwal: Actually, there is no spot procurement in our portfolio. All are term contracts. Only thing is that Henry Hub has increased. Dollar appreciation is there. Rupee has depreciated. So, these are the major impacts in addition to the reduction in this APM and new well gas.
Probal Sen: How much was the reduction in this quarter?
K. K. Chatiwal: Yes, Sanjay will be sharing that.
Sanjay Kumar: So, if you talk about APM gas, so last quarter it was out of the priority segment. 44% was the allocation for priority segment. This quarter it is 41%. In terms of NWG, last quarter it was 13%. It has come down to 10%. And HPHT also we had some major contracts or major supplies through HPHT last quarter. It was 16%. This quarter it was 10%. So, our LNG component has increased from 25% to 37%. So, that is the mix change which has happened in the current quarter. It is basically increasing our gas cost.
Probal Sen: Understood, sir. Thank you so much for the detailed answer. I will come back in the queue. All the best. Thank you.
Moderator: Thank you. The next question is from the line of Maulik Patel from Equirus Securities. Please go ahead.

Maulik Patel: Thanks for the opportunity. So, you mentioned that ex-DTC in this quarter the volume growth was 10% for Delhi?
K. K. Chatiwal: Yes. For Delhi it was 7%, overall 10% excluding our DTC sales, overall we grew by 10% in CNG. And if we talk about only Delhi, the growth was 7%.
Maulik Patel: Got it. But sir, this quarter, it seems NCR growth has been on the lower side, right? Generally you grow around 10%-12% growth rate on NCR. This quarter the NCR growth as you mentioned was around 7%-8% only?
K. K. Chatiwal: Yes, it was 7%-8%, correct.
Maulik Patel: Any specific reason or this is a new normal or do you expect that growth to bounce back?
Sanjay Kumar: I think it should bounce back. Maybe there has been a little bit dip in the industrial segment, we can say, if we bifurcate and there has been a certain dip in that. And we are hopeful to recover it back.
K. K. Chatiwal: Actually, if I may just add to that, the LPG prices have been a little soft. As you know, the crude is around 60-65 range. So, that competitiveness is there and there is a minor switch from gas to propane those who have got this flexibility.
Maulik Patel: But sir, I think so. So, when we say about 7% growth in NCR and the argument what you have given is more on the industrial side where the growth was on the weaker side, right? But CNG growth has been good as per you, right? CNG in NCR would have grown by what percentage, sir?
Sanjay Kumar: NCR CNG has grown by 9%. And PNG is 5%.
Maulik Patel: CNG grew by 9% and the PN

G grew by 5%. Got it. And one more last question. On this Gujarat government VAT reduction, which you have got it now. Is there any possibility that government of Gujarat can go to court? Because there is no such notification from the central or the Gujarat government. I think it is revision of agreement between GAIL, ONGC and you, right? So, is there any possibility?
K. K. Chatiwal: Understanding is not correct. There is nothing related to Gujarat government. They have not issued anything that we are reducing VAT. VAT remains 15%. Because it is high seas offshore sale that has happened and the arrangement is between GAIL and ONGC and they are delivering us the gas at Delhi. So, nothing that the VAT rates have been reduced. Now, we are looking at CNG.

Maulik Patel: No, sir. From, I think, even a quarter back or 10 years back, the same thing was working, right? ONGC was delivering gas to the GAIL and GAIL was delivering that gas to the IGL or whatever. And the Gujarat government, this 15% VAT, it probably came in 2017 or 18, I don't know which year, but then why it was not happening in the past, sir?
K. K. Chatiwal: I think there has been some intervention from the Ministry of Petroleum and Natural Gas and Central Government and some things have been worked out for the CGD sector. There was some representation that this is an additional thing that is there that is not required. So, I think something has been done, but the details would be available with I think, GAIL and ONGC,

what is the arrangement. We are not privy to that.
Maulik Patel: Got it, sir. Sir, and one more. On this rationalization of tariff to the single zone for the CNG, what kind of a cost saving you will have it at a company level? Will it be closer to around Re. 1 per SCM?
K. K. Chatiwal: I think it should be, the numbers are important there, but the numbers those are there floating around, it should be more than 1.
Maulik Patel: More than 1, sir. Got it, sir. Thank you and wish you all the best.
K. K. Chatiwal: Thank you.
Moderator: Thank you. The next question is on the line of Yogesh Patil from Dolat Capital. Please go ahead.
Yogesh Patil: Thanks for taking my question, sir. Sir, as you mentioned the cost of gas savings of Rs. 1 per SCM due to VAT reduction to 2% from earlier 15%. But sir, are we planning to pass on these benefits to the CNG and the DPNG consumers because we have cut the CNG prices in non-Delhi region in October month?
K. K. Chatiwal: Yes. Wherever, actually Delhi, we wanted to keep the prices constant, like earlier we have not increased in anticipation of all these changes. So, that was the reason that Delhi has been kept constant. We have passed on Re. 1 benefit to the CNG customers and outside NCR some new GAs which are growing. So, there we thought that it would be good support that whatever benefit is there, if we pass on that, it will help us in expanding the base.
Yogesh Patil: Is there still a scope to pass on more?
K. K. Chatiwal: We will see that once the tariff notification also comes and we will review the prices and take a call. But as of now, our prices are very competitive with respect to the neighboring GAs and also with respect to alternate fuels.

Yogesh Patil: The second question, if you could provide gas sourcing details for this quarter, how much was the APM, NWG, Crude linked, Henry Hub, Spots and that is mostly into the MMSCMD term, that would be helpful. I know that you have a little bit shared in the percentage term, but if in MMSCMD, it would be helpful?
Sanjay Kumar: So, the gas sourcing which happened in Q2 was the APM, non-APM gas, domestic gas was 3.25 million cubic meter per day. This was 41% of the priority segment. NWG was 0.81 million. Coal-fed methane gas was 0.11 million. HPHT domestic gas was 0.76 million and RLNG was 2.

91 million. So, this comprised of 7.83 million cubic meter of priority segment.
Yogesh Patil: Sir, last question from my side. If we try to back calculate the difference between the DTC versus CNG loss, so in the last quarter in Q1, you mentioned the 88,000 SCMD kind of consumptions on a daily basis, while in a September ending, you just mentioned 30,000 SCMD. If we add back the difference of 0.06 MMSCMD into the CNG volume, then the total CNG volume will reach approximately 7.03 MMSCMD from the, which we reported 6.97 MMSCMD. And still, if we try to back calculate the Y-o-Y growth is hardly a 6% while you are indicating a 7% and 10%. Can you please correct me where I am losing?
Sanjay Kumar: See, if you see, we need to compare it with the historical. So, just some data I will share with you. Last year, September, we were averaging out around 2 lakhs per day. So, we just come down to almost 30,000 per day. And Q1, when we see in the June month, I said, you also mentioned that around 80,000 per day, whereas last year, same June was around 2,15,000 roughly. So, I think the historical figures need to be looked into while calculating the growth. So, I think I am able to respond to you.
Yogesh Patil: Yes. And lastly, how many DTC buses remain to be phased out in this year?
Sanjay Kumar: Yes, almost now it has come down drastically. And now only hardly 28,000-30,000 per day sales are there. So, further we expect.
K. K. Chatiwal: We have the DTC buses remained on in operation is 226. And DIMTs, it is remaining at 1750. So, overall, both put together 2000 buses are there. Last quarter, this number was 3200.
Yogesh Patil: Thank you, sir, and wish you all the best.
K. K. Chatiwal: Thank you.
Moderator: Thank you. The next question is from the line of Varatharajan from Antique Limited. Please go ahead.

Varatharajan: Thanks for the opportunity, sir. Looking at the trade margin of OMCs, has there been a significant change during the quarter?
Sanjay Kumar: No, there is no change in trade margin during the quarter.
Varatharajan: Does the contract have any kind of an escalation built into it?
K. K. Chatiwal: Yes, there is. For outside Delhi GAs, there is a provision of 5% increase in the trade margin.

Outside Delhi. There is no agreement as such from Delhi. So, outside Delhi, you can see the 25% volume, there is an agreement. I think the agreement is with _29.06__ that you may be aware. You may be referring to that. So, yes, the 5% increase is there.
Varatharajan: Secondly, the OPEX for the quarter seems to be on the lower side. Is there something sustainable? What led to that kind of a lower OPEX?
Sanjay Kumar: Actually, mainly the savings have been in the repair and maintenance and power and fuel. Power and fuel is marginal in the sense that some of the gas equipments we have shifted to power. So, that has been some. Major improvement has been in the repair and maintenance. Some operational efficiency is there.
Varatharajan: Should we assume this is more like a new normal?
Sanjay Kumar: Yes, this is a new normal. We are focusing on improving it further. Rupees per SCM of RNM we are constantly improving and the partial benefits have been realized. We feel that we can improve further.
Varatharajan: Great, sir. All the best. Thanks a lot.
Moderator: Thank you. The next question is from the line of Amit from Axis Capital. Please go ahead.
Amit: Hi, good afternoon. On margin, like while this quarter you have seen a lower margin, but at the same time, as you mentioned, the Re. 1 plus kind of benefit should come in. So, how do we think about EBITDA margins in that context? In the past, I think you maintained Rs. 7 plus as margin guidance. Could you throw some more light on the margin expectations?
K. K. Chatiwal: We are confident that Rs. 7-Rs. 8 guidance we will be able to maintain. Unfortunately, the tariff order was

notified in, I think, 4th of June or 4th of July, I think 4th of July, but it is yet to be implemented. So, in anticipation of that, we have not touched our return selling price for CNG. So, that was, I think, if that order comes, then we will be able to, I think, assess the situation. But our long term guidance remains on Rs. 7-Rs. 8 and we are on path to that.

Varatharajan: Sure. So, assuming the tariff order comes through and this Re. 1 plus cost savings is there in Gujarat. So, essentially, then we should not be requiring any price hikes to kind of go to 7 then, right? Is that understanding correct?
Sanjay Kumar: Yes, more or less that understanding is correct, but we may have to do some review on that front for some of the GAs where the taxes are high. So, that is a constant review process and we will review that situation. But on a broader base, yes, what your understanding is correct that if we get Re. 1 plus kind of a benefit in tariff and Re. 1 from this VAT deduction, then I think we are in Rs. 7-Rs. 8 range.
Varatharajan: Got it. Perfect. And on CAPEX, what is the guidance now?
K. K. Chatiwal: On the CAPEX, during H1, we have done CAPEX of Rs. 580 crores and primarily on our core segment, that is the infrastructure PNG in particularly around 50%-55% and the CNG and the steel part around 40%-45%. So, we have plans for around Rs. 1,200-Rs. 1,400 on our core in the CAPEX and some diversification thing if it happens, we are trying so another maybe Rs. 700-Rs. 800 crores.
Varatharajan: And should be seen more as a run rate CAPEX, the Rs. 1,200-Rs. 1,400 for core business?
Sanjay Kumar: It will be roughly around Rs. 1,200-Rs. 1,400 crores. So, almost Rs. 580-Rs. 600 odd, we have done in H1 already.
Varatharajan: Sure. That is all for me. Thank you.
Moderator: Thank you. The next question is from the line of Nitin Tiwari from Phillip Capital. Please go ahead.
Nitin Tiwari: Hi, good afternoon and thanks for the opportunity. So, staying on the question of growth, first point out and correct me if I am wrong, if I look at the rolling growth over like past 4 quarters for each subsequent quarters, then we are looking at a slowdown in growth from 3rd Quarter FY '25 which is 3rd Quarter last year and this is across segments, not only in CNG. So, how does that growth target of about 10% in a year stand in this backdrop because so far in this year also in the first half we have done about 4% growth? So, are we sticking to our guidance of growing at about 9%-10% in the year?
K. K. Chatiwal: Definitely, as mentioned earlier also, like if we exclude the DTC, we need to have this fact that DTC will be demissioning and there is a transition on the DTC to the EV part. But if we exclude that, I think CFO also mentioned that we are going at 10% in CNG and around 8%-10% in PNG also. So, we look forward on those numbers only 8%-10% should happen and once we get the zero base of the DTC, I think we will be achieving these numbers. So, staying even on the DTC

question, I am working with the numbers that you gave of about 0.2 MMSCMD in September

last year and about 0.03 in this year. So, even if we adjust for that, the CNG volume has grown by about just 5.5% on a year-on-year basis, I am not sure what am I missing that I am not getting the 9% number over there, first of all, for your CNG growth.
Nitin Tiwari: This is the only the 5%-6% you are seeing on the DTC gap. But otherwise, there is a natural growth also and if we compare in holistic, the outside GAs as well as NCR part, so it is coming as around 9%-10%?
Sanjay Kumar: Apart from DTC, DIMTs sales have also gone down. I told you about the bus fleet which has gone down not only for DTC, but DIMTs also. So, there also the number of buses which have gone out of service on CNG is approximately 1000. So, if you

compare both sales put together,
there is a reduction of approximately 2.2 lakh kg. These numbers we are talking in kg.
Nitin Tiwari: Got it. So, the 0.2 number that you gave, that was 30,000 SCM per day or 30,000 kgs per day that we are selling?
Sanjay Kumar: kg, kilogram number, 2.2 lakh kg reduction in sales on account of DTC and DIMTs. So, you have to multiply it by 1.4 to arrive at SCM number.
Nitin Tiwari: Understood, sir. That is a mistake on my part. Thanks for correcting me, sir. And secondly, on the margin question, sir, so while we have a benefit of about a rupee because of the tax change that has happened, but just wanted to understand the impact of INR. How should we look at that? And how does that impact our costs as such? So, would the sharp depreciation in INR be offsetting that benefit that we are getting from tax rationalization?
Sanjay Kumar: I didn't get your question.
K. K. Chatiwal: I think this Re. 1 that we have calculated is factoring in that impact of the current whatever INR depreciation has happened. Further depreciation, I think, then we will have to recheck. It will offset. You are right that impact of depreciation would definitely be there, but we are expecting that rupee to be stable, given strong growth and all. So, impact will definitely be there, but Re. 1, it has been factored.
Nitin Tiwari: Right. So, what I am trying to get at, sir, is that your guidance for Rs. 7-Rs. 8 of operating margin. And if we look at the first half, we have done about 5.7, which is 5.5. And the incremental Rs. 1, which is going to come in from 1st October, you are saying that this is in excess of anything that would have been taken away by depreciation in INR?
K. K. Chatiwal: Yes. And outside of Delhi only, we have reviewed the prices. Delhi CNG has remained untouched. And plus, if we get the notification with respect to the tariff order, that will be

additional Re. 1 plus. So, that will take it, without any change in the prices that will take to Rs. 7-Rs. 8 soon.
Nitin Tiwari: Understood, sir.
Sanjay Kumar: If you are talking about full year average, then it would be difficult, but on a quarter basis, rupee will be reaching, by maybe quarter 4 we will be reaching 7.
Nitin Tiwari: So, sir, to conclude, how should we look at the volume number for FY '26? The average in the first half has been about 9.2. So, how should we look at the full year then, in your assessment?
K. K. Chatiwal: I think our exit would be around 10.
Nitin Tiwari: And for 27, if you can give us some guidance in specific terms?
Sanjay Kumar: I think if we are able to consolidate some of the GAs and all that we are discussing, then I think we can do more than 1 million addition.
Nitin Tiwari: Understood, sir. Thanks, sir. That is all from my end. Thank you.
Moderator: Thank you. The next question is from the line of Nilesh from HDFC Securities. Please go ahead.
Nilesh: Yes. Hi, sir. Just one question on MNGL. So, is it possible for you to share financial and operational performance of MNGL for this quarter as well as for H1?
Sanjay Kumar: Yes, I will give you. So, MNGL is selling around 1.9 million cubic meter of gas per day. And its profit for the half year was, Q2 profit for MNGL was Rs. 148 crores.
Nilesh: And so similar number for H1?
Sanjay Kumar: It should be similar. So, approximately Rs. 300 crores for half year. The tax number, profit after tax.
Nilesh: Thanks, sir. That is all from me. Thank you.
Moderator: Thank you. The next question is from the line of Sabri from Emkay Global. Please go ahead.
Sabri: Yes. So, just a clarification. You mentioned those Saudi cities. What is the volume potential per city?
K. K. Chatiwal: Actually, as per the initial estimate, it is 1-1.5 million. But exact details would be known once the tender document on Stage-II, they will be sharing the details in Stage-II once we pre-qual

ify,

then they will be sharing the details. But our assessment, our team, we had sent a team there. So, existing industrial cities are doing around 1-1.5 million. They have seven industrial cities. Those are operational. And in present one, three cities are in Jeddah . That is the major industrial city there. So, our estimate is that it should be all industrial zones should be in that range.
Sabri: So, 1 and 1.5 million metric standard cubic meter per day, right?
K. K. Chatiwal: Yes, in one industrial city.
Sabri: Yes. MMSCMD, right?
K. K. Chatiwal: Yes.
Sabri: And also, what is the rough cut investments required to like achieve that kind of a volume?
K. K. Chatiwal: I think those numbers are not there, but it will be much less than what is there in India. Because the connectivity is very nearby.
Sabri: So, is there an amp up there or it could be like done very quickly, given that it is industrial?
K. K. Chatiwal: I think it could be done very quickly because that is the mandate that they are given to switch from liquid to gas. And there, I think it will be very quick. And only the phasing in the cities. They have planned it very well in the sense that wherever they have, they are able to give the trunk pipeline connectivity. Those industrial cities, they are opening up for bidding, right. So, now in this phase, there will be 5 and maybe going forward after 1-1.5 years, what the pipeline connectivity in other zones is there, they will open up that. So, timeline for this is very short in the sense that I think the tender finalization would be somewhere around May-June. And by 27 end is the gassing should be there. That is the kind of timeline there.
Sabri: Got it. And secondly, on the currency, you mentioned that when you have talked about this margins going up, so you have built Rs. 88-Rs. 89 of rupee dollar, right versus 87 in Q2?
K. K. Chatiwal: 88.
Sabri: Around 88 you have taken while giving this guidance and the pricing, right?
K. K. Chatiwal: Yes.
Sabri: Thank you so much.
Moderator: Thank you. The next question is from the line of S. Ramesh, an Individual Investor. Please go ahead.

S. Ramesh: Thank you and good evening. So, if you are looking at your 4th quarter EBITDA guidance of around Rs. 7, so if you were to be asked how you will be able to achieve Rs. 8 per SCM, say over FY '27 or '28, would it come from operating leverage on say, 11 MMSCMD by 27? And is there any other benefit you are factoring in by way of your plan earlier to convert some of the data booster stations to online? If you can give us some thoughts on that, how you would possibly expect to achieve that ramp up from Rs. 7-Rs. 7 over the next 1 or 2 years?
K. K. Chatiwal: Actually, I am happy to share that IGL, the major advantage is that our online sales is almost 97.5%. 97.5% of our sale comes through online stations. So, that is very limited stations which are offline and those are mainly in outside GS. That is point number one. Second is that some of the benefits that we are anticipating is on the LNG front. Going forward, there is an expectation that once the LNG plants are commissioned and they go on stream, the LNG prices which are currently at around $10-$11 should also come down. So, that would be another advantage and the crude being down, we feel that APM and new well gas prices would also be subdued as well as the HPHT prices. So, given that energy prices overall are lower, so we feel that the input gas cost should come down. And once that comes down, then I think we will be comfortably in Rs. 7 and so on. So, these are the factors on the input front. And on the operational front, we continue to improve our operational efficiency, but that will give only an incremental benefit like 20-25 paisa per SCM kind of numbers, but the big numbers would come from the inp

ut gas cost as
well as the volume that you talked about.
S. Ramesh: Yes, understood. So, if you look at the Saudi project proposal, so if you are looking at technical and operating assistance and your own equity stake, so what is the kind of risk you are taking in terms of developing the project and what will be your revenue stream from that and what is the kind of ROCE you can expect based on whatever internal assessment you have made? I know it is costly already, but to get a sense in terms of what is the motivation to take up, what is it that you are going to do there in terms of earning revenue and how would it support an ROCE in terms of your own target?
K. K. Chatiwal: Actually, our bigger vision is to create an IGL kind of entity. That is the bigger vision, but for these 5 cities, we are looking at 100-150 kind of, for 5 cities, Rs. 100-Rs. 150 crores and the volume should be 4-5 million.
Moderator: Thank you. The next question is from the line of Akash Mehta from Canara HSBC Life. Please go ahead.

Akash Mehta: Yes, so just continuing on the Saudi, so in the existing 7 cities, like who are the players like and how is the competition like, who are you competing with and what are the chances of winning and these additional facilities that you are looking at?

K. K. Chatiwal: Actually, that is what I said that the numbers we are sharing are based on the existing industrial cities. Those are operating and they are doing 1-1.5 million kind of numbers and they are the local CGD entities. The size is much smaller than IGL. So, that is the only plus that we have that we have a history of 25 plus years operating in the sector and we are operating in the most difficult area of NCR region and that too, from the PNG perspective, I am saying. And these are the two factors plus our financial, technical strength, operational experience, safety experience. So, all those factors make us believe that I think we should be able to win those bids and then subsequently the volume should be there and this is the first step I am saying that more and more industrial cities would be coming up and based on our performance, we are confident that we will be able to get some more cities also.
Akash Mehta: And just to clarify, once you bid for the city, you set up the entire infrastructure, so you will be the sole supplier of gas over there. Is there any timeline in terms of how many years and how much exclusivity would be there?
K. K. Chatiwal: I think those details are not available with us because once the tender document is there, then we will be able to know but similarly, I think they also have some exclusivity kind of a period, the infrastructure exclusivity similar to other countries and also similar to India, they will have some exclusivity period and in addition to that, I think the best part is that their trunk pipeline connectivity is near to these industrial cities. So, the connectivity to the main city would not require much CAPEX. So, that is the positive and then once you bring in the steel network, then the MDPE network, you can connect the individual industries and our team has gone and similar equipment, same vendors are there. Those who are supplying the metering skill there, the same metering skills are available in the existing, whatever industrial cities are operating. But the details are not with us right now. That will be part of the tender document. So, that is till now information available with us.
Akash Mehta: Awesome. That is it from my side. Thanks.
Moderator: Thank you. We will take that as our last question for today. I now hand the conference over to Mr. Sanjay for closing comments.
Sanjay Kumar: So, thank you everybody for attending this call. We had a very fruitful discussion and lots of questions on our international venture which we just started yesterday and probably that will be a major milesto

ne in the history of the company. Going forward, probably it will help us improve our profitability and volume. Probably, again for the next meeting, we will have more things to share on that aspect. So, with that, thank you very much. Thank you again for joining this call. Thank you, DAM Capital also, I missed to mention that. Thanks.
Moderator: On behalf of DAM Capital, that concludes this conference. Thank you for joining us and you may now disconnect your lines. Thank you.

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MR. MANJEET SINGH – VICE PRESIDENT , FINANCE – INDRAPRASTHA GAS LIMITED

MODERATOR : MR. VARATHARAJAN – ANTIQUE STOCK BROKING LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Indraprastha Gas Limited Q3 FY '26 Earnings Conference Call hosted by Antique Stock Broking Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star, then zero on your touch -tone phone.
I now hand the conference over to Mr. Varatharajan. Thank you, and over to you, sir.
Varatharajan: Thank you, Seema. A very good evening. I would like to extend a very warm welcome to all the participants and the top management of Indraprastha Gas Limited who are on this call. I'd like to especially welcome Mr. Kamal Kishore Chatiwal, Managing Director; Mr. Mohit Bhatia, Director, Commercial; Mr. Sanjay Kumar, CFO; Mr. Manjeet Singh, VP, Finance.
I'll hand over the floor to Mr. Kamal Kishore Chatiwal for their initial remarks.
Kama l Kishore Chatiwal: Good evening, ladies and gentlemen. As we enter the final quarter of financial year, I am pleased to connect and welcome you all to discuss IGL's performance for quarter 3 FY '25 -'26. I am Kamal Kishore Chatiwal, Managing Director of In draprastha Gas Limited, and I sincerely thank all our shareholders, analysts, stakeholders for your continued trust and engagement. I'm delighted to present the operational and financial performance of Indraprastha Gas Limited. for the q uarter ended Decemb er 31, 2025.
I will begin by outlining our progress in volume growth and network expansion during this period. The operational highlights are as follows . This quarter demonstrates steady operational execution and improving margin visibility as we continue to consolidate our leadership position in India's city gas distribution sector, operating across 12 geographical areas spanning 4 states, IGL serves a growing and diversified customer base through robu st and scalable infrastructure. Over the course of th e year, we have significantly expanded our footprint. Our steel pipeline network now extends over 2,500 kilometers, while our MDP network has reached approximately 29,200 kilometers. This infrastructure enables us to supply natural gas to more than 32.75 l akh households, approximately 5,400 industrial customers and around 7,400 commercial establishments.
We have added and commissioned 45 CNG stations till now during the year, further strengthening access and convenience for our vehicular customers. Regulat ory developments during the quarter, 2 major regulatory recalibrations occurred that have a very positive structural implication for the city gas distribution sector, particularly for IGL.
First is the replacement of the 15% value -added tax with a 2% central sales tax on domestic gas sourced from Gujarat effective December 2025. While the immediate financial impact was moderated by elevated gas input prices and currency fluctuations, this change will have a positive impact on gas costs going forward.
The second was the rationalization of the gas transmission framework through the introduction of 2-zone tariff regime, replacing the previous 3 zone structure. Effective January 1, 2026, PNGRB has revised its tariff regulation, reducing pipeline transmissi on tariff zones from 3 to 2.

For the CGD sector, Zone 1 applies universally to CNG and PNG domestic segment regardless of the delivery point distance from the source.
IGL will benefit significantly from this change as our geographical areas previously fel l under Zone 2 and Zone 3 and will now be classified under Zone 1 tariff. For Industrial and Commercial segment, Zone 2 tariff will be appli cable across our I&C portfolio.
Let me now turn to our financial performance for the third quar

ter of FY '25 -'26. T he company
recorded a 3% year -on-year growth in total sales volume with the CNG segment growing 3% and PNG segment growing 5%. Despite lower offtake from DTC and DIMTS fleets consequent to their phased migration towards electric mobility, the CNG segment d emonstrated resilient performance.
Adjusted for these institutional volumes, the segment delivered growth of approximately 10% underscoring sustained demand across the wider vehicular ecosystem. In the PNG segment, volumes increased to 2.5 million standard cubic meters per day from 2.41 SCM per day year -on-year, indicating steady traction across all sub -segments. This growth is underpinned by consistent customer additions and stable demand across user categories.
This concludes my remarks, and I would now like to invite our Director, Commer cial, Shri Mohit Bhatia -ji, to share his comments.
Mohit Bhatia: Thank you, Managing Director, Shri Chatiwal -ji. Very good evening to everyone. I'm Mohit Bhatia, Director, Commercial at Indraprastha Gas, and I extend a warm welcome to all our investors, fund managers and analysts joining us today. I hope you have had the opportunity to review our fin ancial results for the quarter.
Let me give you the quarter overview. This quarter presented a mixed landscape for the CGD sector. While we benefited from th e 2 major positive regulatory changes as appraised by our Managing Director, we have also experienced volatility in gas costs and adverse forex impacts on procurement expenses.
Additionally, there has been changes in the legal landscape. The New Labo ur Code became effective 21st November '25. Although these rules are yet to be notified, we have made provisions of around INR28 crores in the current quarter as a onetime impact. Excluding these provisions, our EBITDA would have been around INR500 crores.
The market dynamics following the rationalization of the GST rates, the GST 2.0, and particularly on CNG vehicles was reduced from 28% to 18%, resulting in a phenomenal increased vehicle conversions, which have risen -- which have raised from average of 21,00 0 to 26,000 per month. We expect this momentum to continue in the near future.
Further, the company is aggressively pursuing the growth in new geographical areas. And now the new geographical areas, the incremental volume is contributing to almost 57% tha t is outside Delhi and NCR. The quarter 3 FY '25 -'26 financial performance, the key highlights are first, volume performance.

The total volume -- the total sales for the quarter reached 867 million SCM , up from 838 million SCM in the same period last year, reflecting a 3% year -on-year growth. Overall, average daily sales volume was 9.43 million SCM compared to 9.11 million SCM per day in Q3 financial year '24-'25. On the CNG segment, the CNG segment continued to perform strongly with average daily sales exceeding 50 lakh kgs per day, equivalent to 6.93 million SCM , representing a 3% growth in terms of SCM terms and a growth of 5% in terms of kg terms.
Excluding the DTC volumes in Delhi, CNG sales grew by 10%, underscoring robust underlying demand with DTC fleet transitions expected to have minimal impact going forward, the CNG segment is well positioned for sustained growth. In the PNG segment, the PNG segment also demonstrated growth with average daily sales of around 2.5 millio n SCM per day, up from 2.41 million SCM in the corresponding last quarter -- quarter for the last year, repre senting a growth of 5%.
However, the domestic PNG sales growth was around 8%, along with commercial PNG growth of 8%. However, the industrial dema nd was subdued a little bit. On the revenue and the profitability, total revenue for this quarter stood at INR4,465 crores, making an average 8% year -on-year increase, driven by volume growth and steady operati onal execution across segmen

ts.
EBITDA stood at INR473 crores compared to INR360 crores in Q3 of last year, reflecting 31% growth and 7% sequential growth compared to INR443 crores in previous quarter. The profit after tax PAT for Q3 stood at INR358 crores as compared to INR285 crores in the correspo nding

quarter of the previous year, demonstrating a robust growth of 25% in PAT.
So that concludes our opening remarks, and we would like to open the floor for the question -and-answer session. Thank you.
Moderator: Thank you very much. We will now begin with the question -and-answer session . We take the first question from the line of Yogesh Patil from Dolat Capital.
Yogesh Patil: A few questions from my side. How many DTC buses phase out during the quarter 3? And now what is the CNG consumption volume of DTC buses?
Mohit Bhatia: So like if I can share you for quarter 3, so the sales have come down. It was around 80,000 kgs per day in October, then further tapered to around 54,000 kgs in November. And December, it was left to around 22,000 kgs per day. So n ow almost only below, I think, 100 buses are left out, and we -- what we have been made to understand from DTC, I think by March, this DTC volume will be almost 0.
Yogesh Patil: Okay. Fair enough. Sir, second question related to unit EBITDA margins or EBIT DA margin guidance. We have been giving an INR7 per SCM kind of EBITDA margin guidance. Now we have posted INR5.4 per SCM in this quarter. What will be the parameters or the things which will boost up the EBITDA margins from the current level of INR5.4 to the INR7? Any broader idea if you could give us?
Kamal Kishore Chatiwal: Yes, 2, 3 things. First is the transmission tariff. So the total impact, if you know, for the entire sector was around 1,000 crores. And out of that, IGL share was INR330 crores. Now we have

passed on some of the benefit to the consumers, but we are still left with INR260 crores. So that should translate to approximately INR0.75 per SCM . Okay. That is one.
Second is as the Gujarat VAT was implemented only in December, so we could realize only the part. So that impact is around INR0.20, INR0.25. Third is the Labo ur Code that was implemented. So we had to make certain provisions. That is a onetime provision.
Going forward, it may not be that high. So that is around INR0.30 extra. So combined all this, we are seeing that we should be near to 7% going forward. And if required any adjustment in prices. The long -term guidance remains that 7% to 8% is our target range. We were expecting the transmission tariff to be notified much earlier than it was notified because they send the communication in July. P NGRB communication was in July.
And we deferred because we don't want to basically make the RSP of our CNG product volatile. So we want to keep it constant. So we deferred th e price increase or anything like that. So that was the reason that there was delay. But now going forward, we expect that this should come -- these benefits should come. And automatically, it should be near to 7% based on the current prices.
Yogesh Patil: Now you suggested INR0.75 per unit kind of benefits from the unified tariff rationalization. Out of that, how much we have already passed on to the customer in terms of the...
Kamal Kishore Chatiwal: This is after passing off. This is the benefit what is left. So INR1 something was there. So now what is left is INR0.75.
Yogesh Patil: And the last, sir, just gas sourcing breakup, if you could provide in MMSCMD terms from eac h source, that would be helpful?
Kamal Kishore Chatiwal: Sanjay will...
Sanjay Kumar : So if you see our overall procurement was 9.75 MMSCMD out of that APM was 3.38 MMSCMD . NWC was 0.57 million cubic meters per day. HPST was around 0.5 and RLNG -- rest was RLNG around 3.3. In percentage terms, if I say, domestic was around 43%, NWG 7%, HPST 6% an

d 42% for RLNG.
Moderator: We take the next question from the line of Nitin Tiwari from PhillipCapital India.
Nitin Tiwari: Sir, my question was related to your guidance for volume for this year and for next year. So in the previous call, you had indicated that we'll be exiting this year at about 10 MMSCMD. So do we maintain that guidance in terms of like exiting this year at 10 MMSCMD because I think in the 9 months so far, we are at 9.43 MMSCMD after 9 months. So that would be my first. And secon d question was again on volume. So if you can give us a breakup of like sales across our NCT, NCR and new geographies and also the growth -- respective growth rates in those regions?
Kamal Kishore Chatiwal: Yes, we maintain the guidance that, as you know, the CGD sector, the last quarter is the best sector. The quarter 4 of any year, you pick up any year, that is the best sector. Until now, we have performed -- the average has been 9.43 MMSCMD, but we have be en constantly going

above 10 million per day. The draw from all the sellers is exceeding 10 million. So we will be exiting the quarter at 10 million that we are confident. And the breakup that you have asked...

Mohit Bhatia: So the breakup for the current year, 9.43 MMSCMD which breakup you wanted to know. So Delhi is contributing to around 5.43 MMSCMD. This is CNG plus PNG, around 56%. Noida, Ghaziabad is contributing to 2.24 MMSCMD per day, around 23%. And the other the newer GS, we can say, around 13% to 14%, 1.26 MMSCMD per day and the NG is 0.5. MMSCMD So the breakup of 9.43 MMSCMD is...

Nitin Tiwari: And sir, the respective growth rates in these areas in this quarter?

Mohit Bhatia: Yes. So Delhi, as you know, it is almost flat, you can say half to 1%. Noida, Ghaziabad is growing at around 6.2%, whereas the outside or the new GS is contributing to almost 17% growth.

Nitin Tiwari: Okay, sir. And sir, if I may just like to ask a follow -up question on the volume that you mentioned in terms of guidance. So s ir, in the previous quarter, I think the DTC volumes were about at like 30,000 kgs per day, whereas the numbers that you indicated for this quarter indicate a higher average contribution from DTC at about 50,000 kgs per day. So in fact, DTC has contributed more in this quarter than it did in the September quarter, right? So then how do we see this number...

Mohit Bhatia: Yes, yes. I got it. See, the September, there was a dip. It was definitely less. Then 2 months, October and November, I think there some b uses were not flying and they rolled it back. And then finally, it got shunted out. But December volume, it was around 20,000, 22,000. And further, as I mentioned earlier also, hardly less than 100 buses are left out. And what we have been made to understa nd from DTC, they will be phasing it out entirely by March '26.

Nitin Tiwari: So sir, actually, what I wanted to understand is that in September, our total CNG volume was higher despite a lower contribution from DTC. In this December quarter, our DTC contr ibution went up sequentially, but o ur overall CNG volume went down?

Kamal Kishore Chatiwal: Yes, yes. Actually, in this quarter, in Delhi, as you know, the GRAP implementation was there. The schools were shut down for a few days. I mean this time, the poll ution was really bad. So schools, the buses were off the roads. So those were the major impacts due to this, the quarter 3 was slightly other than the DTC also, the buses volumes were down. But now that the weather has improved, the GRAP have been lifted, so we are at normal now.

Sanjay Kumar: Nitin, I'll reiterate the numbers for DTC. Q2, we had an average sale of 40,000. And this quarter, the average sale was around 6,000. We earlier mentioned about 50,000. It is actually 6,000 . Other portion, which is -- that was also 150,000 last quarter. This quarter, it is 130,000.

Moderato

r: We take the next question from the line of Hardik Solanki from ICICI Securities.

Hardik Solanki: As you mentioned that you will maintain a volume guidance. Can you just help us wh at will be the volume growth for next 2 to 3 years, GA -wise, if you can just break down Delhi and non - Delhi?

Kamal Kishore Chatiwal: Actually, our guidance has been that every year, we will be adding 1 million, so 9 million to 10 million. And next 2 years, I think 1 million each in the next 2 years. And majority of that would come -- I mean, Delhi will continue at 8% to 10% after -- once the impact of DTC is away. So 8% to 10% would be the NCR zone and outside would be 17% to 18%.

Moderator: The next questi on is from the line of Sabri Hazika from Emkay Global .

Sabri Hazika: So firstly, on clarification, you mentioned that the Gujarat VAT implementation was from December only not before that and INR0.20, INR0.25 per SCM is still pending to be realized. Is tha t right?

Kamal Kishore Chatiwal: I mean for only December quarter, we could realize in the last quarter. So if the whole year impact is there, so that should be the benefit.

Sabri Hazika: No. I mean, Q -o-Q, you are saying another INR0.20, INR0.25 would get added to the gross margin, right?

Kamal Kishore Chatiwal: Yes, yes. Yes.

Sabri Hazika: Okay. And second is on the DTC, 40,000 kg -- what was -- I couldn't get th at part, which Nitin was asking?

Sanjay Kumar: The DTC sales for this quarter was 5,000 kg, 6,000 kg -- around 6,000 kg average per day.

Sabri Hazika: And last quarter?

Sanjay Kumar: Last quarter, this number was -- 40,000 kg.

Sabri Hazika: Falling from 40,000 kg to 6,000 kg quarter -on-quarter?

Sanjay Kumar: Yes.

Sabri Hazika: Okay. And 150 to 130 was of?

Sanjay Kumar: That was DIMTS.

Sabri Hazika: Okay. That was DIMTS from Q2 to Q3. So DIMTS is still at 130...

Sanjay Kumar: DIMTS is still at 130... So DTC and DIMT, they used to comprise around 8% to 10% of our sales. Now that number remains around 4%. This year used to be 6%, 7%. Now it is at around 1%, not even 1%.

Sabri Hazika: DTC plus DIMTS?
Sanjay Kumar: Yes.
Sabri Hazika: And DIMTS will also keep gradually declining, right?

Kamal Kishore Chatiwal: DIMTS is a slightly longer period for the transition because primarily the mandate is for DTC to convert and DIMTS is basically on operators who have the vehicles with the Delhi integrated transport model. So they are the outside operators. So they have a longer tenure basically because those buse s which have been put up, they will run for 8 to 10 years.
Sanjay Kumar: They are basically contract buses which run on contract basis. They are private party buses run on contract basis.
Sabri Hazika: And a few bookkeeping questions. So 9 months -- I mean, what is the CNG station base and capex for 9 months?
Kamal Kishore Chatiwal: It's around -- CNG or PNG?
Sabri Hazika: CNG station, what you said...
Kamal Kishore Chatiwal: Actually till now up to 9 mo nths is around INR190 crores.
Sabri Hazika: INR190 crores...
Kamal Kishore Chatiwal: INR116 crores. Sorry, PNG is INR190 crores. Steel network is INR190 crores and CNG is INR116 crores. MDP is INR560 crores -- so total, we have spent around INR847 crores i n 9 months.
Sabri Hazika: Okay. That is the total -- and what is the CNG station base right now?
Mohit Bhatia: So almost 975 stations by -- you can say, 973 to be specific as on end of 31st of January, you can say.
Sanjay Kumar: Around 55, 60 buses have been closed -- stations have been closed, which were run by DTC. So that number you can reduce around 925 locations are operative.
Sabri Hazika: Right. Right. And last question, what would be CUGL, MNGL volume for this quarter as well as last year same qua rter?
Kamal Kishore Chatiwal:

MNGL is 1.99 million -- Last year, it was 1.7 million. 1.7 million to almost 2 million. And CUGL last year, it was 0.33 million. This year, it is 0.34 million. They have a growth of around 3%.
Sabri Hazika: Okay. And there was dividends from CUGL and MNGL in Q3, right?
Sanjay Kumar: Q3, we had dividend from MNGL, INR40 crores.
Sabri Hazika: INR40 crores. And Q2 also, there were dividends, right?
Sanjay Kumar: Q2, we had final dividend of INR67 crores, around INR58 crores from M NGL and INR9 crores from CUGL.
Moderator: The next question is from the line of Vivek Gupta from Novus Capital.

Vivek Gupta: I just had a question -- a forward -looking question. In the future, when LNG prices come down and the demand for commercial increases, would you have to put up more infrastructure or within the existing infrastructure, you will be able to expand increased volumes?
Kamal Kishore Chatiwal: No. Actually, if you see the current state of queuing in Delhi NCR, it is still a cause of worry, and we need to put up more stations because the moment we provide more convenience, more people will be attracted to convert to CNG. Now although the queuing time has reduced drastically from earlier, say, half an hour to now 5, 6 minutes, but our v ision is to make it queue less. I mean there should be no queue at stations.
Vivek Gupta: And what about for the industry, small industry, which are the commercial segment? The volume can increase...
Kamal Kishore Chatiwal: Yes, yes, definitely. The volume s will increase there. Now even the DG set conversions for the societies because they have gone for alternate to NG also in some cases. So we are trying to capture those customers. And also the commercial transition from, say, LPG to gas, that continues. S o that 10% to 11% growth would be there.
Vivek Gupta: So using the existing infrastructure or you will require more?
Sanjay Kumar: So for PNG, industrial and commercial, we are already -- we have already reached all the industrial and commercial hubs. So p robably will not require that much capex to reaching those customers. Given the price reduction of international LNG prices, probably we'll be able to sell more and growth is something which we can expect .
Vivek Gupta: So that will affect margins positively?
Sanjay Kumar: Yes.
Moderator: The next question is from the line of Maulik Patel from Equirus.
Maulik Patel Sir, any specific reason that growth in NCR was very like -- it's like 6%. It used to be around

11%, 12% kind of on a run rate what we have seen in the past. Any specific reason for this kind of a number?
Mohit Bhatia: See, you are right. I think you are right, last few quarters, we were looking at around 10% to 11%. So because this GRAP effect is there in NCR also and -- this time, I think you are aware that due to some high pollution issues a nd all the schools were closed.
So we also envisaged a little bit tapered growth in Ghaziabad or Noida area. But the number of vehicles which are getting added in particularly pa ssenger car segment, we are confident to bounce back on the similar numbers.
Maulik Patel Okay. And sir, when you say that the 10 MMSCMD will be the exit rate, I mean, do you think that it will be for that particular month, you will exit at around 10 or th at quarter, you will exit around -- the average will be around 10 MMSCMD?

Kamal Kishore Chatiwal: I think the average 10 for the quarter, what we are suggesting is that in the March month, it should be at 10 entire month should be at 10. So that is the exi t rate because for the quarter, we are now at 9.4, 9.5 numbers. And going forward, this month, we are touching 10. And March, the com plete March should be above 10.
So the average for the month because 2, 3 days for the holidays and other reasons, th

e sal es are
less on those 2, 3 days. 5, 6 days, we are doing above 10, but on Sundays, the number of vehicles are less. So that brings down the rate. But going forward, in March, we will be at 10 -- above 10 for the whole month.
Maulik Patel Okay. And sir, the last question. Sir, what was the DTC volume in the base quarter? I think you mentioned that average for this quarter was something around 50,000 kg per day. That's what the average for the Q3. What that number was in the base quarter?
Mohit Bhatia: We stand corrected, it is 5,000 kgs per day for this quarter. And for the last quarter of the previous -- previous year, the same quarter, it was around 1.5 lakhs per kg.
Moderator: We take the next question from the line of Probal Sen from ICICI Securities.
Probal Sen: Yes. Sir, just with respect to the guidance that you just mentioned in terms of volumes, where the target is to essentially add about 1 million sums per day every year, just wanted to understand what will be the sourcing strategy?
What kind of contracts are we sort of in the market for -- whether are we looking at only Brent - link in the view of recent Henry Hub strength? Or are we still looking at a diversified kind of a sourcing space? Just understand -- trying to understand the readiness to m eet this kind of higher volume target from a sourcing perspective.
Kamal Kishore Chatiwal: Yes. Going forward, we anticipate that right now, 42%, 43% is RLNG. It should -- it will be 50 - 50, 50% RLNG and 50% from domestic sources, including HPHT, new well g as and APM. And our target to all the potential shippers is -- new well gas price that is 12% of Brent. And since our major portfolio is already linked to Brent because APM, new well, HPHT are all linked to Brent.
So we -- for diversification, we will hav e the 50%. I think it will be 50 -50 from Henry Hub and Brent. But if we get some good deals on Henry Hub, then I think we are open to that. But our guidance to them has been that 12% of Brent should be the landed price for us.
Probal Sen: Got it, sir. And sir, I'm sorry if you have answered this earlier, I joined a bit late. But can you refresh your guidance for capex for '27 and '28, if you can break it down in terms of NCR and outside NCR as well?
Mohit Bhatia: See, our core business capex , we have plans for around INR1,250 crores for this financial year, out of which we have already spent in 9 months, INR847 crores. And the breakup in terms of like if we say Delhi, so Delhi is almost around 45% we have spent and UP part is almost, say, you can say 30% to 35%. And Haryana is around 10%, you can say. So it is like that.

Probal Sen: And sir, for '27 also, can -- we can expect a similar kind of a level?
Mohit Bhatia: So our aspiration or our targets are like that only to around INR1,200 crores to INR1,500 cror es in the core segment.
Sanjay Kumar: Actually, we will be adding the diversification capex , BD capex , that will be other than the core business. So that INR500 crores to INR800 crores, that will be separate, I mean, into renewables, into CPG, into LNG Infra. So those will be separate. This is only for the core of CNG and PNG.
Probal Sen: And will they start to reflect from '27 onwards? Or is that slightly longer than that...
Sanjay Kumar: I think from '27, they should start reflecting because the JV format ion and subsequently, the cash costs and all will take some time. So from '27 onwards, they should start reflecting.
Probal Sen: So on an overall basis, sir, then somewhere between INR1,600 crores to INR1,700 crores is a

reasonable number to assume for the overall capex for '27. It that a fair...
Sanjay Kumar: INR2000 crores you can say. INR1,200 crores, INR1,300 crores and INR600 crores, INR700 crores diversification.
Moderator: The next question is from the line of Devang Patel from Sameeksha Capital .
De

vang Patel: Sir, in your comments earlier, you mentioned we got benefit of reduction in sales tax, but you also faced headwinds from higher gas costs and forex . Could you break down this impact or how it impacted our gas cost, which seems to be down by INR0.90 quarter -on-quarter?
Sanjay Kumar: So if you see our exchange rate has gone from, say, around INR86, INR87 to INR90, INR91. So around 7% to 8% rupee devaluation is there, which is -- which has resulted in around INR2, INR2.5 increase in gas cost, which was partly offset by the Gujarat VAT reduction, which happened during the last quarter.
So our gas cost per SCM, if you see that is more or less remain same, only INR50 to INR60 reduction is there. Had the rupee devaluation not been there, our gas c ost would have been much lower and EBITDA margin would have been much higher.
Devang Patel: Just on the CENVAT , could you quantify what is the benefit we get?
Sanjay Kumar: I don't remember exactly , but that's a total impact.
Kamal Kishore Chatiwal: The to tal impact that we assessed at that time was around INR0.35 to INR0.40 per SCM.
Devang Patel: And did you get this for the full quarter or only December?
Kamal Kishore Chatiwal: Actually, the benefit we got only for the December month. But for this quarter, it will be for full 3 months.
Devang Patel: Okay. Understood. Sir, could you give an update on the tender process in the Middle East that you are participating in?

Kamal Kishore Chatiwal: Yes, we have qualified for Stage 1, and we have been given the tender for Phase 2. So there, I think we are in the process and bid submission is April '23. So we'll be participating in that, and it looks a very good opportunity, in the sense that it is a very planned kind of a thing that with CGS is only at a 500 -meter distance and the industr ial cities are planned.
Gas prices there are much more competitive as compared to alternate fuels. So there is a natural push for the switch as well as the government push will also be there. And each industrial city in our a ssessment is going forward would be around 1.5 million. So we are looking at 4 now. So 6 million total is the long -term sales potential there.
Devang Patel: Sir, and since you submitted the bids, could you give a ballpark es timate of what kind of capex is?
Kamal Kishore Chatiwal: Right now, the bid has to be submitted by April '26 -- 23rd April '26, the bid submission date is there. So the capex calculation is still going on.
Devang Patel: Okay, sir. And on the captive power plant that you are planning, is there any progress there?
Kamal Kishore Chatiwal: Actually, the JV with Rajasthan is taking some time that in the sense that the land allocation because it is being transferred to the other agency to the other JV partner company. So that is taking time. In the meantime, for our operational efficiency and other things, we are coming out with a 200 -megawatt tender.
So that will be through tender route and whoever has got the land and the connectivity, CTU connectivity. So that is the precondition and they can participate and then we will evaluate that. So that is also in the progress. It should come out in next -- within next month or so.
Moderator: The next question is from the line of Vikas Jain from CLSA.
Vikas Jain : Sir, for simplicity, if you were to l ook at volume growth that you have reported this quarter, ex of the changes that we have seen for DTC buses, what would that number have been? I know you've shared a few numbers and like a little lost on that. But if you were to just take out the DTC and e x of that, what would the volume growth be either CNG or overall volume growth?
Kamal Kishore Chatiwal: Overall, would be around 9.6 in that case -- 9.87.
Vikas Jain : So, CNG would be 9.87?
Kamal Kishore Chatiwal: Overall would be -- 9.43 is the overall. Y ou can sa

y around from 150, we have down to 6,000.
So that is the change. 150 is in kgs. So it will be around from 2 to say, 10. So you can add 0.2 to that, so 9.63.
Vikas Jain : Okay. So yes, 9.63 versus 9.1, right?
Kamal Kishore Chatiwal: Yes, yes. 9.1 ex actly.
Vikas Jain : That's a 6% growth, right?

Sanjay Kumar: See, we are talking in kg terms. If I tell you the last year number, overall CNG sales was 47.55 lakh kg. If I remove the DTC and DIMTS sales, it is 44.14 lakh kg. Current year, our total sale was 50.01 lakh kg per day. If I remove the D TC and DIMTS sale, it is 48.63.
From 44.14 lakh kg to 48.63 lakh kg per day of sales, which is an increase of 4.49 lakh kg per day which is 10.17% of CNG sales. So 10.17% is the growth for CNG segment, if we exclud e DTC and DIMTS.
Vikas Jain : So DTC now for all practical purposes, of course, it might be still impacting the base for...
Sanjay Kumar: 5,000 is the number in the current quarter. So Q4 -- sorry, Q3 of next year will be the period when you will not see an y impact of DTC sales going down. DIMTS might still be having some impact there. But probably this 1.32 lakh kg sales of DIMTS, which we had in this quarter, probably next 2, 3 years, I think it is going to be there. And then probably it will go down.
Vikas Jain : Sorry, you mean that 1.32 lakh kg sale is going to...
Sanjay Kumar: This should continue next 2, 3 years. That's what the...
Vikas Jain : That kind of a level -- at roughly at that kind of level, not -- no major decline. Okay. So the bigger part of the decline, which was impact ing headline growth is now done?
Mohit Bhatia: Yes, it is almost done. And whatever is left by Q4, it will be almost 0 that we can...
Sanjay Kumar: Drag, which is there, that will be there for maybe next 2 to 3 quarters probably. Q3 of '27 is when we'll not see any drag and the normal growth will reflect in the overall number.
Vikas Jain : Okay. And so sir, so that is where you get the confidence that from here on, you'd roughly be adding -- growing at about 10%?
Kamal Kis hore Chatiwal: Yes. Yes.
Vikas Jain : And just to understand, so you did explain that there are these -- the 2, 3 elements with which margin should be higher. So based on that, roughly INR1 plus should be higher gross margin for the next -- for this quarter , this coming -- this quarter where we are in based on those -- you said INR0.75 net plus about INR0.25 from Gujarat. And I think there was one more thing, right?
Kamal Kishore Chatiwal: Labor code implementation one time INR0.30 -- that will be -- I mean INR0.25 that will come from there. So INR1.25 you may say.
Vikas Jain : Okay. So that you think is broadly the run rate that we are dealing with right now?
Kamal Kishore Chatiwal: Yes. Plus in case we are able to add CVG. So that -- as you are aware, the CVG excise duty exemption has come. So that -- I mean, it depends on us now that how we are able to ramp up our CVG in our network.
Vikas Jain : Okay. So -- but would that be very material immediately? No, I mean , it will take some time for us?

Kamal Kishor e Chatiwal: Immediately, I mean, it will take 1 year or so to be going from 1% to 5%. So 5% to 10%, if we are able to do that will have a material impact.
Vikas Jain : Okay. And in terms of your sourcing, you're confident that most of it -- you would not ha ve to depend so much on LNG. I mean most of it will come from new well gas is what you think?
Kamal Kishore Chatiwal: No. 50%, we said going forward...
Vikas Jain : Yes.
Kamal Kishore Chatiwal: Incremental also, the 50% anyway, we have to be sourcing from, say, 0.5 million every year, we'll be adding.
Vikas Jain : Okay.
Sanjay Kumar: So next year, I think some HPHT gas is also coming in, which we will get apart from NWG. HPHT gas is getting freed

up. I think that will also come to market.
Kamal Kishore Chatiwal: So 50%, we are expecting that we will have to source additionally.
Moderator: The next question is from the line of Nitin Tiwari from PhillipCapital India.
Nitin Tiwari: Just wanted to understand what percentage of your gas sourcing is the Gujara t VAT applicable, the Gujarat VAT this season?
Kamal Kishore Chatiwal: 43% the APM...
Nitin Tiwari: It's only applicable to the APM, not to LNG, right? Which is...
Sanjay Kumar: LNG also. 7% is -- so you can say 50% of the gas.
Nitin Tiwari: 50% of the gas , okay.
Sanjay Kumar: APM and NWG .
Nitin Tiwari: Right, sir. And secondly, sir, you indicated the DTC volume for the base quarters. So if you can also indicate the DIMTS volume for the base quarter as well as for the second quarter?
Sanjay Kumar: I'll tell you the DTC and DIMTS volume again. For the current quarter, DTC volume was 5,000 kg per day. DIMTS volume was 1.32 lakh kg per day.
Nitin Tiwari: 1.32 lakh, okay.
Sanjay Kumar: The previous quarter, DTC volume was 44,000 kg per day, and DIMTS volume 1.47 lakh kg per day.
Nitin Tiwari: Sorry, that was not clear. Please say that again.

Sanjay Kumar: 1.44 lakh kg for DTC, 1.47 lakhs is huge.

Nitin Tiwari: Okay. And the base...
Sanjay Kumar: And the base quarter was DTC was 1.55 lakh and DIMTS was 1.85 lakh.
Moderator: We take the next question from the line of Somaiah from Avendus Spark.
Somaiah : Sir, one clarification. So in this quarter, we said 50% is RLNG. Within this can you give a breakup in terms of spot and Henry Hub and Brent -link contracts?
Sanjay K umar: So broadly, spot was not there that you can -- spot is nil. Some quantity we had bought from IGX, which is generally the HPHT gas available -- available there. So IGX, we bought maybe 1% or 2% of the total requirement. And apart from that, our Henry Hub and Brent -linked contract, RLNG contracts are in the ratio of around 60% to 40%. Out of the total RLNG, around 40% is Brent -linked and around 60% is Henry Hub.
Somaiah : Got it, sir. And also, we have a bit of flexibility in terms of the entry of contra ct. I mean, in case of the cost -- we do have, so we can push it depending on in case we feel Brent is relatively lower. So we have the flexibility?
Sanjay Kumar: Yes, yes, it is there.
Somaiah : Got it, sir. Sir, also the next couple of years capex , so you did mention about the trajectory there. So in terms of CNG station additions, what we plan to put within this, how much goes into the pipeline, so broadly? And what kind of volume contribution maybe over the next 2, 3 years, this can contribute th e capex that we are spending over the next couple of years?
Mohit Bhatia: So roughly around 80 to 100 CNG stations we are targeting year -over-year for maybe roughly next 3 years to 5 years. So out of the total capex , almost you can say 40% to 45% will go o n the CNG and balance will be on the steel pipeline network as well as the MDP. So it will be like that.
And as mentioned earlier, the total overall incremental volume, we are anticipating 1 million to add year -on-year. So out of this, around you can say, 65% to 70% will come from CNG and around maybe 30%, 35% may be from the PNG, both industrial, commercial and PNG.
Sanjay Kumar: Number of stations -- 100 stations per annum average selling 6,000 kg per station, it will be around 6 lakh kg, which translate s to around 0.8 million cubic meters per day of sales, 100 stations. 0.8 million is the number, which you can add from CNG and PNG is growing at around 12%, 15%, depending upon the industrial volume is dependent upon prices growth also. So both put togethe r, 1 million is something which is very achievable.
Somaiah : Sir, this 100 stations between the GAs, I mean, Delhi, NCR and other newer GAs, how would this...
Mohit Bhatia: See, y

ou can see it all depends. We have the target for 100 -- 80 to 100, and we are sorting for land in Delhi also, as MD also mentioned for the queuing part. And we are also anticipating the DTC old stations, hybrid and all, they are also offering these sites in Delhi. So if -- what we

expect if it goes on, so almost, say, 25% to 30%, we should get in Delhi also. And otherwise, mostly, it will be outside GAs and somewhat in Ghaziabad and NCR part also.
Somaiah : Okay, sir. So one last question. So in terms of opportunities for getting into the other GAs or inorganic for in general, in terms of the recent MWPs and what are the opportunity set, sir? Is there a chance for a consolidation in the industry in the next couple of years because of some bit of aggres sive bidding on the MWP side? Is there an opportunity set that's still available? And then how are we looking at it?
Kamal Kishore Chatiwal: Actually, this is a regulated license kind of a business. So here, unless some regulations are modified and facilit ated for these mergers and acquisition, it will be very difficult because all those GAs will be carrying huge penalties, and that will deter the potential buyers. And unless something is thought on those lines, but how do we make it possible.
Something si milar to, say, NCLT mechanism or something like that is thought of that with those kind of penalties, it will be difficult for them to sell it also. Because they are right now in negative -- valuations are in negative zone. So that, I think, is a potential bottleneck for M&A. But we are -- we see that going forward, if we have to achieve the kind of growth, the mergers have to take place with smaller entities going day by day will find it difficult because the sourcing is now becomin g a very, very critical aspect.
And those who are able to source will give the benefit to the consumers. So that is our assessment of the situation because players are there who are ready to bid for those M&A activities, but the field is not right, the penalties and other things , they will have to inherit those also.
Moderator: Ladies and gentlemen, we take that as the last question for today. I would now like to hand the

conference over to the management for closing comments.
Sanjay Kumar: Yes. Thank you all the investors for pa rticipating in the earnings call of IGL. Thank you, Mr. Varatharajan and Antique Stock Broking. We will meet again in the month of April or May with a better set of results. Thank you so much.
Moderator: Thank you. On behalf of Antique Stock Broking Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.